Join @Coursesdollar

The Money Guide

@Coursesdollar

Join @Coursesdollar

The Money Guide

First Published by ZebraLearn 2024
All Rights Reserved

@Coursesdollar

ISBN: 978-81-963735-6-6

The right of Anushka Rathod to be identified as the author of this work has been applied in accordance with the Copyright, Act, 1957.

No part of this publication may be reproduced, stored in a retrieval system, or transmitted, in any form or by any means (electronic, mechanical, photocopying, recording or otherwise), without the prior written permission of the publisher.

This publication is designed to provide accurate and authoritative information. It is sold under the express understanding that any decisions or actions you take as a result of reading this book must be based on your judgement and will be at your sole risk. The author or publisher will not be held responsible for the consequences of any actions and/or decisions taken as a result of any information given or recommendations made.

www.zebralearn.com

Join @Coursesdollar

Prologue

What is this book about?

So many of our life decisions are influenced by money and surprisingly we are never taught about it. On the other hand, the world of personal finance is extremely complicated, full of jargon and filled with endless options making decision-making difficult.

This book aims to solve that by breaking down important financial decisions into simple language with lots of graphics, excel sheets, and workbook templates. We start with understanding how to think about money, then move on to discussing budgeting techniques followed by detailed chapters on Insurance and Taxes We then get to the most unique part of this book discussing the financial aspects of buying a house, studying abroad, getting a car and selecting a credit card.

The chapters that follow discuss how to make your money work for you meaning how to invest your money and make a portfolio.

Who is this book for?

"It takes as much energy to wish as it does to plan." - Eleanor Roosevelt

We all have things that we want to achieve in our life. It could be personal or professional. It could be for ourselves or our loved ones. This book is for those who want to plan for those events financially and need direction to sort out their money matters so that they can enjoy other things that life has to offer.

Why this book?

Most of the existing content on finance is rather boring and scattered. This book aims to get all the information in one place and simply explain concepts with graphics, editable tools and worksheets to keep you hooked.

How to read this book?

- **Pace yourself-** It is okay if you can't grasp the entire book in one go. You can keep revisiting topics as and when situations arise in your life.
- **Use the calculators -** Scan the QR code and make a copy of the google sheets to use the calculators.
- **Fill in the worksheets -** You will find worksheets inside the book, fill them to implement what you have learnt.

Join @Coursesdollar

CONTENT

Section 1 - Let's get started! 8

Chapter 1: Introduction 10
1. What money is and isn't ? 12
   a. Money is an enabler 12
   b. So what can money actually do? 14
2. Money isn't everything 16
3. Money Mistakes we make 17
   a. Taking Decisions based Past Experiences/FOMO 17
   b. Unrealistic expectations 22
   c. Lifestyle inflation 24
   d. Next Monday Attitude 26

Section 2 - Everyday Money Management 30

Chapter 2: Everyday Money Management 32
1. The Detailed Budget Planner 36
   a. Recording your Transactions 37
   b. Analyze your Spending 38
   c. Assets and Goals 40
2. The Lazy Method 41
   a. Setting up the Tracker 43
   b. Making a Budget 44
   c. Assets and goals 45
   d. Tracking your progress 48

Section 3 - Everything you are worried about! 50

Chapter 3: Are all debts a sin? 52
1. Your Current Standing 56
   a. Net Debt Position 56
   b. EMI to Salary Ratio 60
2. How to Pay-off Debt? 62
   a. Snowball Method 63
   b. Avalanche Method 65

@Coursesdollar

Join @Coursesdollar

Chapter 4: Taxes 68
1. How does Taxes Work? 70
2. Old Tax Regime vs. New Tax Regime 72
3. Deductions 77
   a. Medical 78
   b. Home 83
   c. Investments - Section 80C 87
   d. Others 92
   e. Donations 93
4. Exemptions 95
   a. Salary 97

Chapter 5: Managing Lifestyle 100
1. Credit Cards 102
   a. But how do you use it wisely? 103
   b. Credit Card Benefits 104
   c. Things to be Cautious about when using Credit Cards 107
   d. How do you select? 110
2. Higher Education 115
   a. The Financial Aspect 116
   b. Financing your Masters 121
   c. Loans 124
3. Buying a Car: A Need or a Luxury? 131
   a. Cost of Owning a Car 133
   b. Which car can you afford? 134
   c. All about the Car Loan 137
   d. Car Insurance: An Unavoidable Part 140
4. Buying a Dream Home 146
   a. Buy vs. Rent 146
   b. Budget of your Home 149
   c. Things you should know about Home Loans 152

Section 4 - Protect! 160

Chapter 6: Emergency Funds 162
1. Introduction 164
2. Emergency Funds 168
   a. What is it? 170
   b . Why do you need it? 171
   c. How much should it be? 173
   d. Where should you invest? 174

@Coursesdollar

Join @Coursesdollar

Chapter 7: Health Insurance 176
1. Where to Buy? 180
2. Things to Consider while selecting Health Insurance 186
   a. Co-pay 187
   b. Waiting Period in Health Insurance 190
   c. Sub-Limits 193
   d. Pre and Post- Hospitalisation 196
   e. Day Care Procedures 197
3. Insuring your Family 200
   a. How does it Work? 202
   b. Cons of Floater Plans 204
4. Top-Ups and Super Top-Ups 207
5. Cashless Procedure for Planned Admission 212
6. Reimbursement Claim - Planned Hospitalisation 221

Chapter 8: Life Insurance 224
1. Where should you get Life Insurance? 226
2. Life Insurance Math 227
3. Types of Life Insurance 230
   a. Term Insurance 230
   b. Insurance + Investment - EP, ULIPs, MBP 231
4. Riders 234
   a. Waive-off Premium Rider 236
   b. Disability Rider 238
   c. Critical Illness Rider 240
5. Death Claim Settlement Process 243

Section 5 - Grow! 246

Introduction 248
Understanding Risk: It's not Rocket Science! 250
a. What is Risk? 250
b. But then, Why take risks? 252
c. How much risk should you take? 253

Chapter 9: Achieving your Financial Goals 256
a. Step 1: List Down your Goals 258
b. Step 2: Plan your Goals 260
c. Step 3: Categorising your Goals 264
d. Step 4: Investing According to your Goals 266
e. Step 5: Building a Portfolio 268
f. Step 6: When to Sell? 272

Section 6 - Investment Options 276

Chapter 10: Fixed Deposits 278
1. What is FD? 280

@Coursesdollar

Join @Coursesdollar

2. When to Invest in a Fixed Deposit? 281
3. How to customise your FD? 282
4. Hacks in FD Investment 284
5. Recurring Deposits 292
6. Government Schemes to invest in 294

Chapter 11: Mutual Funds **296**
1. So, how are Mutual Funds Managed? 302
2. Now, which Management style should you select? 306
3. Types of Mutual Funds 307
   a. Equity Mutual Funds 307
   b. Debt Mutual Funds 312
   c. Hybrid Funds 314
4. So, how to select the type of the Mutual Funds? 322
5. Last but not least, how to select a Mutual Fund Scheme? 321
   a. How to select an Actively Managed Equity Fund? 322
   b. How to select an ETF/ Index Fund? 331
   c. How to select a Debt Fund? 337
6. Growth option vs. IDCW 341
7. What is a Fact Sheet and how to read it? 344
8. Routes of investing in a Mutual Fund 351
   a. Option A: Investing through a Direct Plan 351
   b. Option B: Investing through a Regular Plan 352
9. Things to Avoid! 354
   a. Avoid Sectoral Funds 354
   b. Avoid chasing Top Performing Fund of every year 356
   c. Avoid Overdiversification 357
   d. Avoid NFOs 358
   e. Don't time the market 359
10. More about Mutual Funds 362

Chapter 12: Equity **370**

Chapter 12: Gold **378**
1. Gold Coins/ Bars **381**
2. Gold ETFs 381
3. Digital Gold 382
4. Sovereign Gold Bonds (SGBs) 383
5. The Case for Gold! 385

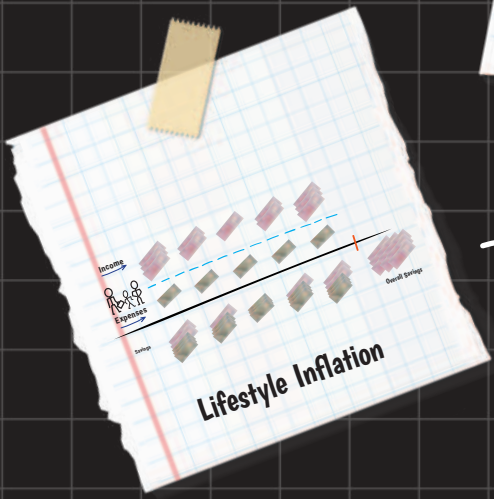
Chapter 13: Real Estate **386**
1. What are REITs? 391
2. Generating returns from REITs 392
3. How to invest in REITs? 393

Conclusion **394**

Disclaimer **396**

@coursesdollar

Join @Coursesdollar



Join @Coursesdollar

1

Let's Get Started

Chapter 1 - Introduction

Join @Coursesdollar

Chapter 1

Introduction

Join @Coursesdollar

Anushka Rathod

Money is a subject that can be complicated and difficult to navigate. Growing up, a lot of us have experienced situations where money caused tension in our families, but conversations around money were usually avoided or kept hush-hush.

We have heard our elders say, "Tum abhi bacche ho, in sab baaton main mat pado."

Money plays a crucial role in most of our decisions. Given its importance, many of us feel overwhelmed and anxious about managing our finances. As we journey through life, we encounter many challenges, but none seem quite as daunting as figuring out "how to handle our finances."

It's a paradox - we know money is important, but we're often not taught how to handle it at home or school.

Join @Coursesdollar

Money is often seen as the solution to all our problems, but it's not that simple. While it's true that not having enough money can cause stress and difficulty, having money doesn't automatically guarantee peace of mind.

There is life to be lived beyond money. This makes it important to understand how to manage money so that it doesn't cause problems and we can enjoy other aspects of life.

1. What Money is & isn't?

a. Money is an enabler

Money is an enabler that can make things easier in life.

Join @Coursesdollar

Having money allows you to live a comfortable life.

For example, you can take a vacation with your family, buy a new car or home, or invest in your education or business.

@Courses

Remember that money is just a tool, and it's up to you to use it in a way that brings you fulfilment or happiness.

Once your basic needs are met, more money does not necessarily equal more happiness.

Join @Coursesdollar

b. So what can money actually do?

Money Can Buy - Security

It's no secret that having money can give you a sense of security. When you're financially secure, you're covered in case of emergencies, your loved ones are protected, and you don't have to worry about retirement. This can be a huge relief that allows you to feel at ease, so you can focus on the other important things in your life.

Money Can Buy - Lifestyle

Money can also buy you a certain lifestyle. You can live in a certain neighbourhood, travel to exotic locations, or wear designer clothes.

Money Can Buy - Freedom

Money can give you the freedom to do what you want with your life. You can work in a job you love, start a business, or take time off to travel or pursue your passions.

Join @Coursesdollar

Money Can Buy - Experiences

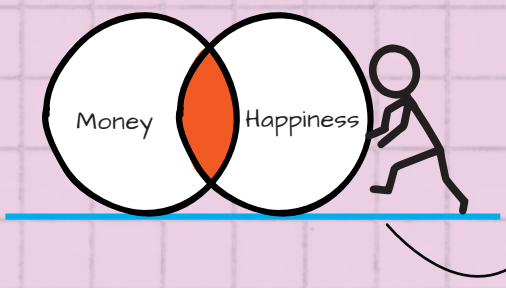
Money can also buy you experiences that create lasting memories. You can travel to new places, attend concerts or shows, or try new hobbies or activities. These experiences can enrich your life and help you grow as a person.

Money Can Buy - Options

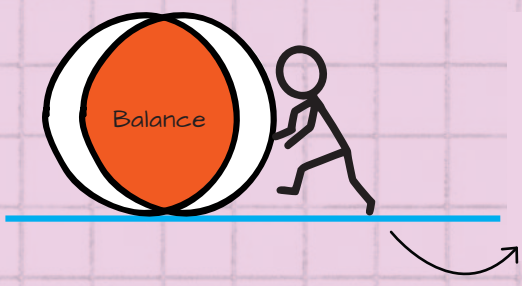
One example is wanting to provide the best healthcare for your parents. However, lacking the funds to afford private hospitals removes that option from your choices. Having money can provide more options and choices in life.

Join @Coursesdollar

2. Money isn't everything



It's easy to get caught up in the idea that money is the key to happiness and success. We see it everywhere, from luxury lifestyles in magazines and on social media to constant advertisements urging us to buy the latest products.



While money can provide benefits such as peace of mind, freedom, options, experiences, and security, it's important to prioritize what matters most in life. Without love and connection, even the wealthiest person can feel lonely and unfulfilled. As the saying goes, "Money can't buy happiness."

Therefore, it's important to balance money and other aspects of life. Money can provide opportunities and help us achieve our goals, but it should not come at the expense of our relationships or well-being.

Join @Coursesdollar

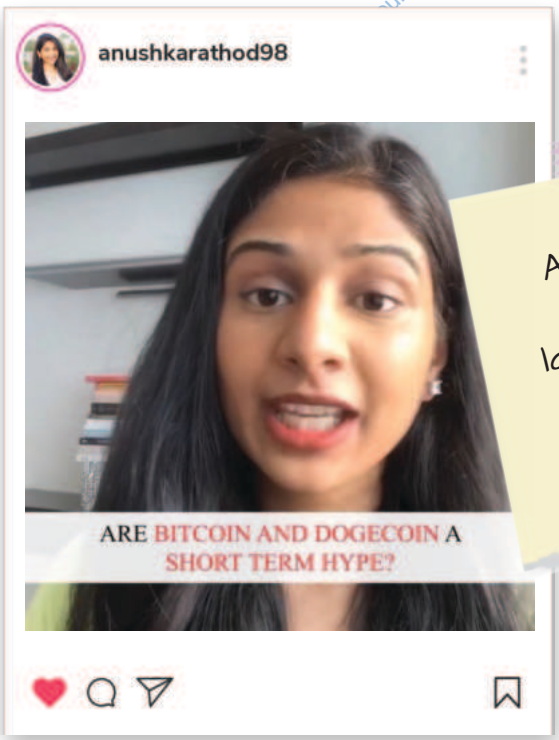
3. Money Mistakes we make

a. Taking Decisions based on Past Experiences/FOMO

"**Stock Market is too risky, but crypto is a great investment!**"

Believe me or not, these are actual words I have heard! 2021 was a wild year, and I remember making videos against Dogecoin, which is a Meme Coin, meaning it is a cryptocurrency literally based on a MEME and the amount of hate I got on that video!

"**Why don't you want your audience to make money?**
Why are you spreading false information?"



And a couple of months later, the price of Dogecoin fell by 99%.

Join @Coursesdollar

We believe that we are making decisions rationally based on facts; however, more often than not, it is not true. We make decisions emotionally and then find pointers to support them.

Our decisions are often biased by the experiences we have had and what people around us are doing.

2008

A lot of people lost money in the stock market during the 2008 financial crisis, and since then, it has usually been said that investing in stocks is a gamble. Either they experienced it or heard their elders belabour about it.

Join @Coursesdollar

2021

More recently, in 2021, when cryptocurrencies became hot, everyone was talking about it. A few lucky people became overnight millionaires by investing in cryptocurrency, which influenced others to invest in crypto as well. The rationale for investing in cryptocurrencies was that their friend or neighbour had made a lot of money in it, and they didn't want to miss out.

Join @Coursesdollar

In both these instances, the decisions were not made based on facts. People delegate their responsibility to research for the experiences they have had. In the moment of making a decision, we'd rather trust a story rather than hard facts. The stories of the 2008 crash and neighbourhood millionaires are far more likely to impact our decisions than some boring facts.

Join @Coursesdollar

b. Just because someone made a lot of money in real estate doesn't mean it's the right investment for everyone. It's essential to understand the risks and rewards of any investment before making a decision.

Before investing our hard-earned money, we can't delegate the decision-making to what has happened and what we think is likely to repeat. We need to look at the characteristics of the asset we are investing in, understand the risk-reward situation, and if it fits in our portfolio to achieve our goals, then only invest in them.

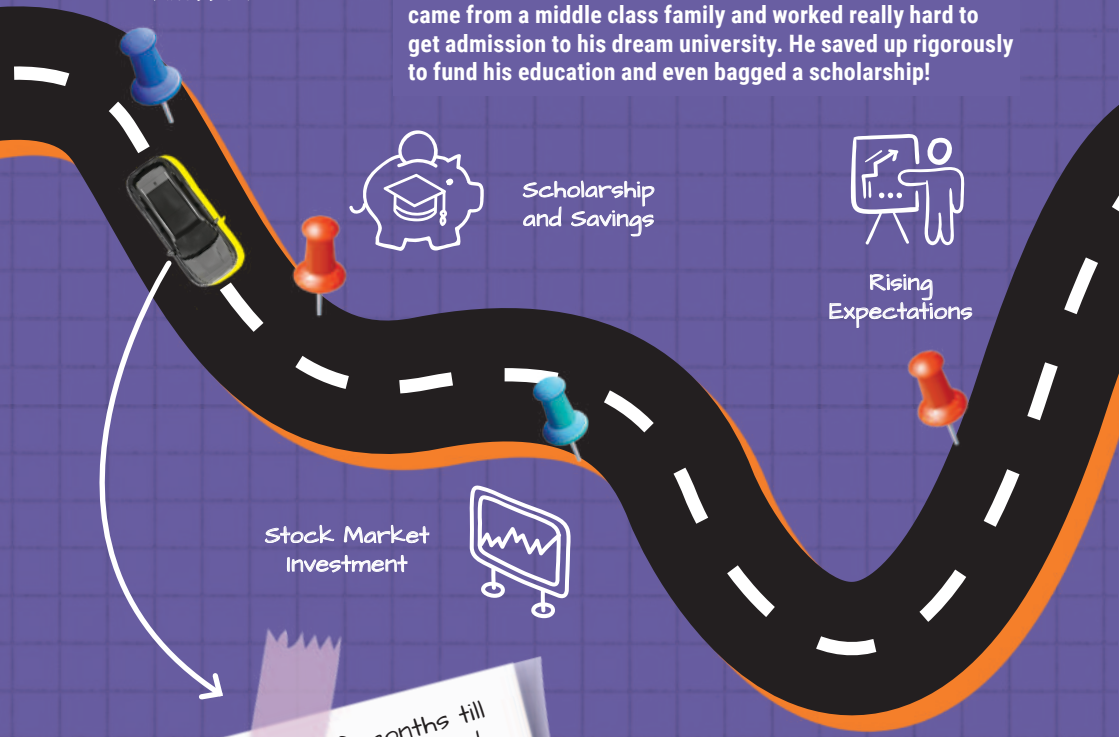
So, the next time you're making a financial decision, try not to rely solely on past experiences or FOMO. Do your research, consider the characteristics of the asset you're investing in, and make an informed decision based on the facts.

Join @Coursesdollar

b. Unrealistic Expectations

Dream University Admission

I can never forget the car ride with my friend when he told me he might not be able to go abroad for his master's degree.He came from a middle class family and worked really hard to get admission to his dream university. He saved up rigorously to fund his education and even bagged a scholarship!



Scholarship and Savings

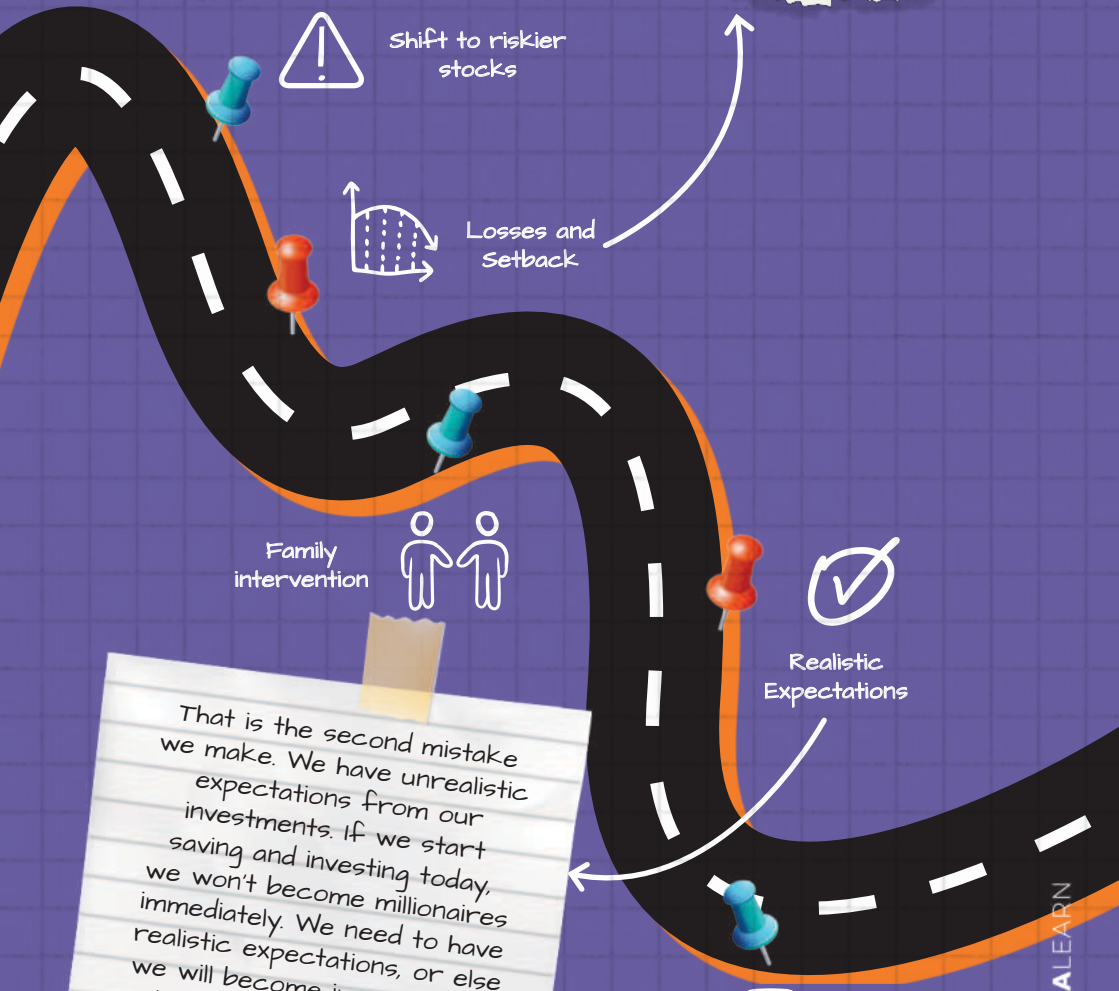
Rising Expectations

Stock Market Investment

He had a couple of months till he left for his master's and wanted to increase his corpus saved so that he could cover his living expenses abroad. He hence invested in the stock market. His reasoning was that only the stock market could give him really high returns in a short period. He had seen the stock market rise continuously from the end of 2020 and believed the same would continue.

Join @Coursesdollar

However, after a couple of weeks, his investments more or less remained the same. He got impatient; he expected to miraculously get a 5% - 10% return in the first month itself. He then shifted his money to even riskier stocks based on some tips and ultimately ended up losing 35% of the amount he started with. Eventually, his father had to step in and fill the deficit.



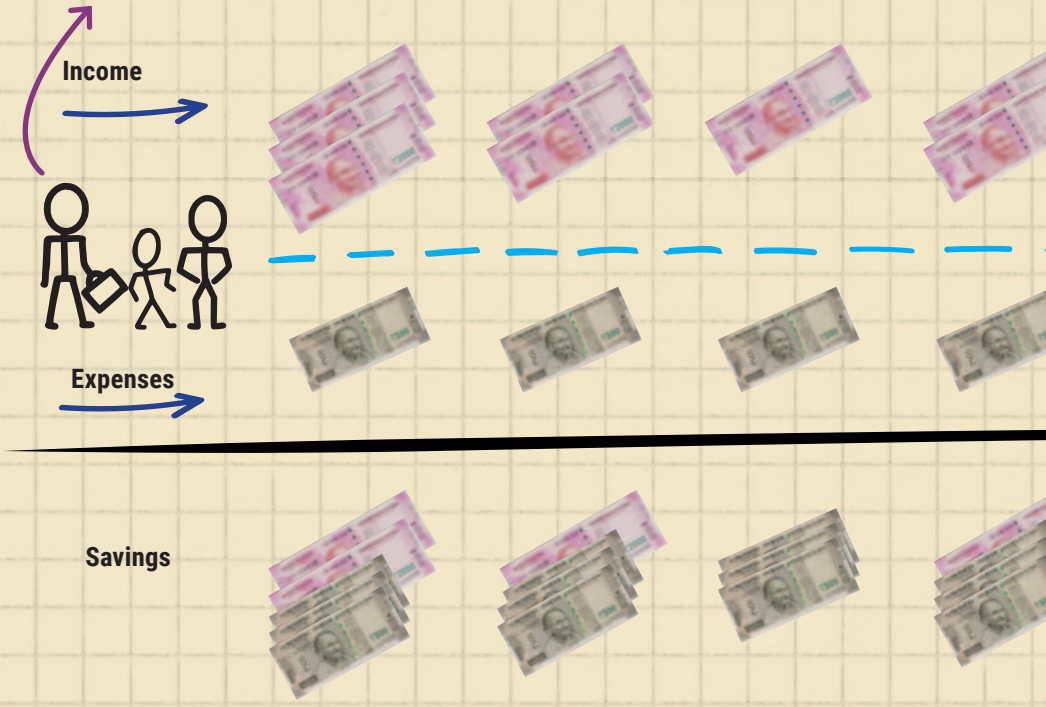
That is the second mistake we make. We have unrealistic expectations from our investments. If we start saving and investing today, we won't become millionaires immediately. We need to have realistic expectations, or else we will become impatient and then either stop investing completely or make riskier bets to get our desired result.

Join @Coursesdollar

c. Lifestyle Inflation

If there is one thing I'd thank my parents for, it is teaching me to live a simple life. Growing up, I literally asked my dad once if we were poor. He would ration everything and try to save money wherever possible. My dad has a business, so income is always fluctuating. Throughout the years, as his business grew, he seldom increased his standard of living.

His motivations behind this might have been the worry that his business wouldn't work well in the future and that he needed to save up as much as possible. So, no matter how the business performed, he took out the same amount of money month after month and gave it to my mom to run the house.

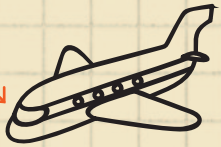


Join @Coursesdollar

I would see my mom frustrated at times because she knew we could afford a better lifestyle, but my dad was very strict about this. Fast forward to my parents turning 50, they are living a luxurious life, travelling the world, bought a house and have saved up enough for their retirement.

I believe because my dad didn't have the security of a paycheck and a stable source of income, it led him to make the choices he made. However, even people who are salaried should learn from this.

Overall Savings



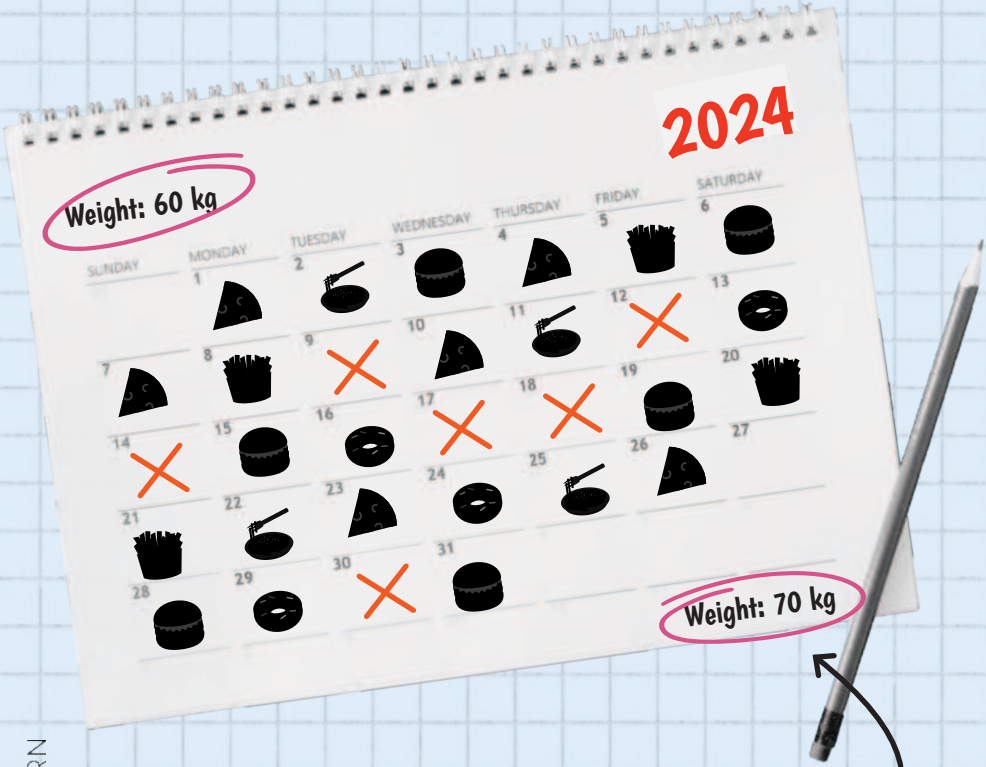
Luxurious Life

If we keep increasing our standard of living with every paycheck, we won't ever be able to save more and increase our wealth pot. With social media influencing us to buy more and show off, we today are far more likely to inflate our lifestyle rather than save.

Join @Coursesdollar

However, we need to learn to strike a balance here. With every increase in our income, we can maybe allocate about 20%-30% towards lifestyle expenses and save the rest. The percentage can vary according to your circumstances, but the idea here is to save more and more incrementally to achieve our financial goals.

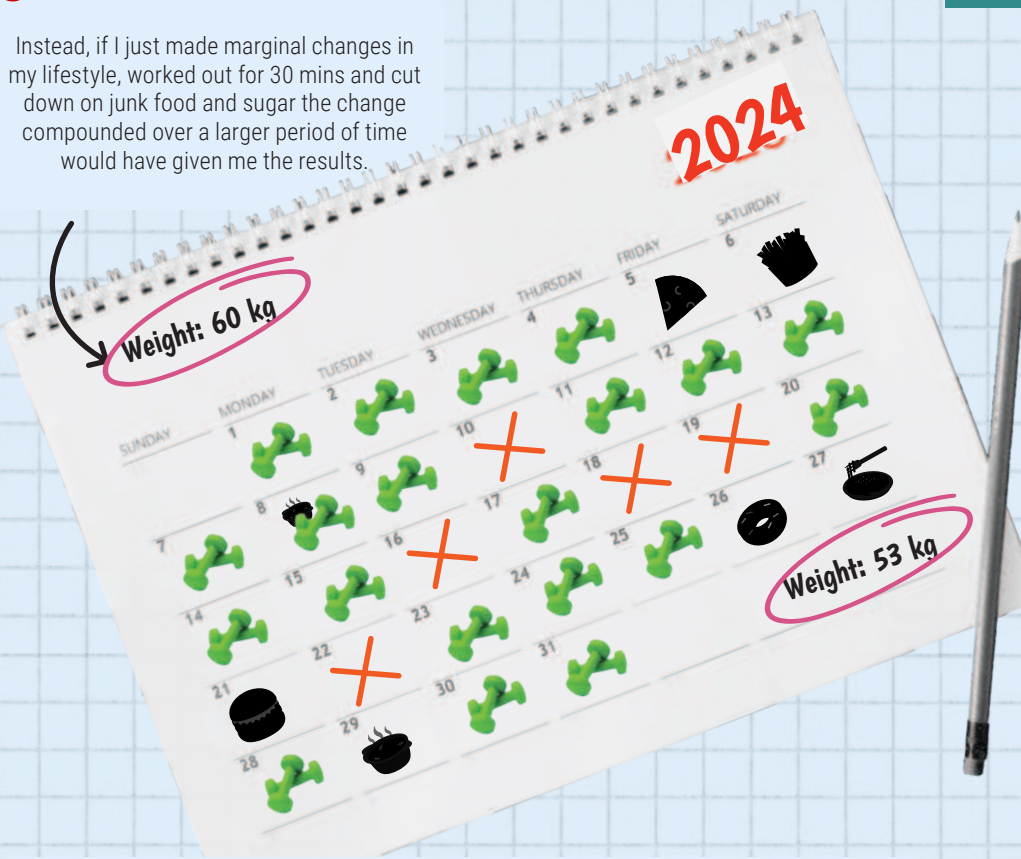
d. Next Monday Attitude



Fitness doesn't come very easy to me. I am always trying to lose weight and have a target weight in mind. I get tempted every time I see pizza or cake and always put off working out to "Next Monday". Repeatedly I tell myself, promise this is the last cheat meal, from Monday I will eat diet food and join the gym. But Monday never comes. And Instead of losing weight I end up gaining more weight and the effort required to reach my target weight only increases.

Join @Coursesdollar

Instead, if I just made marginal changes in my lifestyle, worked out for 30 mins and cut down on junk food and sugar the change compounded over a larger period of time would have given me the results.



The same principle applies to our finances. You cannot expect to achieve your financial goals by stopping all your spending and doubling your returns. Instead, it would help if you made small changes to your lifestyle that you can easily accommodate. For instance, you can start saving 10% of your salary as soon as it is credited, start an SIP, and create a budget for leisure spending.

These small changes over time will give you considerable returns. It's okay to spend more in some weeks, but make sure to get back to saving normally post that.

Join @Coursesdollar

Now that we have understood what money is and isn't. With the help of the upcoming five sections of the book, we will delve deeper into understanding different aspects of money management. The upcoming five sections are as follows -

2.

Money Management

In this chapter we will get a basic understanding of managing expenses, detecting impulsive purchase, avoiding them, budgeting, tracking expenses, and the proper usage of available credit.

3.

The Biggest Worries

In this chapter, you will learn about how major concerns such as higher education, taxes, debt management, and significant decisions like purchasing a house, car, or even going on vacation can affect our personal finances.

Join @Coursesdollar

4.

Protection

Here, we will explore various opportunities to help you secure yourself financially during unfortunate times, such as death, health issues, and unexpected expenses like car damage.

5.

Grow your Money

In this section, you will learn how to map and plan for your financial goals.

6.

Understanding Investment Instruments

We will cover various investment instruments and methods, such as equity, bonds, FDs, and mutual funds.

Join @Coursesdollar

Join @Coursesdollar

2

Everday Money Management

Chapter 2 - Everyday Money Management

Join @Coursesdollar

Chapter 2

Everyday Money Management

Join @Coursesdollar

I first started tracking my money when I got my first internship. It was a cute little diary where I would write down all my expenses. The reason I started documenting my expenses was because there were a couple of instances where I thought that my office colleague or my friend owed me money but they'd then say they had paid elsewhere and we were square. Since I didn't have any proof or record, I had to listen to them, and that made me really angry.

I kept tracking my expenses in a diary for a very long time, and it was only after I became a content creator, where I had a lot of expenses and income from various entities, that I shifted to digitally managing my finances.

Join @Coursesdollar

As my expenses grew it wasn't possible for me to write down each and every entry.

So I made a smart system that helps me track broadly where my money is going, which I'll share with you in this chapter.

A lot of people don't really know where their money is being spent and find it difficult to save. But it is important to track your finances and budget so that you don't have financial troubles. This will also help you achieve your other financial goals in life.

Join @Coursesdollar

Okay so I have made 2 Excel budget trackers that will help you manage your finances :

The Detailed Budget Planner

In this, you keep a close watch on every penny coming in and going out. You also track all your investments and liabilities in detail here. It is a little tedious to follow this method but if you can then you'll have an incredible overview of your finances helping you make important decisions.

= ₹ ₹ ₹

Track all your investments and liabilities

Lazy Person Budget Planner

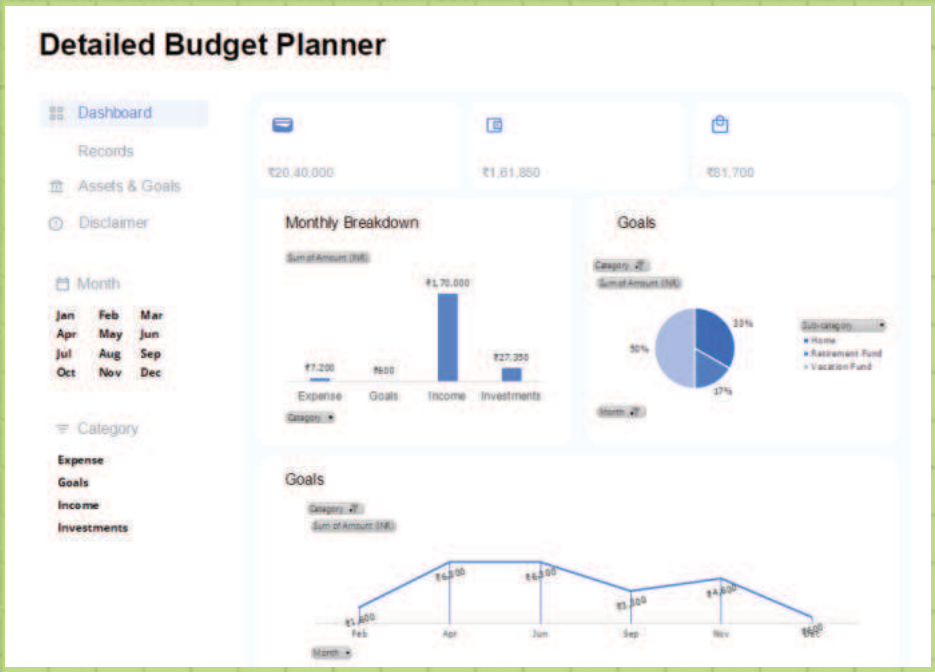
This is a simpler way, not as detailed, but it still helps you see where your money is going. This method is designed for individuals who find it overwhelming to track their daily expenses and organize them into categories. All in all if you are a beginner you can start with the Lazy person method and then eventually shift to the detailed one once you get the hang of it.

Join @Coursesdollar

1. The Detailed Budget Planner

As the name suggests, the detailed budget planners helps you track your finances intricately. Scan the QR code to get access to the Excel sheet.

Detailed Budget Planner



Here is a step-by-step guide to help you understand how to use the Excel sheet.

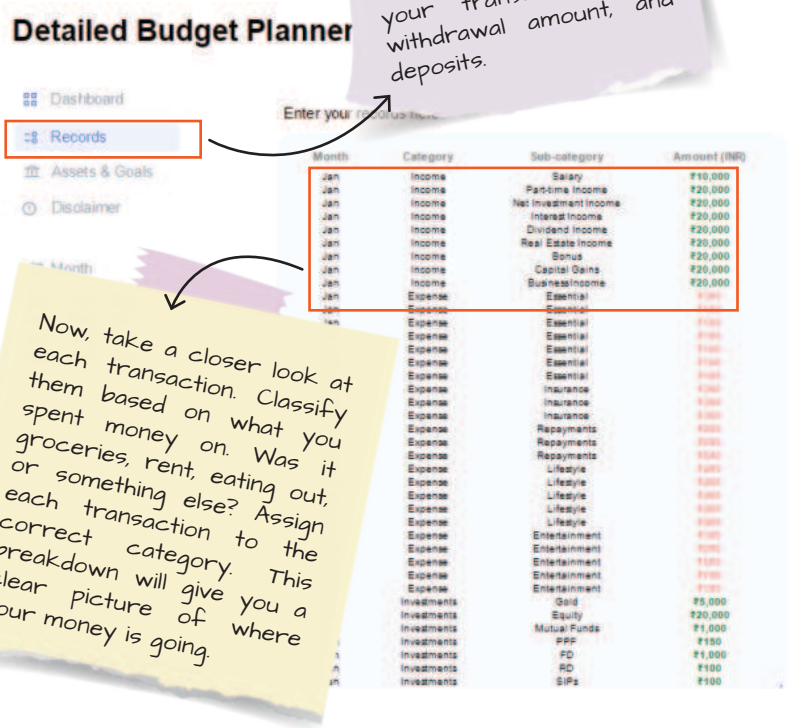
Join @Coursesdollar

1. Recording your transactions

Bank and Credit Card Statements

- Start by downloading your bank and credit card statements. Get them for each month you want to track.

Open the Excel sheet I've provided. There should be a "Records" sheet. In this sheet, you will need to fill in details about all your transactions, the withdrawal amount, and deposits.

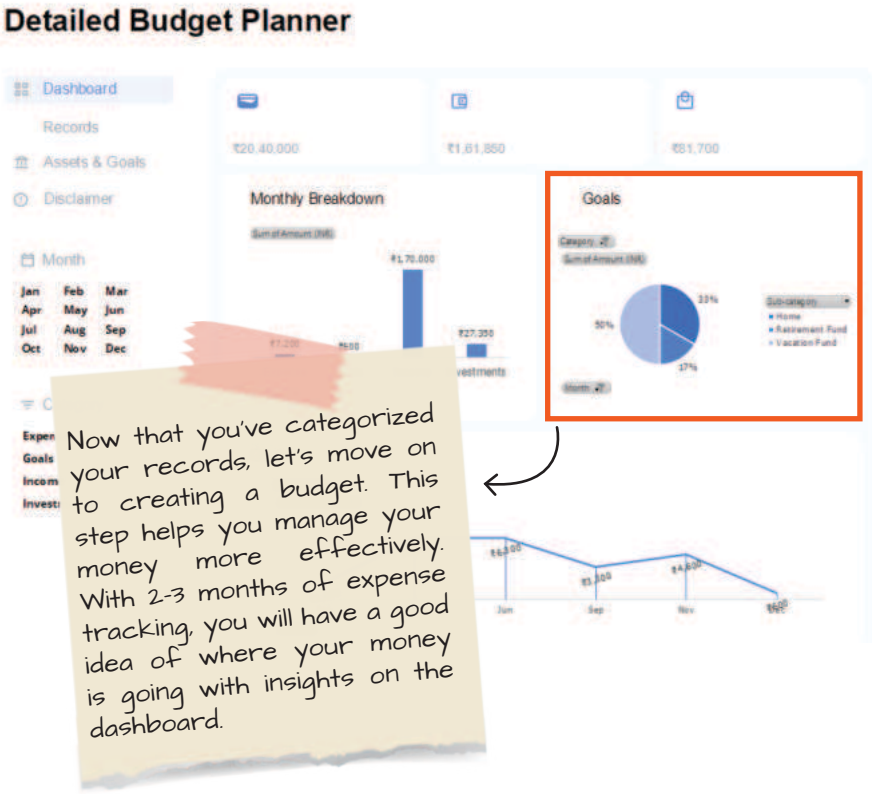


Now, take a closer look at each transaction. Classify them based on what you spent money on. Was it groceries, rent, eating out, or something else? Assign each transaction to the correct category. This breakdown will give you a clear picture of where your money is going.

Tip: Do this weekly to ensure you remember the transactions.

Join @Coursesdollar

2. Analyze your spending



Identify where you are overspending and what needs to be controlled and accordingly make a **PAY DAY PLAN.** This is about being intentional with your money as soon as you get your salary.

Essentially, you'll be making a broad budget allocating money towards bills, savings goals and discretionary spending.

As soon as your paycheck arrives, you can put your payday plan into action to divide your income right away and assign purpose to your earnings. When you plan, savings, spending and bills can become less stressful and far more streamlined

Join @Coursesdollar

For example, let's say you earn Rs 50,000/month:

Investing

If you've decided to invest ₹ 5,000 per month, set it up right away. You can do this by starting an SIP investment within a day or two of receiving your salary. For other types of investments, make arrangements promptly.

Essential Expenses

Allocate ₹ 30,000 for rent, utilities, and groceries. This ensures your necessary bills are covered.

Financial Goals

If you have financial goals, like saving for a vacation, allocate ₹ 7,000 for that purpose. This allocation sets aside money for your dreams.

Personal Wants

The remaining ₹ 8,000 is yours to spend on personal wants, be it eating out, clothes, or other desires.

Monthly Spending

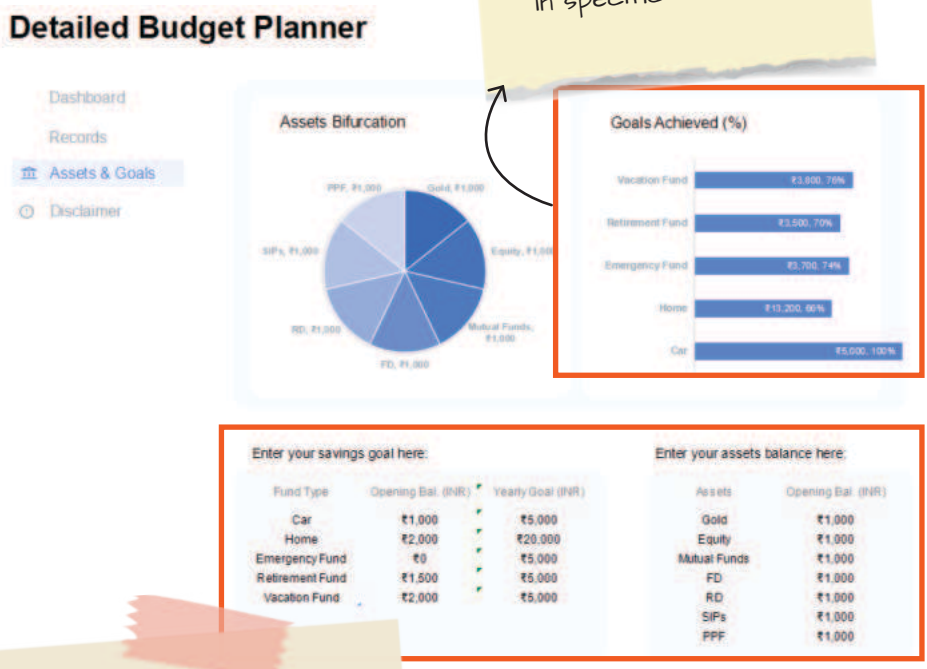
Monthly Salary: ₹ 50,000

Monthly SIP:	**₹ 5,000**
Expenses:	**₹ 30,000**
Rent:	₹ 20,000
Utilities:	₹ 6,000
Groceries:	₹ 4,000
Financial Goals:	**₹ 7,000**
Trip to Bali:	₹ 7,000
Personal Wants:	**₹ 8,000**
Shopping:	₹ 4,000
Restaurants:	₹ 2,000
Entertainment:	₹ 2,000

After making your allocations, review your spending at the end of the month. See where you stayed on budget and where you might have overspent. This analysis helps you make changes for the next month. Remember, the goal is to be in control of your money, and the Pay Day Plan ensures that your financial priorities are taken care of first.

3. Assets and Goals

In the spreadsheet I created, you can set goals like saving for a vacation or a car. You can also track how much you've saved or invested in specific assets.



When you start using the tracker, write down your starting/opening balance, which is the total amount you've saved or invested until now. Then write down the amount you aim to save in the whole year for a specific goal or asset. Then as and when you allocate your savings towards these goals you can track that.

This way, all your financial information will be well organized. You'll know the financial status of each goal and see how you're progressing.

Join @Coursesdollar

2. The Lazy Method

Not everyone has the time or motivation to track all of their expenses. The Lazy person's method is for them. Here you are not tracking all your expenses, you are just tracking the broad categories at the end of the month.

Here you smartly categorise your spendings and pay them via different methods which will help you track your expenses. It might seem cumbersome at first but in 2-3 months you'll get habituated to it.

Monthly Spending

Recurring Expenses : ₹ 40,000

Rent, EMI payments, Insurance Premiums, Salaries

Smaller Recurring but Variable Expenses : ₹ 15,000

Everyday groceries, travel etc

Large Discritionary Expenses : ₹ 5,000

Eating out, Shopping, Entertainment

Total Spending: ₹ 60,000

You have certain major expenses that are recurring, such as rent, EMI payments, insurance premiums, and salaries.

There are your Fixed Recurring Expenses, you can handle them from your main bank account and set up auto pay wherever possible.

Then you have smaller expenses that are recurring but are variable like everyday groceries, and travel.

For Variable Recurring Expenses, which are your living expenses, you can use your digital wallet or withdraw cash. UPI payments are the most convenient and widely acceptable, so it fits well for this category of payments.

Then you have infrequent but larger expenses like eating out, shopping etc.

There are Infrequent but larger discretionary expense and you can use your credit card for these expenses. Using credit cards here is beneficial as most cards have rewards and deals for this category of spending.

Join @Coursesdollar

I have made this Excel Sheet to help you with the same.

Lazy Finance Planner

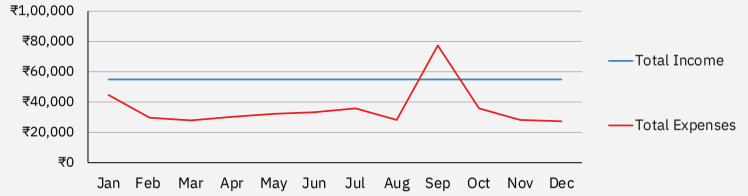
SUMMARY DASHBOARD

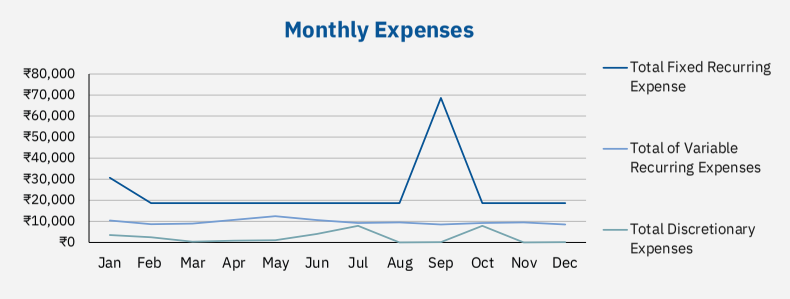
1. TOTAL ANNUAL INCOME	₹6,60,000	100%

Expenses Breakdown	Amount	% of Income
Fixed Recurring	₹4,30,500	65%
Variable Recurring	₹1,16,100	18%
Discretionary	₹28,000	4%
2. TOTAL ANNUAL EXPENSES	₹5,74,600	87%

3. TOTAL SAVINGS	₹2,29,500	35%

INVESTMENTS	GOAL ACHIEVED
Gold	75%
Equity	81%
Mutual Funds	59%
FD	83%
RD	93%
PPF	84%
National Pension Scheme	60%
ETFs	75%
SIPs	100%
Others	60%





The Money Guide

Join @Coursesdollar

1. Setting Up the Tracker

RECORDS

INCOME

Fixed and Variable	Jan	Feb	Mar	Apr	Oct
Salary	₹55,000	₹55,000	₹55,000	₹55,000	₹55,000
Other Income	₹0	₹0	₹0	₹0	₹0
Total Income	**₹55,000**	**₹55,000**	**₹55,000**	**₹55,000**	**₹55,000**

- First, let's set up our expense tracker. Start by putting in how much money you get from all your different sources, like your job, any side hustles, or other income.

EXPENSES

Fixed Recurring	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct
Home Rent/ Maintenance charges	₹15,000	₹15,000	₹15,000	₹15,000	₹15,000	₹15,000	₹15,000	₹15,000	₹15,000	₹15,000
Internet, cable and streaming services	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200
Life Insurance	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹50,000	₹0
Health Insurance	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500
Car Insurance	₹12,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0
Home Loan Payment	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0
Car EMI	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0
Other Expense	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0
Total Fixed Recurring Expense	**₹30,700**	**₹18,700**	**₹18,700**	**₹18,700**	**₹18,700**	**₹18,700**	**₹18,700**	**₹18,700**	**₹68,700**	**₹18,700**

EXPENSES

Variable Recurring	Jan	Feb	Mar	Apr
Groceries, toiletries and other essential items	₹1,000	₹1,100	₹800	₹1,200
Utilities	₹2,000	₹2,000	₹2,300	₹3,000
Cell Phone Services	₹900	₹0	₹0	₹0
House upkeeping/ Cleaning Costs	₹2,500	₹2,500	₹2,500	₹2,500
Regular medical expenses	₹1,000	₹1,000	₹1,000	₹1,000
Fuel expenses	₹3,000	₹2,000	₹2,300	₹3,000
Conveyance	₹0	₹0	₹0	₹0
Other Expenses	₹0	₹0	₹0	₹0
Total of Variable Recurring Expenses	**₹10,400**	**₹8,600**	**₹8,900**	**₹10,700**

- Then at the end of the month review how much you have spent in each category we discussed above and note it down.

- You can either write in detail for each transaction or just the total. Either way, the Excel will work.

Join @Coursesdollar

2. Making a Budget

Once you've watched your spending for a while, it's time to make a plan for your money and budget.

Start by looking at the things you have to spend money on every month, like rent or bills. We call these "fixed expenses." You can't really change how much you spend on these things, so you need to make sure you have enough money set aside for them.

MONTHLY BREAKDOWN

PARTICULARS	Jan	Feb	Mar	Apr	May						
INCOME											
Monthly Income	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000						
EXPENSES											
Fixed Recurring	₹ 30,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 68,700	₹ 18,700	₹ 18,700
% of Income	56%	34%	34%	34%	34%	34%	34%	34%	125%	34%	34%
Variable Recurring	₹ 10,400	₹ 8,600	₹ 8,900	₹ 10,700	₹ 12,500	₹ 10,600	₹ 9,200	₹ 9,450	₹ 8,550	₹ 9,200	₹ 9,450
% of Income	19%	16%	16%	19%	23%	19%	17%	17%	16%	17%	17%
Discretionary	₹ 3,500	₹ 2,400	₹ 300	₹ 800	₹ 1,000	₹ 4,000	₹ 7,900	₹ 0	₹ 100	₹ 7,900	₹ 0
% of Income	6%	4%	1%	1%	2%	7%	14%	0%	0%	14.36%	0.00%
Total Expense	**₹44,600**	**₹29,700**	**₹27,900**	**₹30,200**	**₹32,200**	**₹33,300**	**₹35,800**	**₹28,150**	**₹77,350**	**₹35,800**	**₹28,150**
% of Income	**81%**	**54%**	**51%**	**55%**	**59%**	**61%**	**65%**	**51%**	**141%**	**65%**	**51%**
SAVINGS											
Amount of Monthly Savings	₹ 10,400	₹ 25,300	₹ 27,100	₹ 24,800	₹ 22,800	₹ 21,700	₹ 19,200	₹ 26,850	-₹ 22,350	₹ 19,200	₹ 26,850
% of Monthly Savings	19%	46%	49%	45%	41%	39%	35%	49%	-41%	35%	49%
				0%						0%	0%
				10%						0%	0%
				0%						0%	0%
				81%						0%	0%
				5%						0%	0%
				0%						0%	0%
				0%						1%	1%
				0%						3%	2%
				0%						5%	4%
				0%						1%	0%

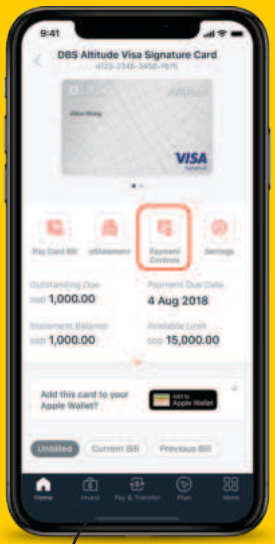
Then, look at the things you spend money on regularly but can change, like groceries or transportation. These are "variable expenses." If you're spending a lot in one area, like going out to eat, you might find ways to spend less, like cooking at home more often.

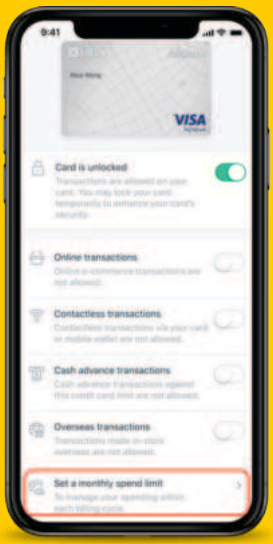
It's also a good idea to set aside some money for fun stuff, like going to the movies or buying new clothes. We call this "discretionary spending."

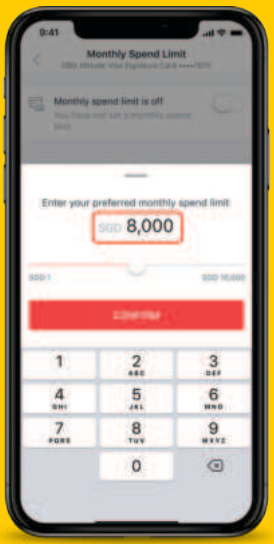
Join @Coursesdollar

Quick Tip

If you use Credit Cards, it can be tempting to spend more than your budget.







To help control your spending, you can set limits on your credit cards. This will help you stay on budget and increase security of your A/c also

You can do this online through your bank's website. You might set a limit for how much you can spend in a day or for each transaction.

It's important to pay off your credit card bill in full every month. This way, you won't owe any extra money in interest.

Image source: https://www.dbs.com.sg/personal/support/card-manage-spending-limit.html

Join @Coursesdollar

4. Assets and Goals

Intentionally, as soon as you receive your paycheck, keep some money aside to invest. Figure out where you want to invest according to your goals and you can track your contribution from this sheet.

INVESTMENTS

			AMOUNT DEPOSITED/WITHDRAWN IN											
Investments	Opening Balance	Yearly Target	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Gold	₹10,000	₹20,000	₹5,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0
Equity	₹20,000	₹40,000	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	-₹2,500	₹2,500	-₹2,500	₹2,500	₹0	₹0	₹0
Mutual Funds	₹2,00,000	₹4,00,000	₹0	₹0	-₹45,000	₹0	₹80,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0
FD	₹3,00,000	₹4,00,000	₹0	₹0	₹0	₹20,000	₹0	₹0	₹0	₹0	₹10,000	₹0	₹0	₹0
RD	₹45,000	₹60,000	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹0	₹0	₹0
PPF	₹30,000	₹50,000	₹3,000	₹3,000	₹3,000	₹0	₹0	₹0	₹0	₹0	₹3,000	₹0	₹0	₹0
National Pension Scheme	₹0	₹1,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹200	₹200	₹200
ETFs	₹0	₹2,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹500	₹500	₹500
SIPs	₹0	₹3,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹1,000	₹1,000	₹1,000
Others	₹0	₹500	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹100	₹100	₹100

Here you will have to first list down the assets that you would like to invest in and write the opening balance amount (if any) when you start using the tracker.

Join @Coursesdollar

Next, you can write down your yearly target that you wish to invest in the different asset classes.

INVESTMENTS

			AMOUNT DEPOSITED/WITHDRAWN IN											
Investments	Opening Balance	Yearly Target	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Gold	₹10,000	₹20,000	₹5,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0
Equity	₹20,000	₹40,000	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	-₹2,500	₹2,500	-₹2,500	₹2,500	₹0	₹0	₹0
Mutual Funds	₹2,00,000	₹4,00,000	₹0	₹0	-₹45,000	₹0	₹80,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0
FD	₹3,00,000	₹4,00,000	₹0	₹0	₹0	₹20,000	₹0	₹0	₹0	₹0	₹10,000	₹0	₹0	₹0
RD	₹45,000	₹60,000	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹0	₹0	₹0
PPF	₹30,000	₹50,000	₹3,000	₹3,000	₹3,000	₹0	₹0	₹0	₹0	₹0	₹3,000	₹0	₹0	₹0
National Pension Scheme	₹0	₹1,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹200	₹200	₹200
ETFs	₹0	₹2,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹500	₹500	₹500
SIPs	₹0	₹3,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹1,000	₹1,000	₹1,000
Others	₹0	₹500	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹100	₹100	₹100

INVESTMENTS

			AMOUNT DEPOSITED/WITHDRAWN IN											
Investments	Opening Balance	Yearly Target	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Gold	₹10,000	₹20,000	₹5,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0
Equity	₹20,000	₹40,000	₹2,500	₹2,500	₹2,500	₹2,500	₹2,500	-₹2,500	₹2,500	-₹2,500	₹2,500	₹0	₹0	₹0
Mutual Funds	₹2,00,000	₹4,00,000	₹0	₹0	-₹45,000	₹0	₹80,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0
FD	₹3,00,000	₹4,00,000	₹0	₹0	₹0	₹20,000	₹0	₹0	₹0	₹0	₹10,000	₹0	₹0	₹0
RD	₹45,000	₹60,000	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹1,200	₹0	₹0	₹0
PPF	₹30,000	₹50,000	₹3,000	₹3,000	₹3,000	₹0	₹0	₹0	₹0	₹0	₹3,000	₹0	₹0	₹0
National Pension Scheme	₹0	₹1,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹200	₹200	₹200
ETFs	₹0	₹2,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹500	₹500	₹500
SIPs	₹0	₹3,000	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹1,000	₹1,000	₹1,000
Others	₹0	₹500	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹0	₹100	₹100	₹100

The last part is to just input the actual amount you invest every month.

Anushka Rathod

Join @Coursesdollar

5. Tracking Your Progress

Finally, as you spend and save your money, it's important to keep track of your progress.
You can track everything in the dashboard sheet, which will help you understand where you stand currently with your finances.

SUMMARY DASHBOARD

1. TOTAL ANNUAL INCOME	**₹6,60,000**	**100%**

Expenses Breakdown	Amount	% of Income
Fixed Recurring	₹4,30,500	65%
Variable Recurring	₹1,16,100	18%
Discretionary	₹28,000	4%
2. TOTAL ANNUAL EXPENSES	**₹5,74,600**	**87%**
3. TOTAL SAVINGS	**₹2,29,500**	**35%**

INVESTMENTS	GOAL ACHIEVED
Gold	75%
Equity	81%
Mutual Funds	59%
FD	83%
RD	93%
PPF	84%
National Pension Scheme	60%
ETFs	75%
SIPs	100%
Others	60%

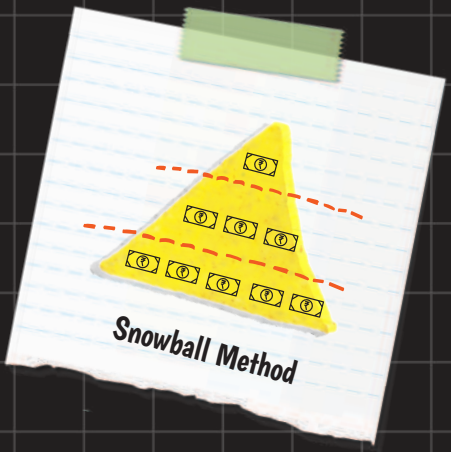
This helps you see how close you are to reaching your goals and makes it easier to stick to your budget.

Join @Coursesdollar

Why Tracking Expenses Matters

- Keeping track of your expenses might seem like a hassle at first, but it can really help you understand where your money goes.
- It also helps you make better decisions about how to spend your money and reach your financial goals.
- So, even though it might take some time to get used to, tracking your expenses can really pay off in the long run.

Join @Coursesdollar



Join @Coursesdollar

3

Everything you are worried about!

Chapter 3 - Are all debts a sin?
Chapter 4 - Taxes
Chapter 5 - Managing Lifestyle

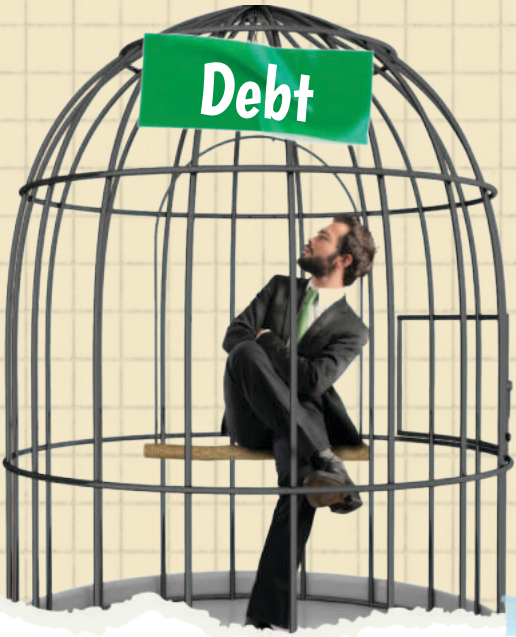
Join @Coursesdollar

Chapter 3

Are all debts a sin?

Join @Coursesdollar

Anushka Rathod



Owning money to someone can't ever feel good, right? The stress, the burden, and the obligation make you caged! My dad has his own business, and I still remember how happy he was when he paid off his home loan. "I can finally get some good sleep", he said.

But is all debt bad?

Purely from a financial perspective,

Join @Coursesdollar

Debt taken for unproductive reasons like buying a luxury bag on EMI or taking a vacation is not good. You are paying high interest on it, and the money taken as a loan is not contributing to increasing your income in any way.

However, there are two scenarios in which debt is good-

i. When debt is taken for a productive reason

If you are taking debt to buy or invest in something that will exponentially increase your income, that is a good debt. For example if you are buying a laptop that will increase your productivity and help you increase your income then that is a good debt.

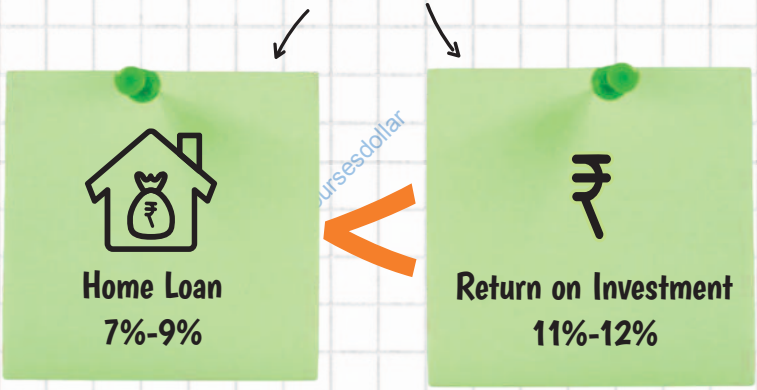
However, here, add the risk of earning additional income from investment should be limited. Don't take a loan to invest in the stock market or start an incredibly risky business venture, or do an MBA without good job prospects after it.

Join @Coursesdollar

ii. When debt is cheaper

If you are getting a loan at an interest rate which is considerably less than what return you can generate from your investments then it is a good loan.

For example, home loans are one of the cheapest loans and you can get tax benefits on this loan.



Now, if you don't have the money saved then you don't have an option but to take a loan to buy a house

But if you had enough money saved then you either block it in buying your house or take a loan for your house at say 8% and invest the rest of the money and earn around 11%-12%.

This way you are earning extra return, your money will be more liquid and you get tax benefits as well..

3% - 4% ⇒ Difference

Hence here taking a loan still makes sense.

However, a loan is still an obligation and investing can be risky, so if you want to avoid stress, you can choose not to take a loan.

Join @Coursesdollar

Now that we've talked about understanding debt, let's move on to learning how to manage it.

1. Your Current Standing

a. Net Debt Position

Simply put, Net Debt Position measures how much money you owe compared to your overall wealth that you own!

This ratio helps to gauge your financial vulnerability i.e. your ability to handle financial setbacks.

The formula to calculate this ratio is:

Coursesdollar

$$\text{Net Debt Position} = \frac{\text{Total Debt}}{\text{Net Worth}} \times 100$$

Wherein,

Total Debt means the sum of all the debts not paid off yet. Those include:

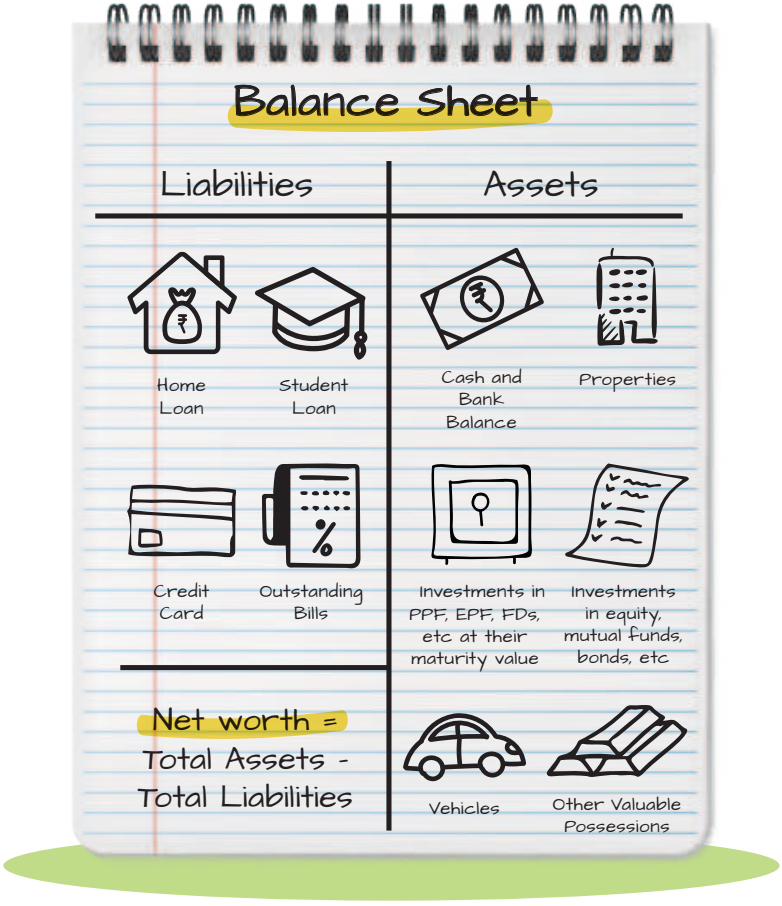
- Home Loan
- Car loans
- Credit card balances
- Student loans
- Personal loans
- Other financial obligations

The value taken should be the balance not paid off yet for the respective loans.

Join @Coursesdollar

Net worth means the value of your assets after subtracting your debt.

Net worth = Total Assets – Total Liabilities



So, what is the ideal figure then?

So, your Net debt position should always below 100%, meaning your total debt should not exceed your net worth.

And if you have a home loan, then it should be below 70%.

Net Debt Position

<100%

Join @Coursesdollar

Because homeownership also comes with ongoing financial commitments like property taxes, maintenance, etc., these obligations can impact your cash flow and ability to service other debts. To keep your debt manageable and create a buffer for unexpected expenses or income fluctuations, it's advisable to ensure that your total debt-to-income ratio remains below 40%

So, how do I interpret the ratio then?

80% - 100% (High)

Indicates a significant debt burden and a high risk of financial stress. This means that most of your assets will be allocated to repay your debts. It's essential to focus on aggressively reducing debt and creating a financial cushion to manage unexpected expenses

40%-80% (Moderate)

Indicate increasing reliance on debt & potentially vulnerable to financial shocks. You should prioritise debt reduction before taking on more loans.

20%-40% (Healthy)

Indicates a comfortable financial positioning with manageable debt. This means there is room for both repayment & potential investments.

Below 20% (LOW)

It indicates that you have more assets than liabilities, indicating financial stability.

Now, let's take an example to understand the ratio better.

Join @Coursesdollar

Now, let's take an example to understand the ratio better.

Mr. X has the following ongoing debts & assets.

Liabilities	Amount	Assets	Amount
Home Loan	₹ 30,00,000	Properties	₹ 1,00,00,000
Car Loan	₹ 10,00,000	Car	₹ 12,00,000
Credit Card Debt	₹ 1,00,000	Investment in PPF	₹ 2,00,000
		Investment in Mutual Funds	₹ 2,50,000
		Cash & Bank Balance	₹ 75,000
Total Debt	**₹ 41,00,000**	**Total Assets**	**₹ 1,17,25,000**

So, his Total Debt comes out to ₹41 Lakhs & his Total Assets are ₹1.17 Crores.

Mr. X's Networth = ₹ 76.25 Lakhs (₹ 1.17 Crore - ₹ 41 Lakhs)

So, his Net Debt Position is 53.77% which shows he has a moderate Net Debt Position.

But do note that this is just a guideline & can vary a lot according to various factors.

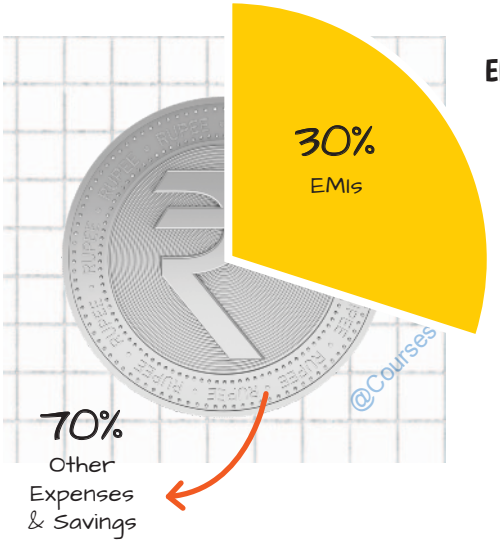
For example, younger individuals usually have a lower net worth as they are still building their assets but that doesn't indicate that they can not take loans. In fact, younger people can often tolerate higher debt due to their longer earning potential.

So, consider your age, income, risk tolerance & financial goals when evaluating your ratio.

Join @Coursesdollar

b. EMI to Salary Ratio

This formula represents the percentage of your EMI compared to your monthly salary. A thumb rule to follow here is that your total EMIs shouldn't be more than 30% of your monthly income.



EMI to Salary Ratio = $\frac{\text{EMI}}{\text{Salary}}$ x 100

However, banks may lend you more than 30% but no more than 50% of your salary as EMI. Limiting EMIs to 30% will leave room for any unexpectec expenses. This way, your financial stability will not be get disturbed.

Let me give you an example to help you understand better.

and have an EMI of ₹ 5,000.

In this case, your EMI to Salary ratio would be
5000/25000 =
0.2, which equals 20%.

This is a good sign that you are managing your expenses well.

Join @Coursesdollar

However,

if you raise your EMI to ₹ 10,000,

the ratio would become 10,000 / 25,000 =

0.40, which is 40%.

This percentage is high and could potentially cause financial stress unless you increase your income.

EMI	Salary

EMI / Salary =

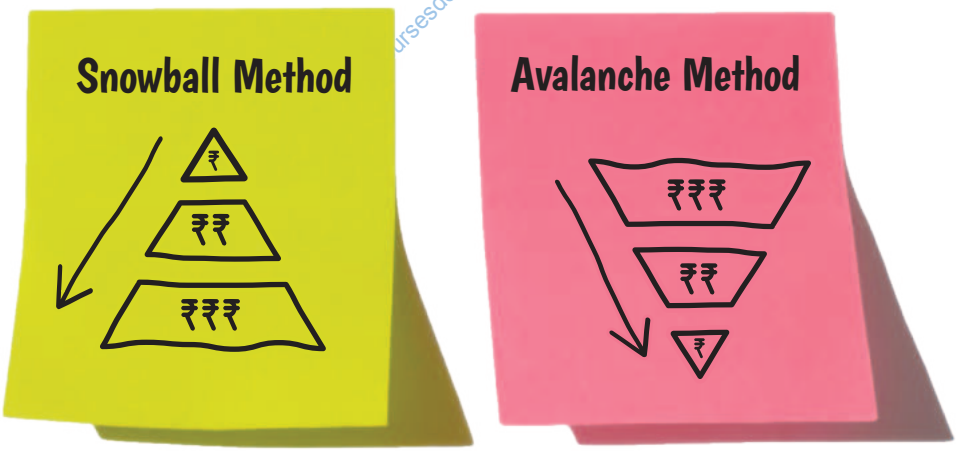
Now that we have discussed things to remember while taking a loan, it's time to understand how to manage a loan.

Join @Coursesdollar

2. How to pay off debt?

If you have multiple loans and you are feeling overwhelmed, these are the two ways that can help you pay off and reduce the debt. Let's understand them one by one.

These are as follows-



You should start with the Snowball Method.

With this, you will be paying small debts first so that you are visibly seeing some progress and you get into momentum. Eventually, you should follow the Avalanche method which makes more sense from a financial perspective.

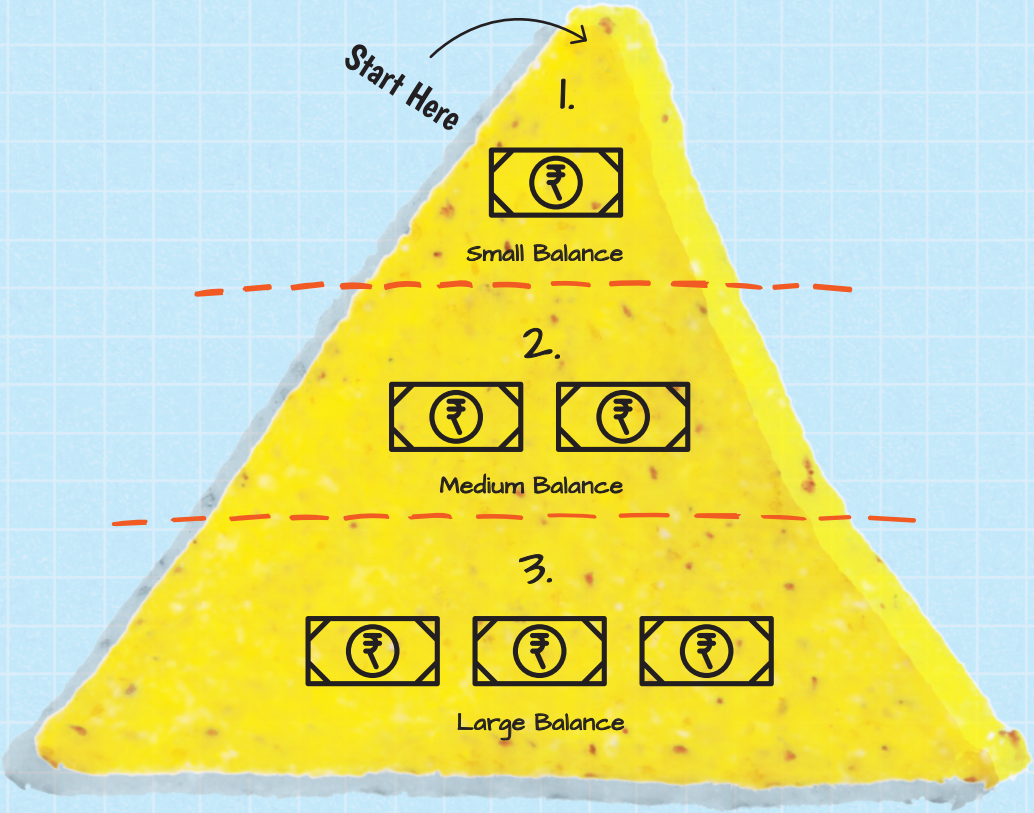
Join @Coursesdollar

a. Snowball Method

(Focuses on Balance Size)

It is a simple repayment strategy in which you pay the "sabse chhota loan."

Simply put, the 'snowball method' involves paying off your smallest loan first. The money you contribute to that payment is then applied to the next-smallest obligation after settling it. This procedure should ideally be followed until all accounts are settled. The amount 'snowballs' and grows larger and larger when you roll over the money used from the smallest balance to the next on your list ! In this method, seeing progress makes paying off the debt less daunting and inspires you to keep going.



Join @Coursesdollar

You can use snowball method by following 3 steps:

List down your debts and arrange it in order

Make a list of all your debts, including the outstanding balance and minimum monthly payment for each. Arrange your debts in ascending order based on their outstanding balances, with the smallest balance at the top of the list. Now keep paying your minimum balance/EMI to avoid any late fees or penalties.

Debts	Outstanding Balance	Interest
Personal Loan	₹ 20,000	18%
Credit Card	₹ 50,000	30%
Home Loan	₹ 10,00,000	11 %

Ascending Order

@Coursesdollar

Pay the smallest debt first

Allocate any extra funds you can afford towards the debt with the smallest balance. Once the smallest debt is paid off, take the amount you were paying towards it and focus on paying off the next debt which is in line.

Repeat the process

Keep repeating the steps , focusing on one debt at a time, until all your debts are paid off.

Debts	Outstanding Balance	Interest
Personal Loan	₹ 20,000	18%
Credit Card	₹ 50,000	30%
Home Loan	₹ 10,00,000	11 %

Ascending Order

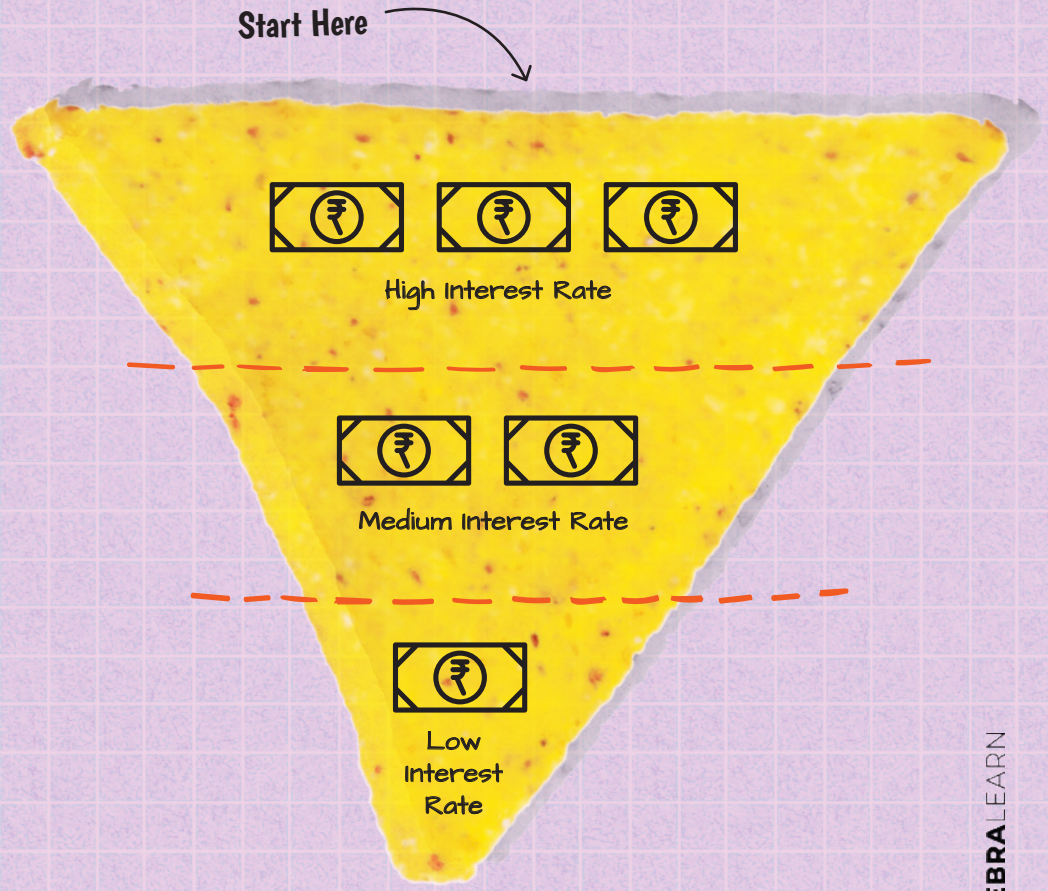
Join @Coursesdollar

b. Avalanche Method

(Focuses on Interest Rate)

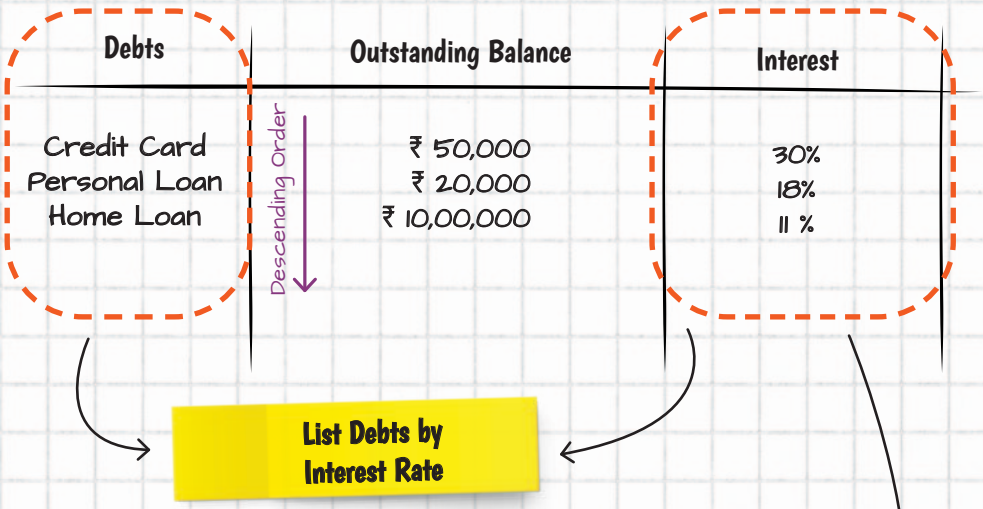
As part of the "avalanche method," the loan with the highest interest rate is paid off first.

As you pay off the higher-interest debt, you put the money toward the next highest-interest account, and so on, until you are done. The avalanche method assumes that loans are paid off with the highest interest rate rather than the lowest balance. This approach is more effective in the long run because the borrower can pay off the highest interest rate loans first, while lower interest rate loans remain outstanding for longer. This means that the total amount of interest that the borrower pays will be significantly reduced.



Join @Coursesdollar

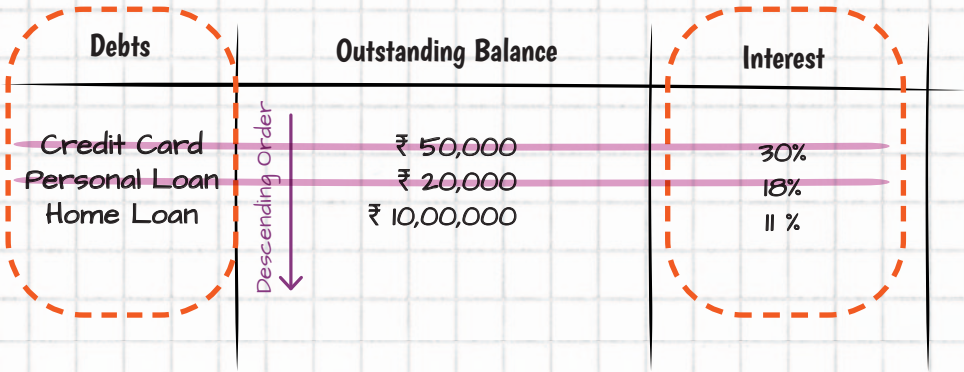
Here's how you can use this method to be debt free-



Begin by creating a comprehensive list of all your outstanding debts. For each debt, note down the current balance, the interest rate associated with it, and the minimum monthly payment required. Arrange these debts in descending order based on their interest rates, with the debt carrying the highest interest rate at the top of the list and the lowest at the bottom.

Pay Highest Interest Debt First

While making EMI payments on all your debts, direct any extra funds or money you can allocate toward the debt at the top of your list, which has the highest interest rate. By focusing on the high-interest debt, you're targeting the debt that is accruing the most interest over time. It helps you minimise the overall interest you'll end up paying.



Join @Coursesdollar

As you pay off the debt with the highest interest rate, the amount you were paying toward that debt becomes available. Roll over the entire payment amount (minimum payment + extra funds) you were making on the paid-off debt to the next debt on your list.

Conclusion

In this chapter, we discussed the concept of debt and whether it is always perceived as negative. We learned that not all debts are equal, with some, such as those for education or investments, being useful, while others, like loans for luxury items, may not be the best idea. We also discussed how to evaluate your financial situation to determine if you're in good shape when it comes to debt.

Now, get ready for the next chapter! We'll be delving into taxes. Our focus will be on helping you understand how taxes work and providing tips to ensure you don't pay more than you need to.

Join @Coursesdollar

Chapter 4

Taxes

Join @Coursesdollar

When I started earning, I never understood why I had to pay the government a part of my salary. I worked hard for it, experienced stress, developed acidity, and yet, I still had to pay the government money.

I don't think most people ever make peace with paying taxes, but we have to pay them; nonetheless, that is not in our control. But what we can do about it is engage in tax planning. So that the amount we pay towards our taxes is reduced.

Now, there are two main types of taxes:

Direct Taxes

These taxes are taken directly from your income. So, no matter how you plan to spend your money, a portion of what you earn or own goes to the government. Examples of direct taxes are Income Tax and Wealth Tax (abolished in 1985).

Indirect Taxes

Whenever you buy something - be it a product or a service - there's a tax included. In India, it's called GST (Goods and Services Tax). So, it doesn't matter how much you make; if you buy stuff, you're paying indirect taxes.

Now, from a financial planning point of view, we can't do much about indirect taxes. But when it comes to direct taxes, there are lots of ways to save taxes through deductions and exemptions which we will discuss in this chapter.

But before that let's briefly revisit how taxation works in India. Chances are you know the basics but let's go through them again!

Join @Coursesdollar

1. How do taxes work?

Let's undrstand with an example:

i. Your Salary

Salary Breakdown

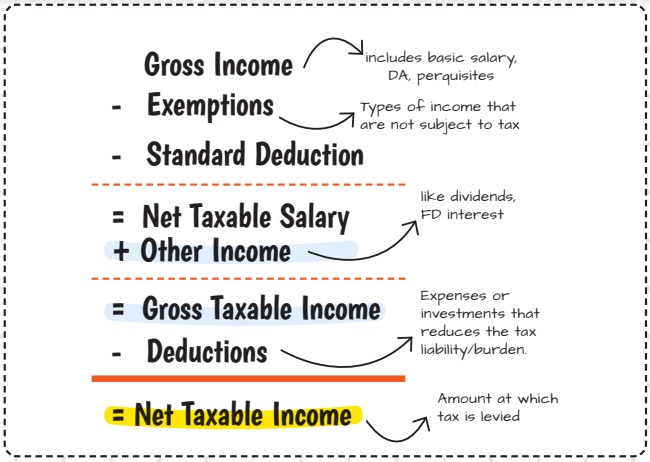
Annual Gross Salary of -	**₹8,40,000**
Additionally you are getting following-	
HRA -	**₹ 5,000 P.M.**

ii. Your investment & expenses

oursesdollar

Mediclaim	**₹ 20,000**
Investments	
in ELSS, EPF/PPF	₹ 1,00,000
Investment in 10% FD	₹ 1,00,000

iii. This is how your tax will be calculated



Note: This is the calculation of taxes under the old tax regime however now we also have a new tax regime.

Join @Coursesdollar

iv. Before we move ahead, let's just briefly understand what deductions & exemptions are.

Deductions

Deductions are your investments and expenditures, which can give you tax benefits. For example, if you take a home loan, the interest and principal you repay can give you tax benefits.

Exemptions

Exemptions are the income you have that is not taxable, which is a part of the salary structure, and you do not have much control over changing it; however, you can request your employer to change your salary structure to make it more tax-efficient.

v. Example

Particulars	Amount in Rupees
Salary Income / Gross Salary	₹ 8,40,000
Exemptions: (-) HRA (5,000 x 12)	₹ 60,000
(-) Standard Deduction Under Section 16(i)	₹ 50,000
Net Taxable Salary	₹ 7,30,000
Other Income (FD Interest)	₹ 10,000
Gross Taxable Income	₹ 7,40,000
Deductions: (-) EPF, PPF, ELSS Under Section 80C (-) Mediclaim Under Section 80D	₹ 1,00,000 ₹ 20,000
Net Taxable Income	₹ 6,20,000

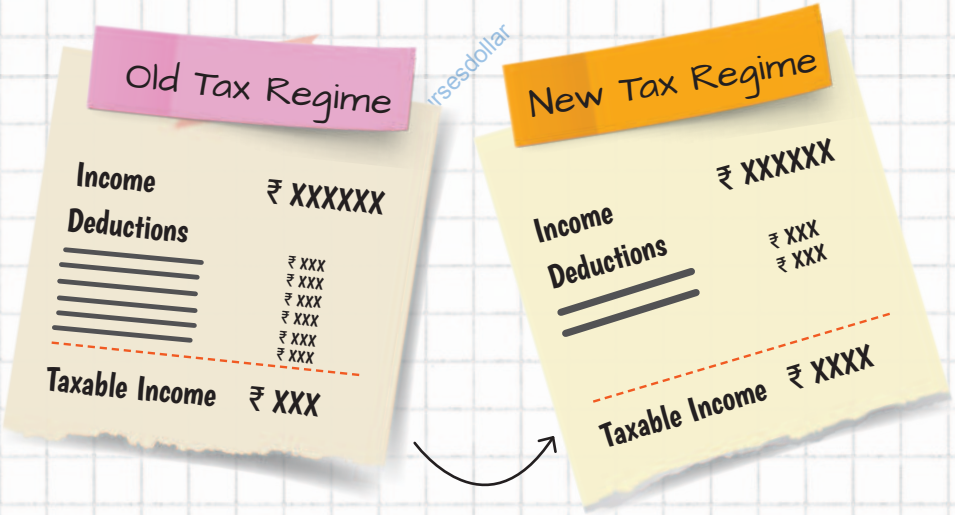
This is how tax calculations work in India, as per the old regime. Let's discuss more about the different tax regimes in the next segment. This is the amount that you have to pay taxes on according to the tax slab.

Join @Coursesdollar

2. Old Tax Regime vs. New Tax Regime

Before 2020, there was only one regime according to which taxes would be filed. Under this regime, we have a lot of deductions and exemptions (around 70!). These deductions helped us lower our taxable income and, in turn, pay less tax.

But in April 2020, things got interesting!
The government introduced the "New Tax Regime".



The New Tax Regime has Lower Tax Rates, which meant potentially paying less tax even without deductions. However, this regime doesn't allow most of the old deductions & exemptions anymore. Starting from financial year 24-25, the New Regime becomes the default option. But don't worry, you still have a choice to choose any of them! You can stick with the familiar Old Regime and its perks, or embrace the streamlined simplicity of the New Regime with its lower rates.

But which one is right for you?

To help you decide, first let's compare the tax slabs of the regimes!

Join @Coursesdollar

Old Regime Slabs

Income Tax Slab	Rates
₹0 - ₹2,50,000	Nil
₹2,50,001 - ₹ 5,00,000	5%
₹5,00,001 - ₹ 7,50,000	20%
₹7,50,001 - ₹ 10,00,000	20%
₹10,00,001 - ₹12,50,000	30%
₹12,50,001 - ₹15,00,000	30%
Above ₹ 15,00,000	30%

New Regime Slabs

Income Tax Slab	Rates
₹0- ₹3,00,000	Nil
₹3,00,001 - ₹6,00,000	5%
₹6,00,001 - ₹9,00,000	10%
₹9,00,001 - ₹12,00,000	15%
₹12,00,001 - ₹15,00,000	20%
Above ₹15,00,000	30%

Join @Coursesdollar

Now, it may seem beneficial to opt for the new tax regime because of the lower tax slabs. However, there are situations where the old tax regime might lead to more savings due to all the deductions and exemptions it offers.

Let's take an illustration to understand how the tax liability varies between the regimes followed by looking at the criteria according to which you can determine suitability.

Illustration for comparison:

Let's use the example of Ms. Sakshi, who earns a salary of ₹75,000 per month. The HRA deduction is ₹100,000 annually. She uses a combination of PPF, EPF, and ELSS mutual funds to utilize the Section 80C limit of ₹1.5 lakh. She also purchased health insurance for which she paid a ₹25,000 premium (self), which she claims as a tax-deductible under Section 80D.

So, the Tax Liabilities under each regime come out to:

Particulars	Old Regime	New Regime with New Slabs
Gross Salary for the year	₹ 9,00,000	₹ 9,00,000
Less: Deductions		
Standard deduction from salary	₹ 50,000	₹ 50,000
HRA Exemption	₹ 1,00,000	-
80C Investments & Expenses	₹ 1,50,000	-
Mediclaim premium deduction (Section 80D)	₹ 25,000	-
Taxable Income	₹ 5,75,000	₹ 8,50,000
Income Tax Payable	₹ 27,500	₹ 40,000
Health & Education Cess @4%	₹ 1,100	₹ 1,600
Total Tax Liability	₹ 28,600	₹ 41,600

Join @Coursesdollar

Here we see that the tax liability is 28,000 based on old regime and 41,600 in the new regime. Let us look into the detail calculations of these numbers as per tax slabs.

Tax Calculation under Old Regime

Tax Slab	Taxable Income	Tax Rate	Tax Amount
0 to ₹ 2,50,000	₹ 2,50,000	0%	-
₹ 2,50,000 to ₹ 5,00,000	₹ 2,50,000	5%	₹ 12,500
₹ 5,00,000 to ₹ 10,00,000	₹ 75,000	20%	₹ 15,000
More than ₹ 10,00,000	-	30%	-
Total tax after Rebate (Sec 87A)	-	-	₹ 27,500
Health & Education Cess @4%	-	-	₹ 1,100
Total Tax Liability	-	-	₹ 28,600

@Coursesdo

Tax Calculation under New Regime with New Slabs

Tax Slab	Taxable Income	Tax Rate	Tax Amount
0 to ₹ 3,00,000	₹ 3,00,000	0%	-
₹ 3,00,000 to ₹ 6,00,000	₹ 3,00,000	5%	₹ 15,000
₹ 6,00,000 to ₹ 9,00,000	₹ 2,50,000	10%	₹ 25,000
₹ 9,00,000 to ₹ 12,00,000	-	15%	-
₹ 12,00,000 to ₹15,00,000	-	20%	-
More than ₹15,00,000	-	30%	-
Total tax after Rebate (Sec 87A)	-	-	₹ 40,000
Health & Education Cess @4%	-	-	₹ 1,600
Total Tax Liability	-	-	₹ 41,600

Join @Coursesdollar

But what to choose?
Here is how can you determine which regime is suitable for you!

Opt for the Old Regime

- If you already have in place a financial plan for wealth creation by making investments in tax-saving instruments like mediclaim and life insurance; making payments of children's tuition fees; payment of EMIs on education loan; buying a house with a home loan; and so on, the old regime helps you with higher tax deductions and lower tax outgo.
- If you have a detailed salary structure with special allowances that give you tax benefit.

Opt for the New Regime

- The new Tax regime is beneficial for you if you haven't made any investments or planned expenses that help you save on tax.
- If your salary structure doesn't have a lot of tax-exempted allowances.
- If you want simple taxation.

So, ultimately, the best regime for you depends on your individual circumstances. Consider your income, expenses, investments, and salary structure before making a decision. You can also use online tax calculators or consult a tax advisor to get personalised advice.

Join @Coursesdollar

Now that we have an understanding of how taxes work, including the difference between the old tax regime and the new tax regime, let's dive into various deductions and exemptions.

3. Deductions

In this section, I will introduce you to various deductions that you can take advantage of, categorised according to common themes.
But before we move ahead, there is one thing you need to keep in mind.

Before making any investments or expenses in order to save taxes, you should first check if they align with your financial goals and timeline. Because many of these investments come with a lock-in period (Tax saver FD - 5 years, ELSS - 3 years), and if you break it, then you won't get the benefit.

Please Note: The following section can get technical. However it will help you understand the universe of tax, deductions and exemptions, helping you plan better. Don't fixate upon the exact sections and technical details as of now, the idea is to help you understand overall concept. I encourage you to discuss with your financial advisor/CA.

Join @Coursesdollar

a. Medical

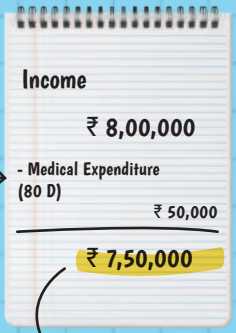
Section 80D

Under Section 80D, you can get deduction on medical-related expenses in three ways-

1. Medical expenditure of parents borne by you

Under Section 80D of the Income Tax Act you claim deductions for medical expenditures borne on behalf of your senior citizen parents who do not possess a medical insurance policy.

Medical Expenditure= ₹ 2,00,000
Health Insurance



If you find yourself in a situation where your parents, who are above 60 years of age, do not possess medical insurance, you can make use of this provision. By doing so, you can claim a deduction of up to ₹ 50,000 for the medical expenses you have incurred for their well-being.

It effectively means that the amount spent on medical treatments, tests, consultations, and other health-related expenditures can be deducted from your taxable income, up to the limit of ₹ 50,000.

Join @Coursesdollar

2. Deductions for payment for medical insurance premium

+

Health Insurance Deduction Amount = ₹ 25,000

Taking care of your family's health can also help you save money on taxes. If you pay for health insurance for yourself, your spouse, and your children who are still dependent on you, then you can claim a deduction of up to ₹ 25,000 from your taxes.

Additional Deductions = ₹ 25,000/ ₹ 50,000

Additionally, if your parents are under 60 years of age, you can claim an additional deduction of ₹ 25,000 for their health insurance and check-ups.

But for those who take care of parents aged 60 or older. You can claim a bigger deduction of ₹ 50,000 for their healthcare expenses, as discussed in the previous point.

@Coursesdollar

3. Preventive Health Check-up

If you spend money on health check-ups to detect health issues early, you can claim a deduction of up to ₹5,000 from your taxable income.

Deduction Amount = ₹ 5,000

Join @Coursesdollar

Section 80DD

Under Section 80DD, you can claim deductions for expenses related to caring for a dependent with a disability. You can also claim the insurance premiums paid to specific insurers taken for the disabled dependent.

The deduction amount is fixed irrespective of the actual expenditure and is based on the severity of the disability. For individuals with 40% or more disability, a flat deduction of ₹75,000 is applicable. For those with 80% or more disability, which is considered severe disability, the deductions increase to ₹ 1,25,000.

@Coursesdollar

Section 80DDB

Deduction under section 80DDB is allowed for medical treatment of a dependent who is suffering from a specified disease (listed in the following table) in the case when the taxpayer has spent money on treatment of the dependent.

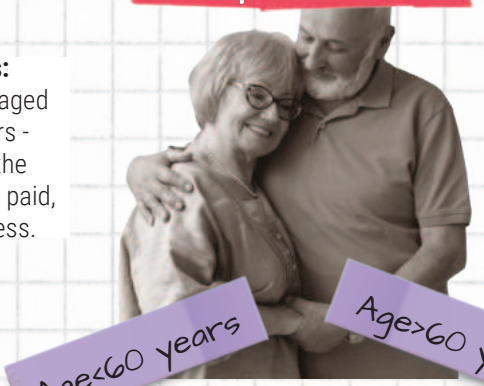
Join @Coursesdollar

Here, dependent means their spouse, children, parents and siblings.

Sr.no	Disease
(i)	Neurological Diseases where the disability level has been certified to be of 40% and above - (a) Dementia (b) Dystonia Musculorum Deformans (c) Motor Neuron Disease (d) Ataxia (e) Chorea (f) Hemiballismus (g) Aphasia (h) Parkinson's Disease
(ii)	Malignant Cancers
(iii)	Full Blown Acquired Immuno-Deficiency Syndrome (AIDS)
(iv)	Chronic Renal failure
(v)	Hematological disorders (i) Hemophilia (ii) Thalassaemia

Dependents

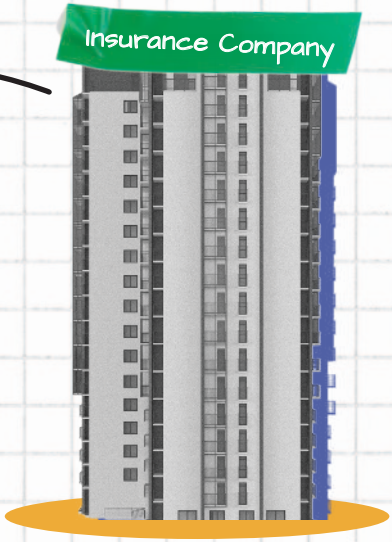
Deductions:
For individuals aged below 60 years - ₹40,000/- or the amount actually paid, whichever is less.



Deductions:
For senior citizens and super-senior citizens- ₹.1,00,000 or amount actually paid, whichever is less.

Join @Coursesdollar

In the case when the dependent is already insured by any insurer or company and some payment is received either from the insurer or by way of reimbursement from his employer, the insurance amount must be subtracted from the deduction allowable.



@Coursesdollar

For example,

If you are eligible for a deduction of ₹ 1 lakh and you received ₹ 40,000 from the Insurance Company then you are eligible for ₹ 60,000 deduction under this section.

Deduction Eligible = ₹ 1,00,000

(-)Insurance Amount = ₹ 40,000

Eligible Deduction = ₹ 60,000

Join @Coursesdollar

Anushka Rathod

b. Home

When we talk about stability, only one thing that instantly comes to mind, "Apna Ghar." If you are one of those people who are looking forward to buy a house, there are various ways of saving tax as well.

When you are in the process of paying off your housing loan through Equated Monthly Installments (EMIs), it's important to understand that these installments consist of two components:

Interest payment

Principal repayment

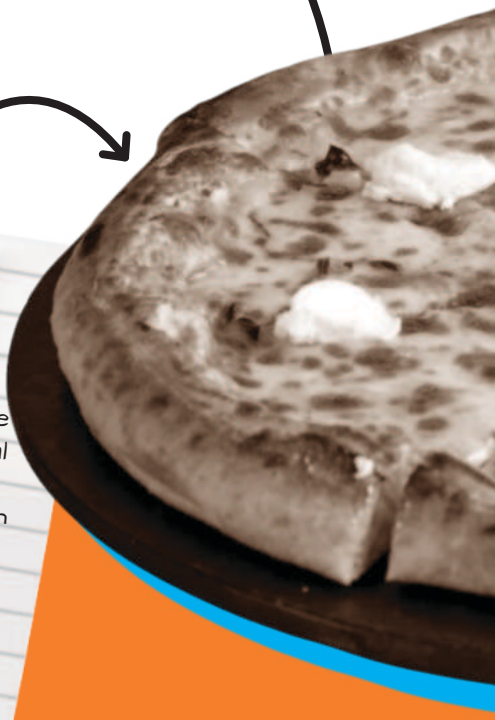
These two components collectively shape your repayment structure. Let's talk about how they can help you save taxes!

Join @Coursesdollar

Section 24b:

A portion of your EMI goes towards paying the loan's interest. Now, here's where it gets interesting: You can claim a deduction on the interest portion of your EMI under Section 24b, upto a maximum of ₹ 2 lakh. It's like a tax break on the interest you're paying.

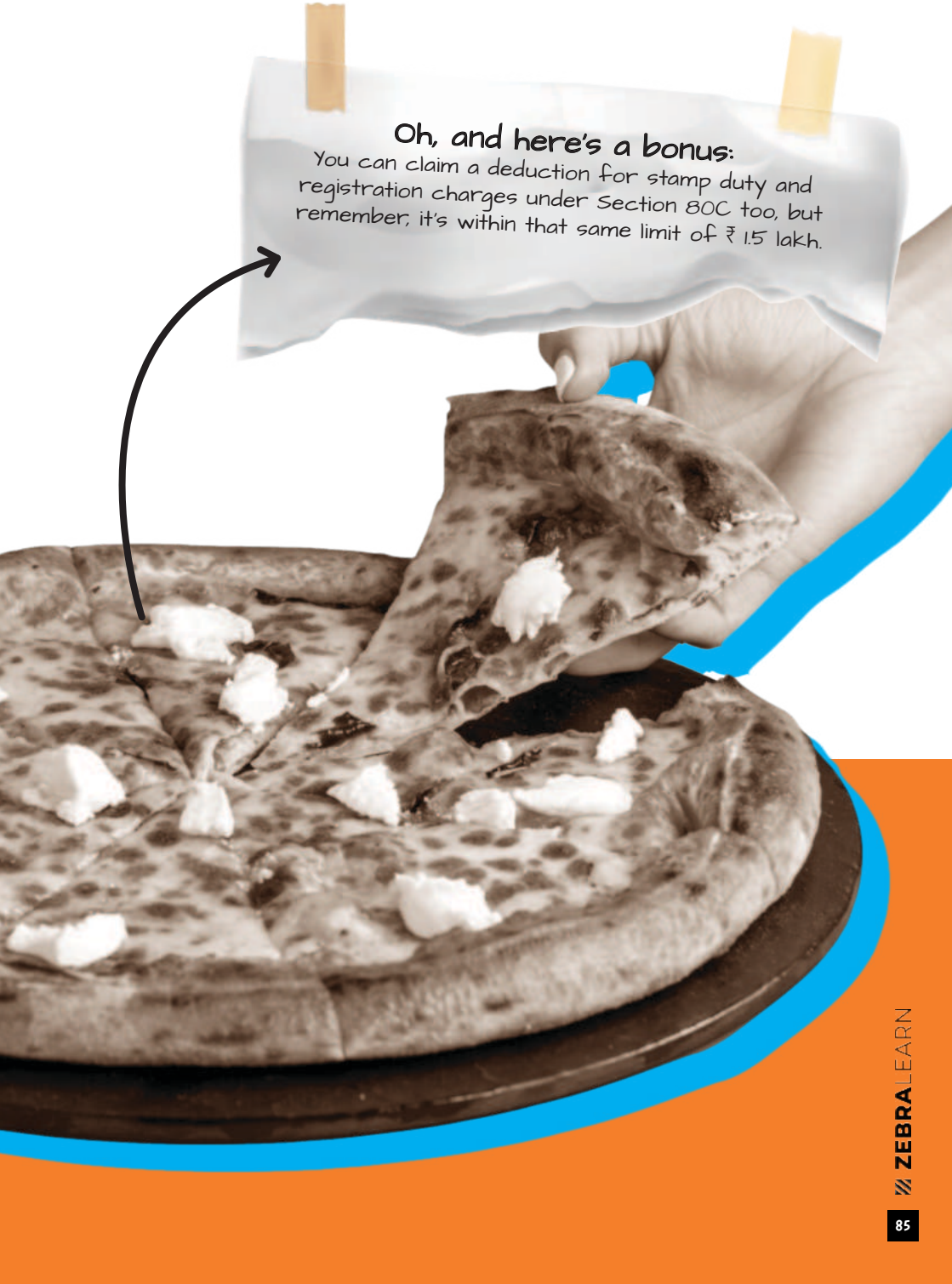
@Coursesdollar



Section 80c:

Another part helps pay off the actual loan amount. The principal part of your EMI can also be deducted under Section 80c, with a maximum limit of ₹ 1.5 lakh.

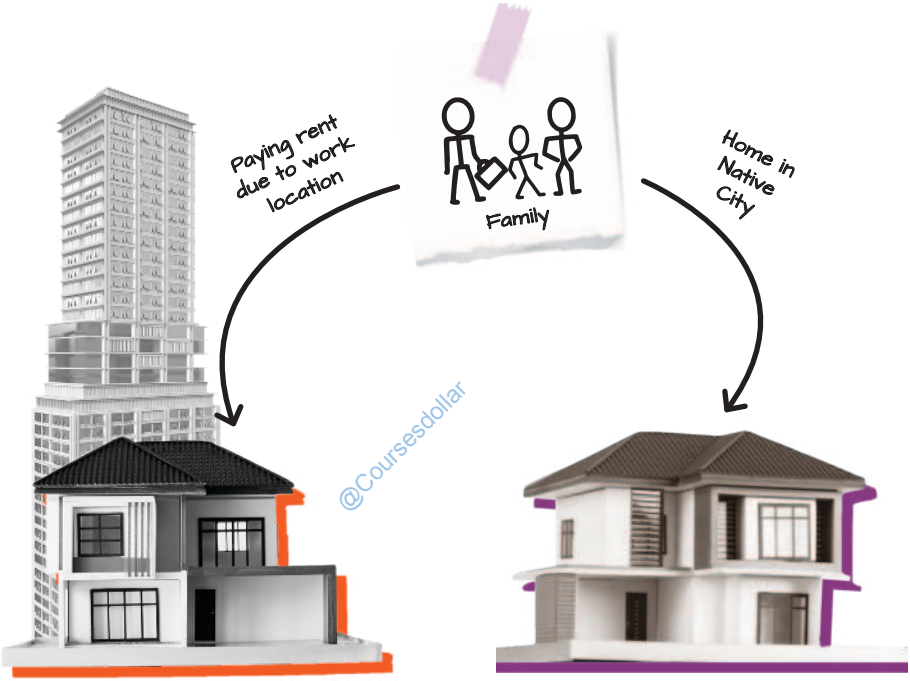
Join @Coursesdollar



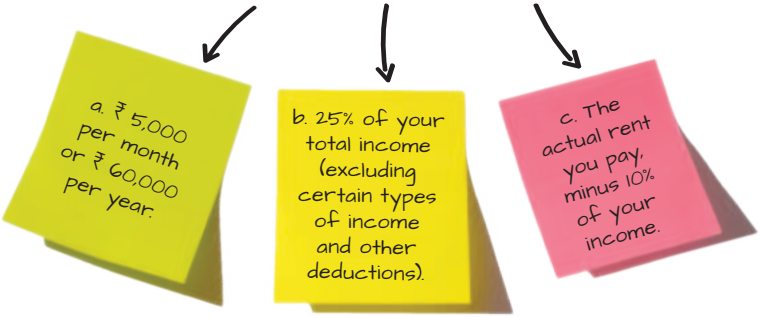
Join @Coursesdollar

Section 80GG

If you don't receive HRA at your job or if you are self-employed, you can claim your rent also as a tax-deductible expense!



You can claim the lowest of these three amounts:



Remember to check which one of these three amounts is the lowest for you.

Join @Coursesdollar

c. Investments - Section 80C

Governments always want you to pay tax, but more than that, they want you to save. To fulfill the same purpose, there are various investment options available through which you can save your tax **under Section 80C.** These investments are as follows-

Particulars	Tenure	Min. Investment (INR)	Safety/ Risk Profile	Type of Return	Return (CAGR)% Interest Rates (for Q4 (January-March) FY 2022-23) revised quarterly by the government	Tax Benefits
Public Provident Fund (PPF)	15 years & can be extended in blocks of 5 years if required.	500	Highest Safety	Fixed	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 7.1% p.a.	EEE Status - Investment, Interest Earned and maturity amount are Tax exempted
National Savings Certificate (NSC)	5 years	100	Highest Safety	Fixed	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 7.7% p.a.	EET Status - Investment and interest earned for the first 4 years are tax-free. However, interest in the 5th year is taxable at your income slab rate.
Sukanya Samriddhi Yojana	Payment period: 15 years Maturity Period: 21 years	250	Highest Safety	Fixed	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 8.2% p.a.	EEE Status - Investment, Interest Earned and maturity amount are Tax exempted
Senior Citizen Savings Scheme	Initial duration: 5 years Extendable for an additional 3 years. Total period: 8 years	1,000	Highest Safety	Fixed	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 8.2% p.a.	ETE Status - Investment and maturity amount are Tax exempted. Interest/ Return earned is fully taxable.

Anushka Rathod

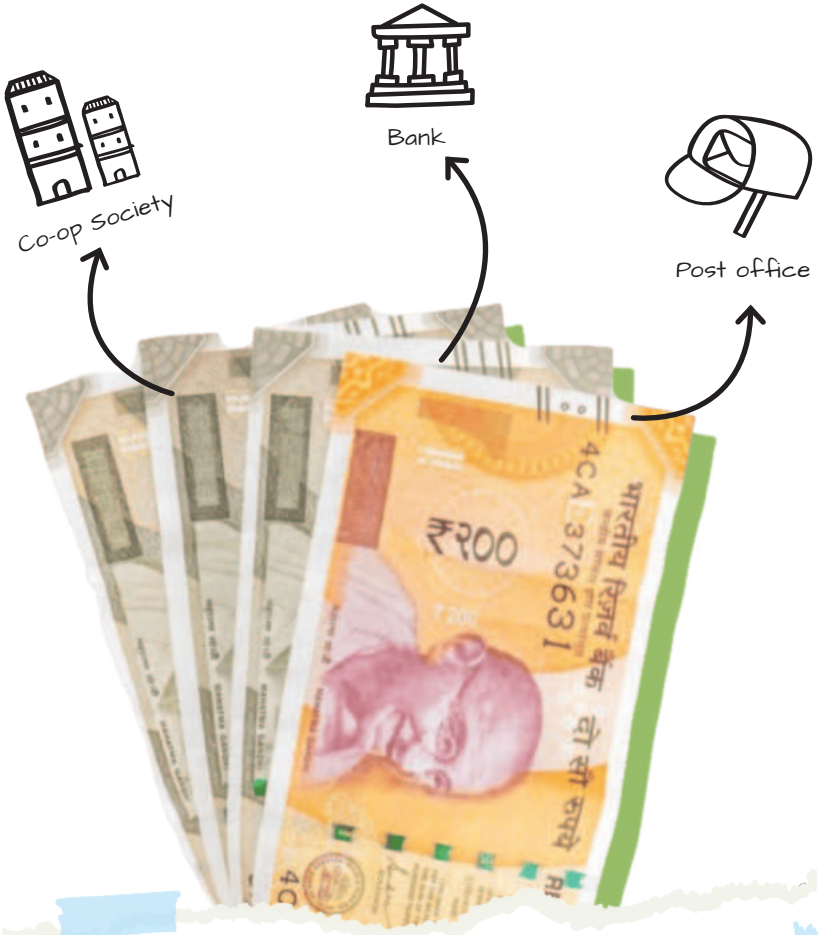
Join @Coursesdollar

Particulars	Tenure	Min. Investment (INR)	Safety/ Risk Profile	Type of Return	Return (CAGR)% Interest Rates (for Q4 (January-March) FY 2022-23) revised quarterly by the government	Tax Benefits
Tax Saving 5-year Bank FDs	5 years	1,000	Highest Safety	Depends on Market	5.5% to 7.75%	ETE Status - Investment and maturity amount are Tax exempted. Interest/ Return earned is fully taxable.
Equity Linked Saving Scheme(ELSS)	As long as you want	500	Moderate to high risk	Depends on Market	Historical performance shows that ELSS generates about 12% over ten years and more.	ETE Status - Only realised gains above 1 lakh (in a year) are taxable at 10%
ULIPs	As long as you want	10,000	Moderate to high risk	Depends on Market	Return rate on the ULIP varies between 12% - 14%.	nvestment, interest, and maturity are tax-exempt. But ULIP proceeds are taxable if annual premium > ₹ 2.5L per year.
National Pension System(NPS)	Till the age of 60.	Tier I: 1,000 Tier 2: 1,000	Moderate to high risk	Depends on Market	Varies between 12% - 14%.	EEE Status - Investment, Interest Earned and maturity amount are Tax exempted. However, the annuity received is taxable.

Important note for 80C- You need to remember that overall deduction under section 80C is limited to ₹ 1,50,000. It means no matter where you invest, the total investment amount in one financial year should not exceed the said limit.

Join @Coursesdollar

Deduction under section 80TTA

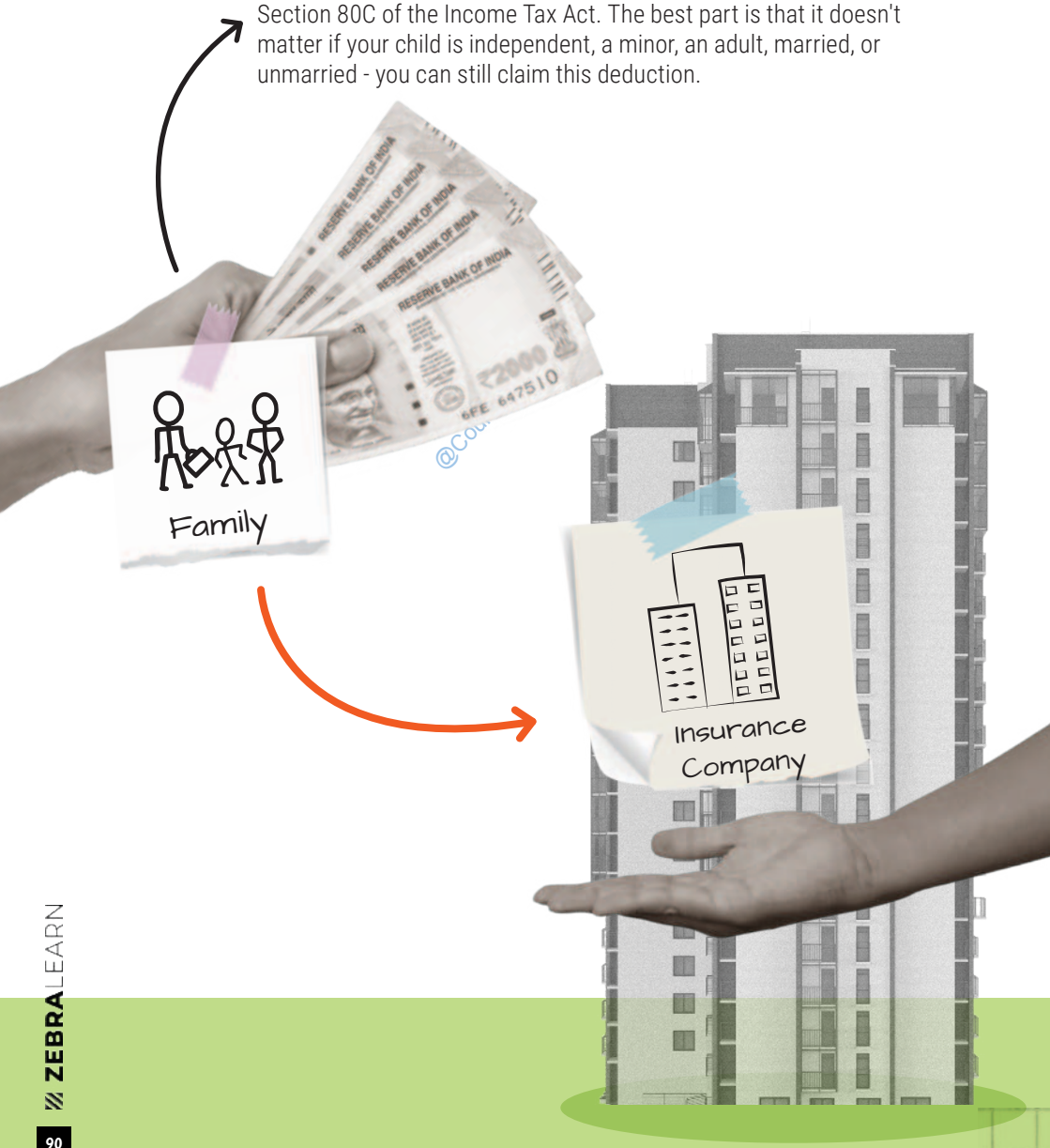


A lot of us miss out on this deduction while filing taxes! We all have a savings account and earn interest on it. This interest is tax deductible up to ₹ 10,000. Your account needs to be in either a bank, cooperative society or the post office to be eligible under this section.

Join @Coursesdollar

Life Insurance Tax Benefits (Section 80C)

If you have been paying insurance premiums to insure your own life, your spouse's life, or your child's life, you can get a deduction under Section 80C of the Income Tax Act. The best part is that it doesn't matter if your child is independent, a minor, an adult, married, or unmarried - you can still claim this deduction.



Join @Coursesdollar

Tuition Fees Deduction (Section 80C)-

Parents, pay attention!

You can get a deduction on tuition fees for your kids studying at schools, colleges, or universities. However, components like development or transport fees doesn't count. The maximum deduction on payments made towards tuition fee can be claimed for upto ₹1.5 lakhs together with the deduction with respect to insurance, PF, pension, etc. in a financial year.

@Coursesdollar

Join @Coursesdollar

d. Others

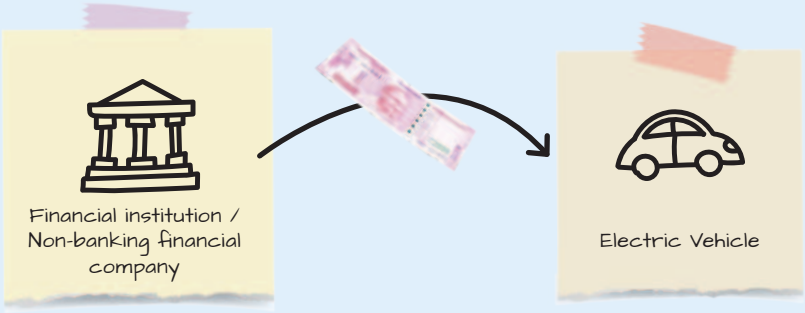
Interest on Education Loan (Section 80E)-

If you've taken out an education loan and are currently paying it back, you'll be happy to know that the interest you pay on that loan can be deducted from your total income under Section 80E.

It's important to note that there's no tax benefit for the principal part of your EMI.
The deduction you're eligible for is based on the total interest paid during the financial year. The good news is, there's no limit on the maximum amount you can claim as a deduction.

Electric Vehicle Loan (Section 80 EEB):

For those planning to buy electric vehicles (EVs) – you can claim a deduction for the interest payments on your EV loan under Section 80EEB, up to ₹ 1,50,000. Whether, you use the electric vehicle for personal or business purposes, you can avail this deduction. The best part is, this deduction is available for all the years in which you pay interest on the loan. So, it's not just a one-time benefit.



Just make sure that the loan is taken from a financial institution or a non-banking financial company for buying that electric vehicle.

Join @Coursesdollar

e. Donations

Donations and Tax Savings:

Under Section 80G of the Income Tax Act, you can claim a deduction for the contributions you make to certain relief funds and charitable institutions. For the deduction to apply, it should be a digital transaction if the amount goes beyond ₹ 2000.

Now, the eligible donation amount can be either 100% or 50% of the total donation amount, depending on the rules mentioned in Section 80G. There's usually a maximum limit too.

Political Party Donations (Section 80GGC):

If you're someone who likes to support a cause and make donations to political parties or registered electoral trusts, then you can claim deductions on such donations under Section 80GGC. However, please note that the political party you're donating to must be registered under Section 29A of the Representation of the People Act, 1951. Donations made to any unregistered political party won't be eligible for any deduction under this section.

@coursesdollar

With that said, if you do donate to a registered political party or electoral trust, you can claim a 100% deduction on your donation. However, do keep in mind that the total deduction you can claim can't exceed your total income.

Claim 100% Deduction on your donation

Join @Coursesdollar

Scientific Research and Rural Development Donations (Section 80GGA):

- Income from Business
- Income from Profession

Scientific Research

Rural Development

Claim 100% Deduction on your donation

If you've contributed towards scientific research or rural development, you could be eligible for deductions under Section 80GGA.

This deduction is open to all assesses except those with income (or loss) from a business and/or a profession.

When it comes to making donations, you have flexibility. Whether it's a cheque, draft, or cash, your contribution counts. However, keep in mind that cash donations exceeding ₹ 2,000 aren't eligible for deductions. The good news is, you can claim 100% of the amount donated or contributed for deductions.

Join @Coursesdollar

4. Exemptions

As we discussed before, some of the income that you earn might not be taxable, meaning it might be exempt from being taxed! There are also cases where if you invest your earnings in certain assets then the income becomes tax exempt.

Let's look at exempt income in detail:

a. Salary

Exemptions	Description
House Rent Allowance	Least of the following is exempt: a) Actual HRA Received b) 40% of Salary (50%, if house situated in Mumbai, Calcutta, Delhi or Madras) c) Rent paid minus 10% of salary * Salary= Basic + DA (if part of retirement benefit) + Turnover based Commission.
Leave Travel Allowance	Leave Travel Allowance or LTA is a type of allowance given to the employee by employers for travel. It covers within-country travel costs when the emplioyee is on leave from work.
Children Education Allowance	You can claim up to INR 100 per month per child for a maximum of 2 children. This helps cover the cost of their education.
Hostel Expenditure Allowance	If your child stays in a hostel, you can claim up to INR 300 per month per child, again for a maximum of 2 children. This helps with the expenses of their stay.
Conveyance Allowance granted to meet the expenditure on conveyance in performance of duties of an office	Exempted to the extent of expenditure incurred for official purposes.

Join @Coursesdollar

Exemptions	Description
Research Allowance granted for encouraging the academic research and other professional pursuits	Exempted to the extent of expenditure incurred for official purposes.
Uniform Allowance	Exempted to the extent of expenditure incurred for official purposes.

Exemptions	Description
Standard Deduction	₹ 50,000 or the amount of salary, whichever is lower.

Sale of a house property -Section 54

@Coursesdollar

If you use the entire profit you made from selling a house

To either construct a new house within three years,

Or to buy another one within two years,

You won't have to pay any taxes on the gain you made from selling the first house.

This rule applies even if you bought the new house a year before selling the first one. Just remember, the property should be in the seller's name.

Join @Coursesdollar

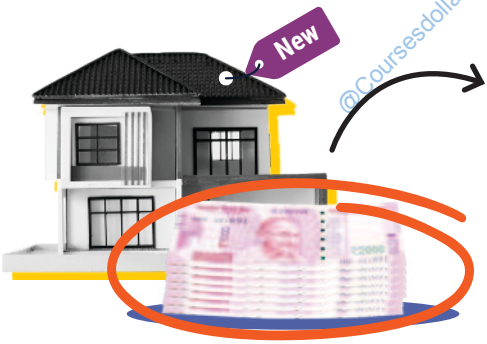
Now, here's something important to note:
If you sell the new property within three years of buying or constructing it, you'll lose the tax exemption. In that case, the profit from selling the first house will be considered short-term gains and taxed at the normal slab rates.

So, while you can save on taxes by reinvesting in a new property, be cautious not to sell it too soon, or you might end up paying more taxes than you'd like.

Capital Gains Bonds - Section 54EC

So, what if you're not planning to buy another property? Do you have to pay that hefty. Long-Term Capital Gains (LTCG) tax on your profit from selling your house?

Nope, there's another way to save on taxes by investing your gains in certain bonds.



@Coursesdollar

You can put your money into bonds issued by the National Highway Authority of India (NHAI) or the Rural Electrification Corporation (REC). These bonds are specifically designated for this purpose. Such an investment can only be redeemed after 5 years from the date of sale of the house property.

You've got a 6-month window to invest in these bonds, but to claim the tax exemption, you must do it before your return filing date. You can invest up to ₹ 50 lakhs in a financial year in these bonds, and they offer an interest rate of around 5%.

So, even if you're not planning to buy another property, you can still be smart about your taxes by investing in these bonds and keeping more of your hard-earned money.

Join @Coursesdollar

Section 54F

Amount recieved from selling Mutuals Funds, Shares and Jewellery

@Coursesdollar

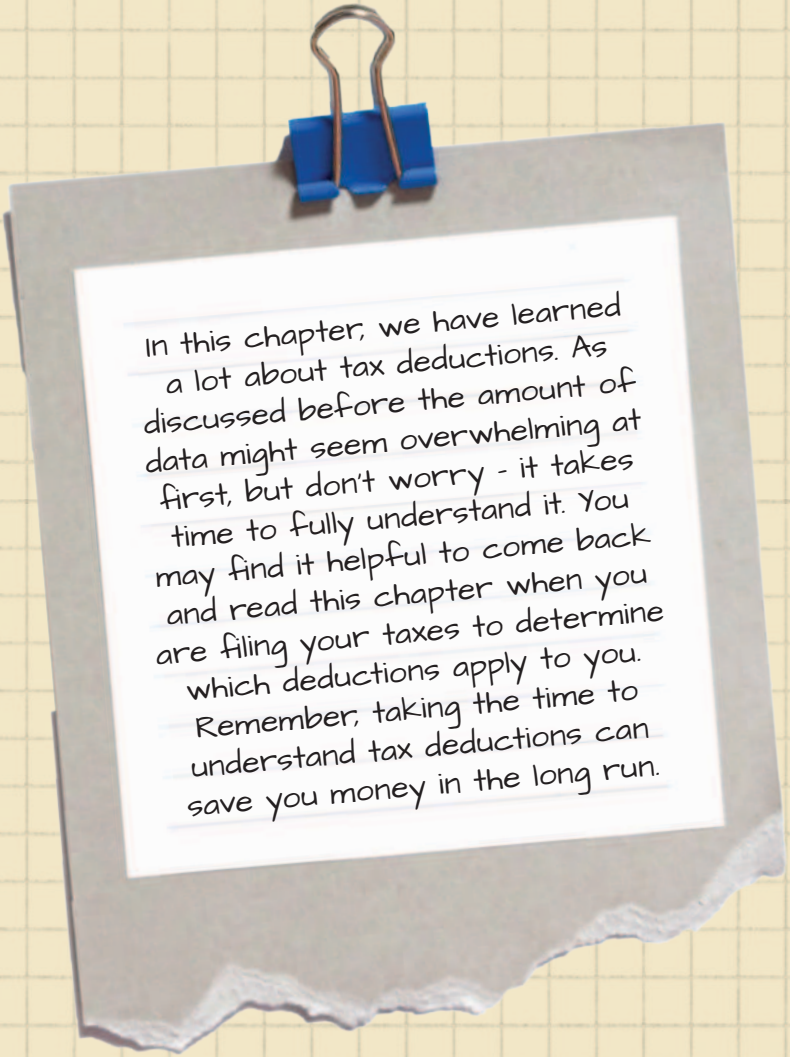
Buy a house within 2 years

Profits will be tax free!

You get a tax break under section 54F of the Income Tax Act. If you invest in mutual funds, shares, or jewellery and use the proceeds to buy a house within 2 years, then the profits will be tax-free!

To claim the exemption, you must buy a house a year prior or within two years after selling the asset. If constructing, finish within three years from the sale.

Join @Coursesdollar



Join @Coursesdollar

Chapter 5

Managing Lifestyle

Join @Coursesdollar

To manage our lifestyle, we opt for various ways of financing it whether it is as big as home loans or instead as small as buying a smartphone. When you didn't have the facility of taking credit easily, you used to save to buy a particular product. In today's FinTech age, you have multiple options for maintaining a lifestyle beyond what you can afford.

But it will always be you who needs to take care of your personal finances while maintaining lifestyle.

Let's understand how to manage them without disturbing your financial stability.

Join @Coursesdollar

1. Credit Cards

If you spend more than your capacity and cannot pay your bill, you can fall into a Credit Card Debt Trap!

Credit card debt can have interest rates as high as 35% to 40% annually!!

So then, should you stay away from them, right?
Yes..... if you also want to stay away from rewards and cashbacks.

Credit Cards, if used wisely, can actually give you a lot of benefits. They have great discounts on brands, cashbacks, and perks like access to airport lounges and gym memberships.

Join @Coursesdollar

a. But how do you use it wisely?

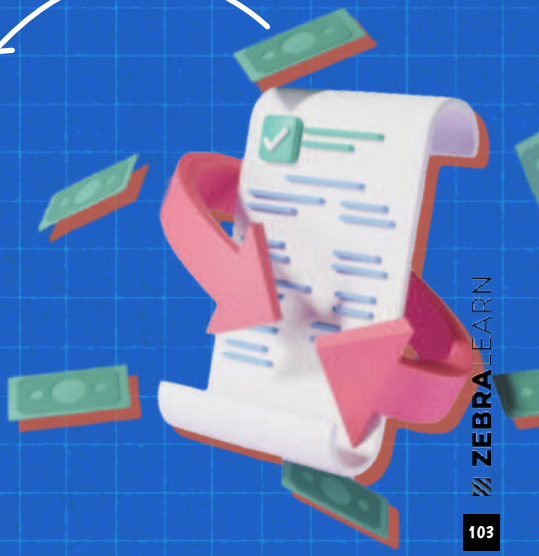
The key to using credit cards wisely is pretty simple:

1. Use it as a Cash Replacement:

Think of your credit card as a cash replacement, not free money! Whenever you're about to spend, ask yourself, "Would I pay for this with cash or a debit card?" If the answer is yes, then using your credit card is safe. Always stay within your regular budget. Don't go wild just because you have a credit card.

2. Pay Your Bill in Full:

When paying your credit card bill, you have two options: pay the whole thing or pay the minimum due. Here's the deal – if you choose to pay only the minimum, you'll get slapped with sky-high interest on the remaining amount. You also won't get that interest-free period for the next billing cycle. So always pay your bill in full.



Join @Coursesdollar

b. Credit Card Benefits

Cashback Credit Cards:

Some credit cards give you cashback on your spending. It's like getting a discount every time you swipe your card. The percentage of cashback may vary depending on whether you're shopping online or offline. For instance, you could get 5% cashback on online purchases and 2% on offline purchases. If you have a co-branded cashback credit card, you might get even more benefits for certain brands. Let's say you have a co-branded card with Amazon. You could get a higher cashback rate for all of your Amazon purchases and a lower percentage for other purchases.

Deals:

Credit cards often team up with companies to give you special deals. These can range from discounts on food delivery apps to exclusive offers on e-commerce websites and electronics stores.

Join @Coursesdollar

Added Perks:

Some premium cards roll out the red carpet with perks like international lounge access, airport meet and greet services, annual bonuses like business class tickets, golf privileges, and even gym memberships.

Reward Points:

Some credit cards give you reward points on your spends which you can then redeem for benefits.

Eg: 1 Reward Point: ₹1 spent

This means that you spend ₹50, you get 50 rewards points.

Now, 25 Reward Points: ₹1 spent

This means that you redeem 25 reward points for ₹1 equivalent benefit.

Build Credit Score:

Credit cards allow you to build up your credit score. If you pay your credit card bill on time it will help improve your credit score. A good credit score will ultimately help you to obtain loans easily in future.

Join @Coursesdollar

Additional Coverage:

Say you have 100 revival points you can claim it for ₹ 4 benefit at restaurants, retail stores, or even as cashback on future bills.

Personal Accident Insurance Policy

A Personal Accident Insurance Policy covers the loss of life, limb or general disablement caused due to an accident while travelling.

Travel Insurance

Travel Insurance is a type of insurance that covers different risks while travelling. It covers medical expenses, lost luggage, flight cancellations, and other losses that a traveller can incur while travelling. Travel Insurance is usually taken from the day of travel till the time the traveller reaches back to India.

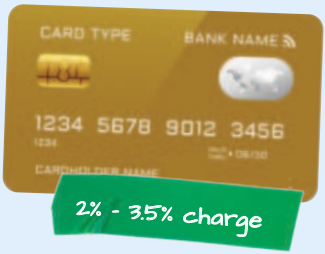
Purchase Protection

It may allow you to receive reimbursement or replacement for items you buy with your credit card that are damaged, stolen or break in the months after you make a purchase.

Join @Coursesdollar

c. Things to be cautious about when using credit cards

1. ATM Withdrawal charges



When you use your credit card to withdraw from an ATM, you can be charged an additional 2-3.5% of the transaction amount as ATM withdrawal charges. Hence, avoid withdrawing from ATMs using credit cards.

2. No interest free period is unpaid

If you don't pay your full bill on time, you don't get the 30-45 day interest-free period in the next bill cycle. Usually, when people pay only the minimum due, they think they are still getting the interest-free period and keep using their credit cards. However, they are being charged high interest on the same. So always pay your bill in full to benefit from an interest-free period.

Join @Coursesdollar

3. Forex Charges:

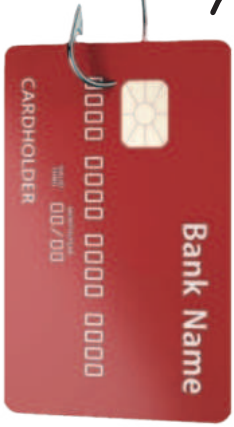
If you use your credit cards in a foreign country, many charge you an additional 2.5% -4 % as FOREX charges. This is in addition to the bid-ask spread set by the banks. Hence, while travelling abroad, use 0 forex cards, prepaid forex cards or other modes of payment.

Join @Coursesdollar

4. Surcharge

Imagine you buy something from a store and want to pay with your credit card. Usually, it's all good! But sometimes, you might notice an additional charge added to your bill. That's called a surcharge fee. They're usually a percentage of your purchase price, ranging from 1% to 4%. So when paying with a credit card, ask if a surcharge is charged and if you can avoid using a Credit card there.

5. Credit Card Trap:



People fall into the credit card trap when they spend more money than they have, giving in to the temptation to buy things impulsively and not sticking to a budget. They might only pay the minimum amount every month, not realising it takes a long time to pay off and costs a lot in interest. High-interest rates make the debt grow faster, especially when the full balance isn't paid. They face extra fees if they go over their credit limit or ignore the consequences. It's a cycle: using the credit card for short-term wants can lead to long-term financial problems, creating a tough situation that's hard to escape.

Join @Coursesdollar

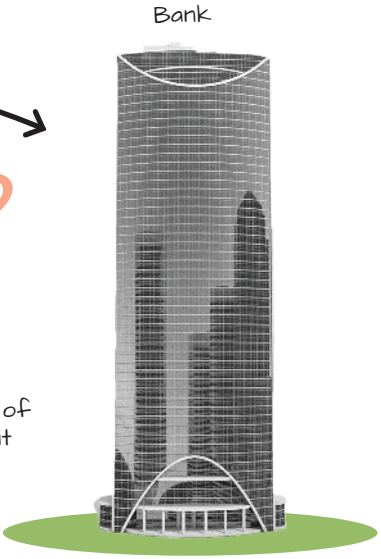
d. How do you select?

Choosing a credit card that's right for you involves considering a few factors:

1. Types of credit cards

Secured Cards

These cards are backed by collateral, usually a fixed deposit (FD)



Your FD continues to earn interest, but if you ever default on your credit card bill, the outstanding amount can be recovered from your FD. **Secured cards are great for young individuals or those without a credit history, as they don't require a robust credit score.**

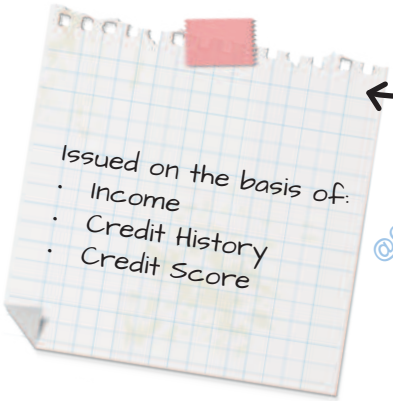
Join @Coursesdollar

Unsecured Credit Cards

When most people are talking about credit cards, they are actually talking about unsecured credit cards. **Unsecured credit cards function like revolving lines of credit. Think of it as having a pre-approved loan with the credit card company, that renews every 30-40 days, provided the dues are cleared on time.**

No Collateral Needed

Unsecured Credit Cards



@Coursesdollar

The credit card company extends you a specific amount – your credit limit – that you can tap into for purchases. You can use as much or as little as you need within the limit, and as long as you repay the full amount by the due date each month, you won't incur any interest charges.

Most of the amazing rewards/cashback come on unsecured credit cards only, so if you are eligible to get them, you can opt for them.

2. Analyzing Your Spending Habits

What do you spend a lot on? Spending categories that stand out could be:

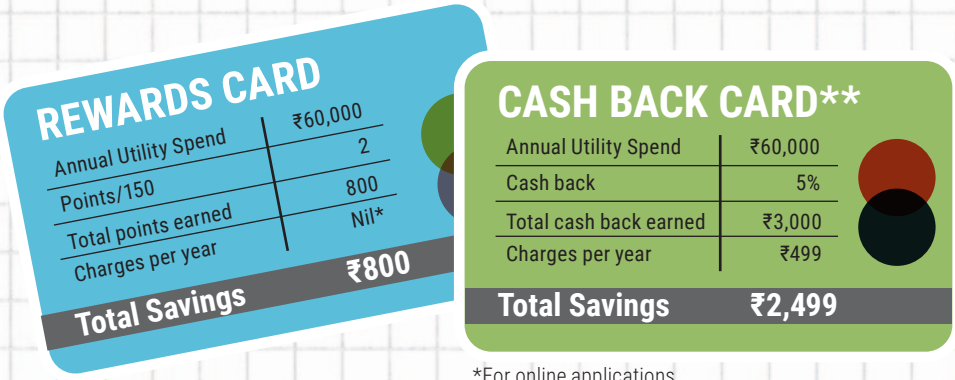
- Fuel
- Online Shopping
- Hotels
- Flights

Once you know where you spend more you can get credit cards that are focused on those spends. You can keep multiple cards for specific needs as well.

Join @Coursesdollar

3. Complexity levels:

Eg. Using your card to pay Utility Bills

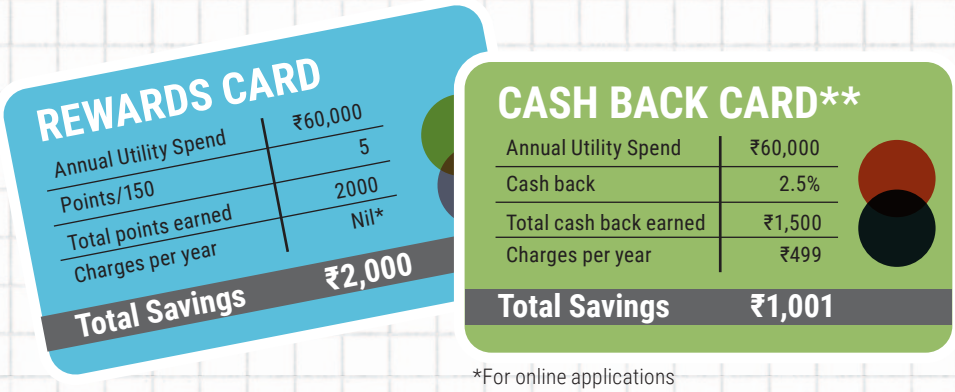


*For online applications

Cashback cards are pretty straightforward; you get cashback on certain expenditures. No headache of collecting points and redeeming them. However, with some reward point cards, you can get great deals for certain spending or redemptions, getting as high as a 25% reward rate! This means getting the benefits of ₹25 on spending ₹100! However, you need to properly research these deals, plan your spending, collect your points and plan to redeem them. Also, these deals are dynamic, so you need to keep updating your research constantly or else you might lose out on them!

So ideally, if you are a beginner or don't want the hassle or reward points, you can go for cashback cards.

Eg. Using your card to pay for fuel



*For online applications

Source: https://economictimes.indiatimes.com/wealth/spend/which-is-a-better-option-for-credit-card-reward-points-or-cash-back/articleshow/45239841.cms

Join @Coursesdollar

4. Spending Levels

Certain Cards have limits beyond which the benefits are not the same.

For example - Assume a cashback credit card which gives 5% cashback on spends with maximum cashback limit of ₹2000/ month. Here then if you are spending around ₹ 50,000 per month it makes sense. But, if you are spending significantly more then your benefits get capped.

@Coursesdollar

However, for certain paid cards you'd need a higher spending level for the benefit to outweigh the costs. For example, if a card has ₹ 5000 as annual fees then you need to evaluate how many months it will take for you to collect enough points/ earn cashback so that the monetary benefit to you from the card is more than ₹ 5000 and there is some benefit of using the card.

Annual Fee < Cashback/ Rewards

₹ 5,000 < ₹ 10,000

Net gain of ₹ 5,000

Join @Coursesdollar

5. Type of Benefits:

HDFC BANK
We understand your world

AXIS BANK
Good Cashback Structure

ICICI Bank

SBI
Good deals with brands

If you have certain preferences, such as international lounge access or deals with certain brands, then those also need to be considered.

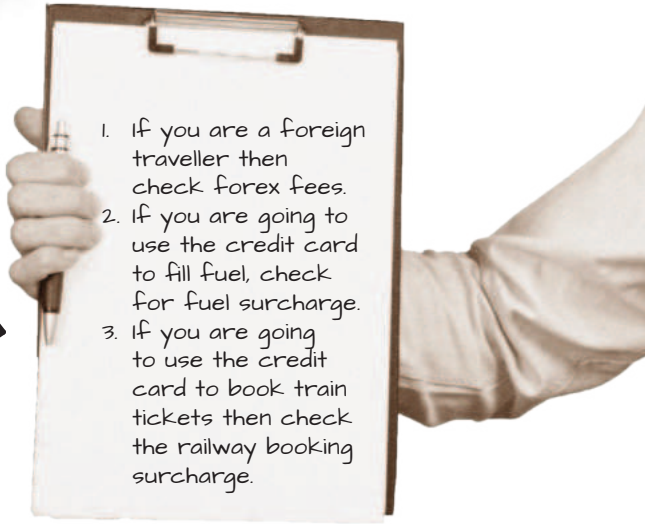
- Some cards have a good cashback structure.
- Some cards have a good reward point system, such as HDFC Bank's and Axis Bank's cards.
- Some cards offer really good deals with brands, like ICICI Bank's and SBI Bank's cards.
- Some cards have none.

@Coursesdollar

So, according to your preferences and expectations from your credit card, you can select one.

6. Compare Relevant charges and fees

Depending on the purpose you are going to use your credit card, check relevant charges and fees.



Join @Coursesdollar

Anushka Rathod

2. Higher Education

Nowadays, education can be quite expensive. It's common, in India, for a two-year MBA program to cost between 15 to 20 lakhs, and if you're thinking about studying abroad, the expenses can go up even more.

Given these high costs, you might be wondering, "Does it make sense to pursue MBA?" Well, let's explore this question together.

Join @Coursesdollar

a. The Financial Aspect

Let's look at the financial side of going for higher education:

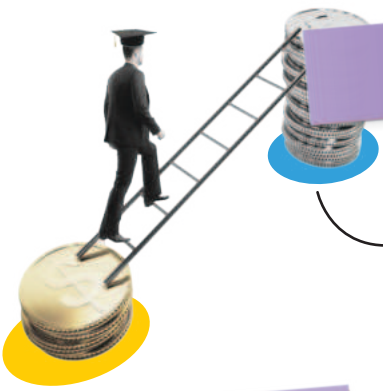
i. Opportunity Cost of Your Time:

Imagine if you weren't pursuing a master's degree, you'd likely be working somewhere and earning money. The money that you could earn if you did not go for your masters is the opportunity cost of your time. If that amount is not high, or if you are okay with letting it go because of the better work opportunities you might get after getting your masters, then only you should pursue your higher education.

ii. Cost of the Loan:

If you're planning to finance your master's through a loan, remember that the loan will start accumulating interest while you're studying, and after you graduate, you'll need to start paying it back. This added financial burden should be kept in mind.

Join @Coursesdollar



iii. Salary After Masters:

It's important to consider the average salary of graduates from your chosen program. This helps you understand the potential return on your investment.

iv. Income While Studying:

If you can work part-time while studying, it can help reduce the financial burden and reduce opportunity cost of your time.

@Coursesdollar

v. Living Expenses:

Where you choose to pursue your master's will affect your living expenses, so be sure to factor that into your overall cost calculations.

Now, financially it only makes sense to pursue your master's if the future earning from doing your masters overwighs the costs that you incur today. Ideally, it shouldn't take very long for your future earnings to recover the costs you have incurred.

Opportunity Cost + Cost of Loan + Net Living Expenses **< Future Earnings**

Join @Coursesdollar

To help you make an informed decision, I've created an MBA Calculator. It's a handy tool for conducting a cost-benefit analysis tailored to your unique situation.

Join @Coursesdollar

This is what your output will look like:

RESULT

Opportunity Costs	
Salary Forgone	0 [18]
Inflation Adjusted rate of Return	10%
Returns on savings/Investments from lost salary	₹ 0 [19]
Total Opportunity Cost	**₹ 0**

Total Cost to do MBA	
Total Opportunity Cost	₹ 0
Total Loan Outgo	₹ 2,855,333
Total Cost to do MBA	**₹ 2,855,333**

Loan Details	
Loan Amount	₹ 2,000,000
Total Interest Accumulated during the MBA Course	₹ 306,250
Interest Accumulated in Grace Period	₹ 201,797
Principal Amount	₹2,306,250 [20]
Total Interest Payment on Loan	₹ 549,083
Total Loan Outgo	**₹ 2,855,333**
EMI	₹ 47,595
Total Number of EMIs	**60**

Post MBA	
Rise in Salary (Incremental Salary)	₹ 100,000
Payback Period from the Incremental Salary (in Years)	2.24 [21]

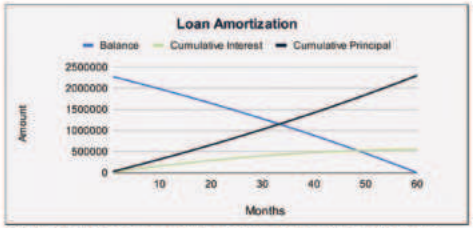


Chart Info: This chart shows how your loan balance is gradually reduced over time with each payment you make. It also shows how the interest payment and the principal amount gradually increases over time.

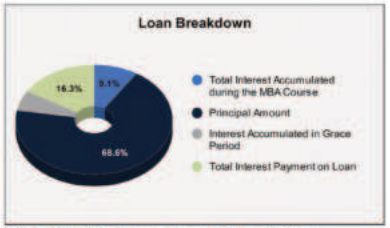


Chart Info: This chart shows the breakdown of the loan components.

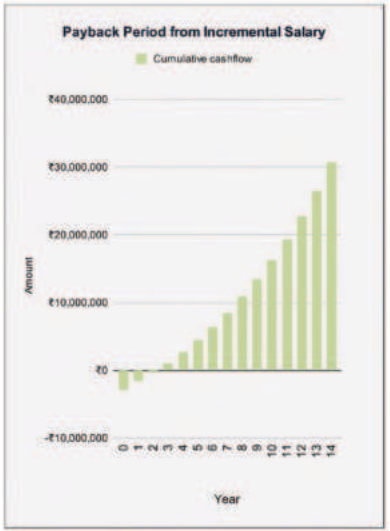


Chart Info: This chart explains in how many years you will recover the cost of doing an MBA from the salary increment you receive post-MBA.

Anushka Rathod

Join @Coursesdollar

But like most decisions, You can't make this decision purely based on fianances. There are other factors as well like:

Career Shift

Are you considering changing your career path within the same field or exploring a completely different one? A master's degree can be a valuable tool for career transitions.

Relocation

If you want to start a new life in another country, pursuing a master's degree can open doors to international opportunities, depending on your chosen destination.

Academic Passion

Sometimes, the pursuit of knowledge and specialising in a field you're passionate about takes precedence over monetary rewards.

Join @Coursesdollar

b. Financing your Masters

Now, let's shift our focus to how you can finance your education. You've got the following options:

i. Savings

This includes your savings and your parents' savings that they are willing to contribute.

@Coursesdollar

ii. Scholarships

You can also apply for scholarships. These can be in the form of outright money, interest free loans or subsidised loans. Here are a few sources you can get your scholarships from:

1. University Scholarships
2. Government Scholarships
3. Corporate Scholarships
4. Trust & Foundation Scholarships
5. Employer Sponsored education

Join @Coursesdollar

University Scholarships

Many universities offer scholarships based on financial need or academic merit. Keep an eye out for these opportunities. Don't hesitate to reach out to the university and ask about scholarships, even if they don't mention them explicitly, you never know when you get lucky. You'll mostly need an admit from the university before applying for these scholarships.

Government Scholarships

Unlike university scholarships, government scholarships often don't require you to have a college admission letter. However, they typically have application deadlines a year or more before your intended intake. You can apply to both your home government and the government of your chosen study destination.

Join @Coursesdollar

Corporate Scholarships

Some companies offer scholarships for specific fields, universities, or general education scholarships. Don't overlook these opportunities.

Trust & Foundation Scholarships

Many trusts and foundations provide educational scholarships. These often have early application deadlines, so start your search early.

Employer Sponsored education

Some companies do fund higher education of their employees. However, this might come with some strings attached like you might have to work for some years after you finish your studying at that particular company.

There are a few websites which aggregate scholarships (you can find these with a simple google search) and education consultants that will help you with finding scholarships. However, remember to start your own research early in order to meet the deadline, you don't need a college acceptance to apply for a lot of non university scholarships.

Join @Coursesdollar

The last optioin to finance your masters is a taking a loan. You can either take an education loan or other loans. This is how education loan differ from other loans.

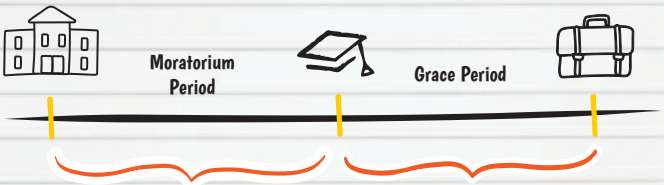
Aspect	Education Loan	Other Loans (Personal, Top up - Home Loan)
Simplicity of Application	Typically more complex.	Simpler application process and quicker disbursements.
Tax Benefits (Section 80E)	Eligible for tax benefits under Section 80E.	Typically do not offer tax benefits.
TCS (Tax Collected at Source)	Foreign Remittance up to ₹7 Lakhs - No TCS Foreign Remittance: More Than ₹7 Lakhs - 0.5% TCS (Allowed only if Loan taken by recognized Bank)	Foreign Remittance up to ₹7 Lakhs - No TCS Foreign Remittance: More Than ₹7 Lakhs - 5% TCS
Moratorium + Grace Period	Usually provided, offering an interest-free period.	Generally not available.
Government Subsidies	It might come with government subsidies.	Typically no government subsidies will be available.

Join @Coursesdollar

i. Education Loans

Now, let's get into the nitty-gritty of education loans because they offer some compelling advantages:

1. Education Loan Structure



0 % Interest
No Principal Payment
(Complete Coverage)

Education loans come with a unique structure. While you're studying, you don't have to make interest or principal payments. **This period is called the moratorium.**

NO EMI!

After you graduate, you're granted several months to a year to find a job, during which you won't have to pay any EMIs. **This is known as the grace period.**

2. Loan Amount

If you're thinking about getting an education loan, you'll be happy to know that it can cover a lot of different expenses! This includes things like tuition fees, flight tickets, health insurance, books, and even a laptop.

Join @Coursesdollar

However, it is important to mention the breakdown upfront as the money will be disbursed accordingly. For example, you can't use the living expense portion of the loan to buy a laptop. Once you sign the loan agreement, it can be tough to request more funds later on. So, take some time to think carefully about all your potential expenses and make sure you give the proper amount from the bank and get an appropriate amount sanctioned.

3. Interest Costs

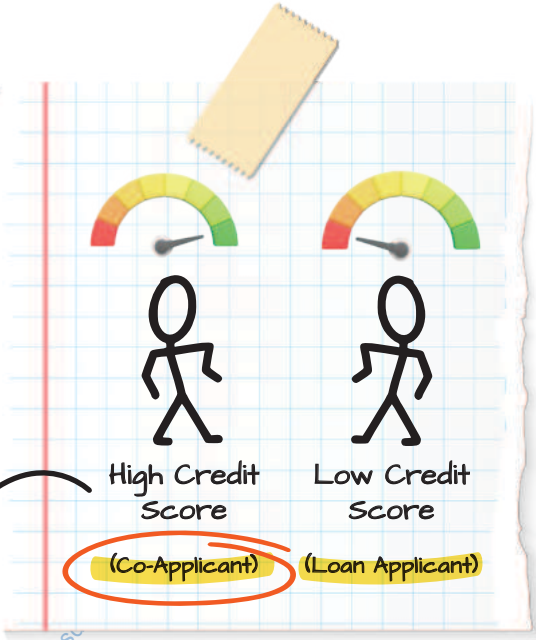
Now you must be wondering, if we get a loan including all costs then we'd have to pay heavy interest on it. Well the thing is even if you sanction a bigger amount, interest is only charged on the amount actually disbursed to you. This means that even if sanctioned more money than you need, you'll only be paying interest on what you use.

4. Tax Benefits

The interest you pay on an education loan can be deducted to reduce your taxable income under Section 80E of the income tax act. This can significantly lower the effective interest rate on your loan.

Join @Coursesdollar

5. Co-Applicant:



If you are fresh out of college or have a poor credit score, you will need a co-applicant to apply for a loan. Your co-applicant can be a parent or a sibling who earns an income. If you default on the loan, they will be responsible for repaying the amount.

@Coursesd

6. Collateral

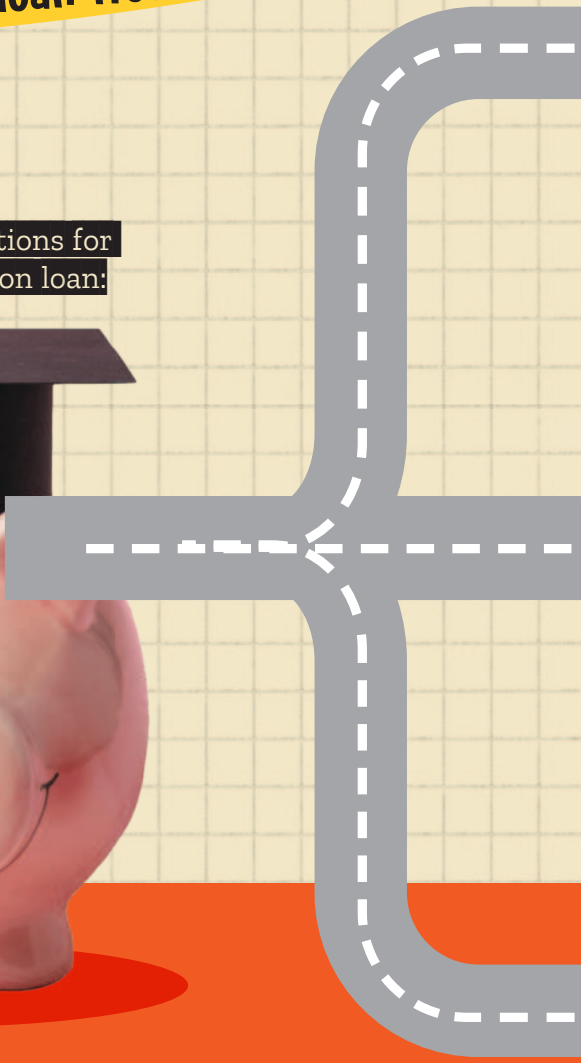
There are two types of collateral accepted for education loan
Immovable Assets - Land, Flat, Bungalow
Financial Assets - Insurance Policy, Mutual Funds, Fixed Deposits.

What if your house is yet under home loan? Even if your home is under a home loan you can get an education loan on it provided it is repaid at least 20%-25%.

Join @Coursesdollar

ii. Where should you take your education loan from?

You have several options for taking your education loan:



Join @Coursesdollar

Public Sector Banks in India:

These banks often offer the most favorable loan terms and lower interest rates. However, their processes can sometimes be slow and cumbersome.

Private Sector Banks in India:

While private banks might have slightly higher interest rates, they are often more efficient in disbursing loans and accommodating requests.

@Coursesdollar

NBFCs (Non-Banking Financial Companies):

NBFCs typically have the highest interest rates. So, only if you don't get a loan from a bank you should consider NBFC's.

Your choice of lender will depend on your preference and eligibility. Having a pre-existing banking relationship with a particular institution can sometimes make the loan application process much smoother.

Join @Coursesdollar

Loans for International Studies:

If you're planning to study abroad, there are additional sources to consider:

Foreign Banks:

You might secure a loan in India at 10% interest rate while a loan in US might have 8% interest rate. However a 10% interest rate in India is more favourable due to interest rate parity.

@Coursesdollar

The Indian rupee's decline against the dollar is real, and it might continue. Example - If you start University, the exchange rate is $1 = ₹100 and in four years of you studying abroad, the rupee depreciates by 10, so $1 = ₹110. So the loan you would have taken, in rupee terms you would have to repay 10% extra.

Foreign NBFCs:

These institutions often have very high processing fees and hence should be approached with caution.

An additional disadvantage of getting a loan from foreign banks is you won't get tax benefits under Sec 80E.

Join @Coursesdollar

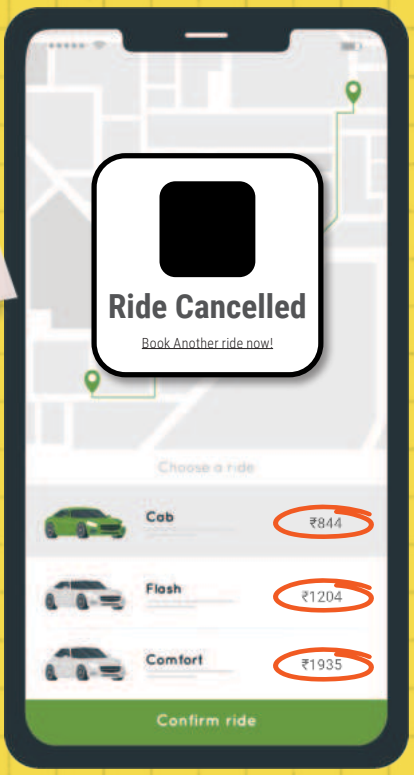
3. Buying a Car: A Need or a Luxury?

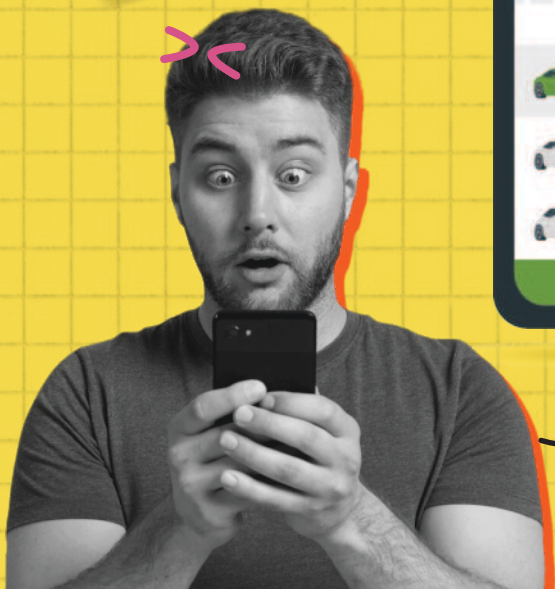
Is having a car a luxury or a necessity?

If you stay in a big city, finding a cab can be a nightmare! You start looking for cabs on 3 different apps and wait for a cab to confirm, seeing the fare increase by 50% while waiting and refreshing. Then finally, when you do find a cab, the cab driver calls you, asks for your drop location, and then cancels the ride.

20 minutes to your destination, and you spend 30 minutes finding a cab!

This was my experience in Bangalore, where my house was away from the metro, and most places I had to visit didn't have metro connectivity. The Auto drivers rarely went on metre, and many charged exorbitant rates to non-locals. I had no other option than to rely on cabs.





Join @Coursesdollar

Although, when I was working in Mumbai things were smoother. The auto-rickshaws went on metre, and I had bus and local train connectivity, so not having my own vehicle didn't bother me as much.

So, depending on where you stay and the public transport available between your home and workspace, your vehicle can either be a luxury or a necessity.

See how I mentioned my vehicle and not cars because you can also buy two-wheelers, which are more affordable. Although Cars are way more comfortable, making them a luxury.

Join @Coursesdollar

a. Cost of Owning a Car

Do remember that the money you put into buying a car is not the only cost. There are two kinds of costs:

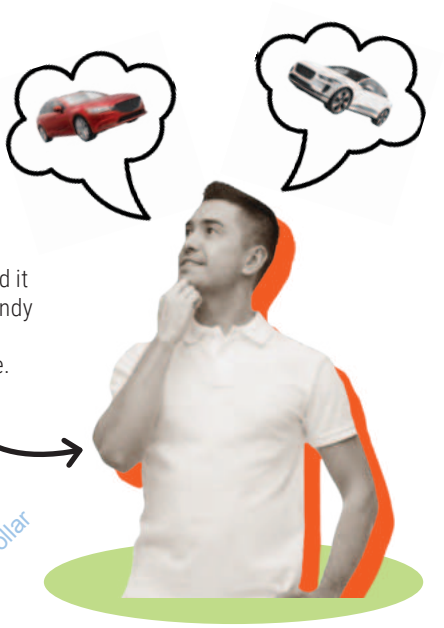
These are costs you incur once in the process of buying a car. This includes the down payment for the car, the tax, and the registration fee. You can also make a full payment for the car, and the purchase would be considered a one-time cost.

These are the regular expenses that you have to pay time-to-time. This includes Equated Monthly Installments (EMI) if you're not paying the full amount up-front. Additionally, consider fuel expenses, car insurance premiums, and maintenance costs in your budget.

Due to the presence of recurring costs, buying a car is a commitment. Hence, we need to make a proper budget and ensure we are not overspending while buying a car.

Join @Coursesdollar

b. Which car can you afford?



Do you have a dream car in mind?

It's important to consider whether you can afford it or not before making any purchase. Here is a handy calculator that will give you an idea about what your budget should be according to your income.

Car Affordability Calculator

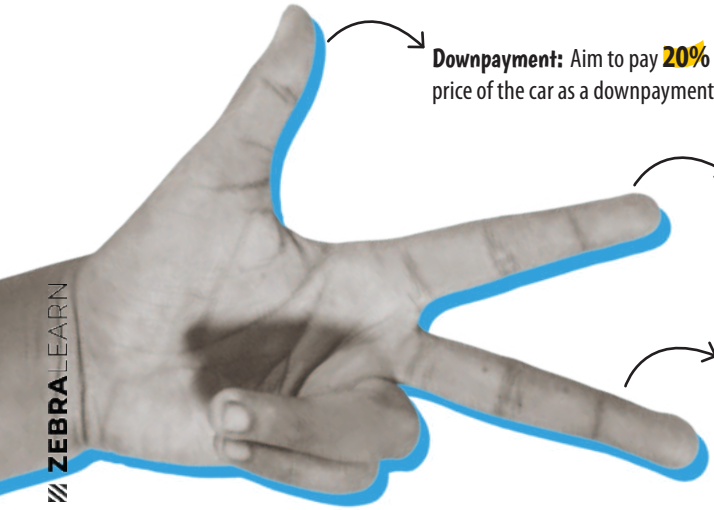
@Coursesdollar

The above calculator is based on the thumb rule:

(that I use) -

20-4-10

The rule looks like this-



Downpayment: Aim to pay **20%** of the on-road price of the car as a downpayment.

Tenure: Keep the loan tenure within a maximum of **4 years.**

EMI Affordability: Ensure that the Equated Monthly Installment (EMI) doesn't exceed **10%** of your monthly income.

Join @Coursesdollar

This roughly brings the,

Budget of Car = 4 x monthly salary

(factoring in the downpayment, loan tenure, and EMI affordability)

However, if this is not practical, then you can consider extending your budget to

10 x Monthly Salary or an EMI of up to 25% of your monthly salary

This expanded budget is feasible only if you don't have existing obligations or foresee any upcoming financial commitments that would require taking a loan.

@Coursesd

Reasoning and Caution

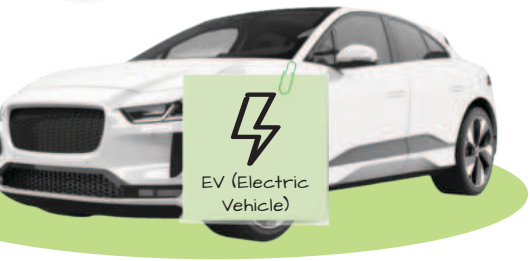
Going beyond these budget limits is not recommended. Remember, besides EMIs, you also need to account for ongoing expenses such as fuel, maintenance, repair and insurance.

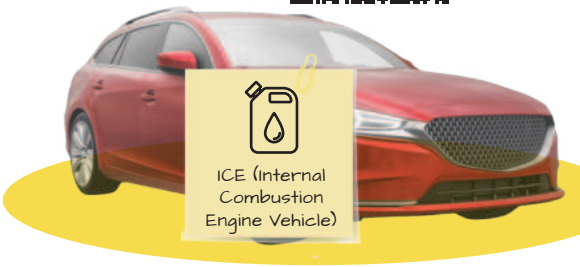
By adhering to these guidelines, you can make a car purchase that aligns with your financial capacity and ensures a comfortable balance between monthly payments and other financial responsibilities.

Join @Coursesdollar

i. Electric Car V/s Petrol Car

Petrol Vehicle vs Electric Vehicle: Cost Benefit Analysis





The electric variant costs more than petrol or diesel for the same model. However, the cost of running an electric car is way lower than a petrol or diesel car. So, how should you decide which one to choose? I have made a calculator where you can input the details, and according to your usage, it'll tell you which one will make more economic sense. Now, as a consumer, you should also understand your requirements. Suppose you frequently travel between cities by road. In that case, the electric car might not suit you as there is not much infrastructure to charge these cars, and hence you should go for petrol or diesel cars.

@Coursesdollar

ii. Renting v/s Buying a car

Rent vs Buy Calculator

Now you know buying a car is not a one-time event, it's a long-time commitment. But is renting a car or taking a cab better than buying one? That also depends on factors such as your need for the car, your frequency of use, etc. I have created a calculator through which you can calculate easily by just putting a few inputs.

Join @Coursesdollar

c. All about a Car Loan

If you are looking to finance your car by taking a loan these are the things you should keep in mind.

I. Interest Rate

Interest rates determine how much extra you'll pay on the amount you borrow. Where you get your loan can affect your ability to negotiate. Banks often have fixed rates that are tough to change. However, if you're getting your loan through a dealer, it's worth a shot to ask for a better rate. They might say it's a fixed bank rate, but some friendly negotiating could work wonders.

Also, consider checking with the bank directly. Public banks typically offer lower rates than private ones, although they might take a bit longer to process your loan.

Join @Coursesdollar

There are two types of interest rates: fixed and floating. It's pretty simple:

Floating Rate ∝ RBI Rates

Floating Rates:
These rates move in line with the interest rates set by the RBI (Reserve Bank of India). So, if the RBI changes rates, your loan's interest rate will change too. Mostly public sector banks often offer these floating rates for car loans.

Fixed Rates is steady!

Fixed Rates:
Fixed-rate loans, as the name suggests, keep things steady. The interest rate remains the same throughout your loan period. Both public and private banks offer fixed rates for car loans

So, here's the big question:

Which One to Choose?

It really depends on what interest rates are doing:

Floating Rate Loans

If interest rates are high and have been rising for a while, a floating rate loan is like a safety net. It means your loan won't be stuck at a high rate forever. Just remember, there might be a bump in interest rates before they start going down.

Fixed Rate Loans

If interest rates are low, you could opt for a fixed rate loan. You can keep things stable, and you won't have to worry about sudden rate hikes.

However, the interest rate charged to you under floating rate and fixed rate loans will be different, so check the EMI schedule along with the trend of interest rates to decide.

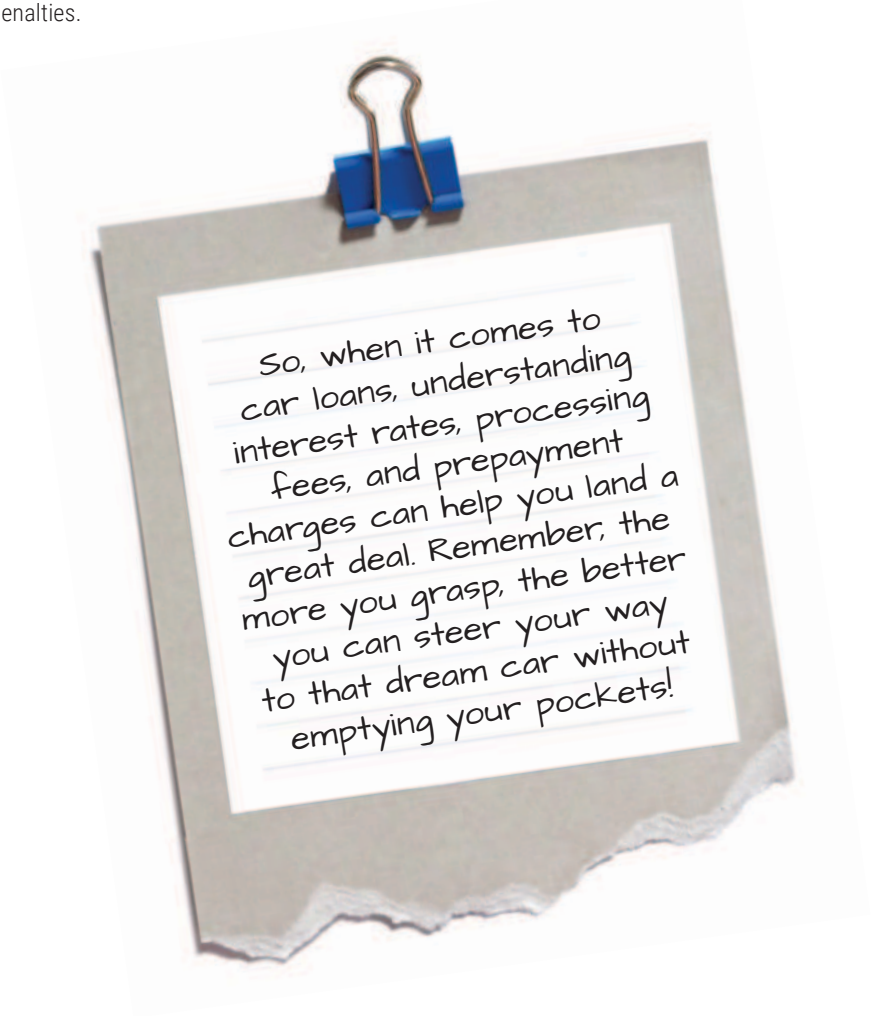
Join @Coursesdollar

2. Processing Fees (0%-2%)

Another thing to keep an eye on is processing fees, which can vary from 0% to 2%. When interest rates are low, pay close attention to these fees. Some banks might offer lower interest rates but make up for it with higher processing fees. So, don't forget to factor in these charges when comparing loans.

3. Prepayment Charges

If you plan to pay off your loan ahead of schedule, check for prepayment charges. Ideally, you'd want these charges to be zero. If you're expecting a bonus or have an investment maturing that you'll use to pay off your loan early, make sure there won't be any unexpected penalties.



Join @Coursesdollar

d. Car Insurance: An Unavoidable Part

Car insurance is an important safety net that you should not avoid. It helps when accidents happen, so you don't have to worry about big bills for repairs. It's a smart way to stay financially safe on the road.

@Coursesdollar

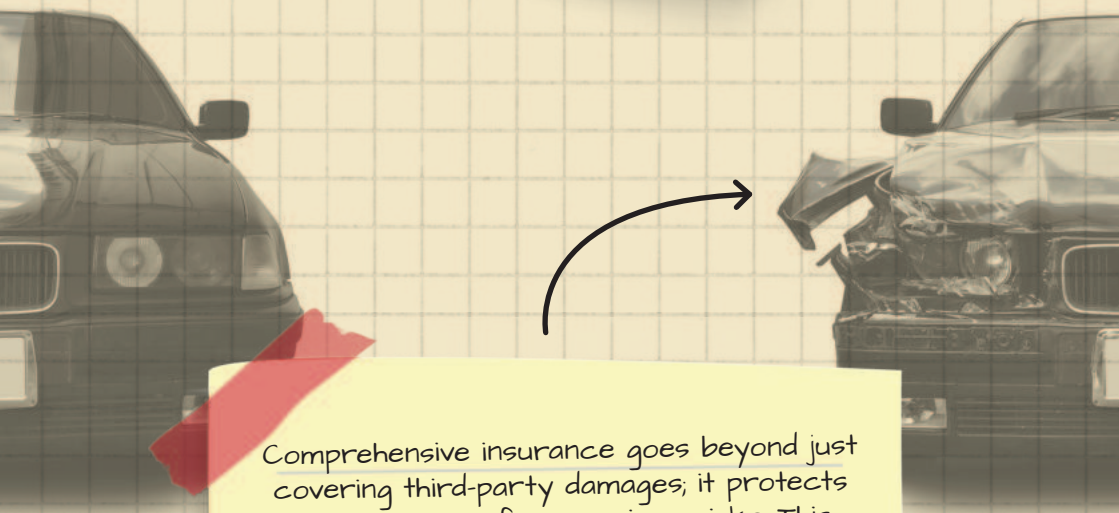
There are mainly two types of car insurance out of which one is mandated by the government and other one is highly recommendable.

1. Third-Party Insurance (Compulsory)

This insurance is mandatory and provides protection against damages caused by your car to a third party's property, vehicle, or a person. In simpler terms, if your car is involved in an accident and causes harm to someone else's belongings or injures them, third-party insurance helps cover the costs. It's a legal requirement as per motor vehicle act and not having it can lead to a traffic fine. While it's more focused on others, it ensures you're financially covered for the unintentional harm your car may cause.

Join @Coursesdollar

2. Comprehensive Car Insurance (Highly Advisable)



Comprehensive insurance goes beyond just covering third-party damages; it protects your own car from various risks. This includes damages due to accidents, theft, natural disasters, and more. Given the rising costs of car repairs, having comprehensive coverage is highly advisable. It acts like a safety net for your vehicle.

Moreover, when opting for Comprehensive Car Insurance, you have the option to include add-ons. These additional features can enhance the protection for your car. While they do come with a higher premium, the extra benefits can provide peace of mind and save you money in the long-run. Let's discuss a few of these add ons.

Join @Coursesdollar

Key Add-Ons to Consider-

1. Engine Coverage Rider:

Imagine you're caught in a water logged area with your car. Your car's engine isn't damaged by the flooding but when you try to start it, there's trouble. Its called hydrostatic lock. This damage wouldn't be covered by your regular car insurance because it's a "consequential charge."

Even if something happens beyond your control (like the flood), your actions can have unintended negative results (cranking the engine underwater). These consequences are what we call "consequential charges," and they're often not covered by basic insurance. Now, the engine is one of the most costly parts of the car to replace. Hence, you should consider getting engine protection in car insurance. It helps pay for repairs or replacements if your engine is damaged due to things like hydrostatic lock, oil leaks, or water getting in the engine.

It is especially useful if you stay in areas which get a high volume of rain or where it floods frequently.

Join @Coursesdollar

2. Zero Depreciation Cover

Over time, your car and its parts naturally wear down due to depreciation. Thus, at the time of a claim settlement, the amount of depreciation applicable on your car and its parts get deducted from the compensation amount thereby reducing it.

According to the Insurance Regulatory and Development Authority of India (IRDAI), following are the depreciation rates, on the basis of which the total depreciation of your car is calculated: (Do note some parts like glass and rubber have separate depreciation rates)

Age of Vehicles	% of Description
Below 6 months	Nil
Exceeding 6 months but not exceeding 1 year	5%
Exceeding 1 year but not exceeding 2 years	10%
Exceeding 2 years but not exceeding 3 years	15%
Exceeding 3 years but not exceeding 4 years	25%
Exceeding 4 years but not exceeding 5 years	35%
Exceeding 5 years but not exceeding 10 years	40%
More than 10 years	50%

Join @Coursesdollar

After accounting for depreciation, the remaining value of your car is what's known as the Insured Declared Value (IDV). It's essentially the maximum amount your insurer will pay out in case of severe damage beyond repair.

But it you have a zero depreciation cover, it could be a game-changer.

Zero depreciation is a car insurance add-on cover that makes the insurance companies settle the claim amount without taking the depreciation into consideration, which enhances the claim amount for us! Here although, 5-10% you might have to pay for consumables like nuts, bolts, washers, brake oil, screws, grease, etc.

3. Key Replacement Cover:

@Coursesdollar

In the past, losing car keys wasn't a big deal. However, with the technological advancement of cars, especially electronic key FOBs, replacing them has become pricier than traditional keys. That's where Key Replacement Cover comes in handy! With this add-on, the insurance company reimburses the insured for replacing the car key if it's lost, stolen, or damaged, up to the specified insured amount in the policy.

Join @Coursesdollar

4. Return to Invoice Cover (RTI):

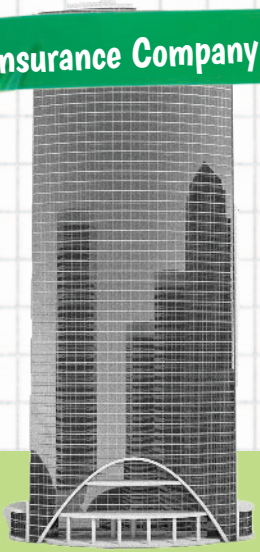
MISSING

REPORT TO POLICE IF FOUND!

RTI or Return to Invoice is a cover that is part of comprehensive car insurance plans. The add-on allows you to receive compensation equal to the car's invoice value, i.e., the car's original value when you bought it. The claim applies when a car is stolen or beyond repair.
For instance, if your car is stolen and the police cannot find the car, it might put you in a difficult situation. The RTI Cover comes to your rescue, then. With this, you can stay assured of getting the full invoice amount as compensation.

Now, here, different companies offer different coverage:

- **Some give ex-showroom price**
- **Some give the on-road price**



So check this before adding it to your policy. It is most beneficial to get the on-road price.

Join @Coursesdollar

4. Buying a Dream Home

a. Buy vs. Rent

@Coursesdollar

Ah, the dream of owning a home! It's one of life's biggest goals, isn't it? But with real estate prices soaring like never before. Buying a home requires a big financial commitment and these loans are decades long.

So, should you buy a house or simply rent one? Well, there's no one-size-fits-all answer to that. Real estate prices can vary wildly even within the same city, not to mention the personal factors that come into play.

Join @Coursesdollar

Personal Factors:

Dependents

When you have a family to look after, their security and comfort becomes important.

Work Stability

If your job requires you to move around frequently, renting might be the practical choice.

City Lifestyle

The city's culture, amenities, and overall lifestyle should align with your preferences.

Hassles of Ownership

Owning a house comes with its fair share of repair and maintenance duties.

Financial Factors:

Rental Yields

Compare the monthly rent against the EMI for a similar property. If rent is significantly lower than the EMI, renting might be the wiser option.

Income Stability

If you're an entrepreneur or plan to start your own business, committing to a long-term housing loan can be challenging.

Savings

You'll need substantial savings for the down payment and interior expenses.

Other Fixed Obligations

If you're already paying EMIs that eat up a substantial chunk of your salary, taking on another EMI might not be wise.

Ongoing Costs

Don't forget about the maintenance costs that come with homeownership.

Opportunity Cost of Capital

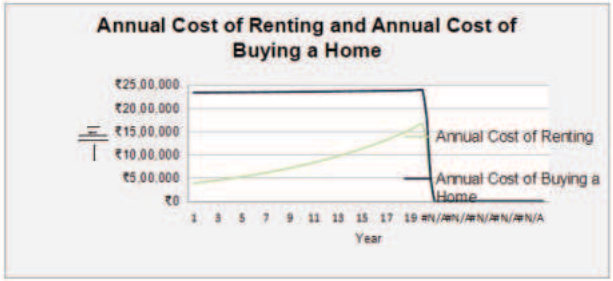
If the EMI is higher than the rent then, the money that is being blocked in paying EMIs can be invested to earn a return elsewhere.

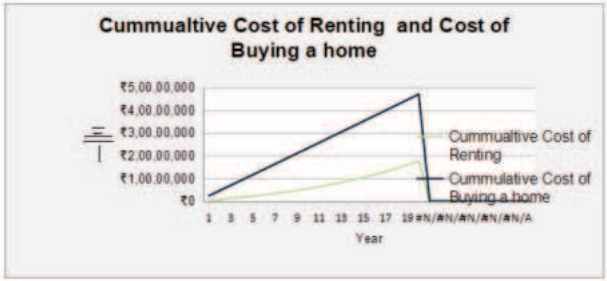
Join @Coursesdollar

COMPARISON

SAVINGS THROUGH RENTING	Not Inflation Adjusted	Inflation Adjusted
Total Cost of Renting	₹1,75,95,594	₹1,75,95,594
Value of Invested Downpayment	₹3,27,33,075	₹1,02,06,327
Value of Savings from Renting	₹12,48,85,774	₹3,89,39,975
Net Savings	**₹14,00,23,255**	**₹3,15,50,708**

SAVINGS THROUGH BUYING A HOME	Not Inflation Adjusted	Inflation Adjusted
Total Cost of Buying a House	₹5,32,70,584	₹5,32,70,584
Market Value of the House after Analysis Years	₹9,32,19,143	₹2,00,00,000
Net Savings	**₹3,99,48,559**	**-₹3,32,70,584**





I've put together a comprehensive calculator that takes all these financial aspects into account. It will help you decide whether buying or renting is the smarter move. If buying turns out to be more expensive than renting, it will also show you the opportunity cost.

In the end, while numbers are crucial, they're not everything. You need to consider your your family's needs as well.

But always keep in mind: don't overstretch your budget when buying a house. Now let's talk about how much you can comfortably afford.

Rent vs Buy Calculator

Join @Coursesdollar

b. Budget of your house

Well, practically, your maximum budget would be:
= YOUR SAVINGS + MAX HOME LOAN YOU WOULD BE ELIGIBLE FOR

The amount you saved towards buying a home and the maximum home loan a bank will give you. Now, to understand according to your income how much your budget should be use the following financial thumb rule.

Join @Coursesdollar

Let's look at a thumb rule.

3-30-30-20.

3 — **3 Times Your Annual Income:** This is your maximum budget ballpark.

30 — **30% for EMI:** Never let your EMI exceed 30% of your monthly income.

30 — **30% Down Payment:** A solid down payment is key to managing your loan comfortably.

20 — **20 Years Loan:** The ideal tenure for a home loan.

@Coursesdollar

Home Affordability Calculator

Now, I understand that this financial rule is conservative and because of rising property prices this might not be realistic to sit within these limits, so according to your personal requirements you can stretch your budget. The maximum that you can stretch upto is how much loan the banks will give you. However, here, you shouldn't stretch your finances too much; otherwise, you'll have most of your money stuck in an illiquid investment and find it too burdensome to pay it off.

Join @Coursesdollar

Banks decide how much money they can give you based on a few rules:

- **Total Amount:** They usually lend you 3 to 5 times, and sometimes up to 6 times, the money you make in a year.
- **EMI:** Banks look at something called the FOIR, which stands for Fixed Obligation/Income Ratio. It's a way to figure out how much of your monthly income goes towards fixed obligations. Banks mostly only lend you upto a limit where your monthly total EMIs are 50% of the salary i.e a FOIR of 50%

$$\text{FOIR Ratio} = \frac{\text{Fixed Obligation}}{\text{Income}} \times 100$$

Coursesdollar

Suppose your monthly in hand income is ₹ 30,000, and your fixed monthly obligations, like car loan EMI is ₹ 7,500.

In this example:

$$\text{FOIR Ratio} = \frac{₹\ 7,500}{₹\ 30,000} \times 100$$

$$= 25\%$$

So, your FOIR is 25%. It means 25% of your monthly income is already committed to fixed obligations. If a bank follows a 50% FOIR limit, they may offer you a loan with an Equated Monthly Instalment (EMI) that doesn't exceed the remaining 25% of your income after considering fixed obligations.

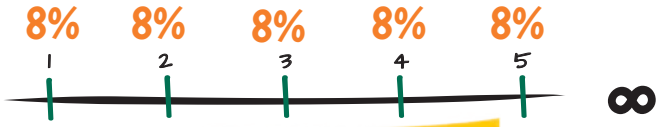
Join @Coursesdollar

c. Things you should know about Home Loans

i. Interest Rates

Home loans can be structured in 3 ways:
Fixed rate, Floating rate and Hybrid Structure Home Loan.

a. Fixed Rate Loans

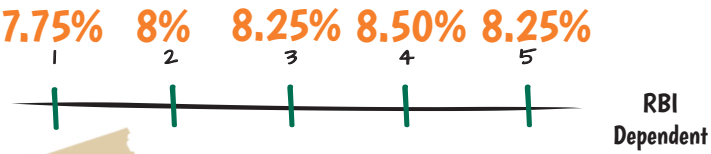


As the name suggests, fixed rate loans have a fixed interest rate throughout the tenure of loan.

But however, home loans are for very long periods and you won't find fixed rate loans at most financial institutions.

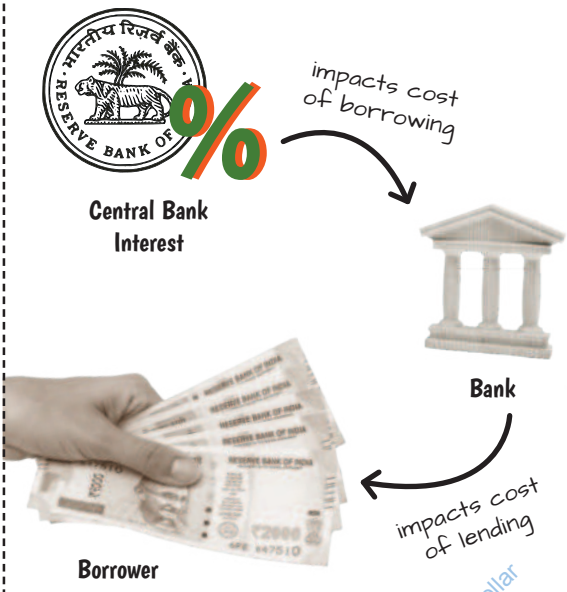
@Coursesdolla

b. Floating Rate Loans



Most banks offer a floating rate home loan. The rates of these loans depend on the interest rate set by our central bank (RBI). To simplify it let me explain it in a simple manner. Our central bank (RBI) changes interest rates from time to time, to manage the economy. There are a lot of factors based on which RBI decides to change the interest rates like inflation, foreign investments, private investments, stimulate economic growth, etc.

Join @Coursesdollar

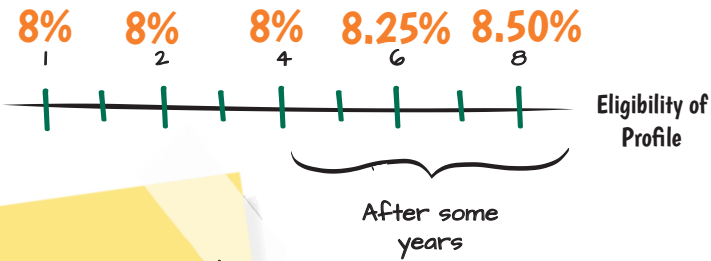


Now, depending on the rates set by the central bank, the rate at which banks get their own funds also changes. Hence, they change the rates at which they lend these funds to be able to earn a profit margin.

So, if the interest rates are increased by the Central Bank, the cost of funds for banks will also increase and hence, they will increase the rates of our loans to ensure they are earning a margin.

@Coursesdollar

c. Hybrid Loans



Home loans can be hybrid as well, in which the initial few years you are charged a fixed rate followed by floating rate for rest of the tenure. In a regime where interest rates are rising you can opt for these hybrid loans. However, these are not offered by all banks and depend on your profile and relationship with the bank.

Join @Coursesdollar

ii. Prepayment:

As the name suggests, prepayment means repaying a part of your home loan ahead of schedule.

According to the RBI, you won't face any prepayment penalty on floating rate loans, and most home loans are floating rate loans. So, you shouldn't face any penalties for prepaying a loan.

@Coursesdollar

But why should you care?

The interest rates for home loans are like the tide – they go up and down.

When rates rise, banks often don't increase your EMI but extend your loan tenure to adjust. This increases the total interest you pay on the loan significantly.

Join @Coursesdollar

Here's an example to help you understand better:

Amount	Interest Rate	Tenure	EMI	Total Interest Paid
₹ 20 Lakhs	7%	20 years	₹ 15,506	₹ 17 lakhs
For example, If you take a 20 lakh loan at 7% for 20 years your EMI will be Rs15,506 and you'd be paying a total of Rs17 lakh as interest.				
₹ 20 Lakhs	8.5%	30 years	₹ 15,378	₹ 35 lakhs
However, if the interest rate increases by 1.5%, then to keep your EMI roughly the same at ₹ 15,378, the tenure will have to be increased to 30 years and the total interest paid will be 35 lakh. This way your interest payout increases exponentially and you'd be paying your loan for a really long time. In such scenarios if possible you can prepay some of your loan so that the overall outstanding loan decreases.				
₹ 18 Lakhs	8.5%	20 years	₹ 15,340	₹ 21 lakhs
Say you can pay off 10% of the loan, then your outstanding loan decreases to 18 lakhs and at the increased interest rate of 8.5% and tenure of 20 years you'd be paying roughly the same ₹ 15,340 and total interest outgo is ₹ 21 lakhs. If you don't have any lumpsum amount then you can just try to increase your EMI amount or pay an extra EMI a year meaning 13 EMIs in a year. All this will pay off your principal portion of the debt, which will reduce the interest you need to pay in the longer run.				

Join @Coursesdollar

iii. Tax Benefits if you take on a home loan

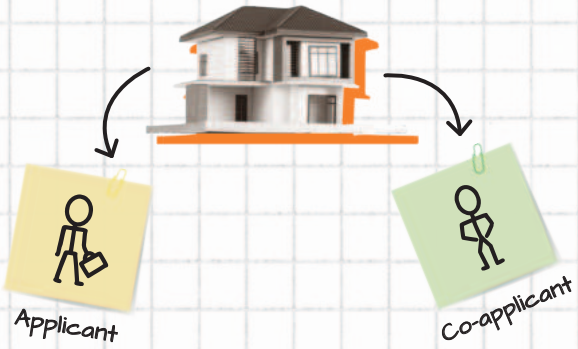
Deductions	Maximum Deduction	Section of the Income Tax Act	Terms
Interest	₹ 2 lakh	24b	For buying or constructing a new house which must be completed within five years from the financial year end in which the loan was availed.
Principal	₹ 1.5 lakh	80C	The sale of property should not be done before 5 years of possession is completed.
Stamp Duty on buying a house	₹ 1.5 lakh	80C	Should be claimed in the same financial year as it was spent.

*Interest paid during the construction period can either be deducted under Section 24b or added as cost of acquisition which will reduce the capital gains if the house is sold in future.

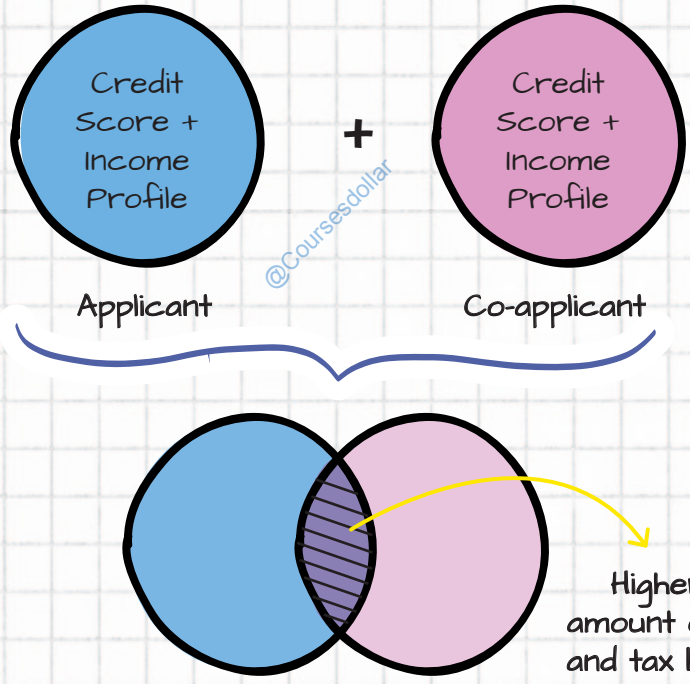
These are the tax benefits we get from Home Loans in the old tax regime. Because of these tax breaks the effective cost of home loan reduces, making it one of the cheaper loans out there.

iv. Joint Home Loan

A joint home loan involves sharing the responsibility of the loan with another person, your co-applicant. This arrangement allows you to combine your financial strength, increase your home loan eligibility, and even enjoy certain tax benefits twice. But who can be your co-applicant?



You can add a close relative, father, spouse, sibling as a co-applicant, even if they aren't co-owners of the property. This flexibility makes it easier to share the financial load.



When both you and your co-applicant apply for a joint home loan, the lender checks both your credit scores and income profiles. Based on this collective assessment, you might be eligible for a higher loan amount than if you applied individually. Plus, both of you can enjoy tax benefits, making it a win-win situation.

Other than close relatives, who else can be a co-applicant?

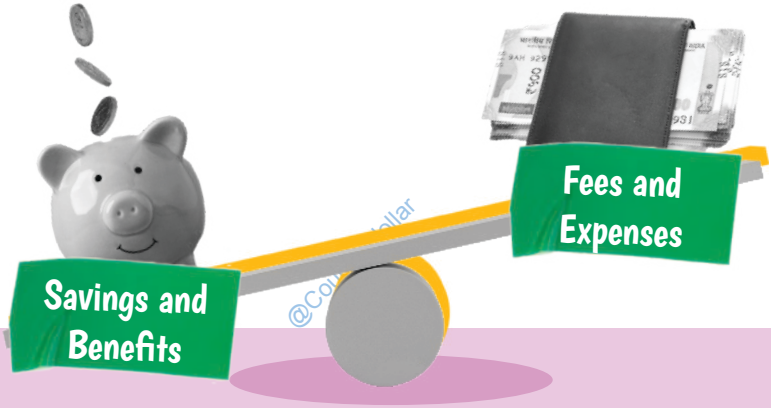
Individuals who are co-owners of the property can also be a co-applicant. Here, usually 4 to 6 people are allowed.

Join @Coursesdollar

v. Credit Score Negotiation

Home loans are long-term commitments, often stretching over decades. But what if your financial situation improves after you've taken the loan? Well, then you can renegotiate your interest rate!

How Does It Work?



If your credit score improves significantly, you can talk to your bank about lowering your home loan's interest rate. However, remember– the bank may charge processing fees and other costs for this service.

So, before you make a decision, it's essential to weigh the costs and benefits. Calculate how much you'll save on reduced interest payments versus the fees and charges. If the savings are greater than the costs, it might be a smart move.

What If Your Bank Says No?

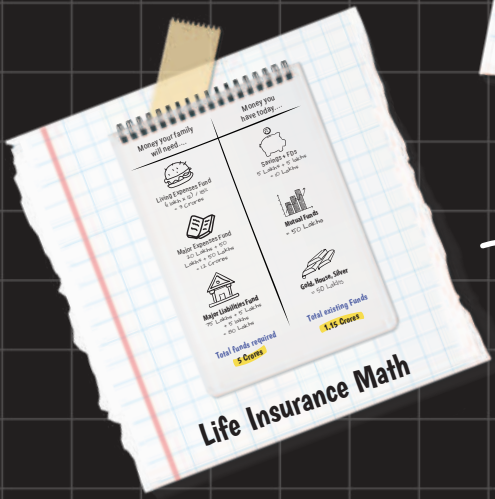
You can also take advantage of offers from other banks to negotiate a better deal with your current bank. If that doesn't work, you always have the option to switch banks. However, do keep in mind the associated charges.

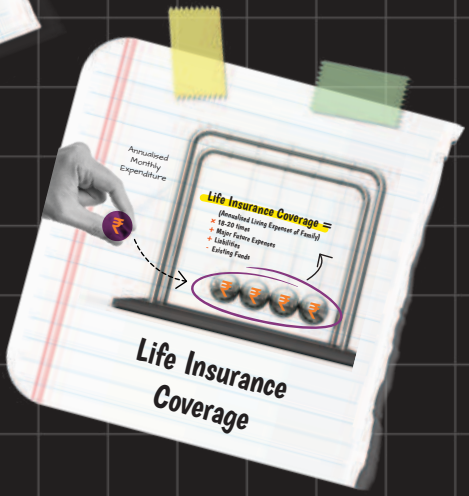
In conclusion, during the tenure of the home loan, if you see your financial health improving significantly, do approach your bank to revise your interest rate for the home loan.

Join @Coursesdollar

@Coursesdollar

Join @Coursesdollar





Join @Coursesdollar

4

Protect

Chapter 6 - Emergency Funds
Chapter 7 - Health Insurance
Chapter 8 - Life Insurance

Join @Coursesdollar

Chapter 6

Emergency Funds

Join @Coursesdollar

Emergency Fund

What is it?

Why do you need it?

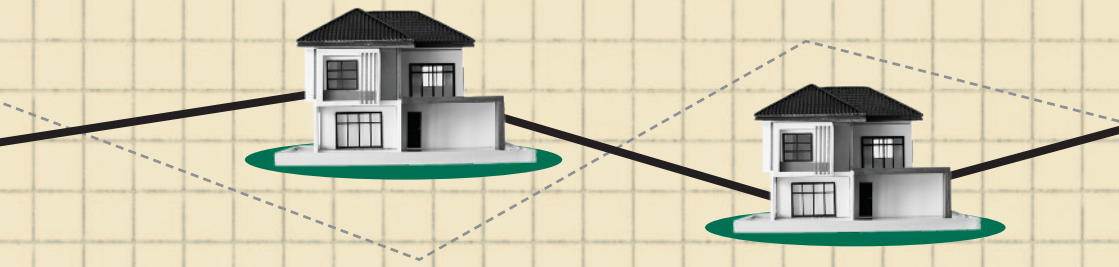
How much should it be?

Where should you invest?

Let's find the answers one by one!

Join @Coursesdollar

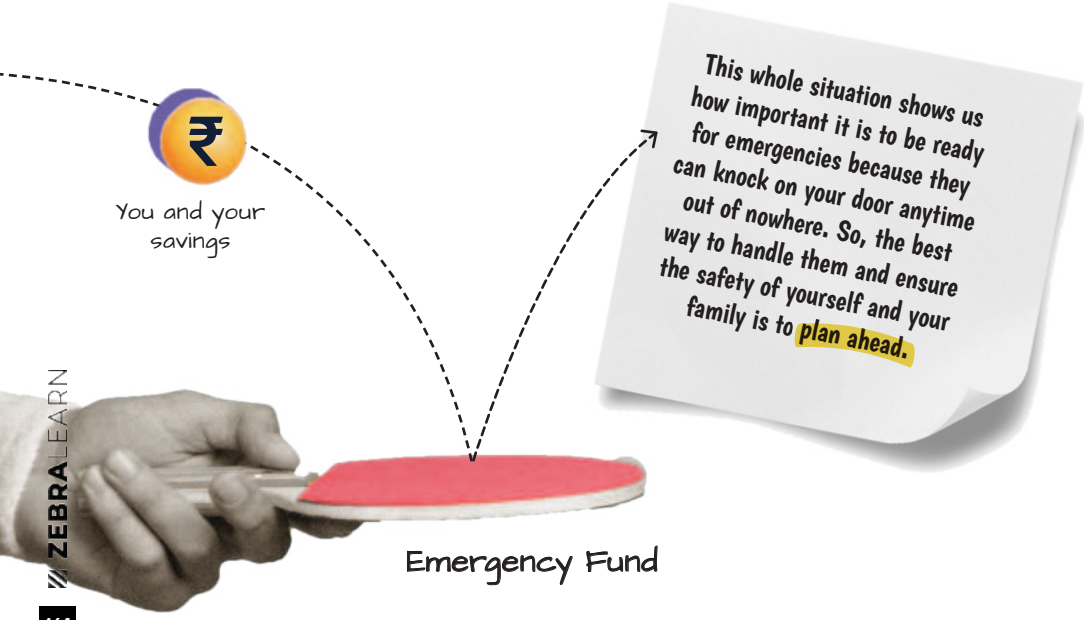
1. Introduction



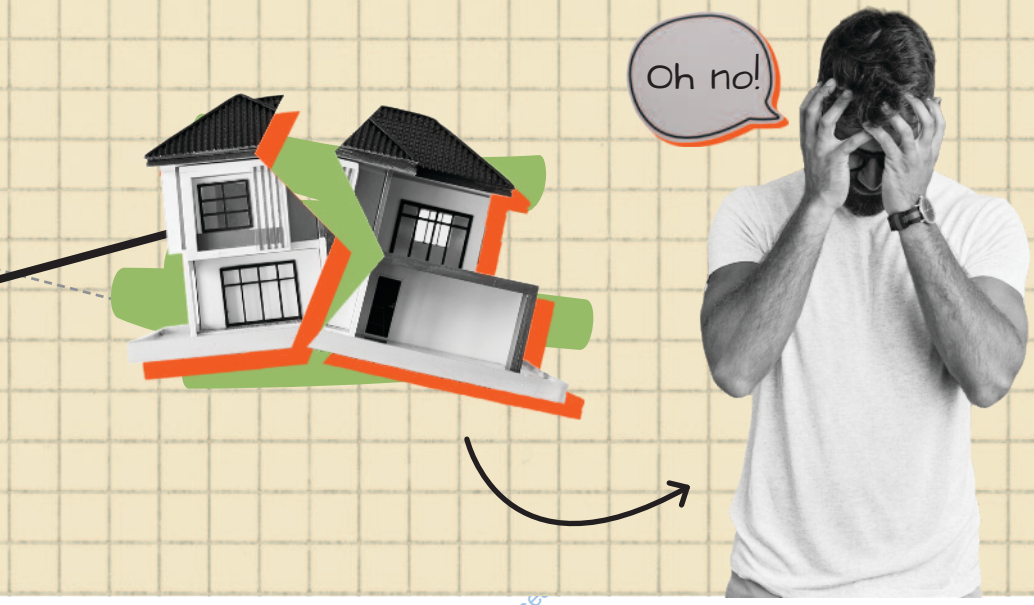
Life can be pretty unpredictable. Imagine, getting hit by a massive earthquake that makes your flat unsafe to live in.

@Course

Sounds like a nightmare? Sadly, this happened to my own uncle. To make matters worse, redevelopment of his home would take several years. So, he had no choice, but to find somewhere else to live and had a series of unexpected expenses lined up.



Join @Coursesdollar



@Course

Enough cash saved up

Emergencies easily drain savings

Taking proactive steps against potential risks

And if you're thinking,
"I have enough savings, so I should be fine, right?"

Well, having savings is definitely great, but some emergencies can easily drain your pocket and leave you struggling hard to stay afloat. This is where taking proactive steps against potential risks, such as unexpected medical expenses, loss of income, etc.

Join @Coursesdollar

So, "What exactly should I do to protect myself & my family from some unforeseen financial troubles?"

It's simple, develop your financial safety net. Think of it like a shield or umbrella that protects you on a rainy day! Without this net, you are open to various financial risks that can lead you into debt and stress.

@Course

Your financial safety net should have these three important things:

- Emergency Fund
- Health Insurance
- Life Insurance

Join @Coursesdollar

But inn sab ki actual mein koi need hai? Let's see -"

- **An emergency fund** acts like a comfy cushion against those extra emergency expenses,
- **Your health insurance** provides coverage for unexpected medical bills and hospitalization costs, and
- **Life insurance** keeps your loved ones financially safe in case of your untimely death.

However, for these tools to work, you need to have a proper financial plan and understanding of each. In the upcoming sections, we'll explore the importance of each financial safety net component, how we set them up, and other info you need, to make smart decisions.

Let's Start?

Join @Coursesdollar

2. Emergency Funds

Ever faced an expense out of the blue that caught you off guard?

@Coursesdollar

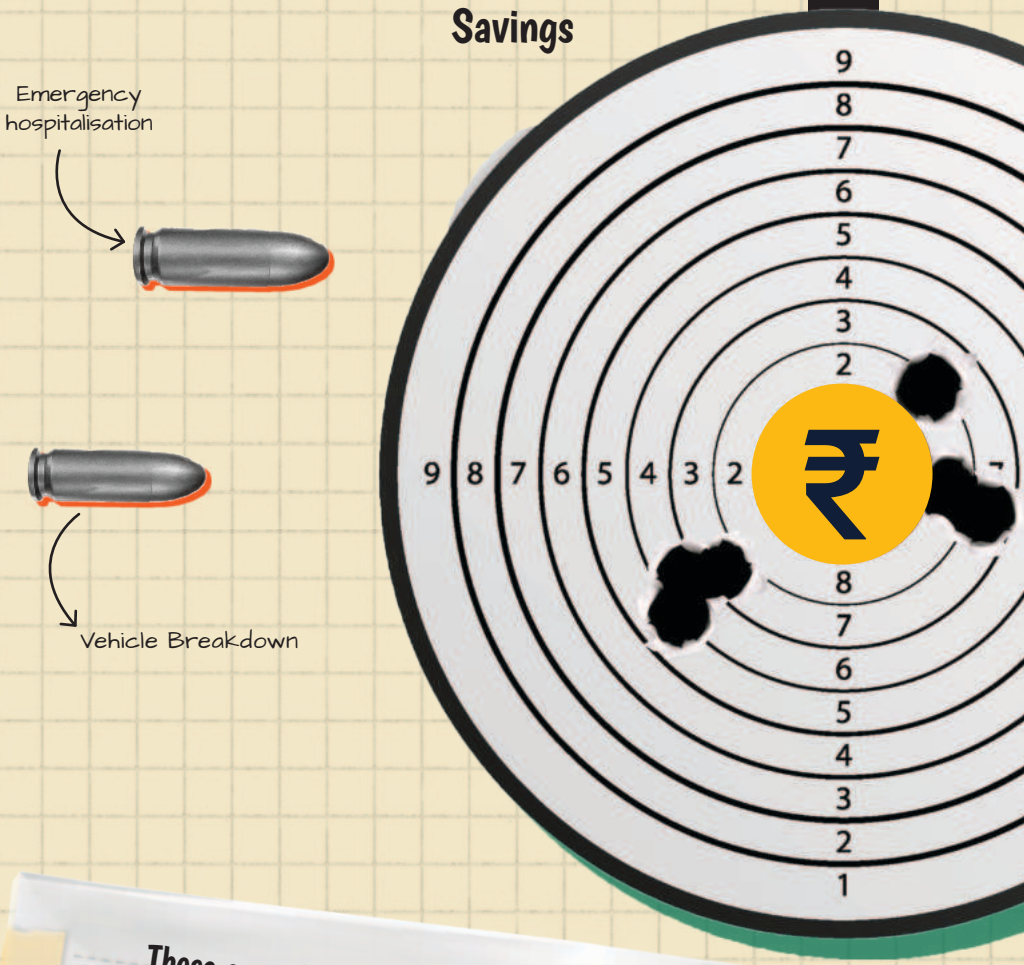
Unexpected expenses come, well, unexpectedly,

and can easily put a dent in your finances, if you don't have a prepared plan to deal with them, they can lead to further financial distress.

- **Urgent Repair and Maintenance of House:** You find out that there is leakage in the plumbing system and it needs a complete overhaul. This is an unexpected expense, now you need to figure out how to pay for it without messing up your monthly budget.
- **Emergency hospitalization:** God forbid, but a loved one gets in a car accident and needs to be hospitalised. The ambulance takes them to the nearest hospital, but the hospital does not have cashless claim facilities. So, you'll have to pay for their treatment now, then file a claim with your insurance company for reimbursement, requiring you to pay a large sum of money.
- **Vehicle Breakdown:** Unexpectedly, your brakes stop working. Upon inspection, you discover that rodents have chewed away electric wires and brake lines. Unfortunately, insurance won't cover this, and you'll have to spend money out of your pocket.

Join @Coursesdollar

Anushka Rathod



These are a few cases where having an Emergency Fund can help you out. It can give you much-needed liquidity and a bit tasali during uncertain times. Let's understand more about these Emergency Funds.

Join @Coursesdollar

1. What is it?

An emergency fund is a "must-have" part of any financial plan. It's an amount of budget that you set aside specifically for unexpected expenses or financial emergencies. This includes all the worst scenarios such as losing your job, having to pay for an unwanted medical expense, or repairing your car or home etc. By establishing an emergency fund, you get funds available during times of financial runout, so you don't need to obtain high-interest loans or sell investments at a loss and take a hit.

Join @Coursesdollar

2. Why do you need it?

"I invest all my money in stocks and they're liquid, fir toh koi problem nahi honi chahiye."

Problem hai!!

During a financial emergency, having immediate access to funds is a must.

@Coursesdollar

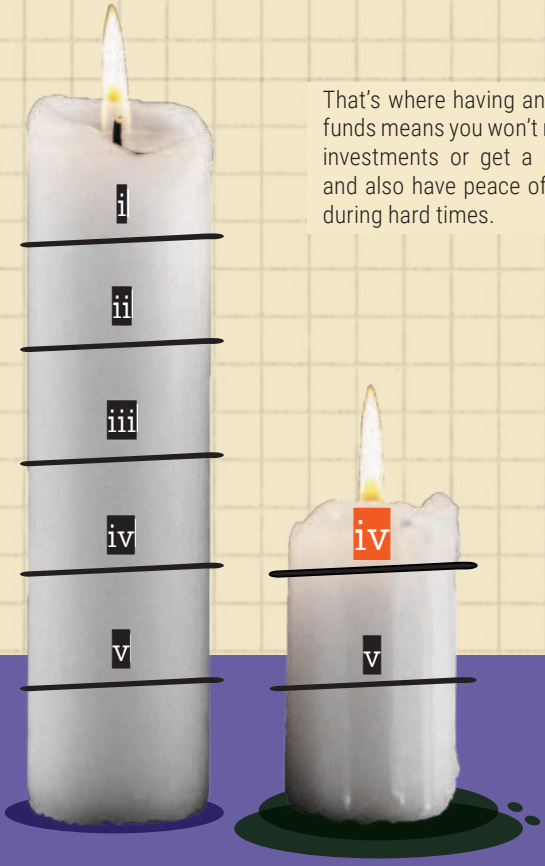
Suppose, you invested all of your savings in the stock market, but then an unexpected bill lands over. Unfortunately, the stock market is at a low at that point, and selling your investments means selling them at a loss!

Here, without an emergency fund, you'd be stuck with no choice but to cash out your stocks at a bad time.

Join @Coursesdollar

Worse, say you have invested all your savings in a PPF account. You can't withdraw those funds before 5 years and an emergency happens in the 4th year. Here, despite having savings, you might end up taking out a loan to fund your expenses.

That's where having an emergency fund with liquid funds means you won't need to touch your long-term investments or get a high-interest personal loan, and also have peace of mind and financial stability during hard times.



Join @Coursesdollar

3. How much should it be?

Having an emergency fund is vital for financial stability, but figuring out the right amount to save can be tricky.

While the general rule of thumb is to save **6-12 months** worth of your monthly expenses, the ideal amount you need depends on your individual circumstances.

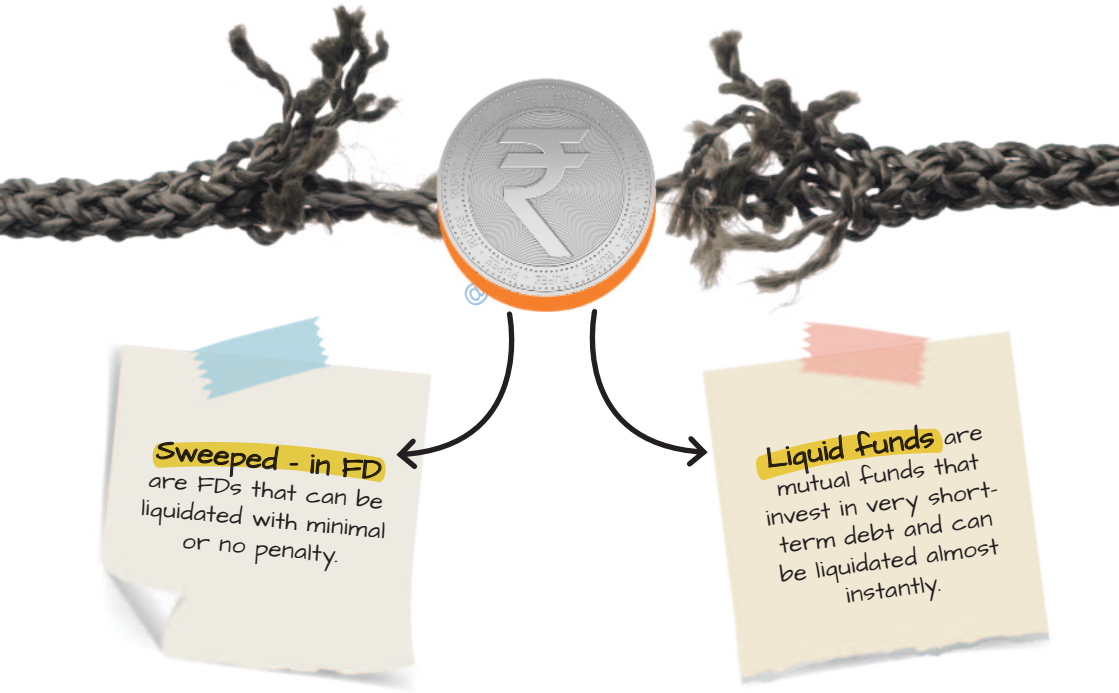
One of the main factors to consider is your income. If you have a steady, reliable income, you may be able to get by with a smaller emergency fund. On the contrary, if your income is variable, it's wise to aim for a larger emergency fund to shield yourself during leaner times.

Join @Coursesdollar

4. Where should you invest?

Now, for emergency funds, keeping your hard-earned money in a safe and easily accessible place is a must. For this, high-yield savings accounts, Sweep in FDs and liquid funds are all pretty good options to consider.

"Sweeped-in FDs or Liquid funds?"



For a more detailed explanation of these options refer to the "Grow" section in the coming chapters.

Also, keep in mind other assets and facilities that you can use during an emergency for funds. For example, if you have any FD, ask your bank what are the charges of OD and if they are not considerable you can use that OD for emergencies. If you have Mutual funds, stocks, or life insurance then you can also consider taking a loan against them. Remember this is for emergencies when you need money for a shorter duration and you don't want to liquidate your assets.

Join @Coursesdollar

@Coursesdollar

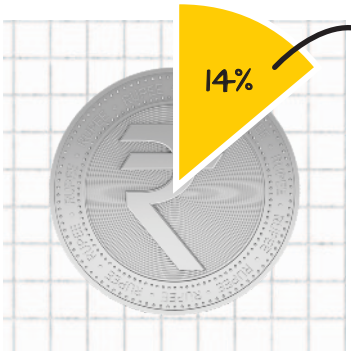
Join @Coursesdollar

Chapter 7

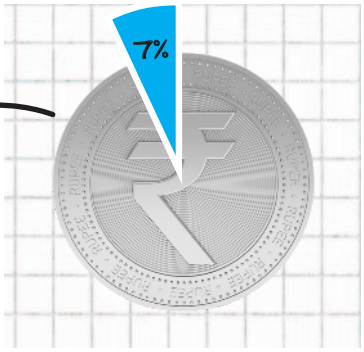
Health Insurance

Join @Coursesdollar
Anushka Rathod

HEALTH INSURANCE



Medical emergencies can easily ruin your finances, especially in a country like India where medical inflation is high at 14%.



@Coursesdollar

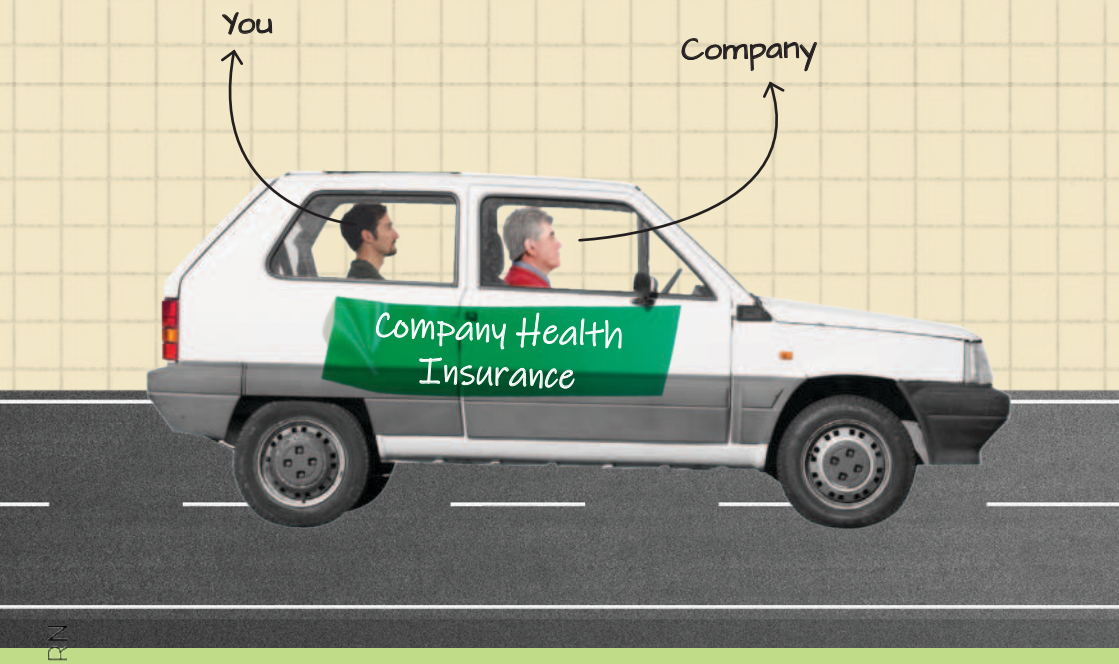
According to a report, 7% of the population is pushed into poverty every year due to medical debts.

Moreover, with the government schemes being limited and not covering most individual, leaves us with no choice but to pay medical bills ourselves.

Just imagine paying for a medical bill that's more expensive than a luxury car.

Join @Coursesdollar

Now, if you're thinking, "Man, I have insurance from my employer, do I really need personal health insurance?" The answer is **YES**. Let me share some reasons why you still need separate health insurance even if you get the corporate health insurance.



Join @Coursesdollar

- The company's health insurance covers you only as long as you work with the company. Once you quit or get laid off, you won't be covered.
- After retirement, you mostly will not be covered under your company's health insurance policy. As you get older personal health insurance gets costlier, so it is better to take it while you're young.
- Your Employer has the power to change the policy or coverage at any time and you have no say in it.
- You might not be able to get the required coverage for your family to adequately protect them.

I hope you are convinced to buy a health insurance policy ASAP! Now, let us understand how much coverage is needed and other things to keep in mind while buying a policy.

Join @Coursesdollar

1. Where to buy?

In the past, most of us used to get insurance policies through agents, but with digitalization, things have changed.

Now, more and more people prefer to buy insurance policies directly from insurance companies online.

Though insurance agents can help you find a policy suitable for your needs and deal with the claims process, buying policies online is usually 10%-15% cheaper.

So then where do we buy it from?

Here, are a few factors you need to consider when buying policy:

- Assistance during claims and policy changes.
- Cost of premiums.
- Options between policies.
- Level of your knowledge on how to select a policy.

Join @Coursesdollar

Different mediums offer different value adds, let's break them down.

a. Insurance Agents

Insurance agents are licensed professionals who sell insurance policies and offer advice to clients. Typically, they're affiliated with one or more insurance companies and work on commission.

@Coursesdollar

Pros

- Personalized service and advice from a licensed professional.
- Ability to build a relationship with your agent over time.
- Assistance with claims and policy change.

Cons

- Potential for bias towards a few insurance companies that they represent.
- May prioritize their commission over what is best for the client.
- Some Agents might disappear during the time of claims.

Join @Coursesdollar

b. Through Banks

Your bank relationship manager might pitch you to buy insurance plans from their sister companies.

Pros

- Exclusive discounts or features.
- Simple and time-saving process.

Cons

- Limited service and claims assistance.
- Limited choices due to specific tie-ups.
- Possibility of mis-selling products to fill quota/earn commission.

c. Group Insurance Policies by Banks

You can opt for these group policies if you are an account holder of the respective bank. This can be a good option for those individuals who are not getting policies elsewhere.

Pros

- Can get heavy discounts.
- Renewal of policy is convenient.
- Exclusive discounts or features.
- Simple and time-saving process.

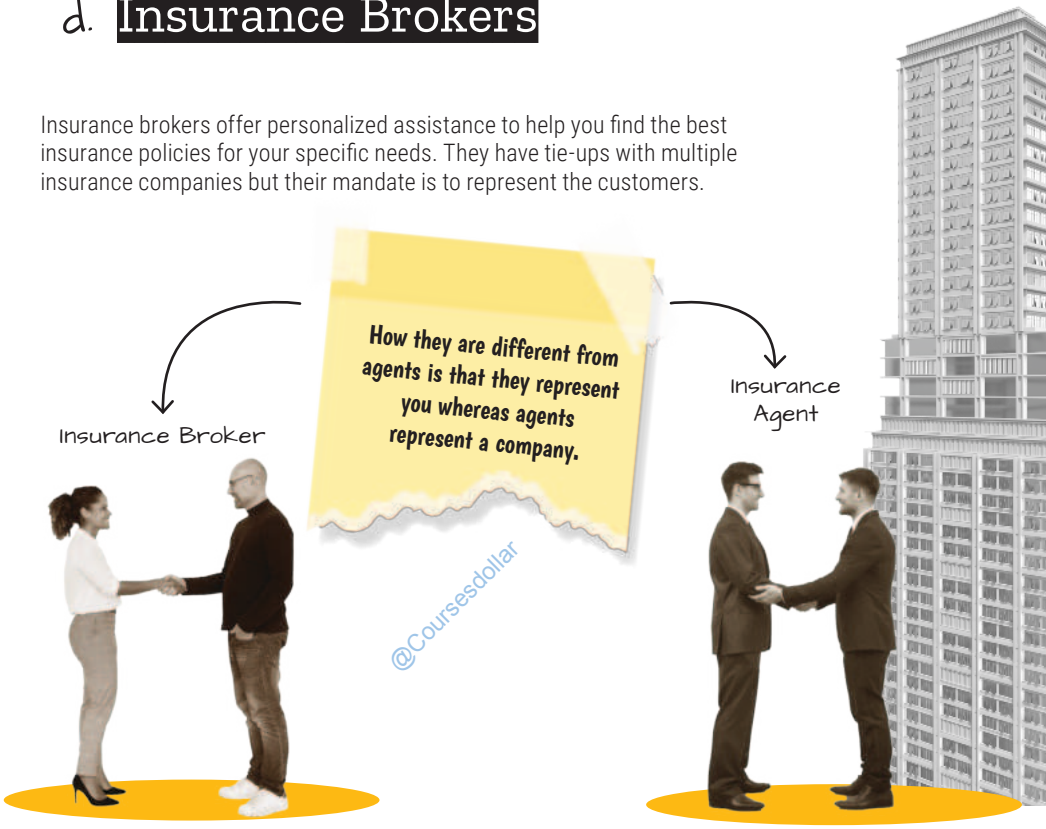
Cons

- The coverage might not be enough.
- The policy cannot be customized.
- Limited Options are available.
- Limited service and claims assistance.

Join @Coursesdollar

d. Insurance Brokers

Insurance brokers offer personalized assistance to help you find the best insurance policies for your specific needs. They have tie-ups with multiple insurance companies but their mandate is to represent the customers.



Pros

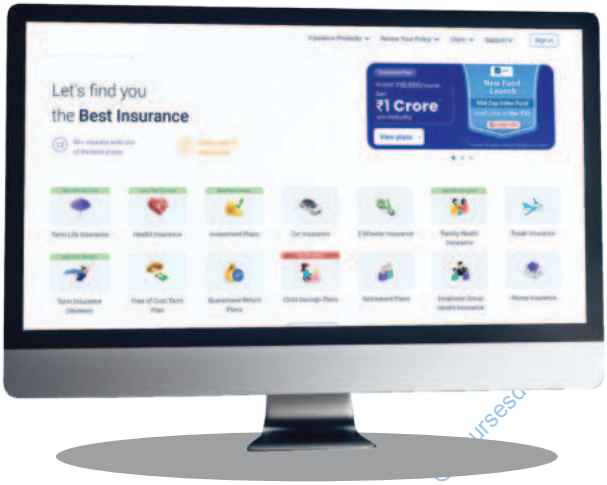
- Time-saving and accurate information.
- Possibility of getting better deals on premiums.
- Possibility of getting assistance during claims.
- They will understand your needs and accordingly suggest policies.
- Will consider policies across companies, not limited to just a few companies.

Cons

- Possibility of pushing policies that offer higher commissions, rather than the best fit for the customer's needs.

Join @Coursesdollar

e. Online Insurance Aggregators



Aggregators are online platforms where you can compare insurance products from different companies and purchase policies.

Pros

- Ability to compare products across companies online.
- Potential to receive exclusive discounts, special services, and offers for certain products.

Cons

- Some aggregators may not be well-equipped to handle post-sales and claims services.
- Possibility of receiving multiple marketing and sales calls.
- Risk of being pushed towards products that may offer higher commission to the aggregator.

f. Insurer Website

If you buy insurance directly from the insurance company's website it can be cost-saving since it eliminates the need for intermediaries who receive commission. As per industry guidelines, it's compulsory for insurance companies to pass on saved commission to the customers. Hence, you might get up to 10% -12% discount on your premiums.

Pros

- Might offer exclusive benefits and discounts not available elsewhere.
- No involvement of middlemen, which could lead to lower premiums.

Cons

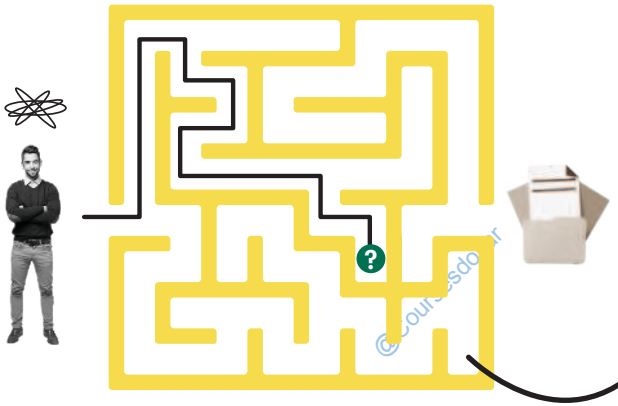
- Cannot compare products across different companies automatically
- Little to no assistance in filing claims or navigating complex insurance processes.

Join @Coursesdollar

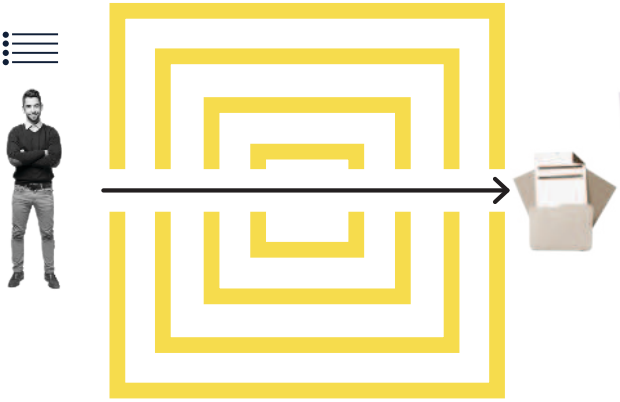
2. Things to Consider While Selecting Health Insurance

Everything looks good in policies, except the-

"Clauses and T&C"



The moment I look at policy documents with all the clauses and terms & conditions my head spins! Just why can't they make these policy papers a bit reader-friendly?



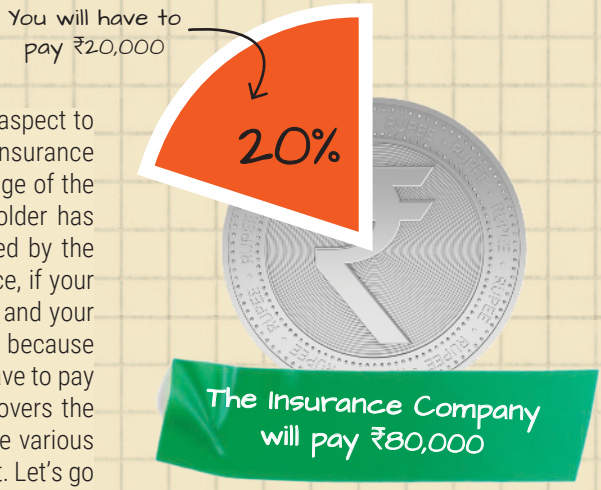
Well! Until they sort this out, here are a few things you should look out for or ask your agent while buying a policy. This will unveil the coverage and protection you're getting, so you can make informed decisions instead of being left in the dark.

Do note here, these terms might have a different name in policies. If in doubt, you can ask your agent/broker/company to break it down for you.

Join @Coursesdollar

Shuru karien!

a. Co-Pay



Co-pay or coinsurance is a key aspect to look at when getting a health insurance plan. Basically, It's the percentage of the medical costs that the policyholder has to bear while the rest is covered by the insurance company. For instance, if your policy has a 20% co-pay clause and your medical bill is INR 1 lakh. Then, because of this co-pay clause, you will have to pay INR 20,000, while the insurer covers the remaining INR 80,000. There are various co-pay clauses out in the market. Let's go through them one by one!

01. Medical Conditions Related Clause

If you have pre-existing diseases, critical illnesses, or other health conditions, your insurer may levy a co-pay clause for certain related illnesses since the probability of you making a claim increases.

Join @Coursesdollar

02. Age-related Clause

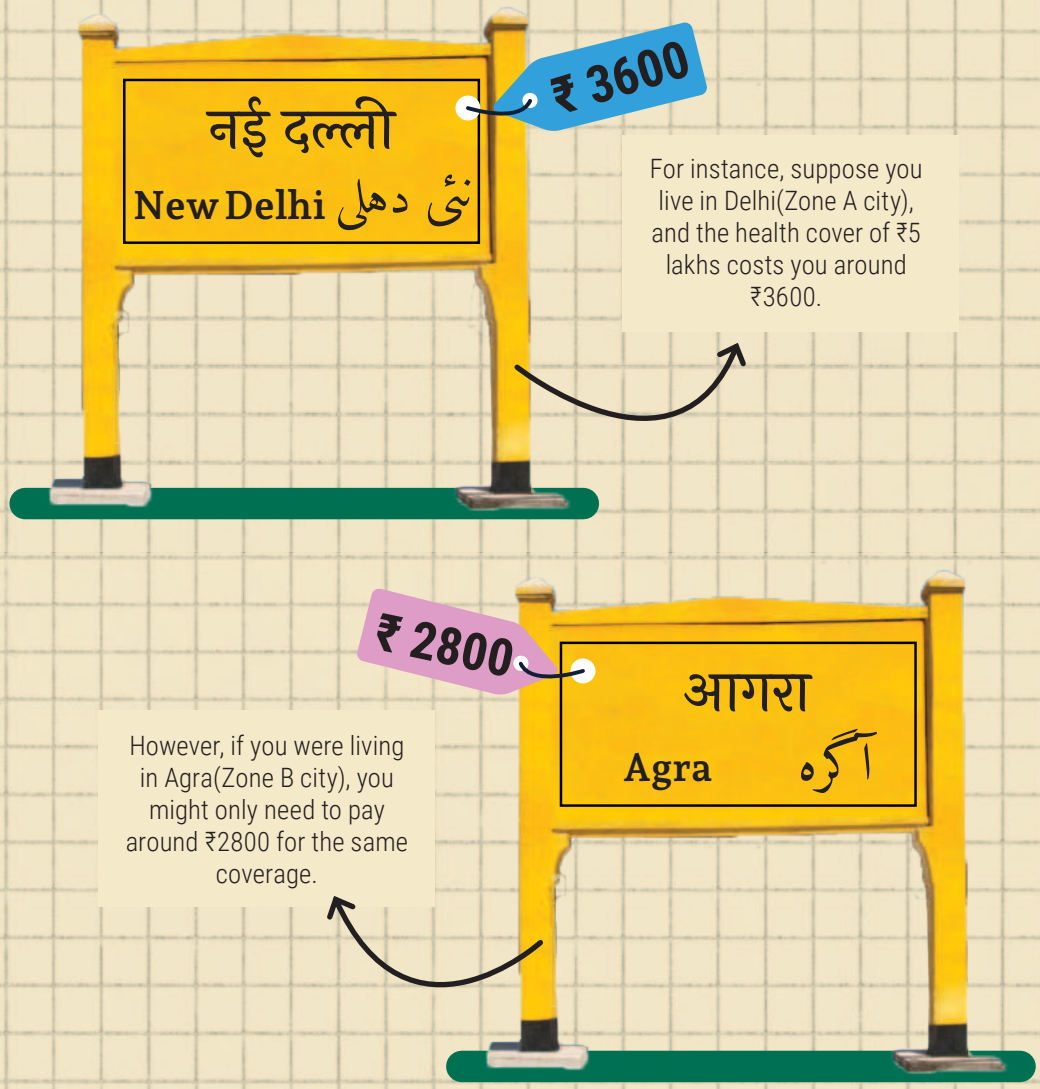
As you get older chances of getting health issues go up, and so do the treatment costs. To manage this risk, Insurers might apply a co-pay condition according to your age.

03. Location-Related Clause

Metro cities are usually the first choice for getting the best treatment and who doesn't know about their high costs? So, if you reside in Tier II or other cities and got your insurance there then, your insurer might impose a copay clause to cope with high treatment costs of big cities.

When buying health insurance, it's important to know how your insurer categorizes different cities (usually categorised under different zones) and where you're located.

Join @Coursesdollar



For instance, suppose you live in Delhi(Zone A city), and the health cover of ₹5 lakhs costs you around ₹3600.

However, if you were living in Agra(Zone B city), you might only need to pay around ₹2800 for the same coverage.

Hence here if you have insurance from a zone B city which is ranked lower than zone A by your insurer then you might have a co-pay clause for treatments done in zone A cities.
So, when you get your policy try to get it without such a co-pay clause.

Join @Coursesdollar

b. Waiting period in Health Insurance

The second key aspect is the Waiting period, and it can vary from insurer to insurer.

The waiting period in health insurance refers to the period during which you can't raise a claim against your policy.

When you're picking out health insurance, make sure you go for a plan with zero or least waiting period.

Types of Waiting Period:

- Initial Waiting Period
- Pre-existing diseases waiting period
- Waiting Period for a Specified Disease
- Waiting Period for Maternity Expenses

Let's discuss them one by one!

Join @Coursesdollar

01. Initial Waiting Period

Also known as the free look period refers to the period for which you have to wait before the health insurance policy becomes active. It is usually 30 days. You also have the right to cancel your insurance policy without any penalty during this period.

02. Pre-existing diseases waiting period

When you buy a health insurance plan, you have to disclose any pre-existing diseases or health conditions. Pre-existing condition refers to any ailment, injury, disease or health condition that is diagnosed up to 48 months before you purchased the health insurance policy.

Join @Coursesdollar

03. Waiting period for a specified disease

For some specific illnesses and diseases which are declared while buying the policy itself, there can be an added waiting period. Make sure to check for these!

04. Waiting period for maternity expenses

Not all health insurance plans cover maternity expenses in their policies. But comprehensive health policies allow you to get benefits for maternity expenses too. However, insurance companies levy a waiting period before you can make a claim for maternity expenses under your health insurance plan.

Generally, the waiting period for maternity expenses is 9 months to 4 years. So you will have to wait for that duration to end to make a claim for maternity-related expenses.

Join @Coursesdollar

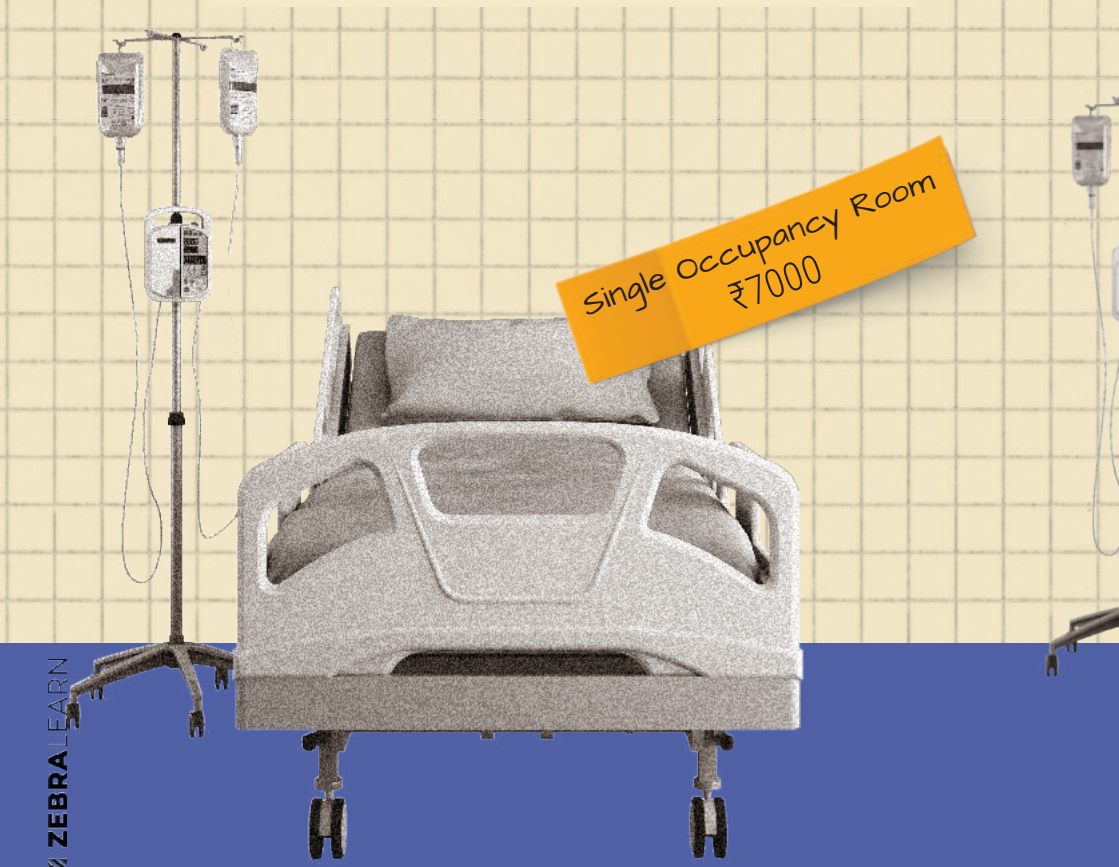
c. Sub-Limits

Sub-limits are the maximum amount that the insurance companies will pay for certain medical expenses. This includes limits on room rent, ambulance charges, doctor visit charges, hospital cash and specific treatments. If your medical expenses exceed these limits, you will have to pay the remaining by yourself. Therefore, it's important to check the sub-limits in your policy and preferably take a policy which doesn't have any.

Join @Coursesdollar

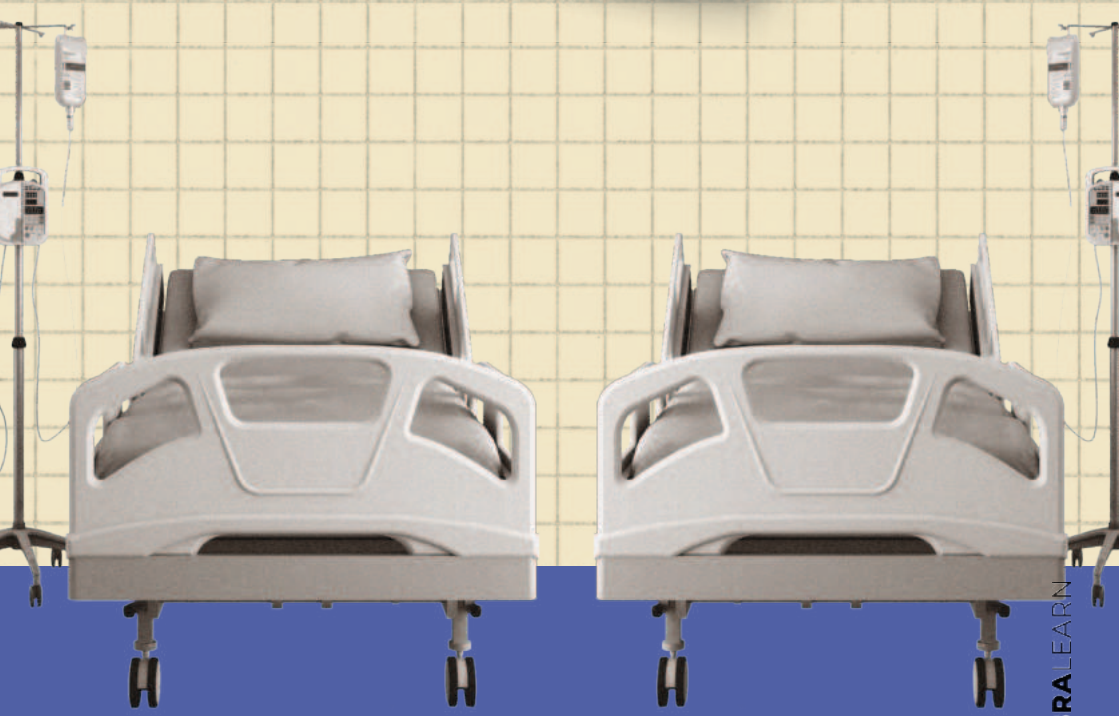
Room Rent Limit & Proportionate Deduction

This is an important sub-limit that I want to discuss in detail. Insurance policies often have a cap on the type of room you can choose or the amount spent on room rent. If you exceed this limit and opt for a high-cost fancier room, you'll have to pay the extra cost yourself. Plus, the insurer will also not cover other expenses proportionally.



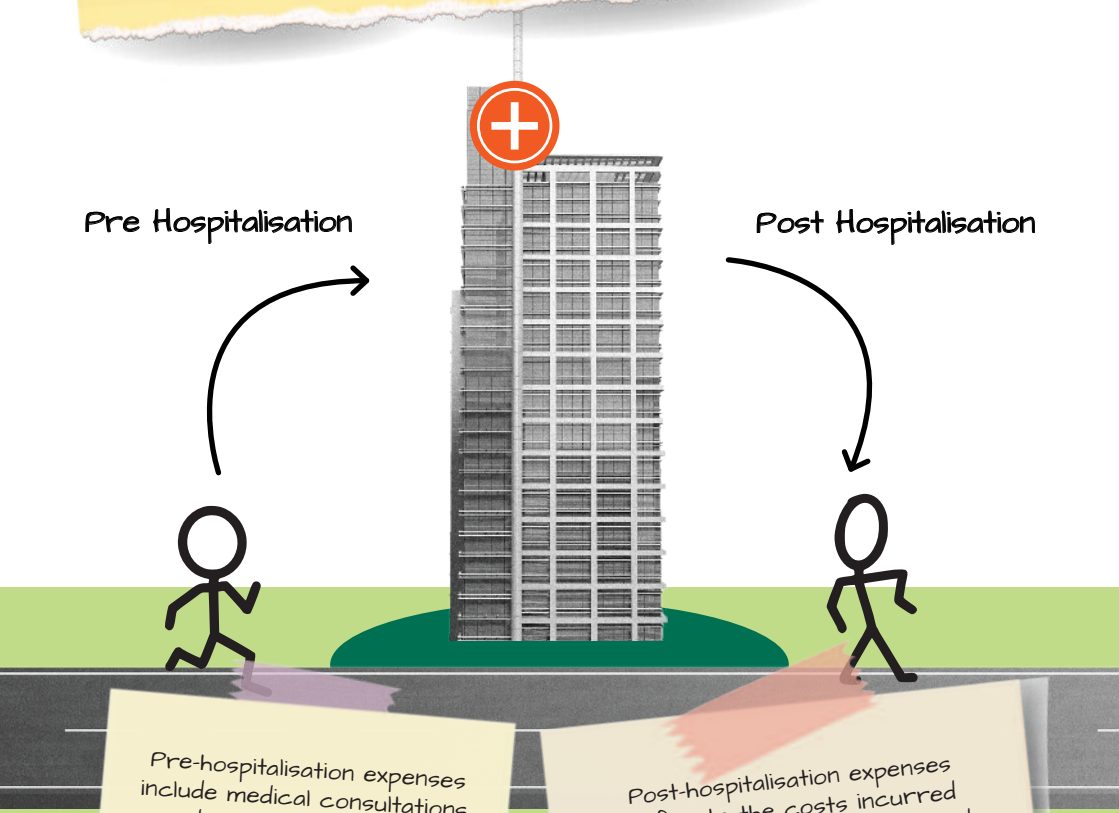
Join @Coursesdollar

For instance, suppose you need to be hospitalized and you opted for a single occupancy room of ₹ 7000 while your policy only covers a double occupancy room up to ₹ 5000. So now, only 5/7th of your other expenses will be covered and rest will have to be paid out of your pocket!
So, BEWARE of these limits.



Join @Coursesdollar

d. Pre and Post-Hospitalisation



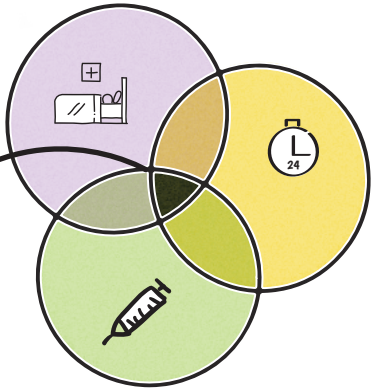
Pre-hospitalisation expenses include medical consultations, diagnostic tests, and medications that are incurred before a patient is admitted to the hospital. Most insurance policies offer coverage for expenses for up to 30 days prior to hospitalisation.

Post-hospitalisation expenses refer to the costs incurred after the patient is discharged from the hospital, such as medical tests, follow-up and consultations. Typically, most insurance companies provide coverage for these expenses for a period of 45-90 days post-discharge. Also check what is the scope of coverage, as ideally there shouldn't be any limits.

When buying a health policy, don't forget to check if it includes coverage for both pre and post-hospitalisation expenses as they can add up to a significant amount.

Join @Coursesdollar

e. Day Care Procedures



Day care procedures are medical treatments that need less than 24 hours of hospitalization. These procedures are different from regular doctor consultations or small treatments that don't require hospitalization.

@Coursesdollar

Hospitalisation

<

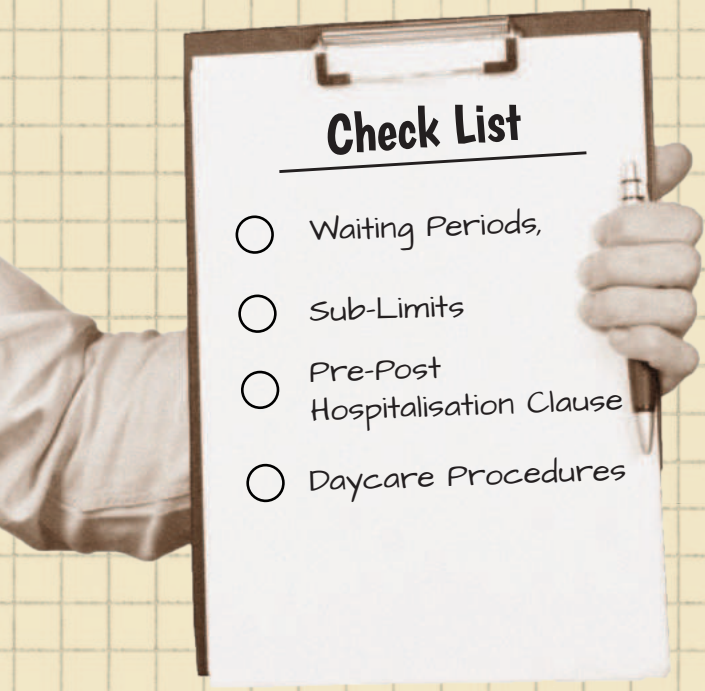
24 hours

Thanks to advances in technology, many surgeries now fall under day care procedures, including cataract operations, chemotherapy, radiotherapy, dialysis, and tonsillectomy.

It's important to note that standard health insurance policies only cover hospitalization if you're admitted for more than 24 hours. So, to avoid paying for these procedures, make sure your policy has a daycare procedure clause.

Join @Coursesdollar

Your checklist for buying Health Insurance.



Join @Coursesdollar

These are a few things that you should consider in your Insurance Policy. Again, policies can be confusing, so don't be afraid to ask a BROKER or financial advisor for help.

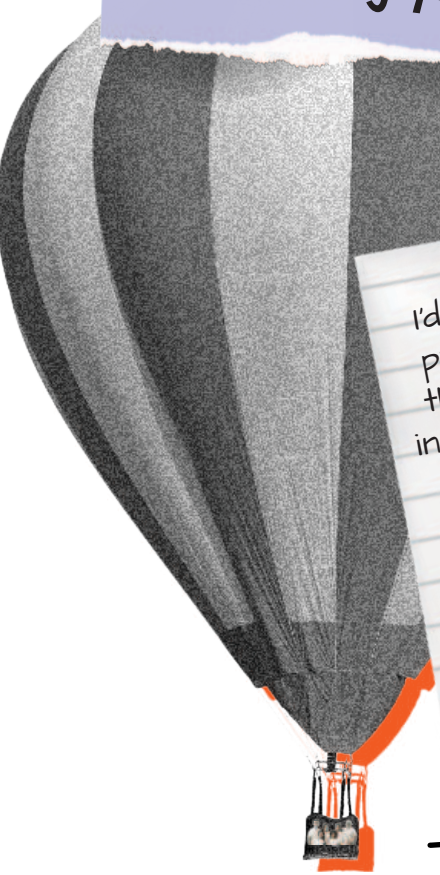
They might charge you, but abhi ka thoda amount baad ke bade-bade bills se toh bachayega.

However remember, just because you are consulting someone, don't be lax; there are chances you might get sold something because of big commissions. So, ask them lots of questions and try to understand your policy thoroughly. As you know your needs best, and with their help, you can easily find the right policy that suits you.

Also, after you buy your policy you also need to annually review it as your premiums will change with time and IRDAI, which is the regulatory authority for Insurance in India keeps changing norms so accordingly the coverage of your policy and inclusions might also change.

Join @Coursesdollar

3. Insuring your Family



I'd like to think my dad did a pretty good job at ensuring that his family had adequate insurance coverage. I've seen my grandfather's critical illness, my mother's surgery, and my younger sister's hospitalization for dengue getting paid for majorly by insurance.

Grandparents with individual policies

Parents and Children under Family Floater plan

My dad insured my mum, my younger sister, and me under one family floater plan and my grandparents with their own individual policies.

Join @Coursesdollar

Why did he do this, and What are family floater plans? Let us explore them in this section.

A Family Floater Plan is a type of health insurance policy that covers multiple members of a family under a single policy. This means in case of hospitalization or medical urgency, the policy's sum insured can be used by any family member. Generally, the premium of family floater plans is lesser than the combined premium of individual health policies for each family member.

@Coursesdollar

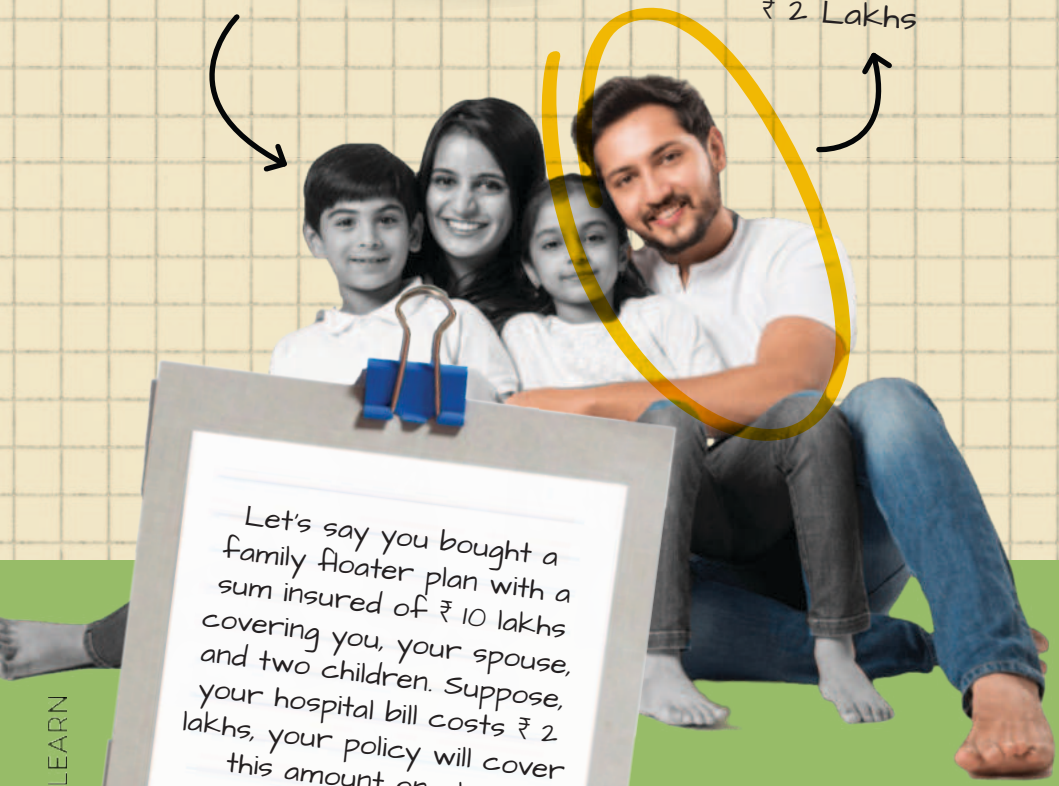
For instance, a young couple in their early 30s could get a floater plan with a coverage of ₹ 10 lakh for just ₹ 14,000 a year. However, if they went for two individual policies with ₹ 5 lakh each, they'd have to pay a total ₹ 20,000 a year. So, opting for a floater plan can turn out to be cost-effective. Thus, making it convenient and cost-effective for families who want to ensure all members are covered under one plan.

Join @Coursesdollar

a. How does it work?

Family Floater Plan = ₹ 10 Lakhs

Hospital Bill = ₹ 2 Lakhs

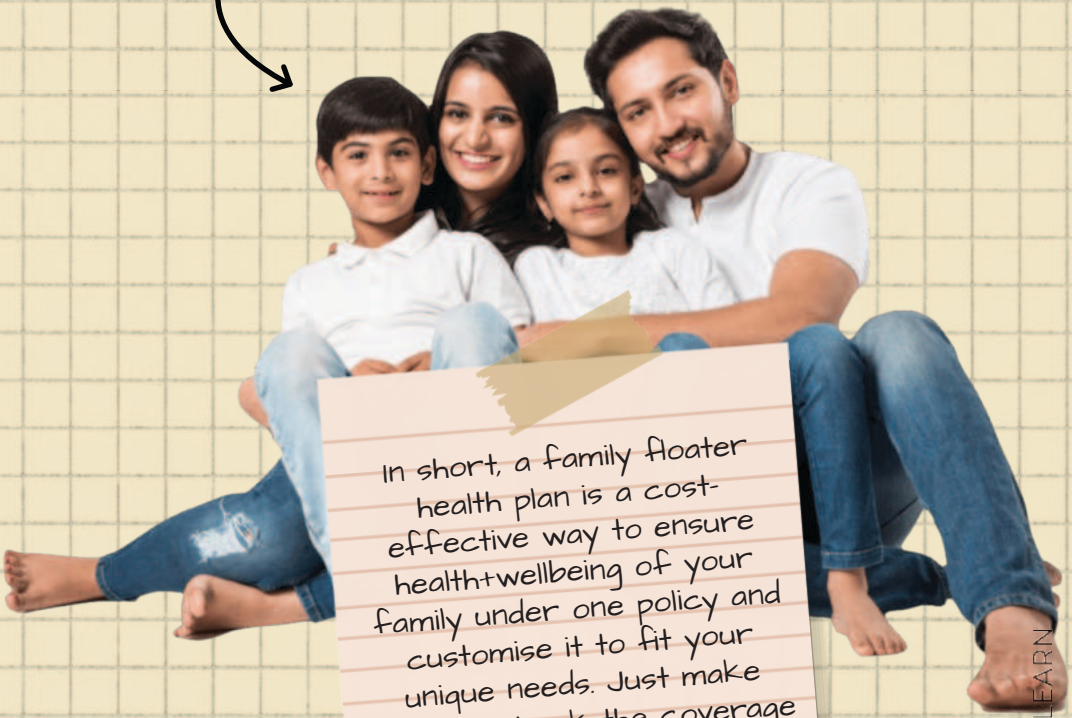


Let's say you bought a family floater plan with a sum insured of ₹ 10 lakhs covering you, your spouse, and two children. Suppose, your hospital bill costs ₹ 2 lakhs, your policy will cover this amount on claim.

Join @Coursesdollar

Now, the remaining ₹8 lakhs can be availed by you or anyone on the policy during that year.

Family Floater Plan = ₹ 8 Lakhs



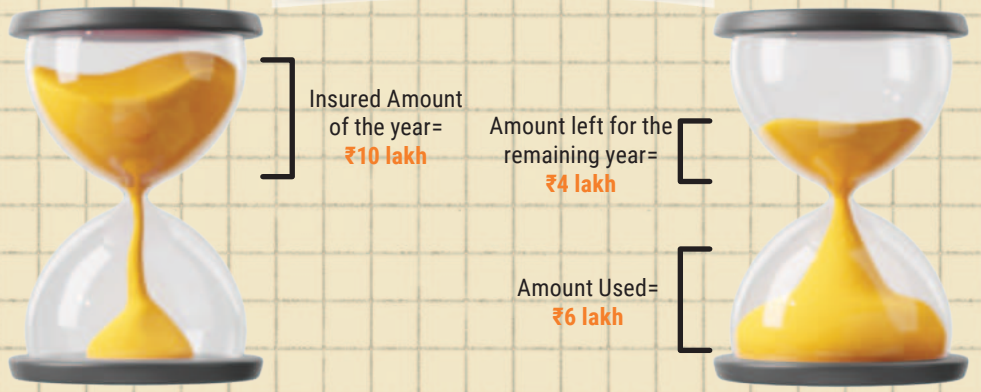
In short, a family floater health plan is a cost-effective way to ensure health+wellbeing of your family under one policy and customise it to fit your unique needs. Just make sure to check the coverage and exclusions of the policy before purchasing.

Join @Coursesdollar

b. Cons of Floater Plans

01. The sum insured is not fixed for each member.

Let's say you have a ₹ 10 lakh floater health insurance policy for yourself, your spouse, and two children. If you get hospitalized for a treatment of ₹ 6 lakh, this sum will be covered by the policy. But, for the rest of that year, the coverage amount for everyone in the policy will be reduced to ₹ 4 lakh.

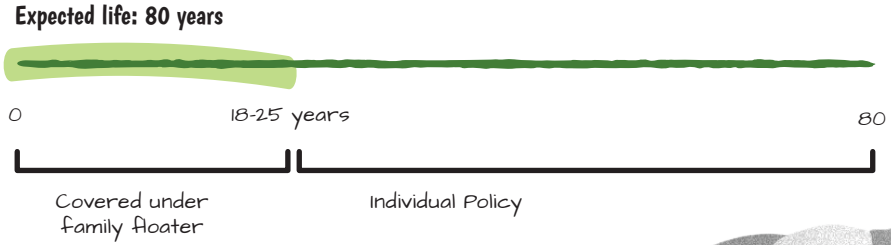


So, floater health insurance policies have a set sum insured for all members, and any claim made by one member will reduce the coverage for the others. While individual health insurance policies will provide separate coverage for each member.

Join @Coursesdollar

02. Children cannot be included in a floater health policy after a certain age

When you have a floater health insurance policy that covers your entire family, including your children,



Once your child reaches a certain age (typically between 18 to 30, depending on the policy), they are considered adults and are no longer covered in the same policy. So, make sure to have a separate policy taken for them.

@Coursesdollar

Do note when you are taking a separate policy for them it is by the same insurer they might allow you to carry forward claim bonuses to the individual policy as well.

That was all about family floaters.

Now, Why didn't my dad add my grandparents to the same policy?

Because the premiums would have shot up considerably for the entire plan and It's more economical to get separate policies for the elderly.

Join @Coursesdollar

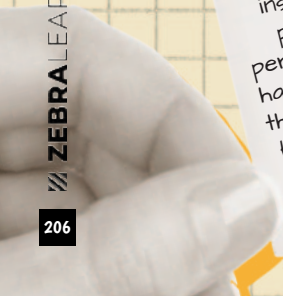
However, It can be kinda tricky to get elders covered, especially if they already have health issues. In that case, here are some tips to ensure your parents are covered:

Look for policies without an entry age limit

If your parents are relatively healthy, consider policies without entry age limit restrictions, and you can get a comprehensive plan for them there.

Policies for Senior Citizens

If your parents have pre-existing conditions, there are policies made specifically for senior citizens. However, such policies might have room rent limits, co-pay clauses, waiting periods for pre-existing diseases, and sub-limits on certain treatments.



Check company-provided insurance

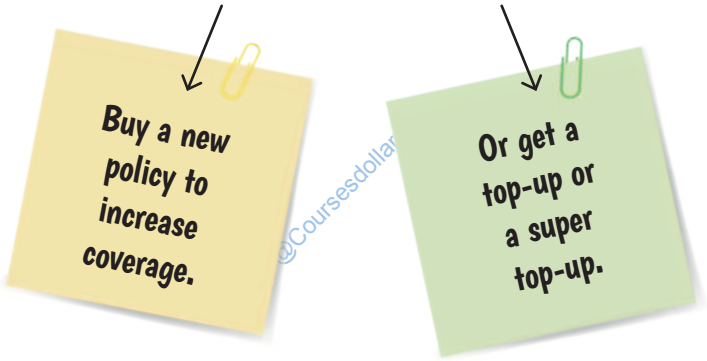
If your company provides health insurance that also covers your parents, try converting it to a personal policy. This option does not have a waiting period for them, and there will be a history of coverage. However, this is subject to medical evaluation, and insurers may reject your portability application.

Join @Coursesdollar

4. Top-Ups and Super Top-Ups

When you're getting health insurance, it's important to think ahead and not just focus on your current needs. Medical costs can increase with time and technological advancements, which could mean that your basic health insurance coverage may not be enough to cover these expenses in the future.

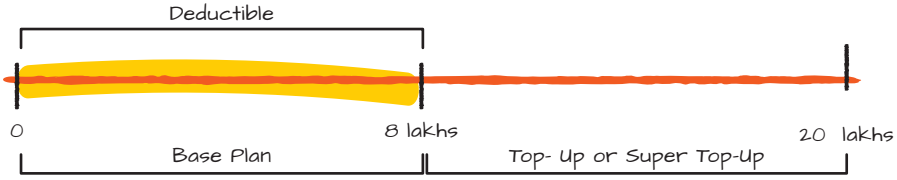
So if a need arises in future to increase your coverage, you can either:



You could either buy a whole new policy (which can be pretty expensive), or you could opt for a top-up or super top-up plan. A top-up plan or super top-up plan is like an extension to your existing base plan, which gives you the option to increase your sum insured for a lower cost.

Both top-up and super top-up plans work based on a deductible, which is the amount which needs to be paid out of your pocket or covered by your base policy before the plan kicks in.

It's usually recommended to match the deductible to your base plan amount so that the extension starts working as soon as your base plan runs out (or the deductible is crossed).



Join @Coursesdollar

However, there is a key difference between top-up and super top-up plans when it comes to how the deductible threshold is calculated. Based on this, when the policies will pay money for the treatment are different. Let's understand in detail.

01. Top-up Plan

For top-up plans, the deductible is calculated based on each hospitalisation. **This means that the plan only starts paying out if the cost of a single hospitalisation exceeds the deductible limit.**

Your Policy has a coverage limit. Once that limit gets exhausted then you'll have to pay the bills from your pocket. Here is where Top Up will help. **If you have a top up plan then in a single claim if your base coverage gets exhausted then the bills will be paid from the top up plan** (assuming that the deductible is the base policy cover amount).

@Coursesdo

Let's understand this with an example:

- **Base plan for a policy period - INR 10 Lakhs**
- **Top-Up health Insurance Plan - INR 20 Lakhs (with a deductible of 10 Lakhs)**
- **Now, in a year you are making 3 claims of 6 lakhs, 5 lakhs and 11 lakhs.**

Join @Coursesdollar

This is how your claims will be covered:

	Claim Amount (in INR)	Insurance Pays (In INR)	You pay (In INR)	Which plan covers?	Explanation
Hospitalisation 1	6 Lakhs	6 Lakhs	0	Base Plan	The entire amount will be covered by the base plan and 4 lakhs of coverage will remain.
Hospitalisation 2	5 Lakhs	4 Lakhs	1 Lakh	Base Plan	4 lakhs will be paid out of the base plan and you'll have to pay Rs 1 Lakh. Top-up won't cover it because you need the claim amount to be more than 10 lakhs which is the deductible.
Hospitalisation 3	11 Lakhs	1 Lakhs	10 Lakhs	Top-Up	₹1 lakh will be covered by the top-up plan, which is the extra amount over the deductible. Rest, i.e. ₹ 10 lakh has to be paid by the policyholder since he has already exhausted his cover in the previous claim.

As you can see top-up plans have a lot of limitations. Hence, you can consider opting for super top-up plans.

02. Super Top-up Plan

The super top-up plan is similar to the top-up plan, except that in the top-up plan, the deductible is applied on each claim, whereas in the super top-up plan, the deductible will apply on an aggregate basis towards hospitalisation expenses incurred during the policy period.

Join @Coursesdollar

Continuing our same example, let's understand how your claims would have been covered if you had bought a Super Top-Up instead.

Base-plan INR 10 Lakhs.
Super Topup INR 20 Lakhs (with a deductible of 10 Lakhs)
Now, in a year you are making 3 claims of 6 lakhs, 5 lakhs and 11 lakhs

	Claim Amount (in INR)	Insurance Pays (In INR)	You pay (In INR)	Which plan covers?	Explanation
Hospitalisation 1	6 Lakhs	6 Lakhs	0	Base Plan	The entire amount will be covered by the base plan and 4 lakhs of coverage will remain.
Hospitalisation 2	5 Lakhs	4 Lakhs + 1 Lakh	0	Base Plan + Super Top-Up Plan	4 lakhs will be paid from the base insurance policy and 1 lakh will be paid by the super top-up plan. Super top-up will pay here because in aggregate (6 lakhs and 4 lakhs) the deductible has been crossed.
Hospitalisation 3	11 Lakhs	1 Lakhs	0	Super Top-Up Plan	Again, since cumulatively the base plan has been exhausted Super Top up will cover the claim.

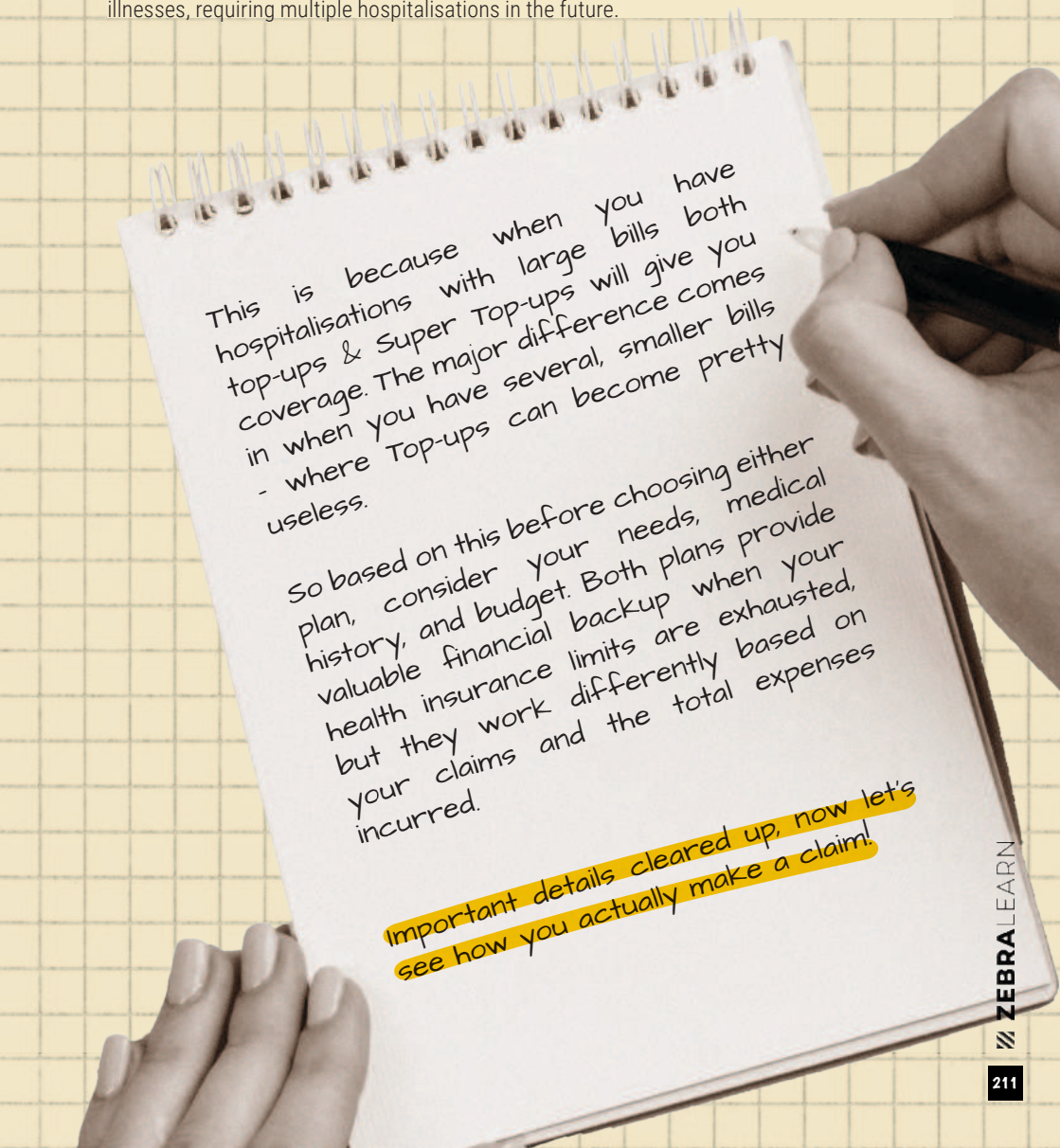
I hope this helps you understand the difference between Top-ups and Super Top-up!

Join @Coursesdollar

Which one you should take?

Top-Ups are considerably cheaper than Super Top-Ups but Super Top-Ups provide better coverage!

Generally, advisors suggest a Top-Up if they see that you do not have any major health issues, or don't expect to have them in the future. And Super Top-Ups if you're at a higher risk of chronic illnesses, requiring multiple hospitalisations in the future.



Join @Coursesdollar

5. Cashless Procedure for Planned Admission

You should approach your Insurance agent first for any claim as they can best guide you regarding the claim process. But if you don't have an agent and even otherwise you should know the process broadly to avoid any mistakes.

When it comes to health insurance, your claims process depends on the hospital you choose. If you go to a network hospital, you enjoy the convenience of cashless claims. For non-network hospitals, you pay upfront and then get the reimbursement claim.

Step 1

Check with Doctor

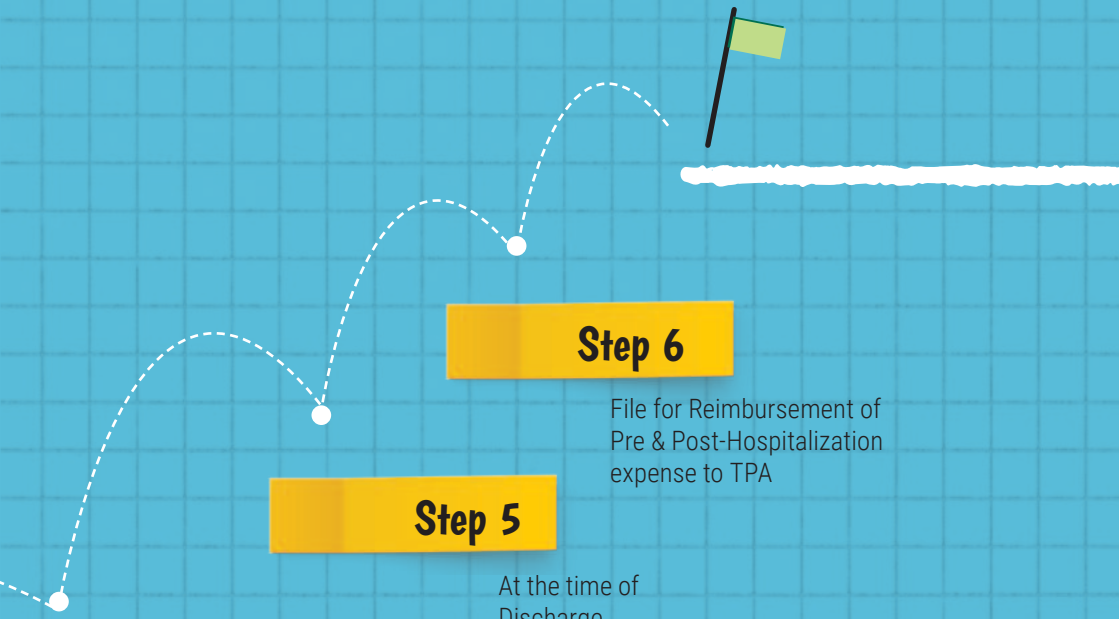
Step 2

Intimate your TPA for pre-approval of Claim

Step 3

Get the Pre-Approval and complete the necessary filings

Join @Coursesdollar



Step 6

File for Reimbursement of Pre & Post-Hospitalization expense to TPA

Step 5

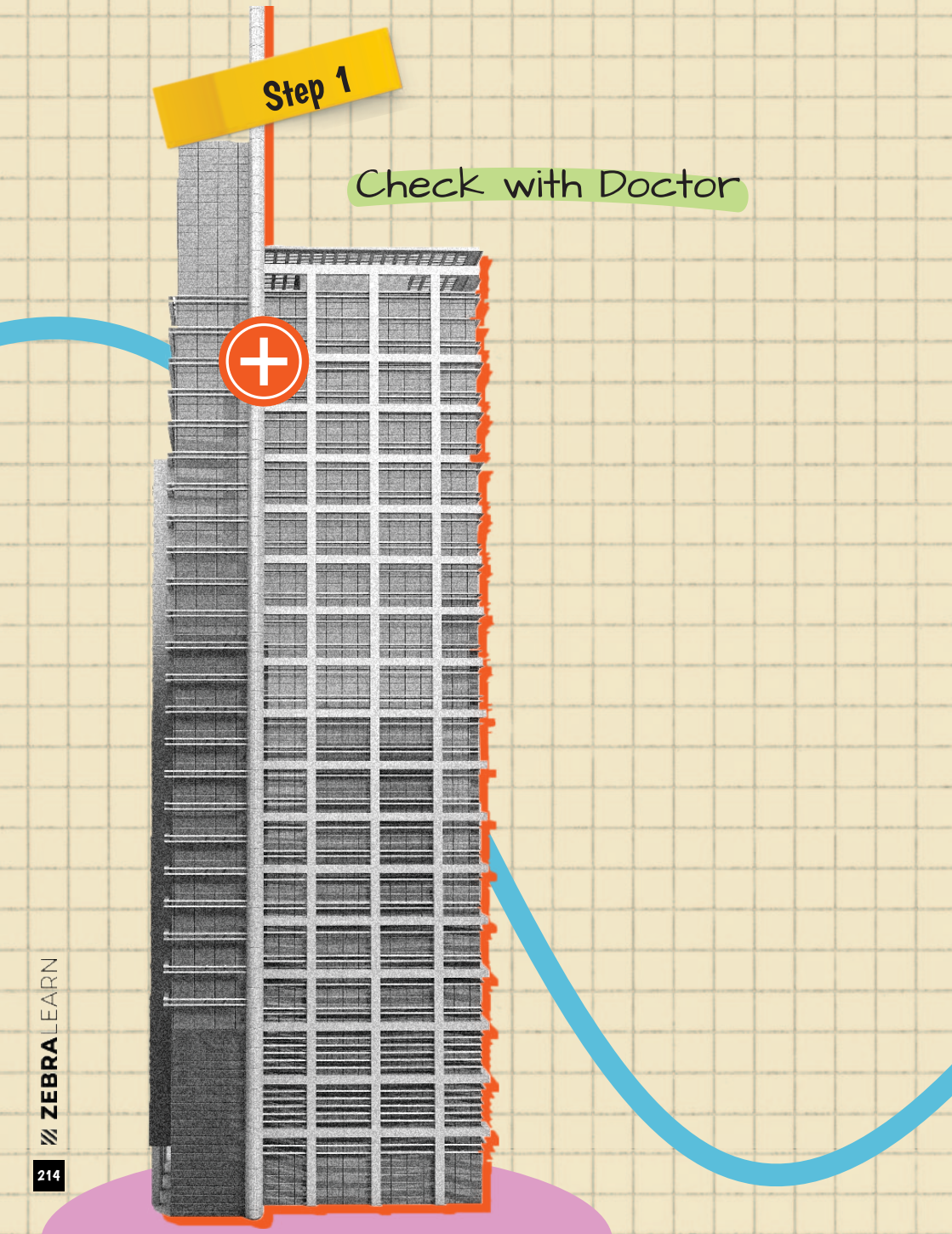
At the time of Discharge

Step 4

Visit the Chosen Network Hospital for the Treatment.

This is broadly what the process looks like. The claim process may vary from company to company that's why you should also once check your Policy Document, Notice of Claim Section for exact information.

Join @Coursesdollar



Join @Coursesdollar

When your doctor recommends hospitalization, discuss the key details of the treatment with your doctor. This includes figuring out:

What kind of medical procedure do you need?

Which network hospital will do the procedure?

How much the procedure will cost?

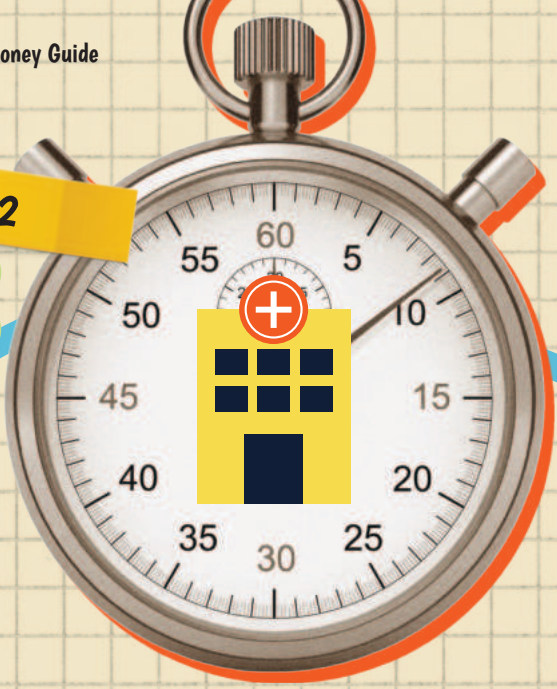
Once this plan is finalized and agreed upon then:

1. **Final Cost and Procedure Details:** Get the final cost of the procedure and all the specific details about how it will be done.
2. **Pre and Post-Hospitalization Expenses:** In addition to the procedure, also gather information about any expenses that might occur before and after your hospital stay.

Join @Coursesdollar

Step 2

Intimate your TPA for Pre-Approval of Claim



After your plan is confirmed, provide the final cost and procedure details, including the pre and post-hospitalization expenses to the Third Party Administrator (TPA) for pre-approval. The time frame of intimation varies from company to company, so do read your policy for the same!

Pre-Hospitalisation Expenses = ₹ 30,000

Post-Hospitalisation Expenses = ₹ 20,000

Total Expenses = ₹ 50,000

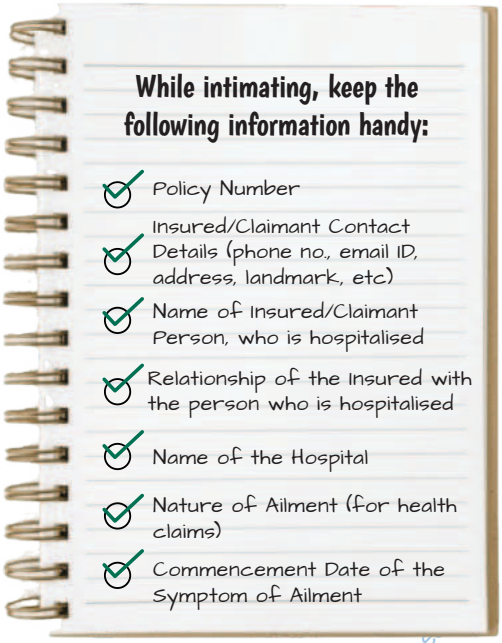
TPA (Third Party Administrator)

TPAs are licensed entities that handle health insurance claims, acting as intermediaries between insurers, policyholders, and healthcare providers.

Employer (Insurance Company)

Your insurance company selects the TPA & licensed by IRDAI. You can find your TPA details on the Policy document or on your Insurer's website, under your policy details. Many hospitals also provide you with assistance for cashless claims too.

Join @Coursesdollar



Your TPA will request you to fill out a Pre Authorization Form for the Claim. The form allows the hospital to request the initial approval of your treatment cost on your behalf.

FORM 2: CLAIM FORM

IFFCO TOKIO GENERAL INSURANCE COMPANY LIMITED

CLAIM FORM - PART A (TO BE FILLED IN BY INSURED)

INSURANCE DETAILS

Policy No		SNo/ Certificate No	
Company/ TPA ID No		Name of Proposer	
Address of Proposer (Primary Insured)			
Name of Claimant			
Relation to proposer		Date of Birth	Age
Address			
Gender	Male / Female	Occupation	
Telephone No		Mobile No	
E-mail ID, if any			
Insurance History	Date of commencement of first Insurance for the person		
Are you presently covered with any other Mediclaim / Health Insurance?			Y/N
If Y, give details - Company / Policy No / Sum Insured (Attach Policy copies)			
Primary Insured's Bank Account particulars		PAN No.	
Account Number		Bank Name	

To fill out the form, keep the following handy:

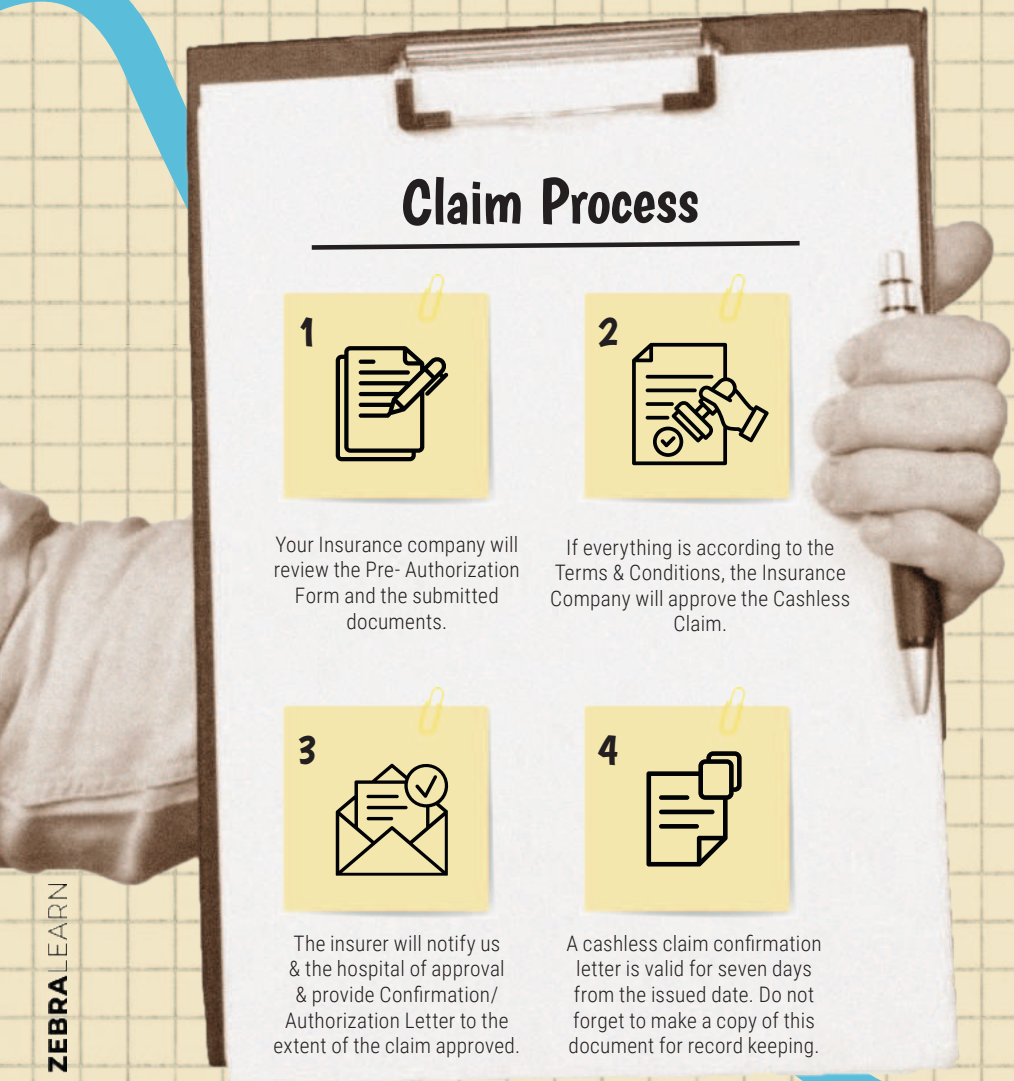
1. **Insurance Health card**
2. **Policy document**
3. **Identity Proof (preferably photo ID)**
4. **Ensure that you have a soft copy (or at least photocopies) of every document you submit.**

While filling out the form, you will be requested to sign a claims form and other parts will be filled out by the doctor/hospital help desk. Once you submit the form, the TPA will share it with your Insurance company and you should be able to track progress on the TPA app or website.

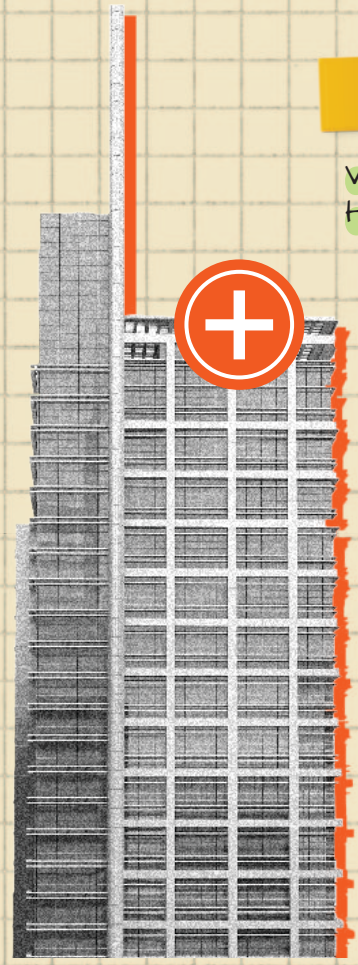
Join @Coursesdollar

Step 3

Get the Pre-Approval and Complete the Necessary filings



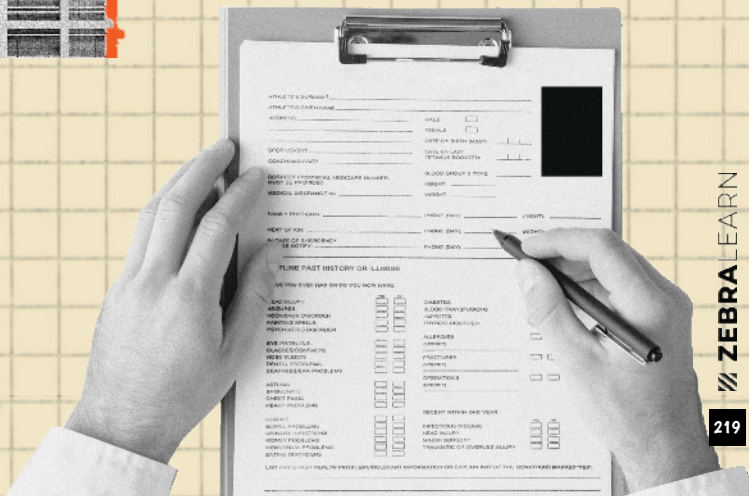
Join @Coursesdollar



Step 4

Visit the Chosen Network Hospital for the Treatment.

While admitting, submit your Health Card and Confirmation letter/ Authorization letter.

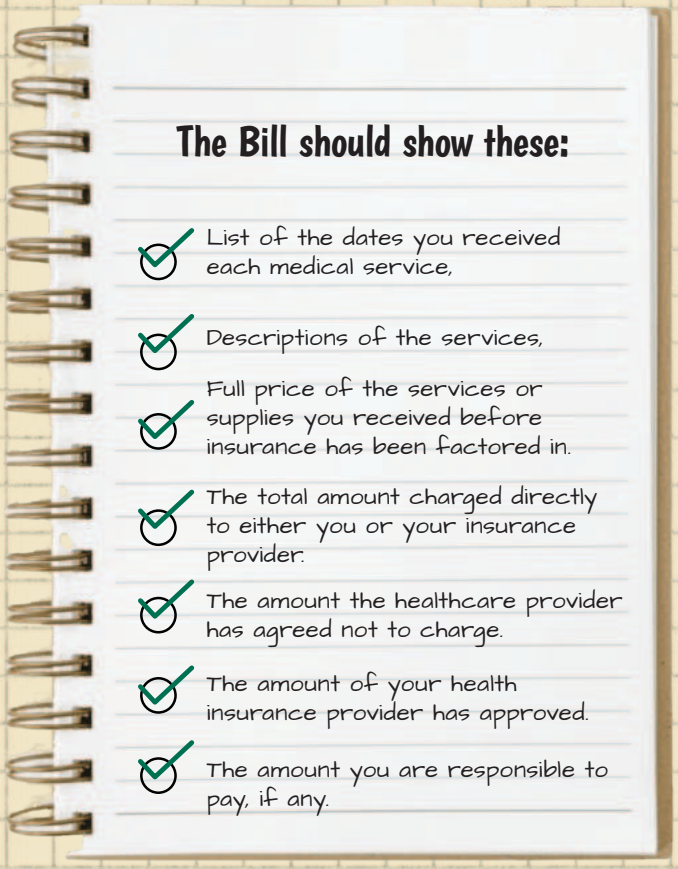


Join @Coursesdollar

Step 5

At the time of Discharge

When you're getting discharged, request an itemized bill and verify each line item.



You will also have to pay for certain medical expenses that are over your policy cover limits. As the insurance company pays the hospital directly, the insurance company retains all the original documents pertaining to your hospitalization. So, request a copy of the same for your records.

Join @Coursesdollar

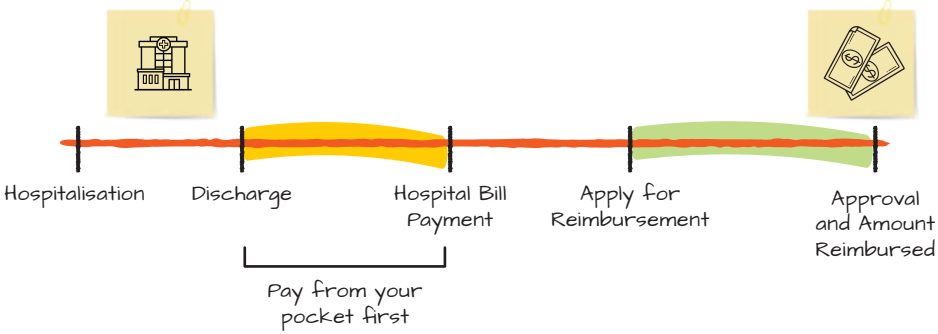
Step 6

File for Reimbursement of Pre & Post-Hospitalization expense to TPA

- After discharge, file for reimbursement of pre-hospitalization and post-hospitalization expenses within 7 days after completion of treatment.
- Visit your TPA, fill out the reimbursement form and submit all the relevant documents requested.

6. Reimbursement Claim - Planned Hospitalization

The reimbursement claim process is quite similar. The main difference is you need to pay from your own pocket first and then you request reimbursement for all your costs.



First, you discuss your medical expenses with your doctor & gain approval through your TPA. Once the discharge date is finalized, get in touch with the hospital admin desk to collect all your final paperwork including the final bill and discharge summary. This process is a bit time-consuming, so you must initiate it as early as possible.

Join @Coursesdollar

Once all the relevant documents are submitted to the TPA, they will review them and notify the Final Approved Claim Amount. To keep track of the progress, check the insurance company's online tracker regularly.

Incase of Emergencies

In case of an emergency, you should inform the TPA within 24 hours of being admitted to the hospital.

If you can, try to get approval from the insurance company while you're still in the hospital if you know the procedure and cost details. If that's not possible, you can file for reimbursement after you leave the hospital. Just remember to let them know about the situation as soon as possible, and if you can, get approval during your hospital stay itself.

In case the claim doesn't get approved

You can approach the customer care of the Insurer or the Office of the Insurance Ombudsman. The details of the Customer Care & Insurance Ombudsman are provided in the Annexure of the Policy Document.

Join @Coursesdollar

@Coursesdollar

Join @Coursesdollar

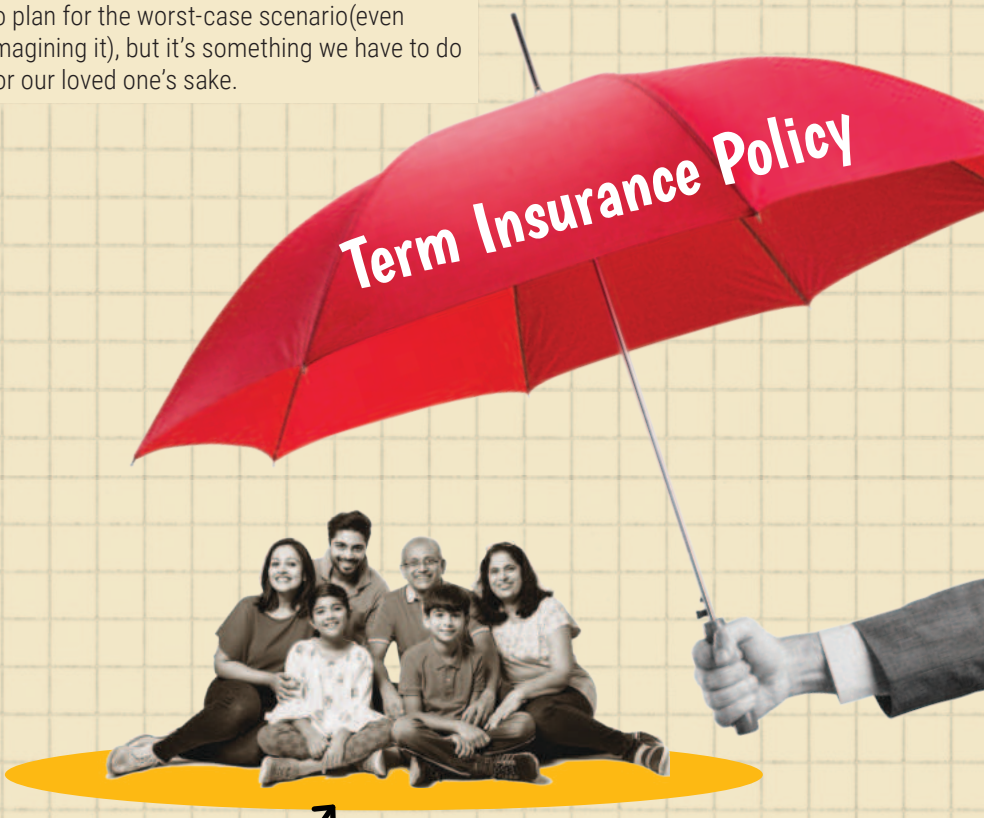
Chapter 8

Life Insurance

Join @Coursesdollar

Anushka Rathod

We feel responsible when taking care of our loved ones and try doing everything possible so they're safe, secure, and happy, even when we're not around. I understand it's tough to plan for the worst-case scenario(even imagining it), but it's something we have to do for our loved one's sake.



And Term Insurance policy is one of the best ways to make our loved ones financially secure. If anything were to happen to us during the policy term, it would provide a lump sum amount. This safety net can offer support to our families during difficult times and help them maintain a stable financial future.

Hence, it's crucial to choose the right Term Insurance Policy. So, take your time, do research, and find the plan that fits your family's needs. With this, you can rest easy knowing your loved ones will be taken care of no matter what happens.

Join @Coursesdollar

1. When should you get Life Insurance?

Well, once you have people who depend on you financially - be your parents, spouses, or kids, then it's time for you to get a life policy.

@Coursesdollar

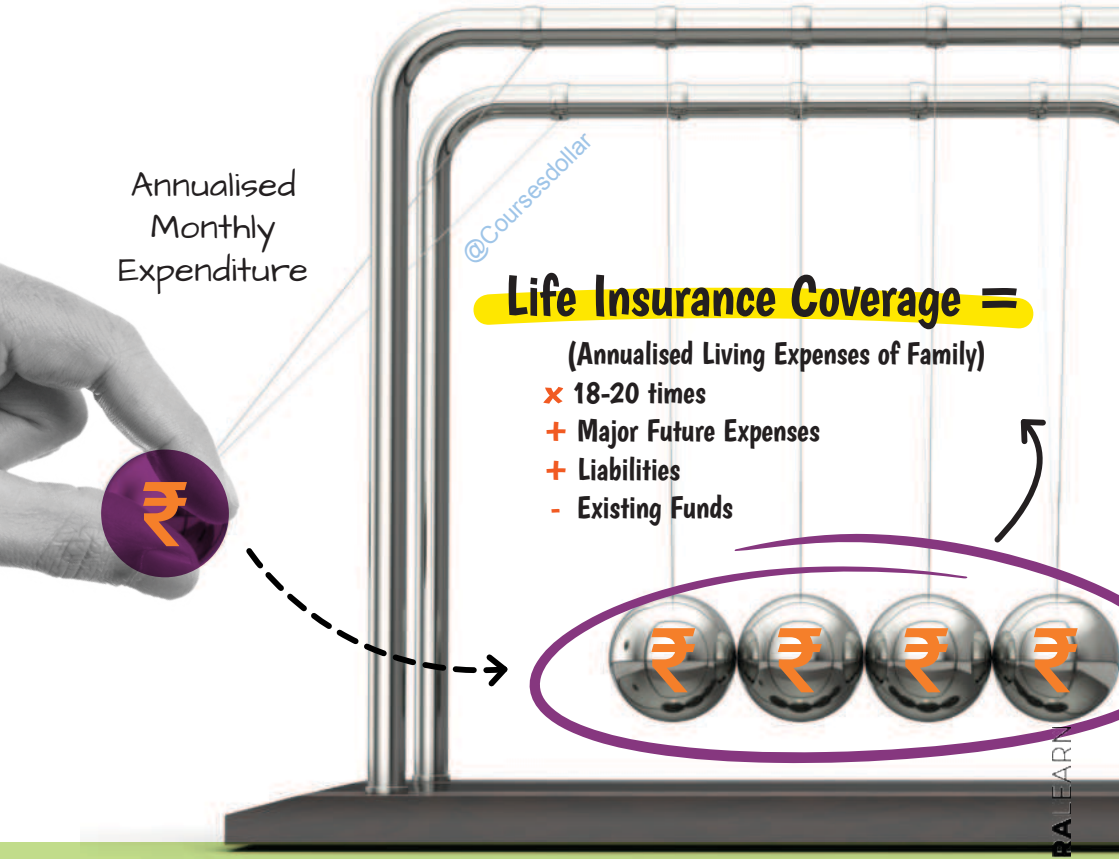
Moreover, the earlier you buy life insurance, the lower the premiums will be. So, it's a total win-win!

Join @Coursesdollar

2. Life Insurance Math

Now, let's calculate how much life insurance you need!

In general, there's a thumb rule that suggests you should get **15-20 times** your annualized monthly expenditure as life insurance coverage. Well, there's some maths behind this '15-20 times' which gives a rough ballpark figure, but if you want to be more precise, here's a formula you can use:



Join @Coursesdollar

Sum Insured =

Living Expenses Fund x 20
(to keep your family's current lifestyle intact)

- Rents
- Groceries and monthly supplies
- Living expenses

ADD

+

Major Expenses Fund
(to pay off big, expected expenses)

- Education
- Weddings and Celebrations

ADD

+

Major Liabilities Fund
(to pay off any loans and liabilities)

- Home Loans
- Other Large Loans
- Guaranteer on business or personal loans

ADD

−

Existing Funds
(Re-evaluated with risk factors)

- Savings in Cash or FDs.
- Equity Investments
- Gold and residential property
- Stock options and high risk investments

MINUS

Join @Coursesdollar

Here is the same with numbers:

Money your family will need....	Money you have today....
Living Expenses Fund (1 lakh x 12) / 18% = 3 Crores	Savings + FDs 5 Lakhs + 5 lakhs = 10 Lakhs
Major Expenses Fund 20 Lakhs + 50 Lakhs + 50 Lakhs = 1.2 Crores	**Mutual Funds** = 50 Lakhs
Major Liabilities Fund 75 Lakhs + 5 Lakhs + 5 lakhs = 80 Lakhs	**Gold, House, Silver** = 50 Lakhs
Total funds required **5 Crores**	**Total existing Funds** **1.15 Crores**

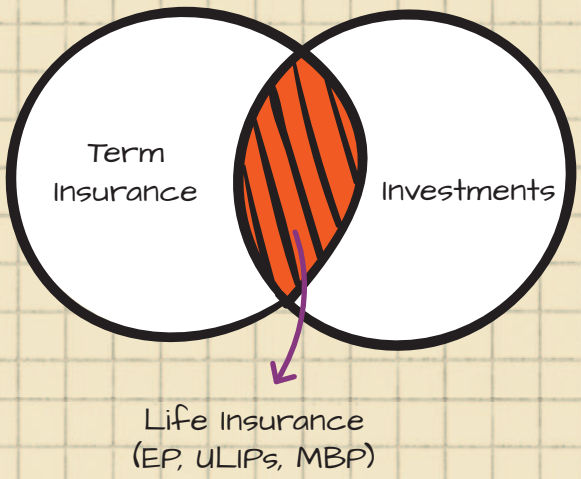
The gap between what you already have and what your family will need to maintain their current lifestyle and afford major expenses is the amount of life insurance you should take which is 3.85 Cr in our case.

Join @Coursesdollar

3. Types of Life-Insurances

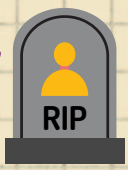
Primarily we have two types of insurance plans -

- Term Insurance
- Insurance + Investments (ULIPs, Endowment Plans, Money Bank Plans)



a. Term Insurance

Beneficiary



If the Policy Owner dies within the policy's term

Term Insurance plans are the most straightforward form of life insurance which only provides you insurance coverage. In this, the insurance company pays a predetermined amount, Sum Assured, to the beneficiary in the case of the policyholder's demise during the policy term. Policy term is the dura tion for which term plans cover you. Term plans are one of the best and affordable ways to ensure your dependents are financially sound if anything happens to you.

b. Insurance + Investment - EP, ULIPs, MBP

These plans are a combination of life insurance and a built-in investment component, like Endowment Plans, ULIPs, and Moneyback Policies.

Endowment Plan -
Life Insurance Cover with Assured Returns

ULIPs -
Life Insurance Cover with Variable Returns

Moneyback policy -
Life Insurance Cover with Assured Periodic Payments

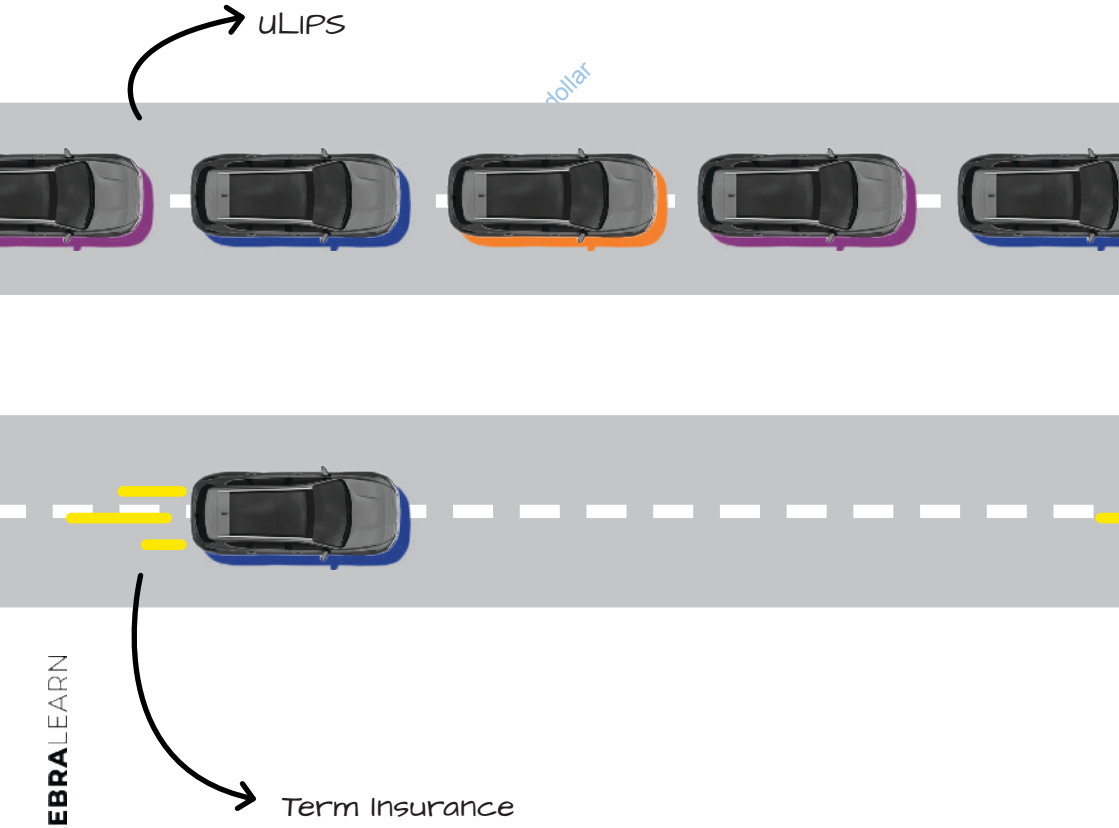
@Coursesdollar

Now, you might get pushed by bank RMs or relatives for these plans because they usually get higher commissions on these products.

But, these plans usually neither provide a sufficient cover nor decent return on investment when adjusted for inflation. On top of that, they have long lock-in periods and premature withdrawals have heavy penalties.

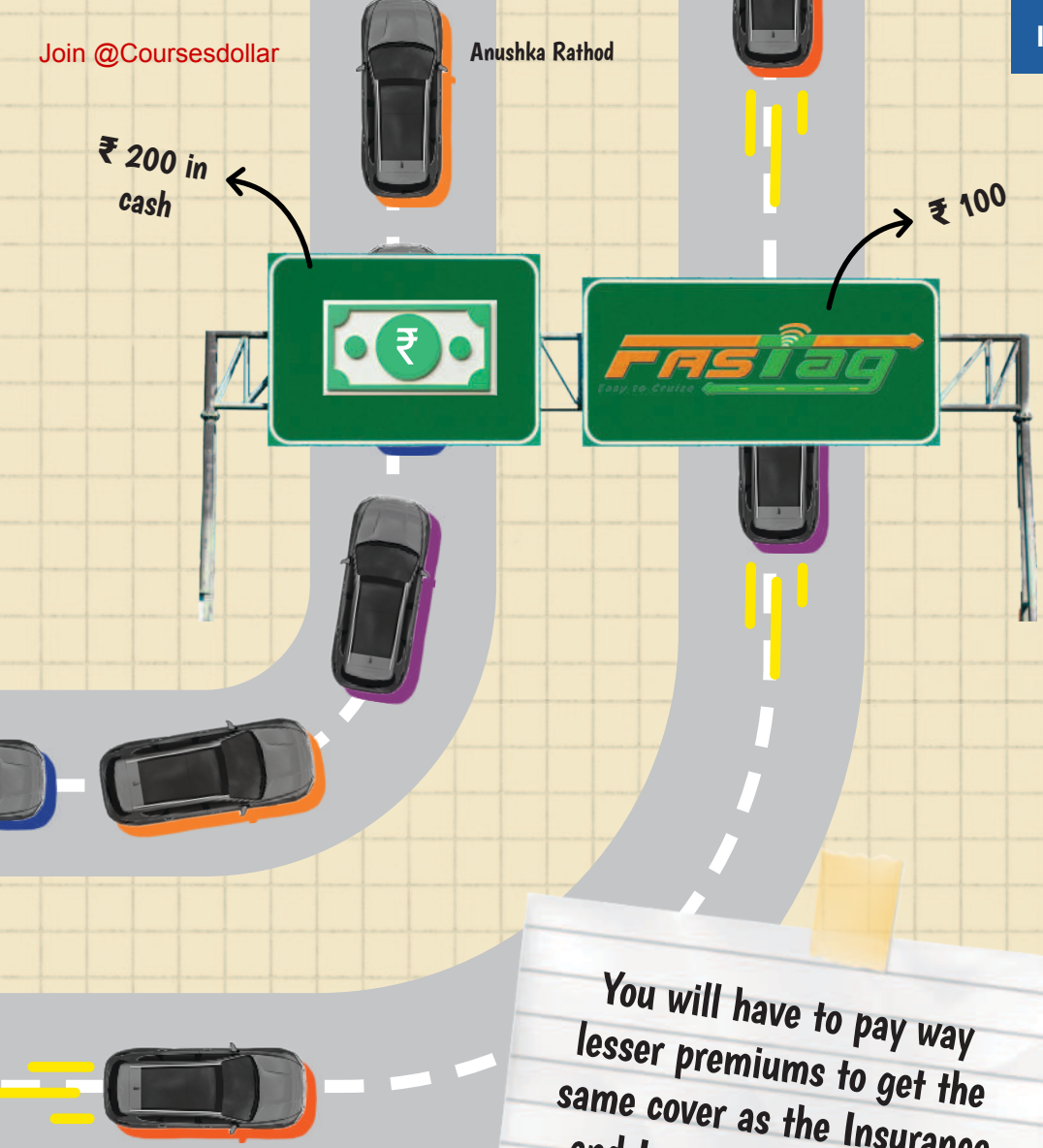
Join @Coursesdollar

It's way better to go for a simple Term Insurance Plan and invest separately.



Join @Coursesdollar

Anushka Rathod



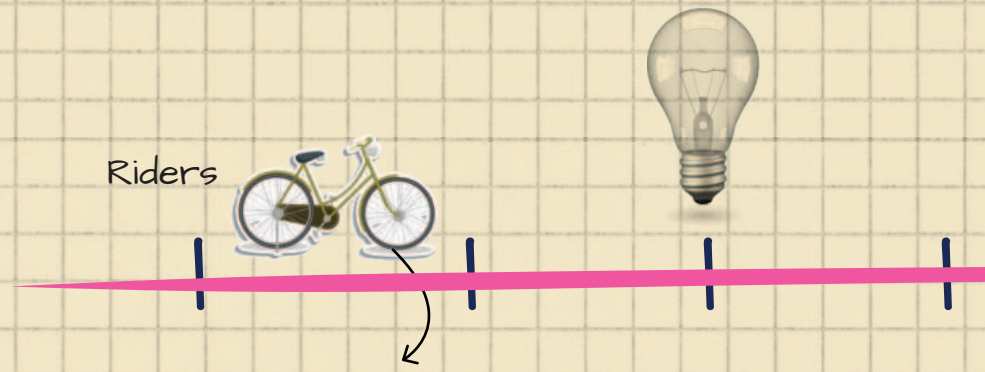
You will have to pay way lesser premiums to get the same cover as the Insurance and Investment plans and the money left you can invest on your own and generate a higher return.

Join @Coursesdollar

4. Riders

From Accidents to Illnesses: How Riders Can Save Your Life (and Wallet)

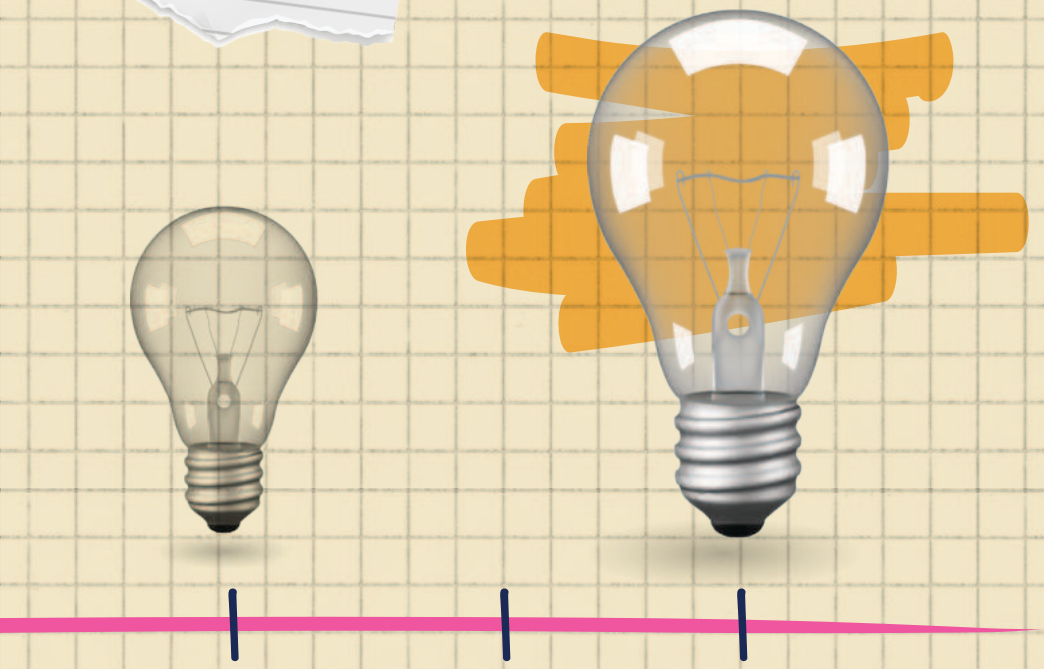
Bike ka rider nhi, Insurance rider!!



Riders are convenient add-ons you can opt for with your life insurance policy that provides extra coverage at affordable rates.

Basically, they're tools that can help you expand your life insurance coverage beyond what's already provided in your policy. They can give you extra protection and are worth considering when you're selecting your policy.

Join @Coursesdollar



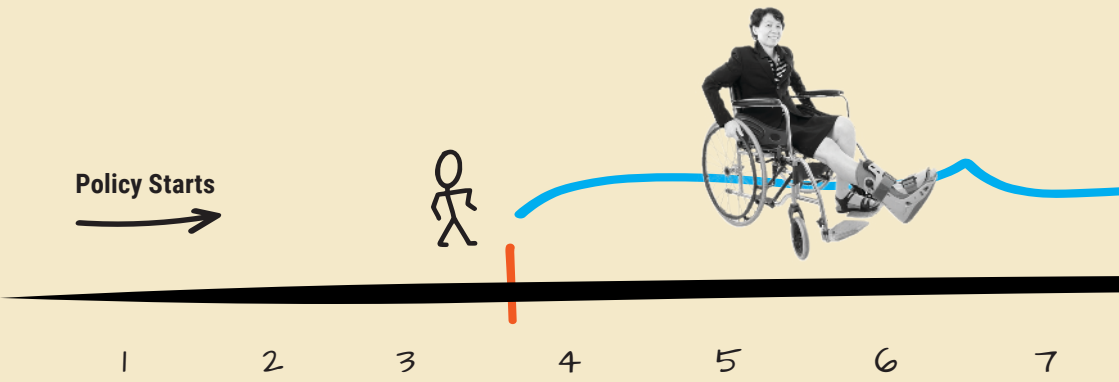
There are
three specific riders
that can be real
game-changers:

- Waive-off Premium Rider
- Disability Rider
- Critical Illness Rider

Join @Coursesdollar

a. Waive-off Premium Riders

This valuable addition can prove to be a saviour in unfortunate events like getting diagnosed with a critical illness or becomes permanently disabled due to an accident.



Join @Coursesdollar

In such circumstances, you can face additional expenses and loss of income but with this rider you can have peace of mind as it waives off your future term insurance premiums while ensuring that you still have coverage.

All the future premiums are waived

A lumpsum benefit is paid out to his nominee.

8 9

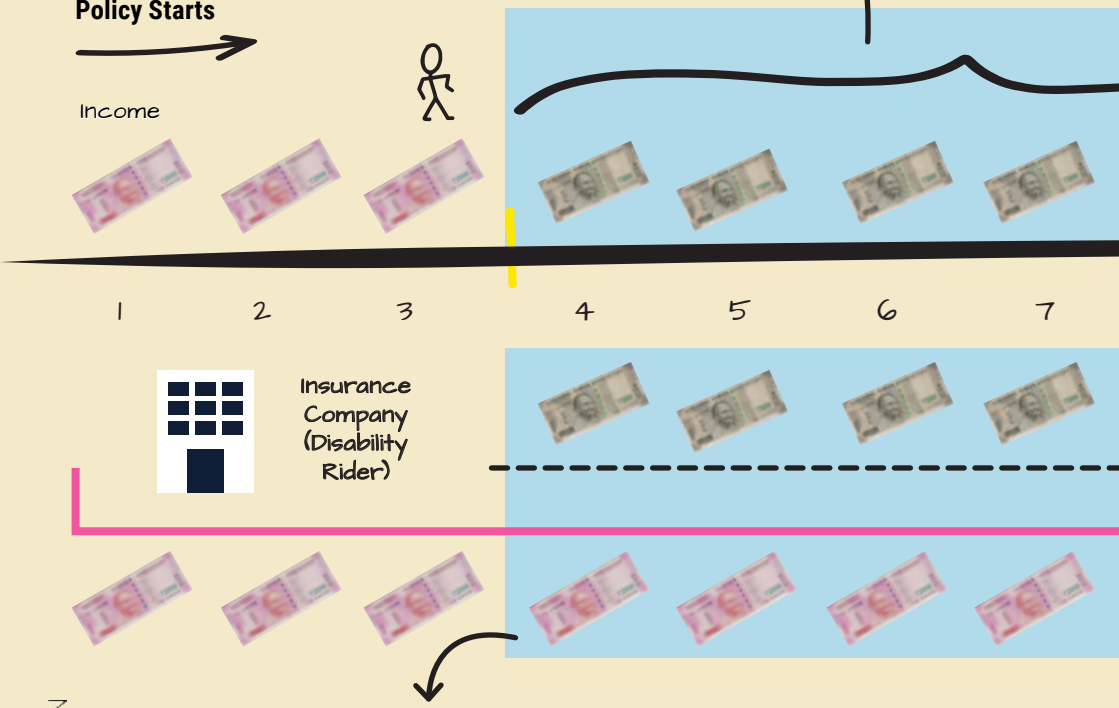
Policy Terminates

Policy term - 40 years

Join @Coursesdollar

b. Disability Rider

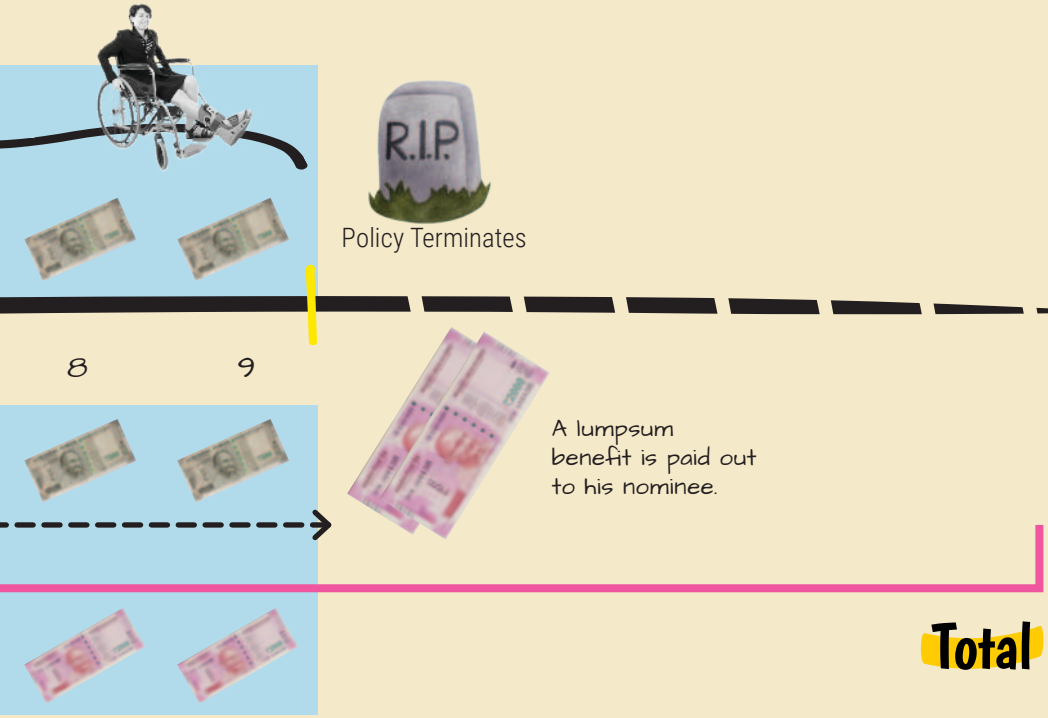
Have you ever thought about what would happen if you were unable to work due to an accident or illness? It's something we don't like to think about, but it's important to be prepared.



That's where a Disability Income Rider comes in. It's a great addition to your life insurance policy that can give you peace of mind and financial protection in case the unexpected happens. With this rider, you'll have a steady income stream during periods of disability, which can help cover unexpected expenses like medical bills, vehicle modifications, and loss of income.

Usually, the monthly payment amount offered by this rider is 1% to 2% of the sum assured.

Join @Coursesdollar

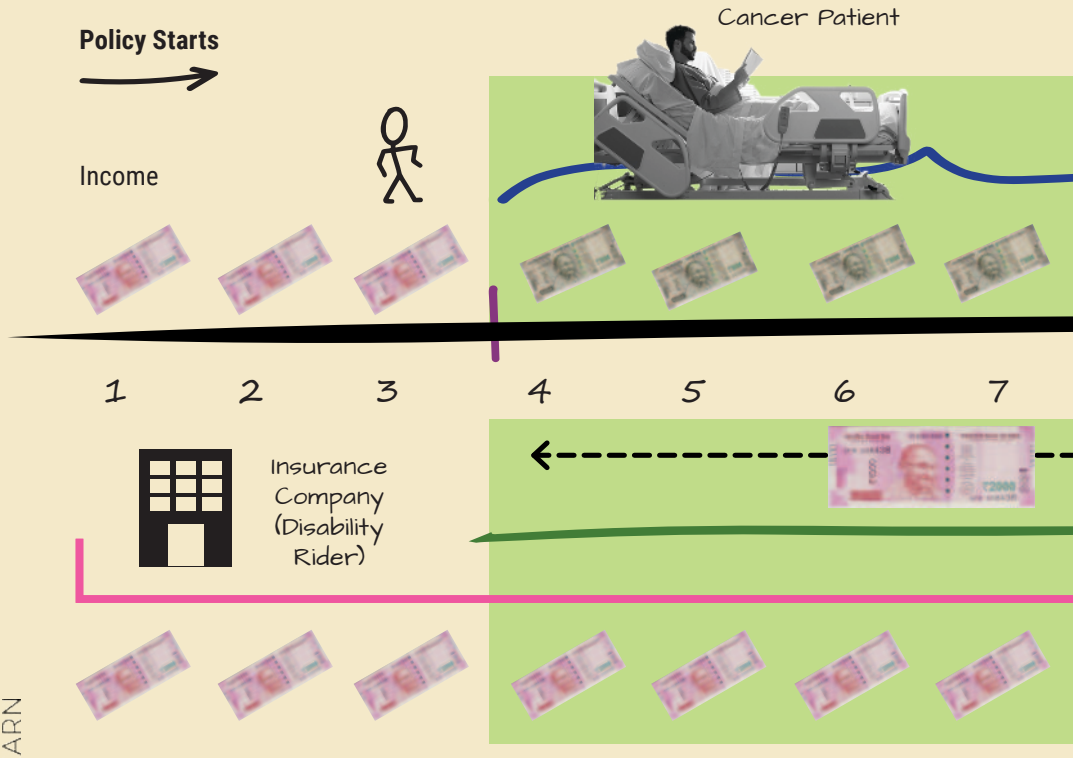


Remember, accidents or illnesses can happen at any time. Having a Disability Income Rider can help you maintain your standard of living without having to worry about finances.

Join @Coursesdollar

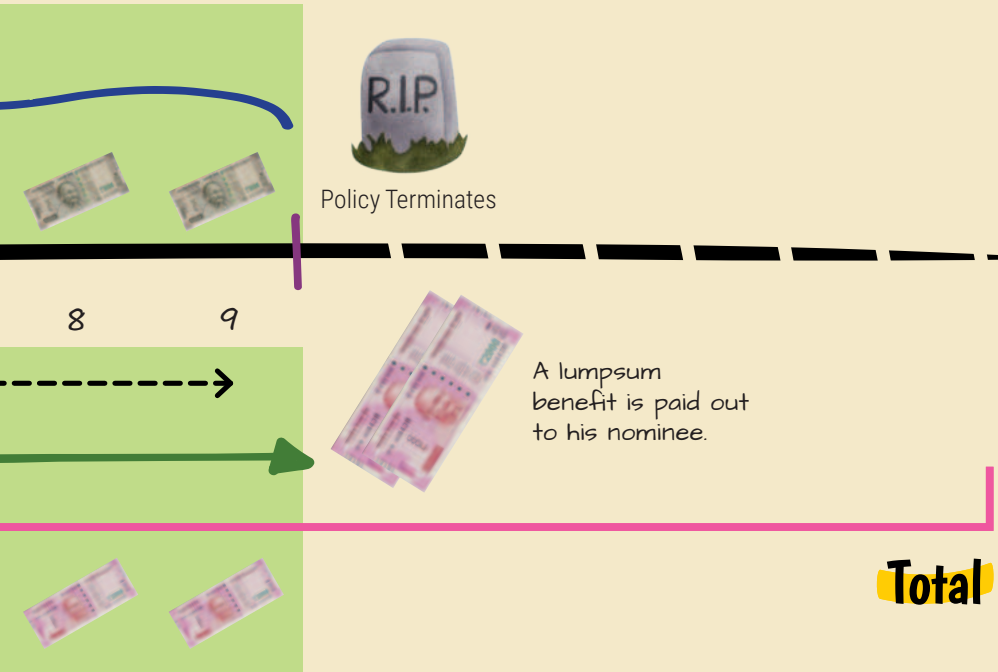
c. Critical Illness Rider

In today's fast-paced, stressful life the risk of being struck by a critical illness is very real and can drain one physically, emotionally and financially. Advanced medical science will ensure many of us can live even after suffering from a critical illness, although with high healthcare expenses and low or no income.



Join @Coursesdollar

Here a Critical Illness Benefit will be useful as it will give a fixed cash benefit when one is diagnosed with a critical Illness. (There is a predetermined list of critical illnesses). This lumpsum can be used for any treatment or regular expenses.



Join @Coursesdollar

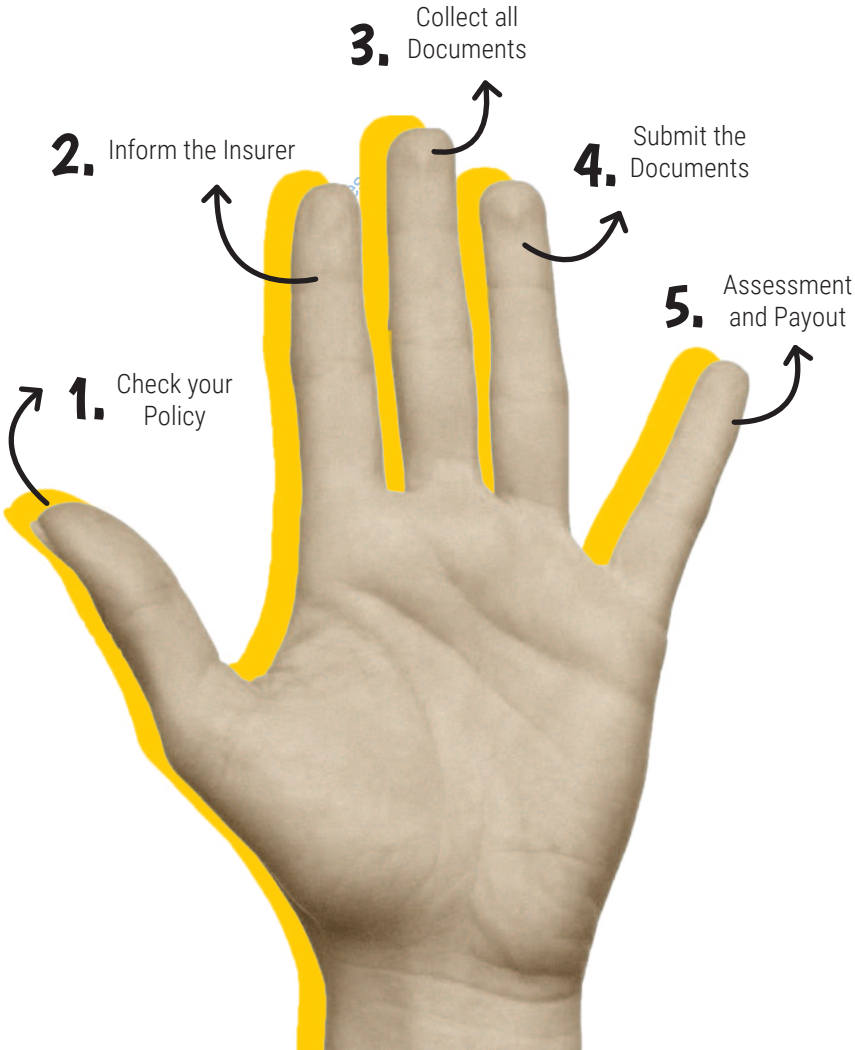
Finally, remember a critical illness rider will usually be a tad inferior to a specialised standalone critical illness cover that will cover early stage illnesses as well. The premiums of such policies might actually not be very high than the add on costs in your main policy. So compare the costs here and decide.

Join @Coursesdollar

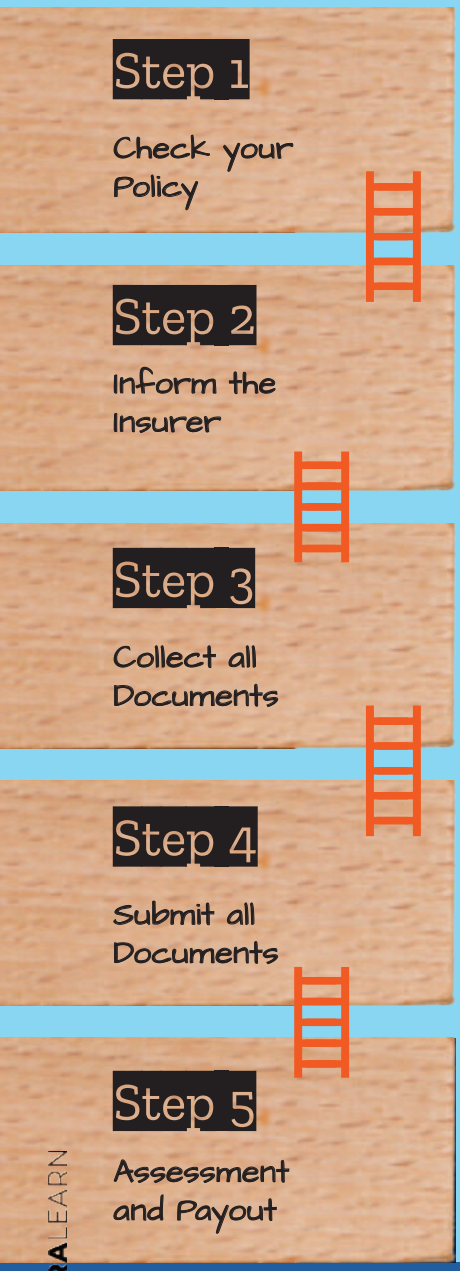
4. Death Claim Settlement Process

The Insurance claim process can be really cumbersome and stressful if not done correctly. So here is a step-by-step process to make your claim process a bit easier:

Before that, by knowing your policy, and the claims process, and working closely with your insurance provider, you can make sure that you receive full coverage and benefits you are entitled to. Now, let's begin:



Join @Coursesdollar



Your policy must be still active and all premiums should be paid. Also, check if the particular circumstance for which the claim is being made is covered in the policy, including the inclusions, exclusions, and terms and conditions.

Intimate the insurer as soon as possible. You can easily obtain the claim intimation form from the insurer's website or the nearest branch. While notifying them, you may provide details like policy number, name of the insured, date, cause, and place of death, and the name of the nominee. Once you notify the insurer, they'll generate a unique claim ID for your policy and begin the claim process.

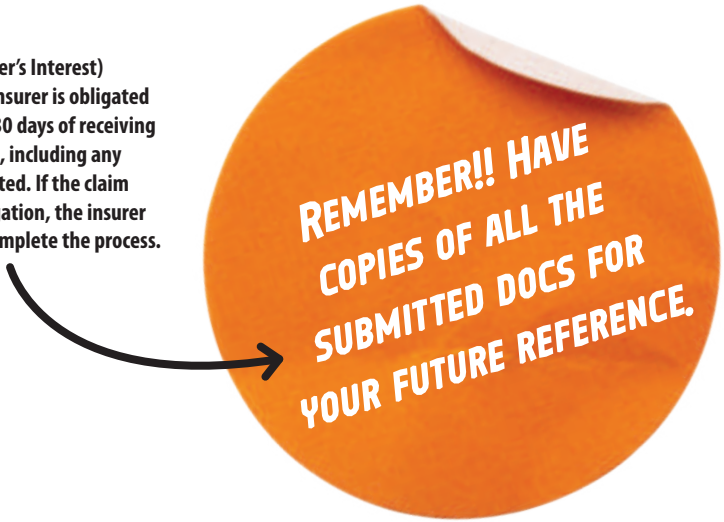
Collect all the documents, such as the death certificate, age proof of the insured, original policy document, evidence of title to the deceased's estate, NEFT forms, and a canceled cheque/copy of the passbook. For early claims, the insurer may conduct an investigation to ensure that the claim is genuine. They may check with the hospital or airline authorities, depending on the cause of death, and ask for additional documents like treatment records, post-mortem reports, or police FI₹

After collecting all the documents, it's time to submit them for the claim processing. Fill in all the details carefully and attach the necessary documents before submitting them. Double-check everything and ask the agent or branch executive to review it before submitting it.

Finally, the insurer's claim assistance team will assess the claim and supporting documents. In some cases, they may ask for additional documents. If the claim is approved, the nominee will receive the claim as per the chosen payout option.

Join @Coursesdollar

As per IRDAI (Policy holder's Interest) Regulations, 2002, the insurer is obligated to settle a claim within 30 days of receiving all necessary documents, including any extra documents requested. If the claim requires further investigation, the insurer has up to 6 months to complete the process.



CONCLUSION

That was a lot of information, but important as well. So, before you move on here is a Quick Recap!

To ensure protection, financial stability and well-being even if something happens to you, it's crucial to get a safety net prepared. For this, you should first, build an Emergency Fund, next, buy Health Insurance ASAP and if you have dependents then get your Life Insured with Life-insurances.

Once you have all these done, it's time for the next step, PLANNING for your future goals financially!

Join @Coursesdollar

Join @Coursesdollar

5

Grow

Chapter 9 - Achieving your Financial Goals

Join @Coursesdollar

1. Introduction

Ever since I was a kid, I wanted to go abroad to study.

As I entered college, I wanted to buy my mother a luxury bag and save enough for a fancy trip with my friends.

As I started working, I wanted to buy a car and help pay off my dad's home loan.

As I write this book, I see my parents getting older and want them to retire soon.

Join @Coursesdollar

At any given point in life, we have dreams and aspirations that we really want to come true. Our wants and dreams are different at different stages of our lives, and a major hindrance to achieving them is lack of financial capability.

We work hard to make money, and we should know how to make our money work hard to help us in achieving our dreams.

So, in this section, we will understand how to plan for your financial goals and discuss the financial instruments that can help you achieve your goals.

The flow of this segment is in three parts:

Firstly, we understand what Risk is and how you should think about Risk while investing.

Followed by discussing how to make an investment portfolio depending on your financial goals.

And lastly, we will do a deep dive into different assets like FD, mutual funds, gold, etc.

While discussing the 2nd part of the chapter, I will mention a lot of financial instruments, which are discussed in detail in the 3rd part, so don't worry if you see a few foreign words in the second part of the chapter. It will be covered later.

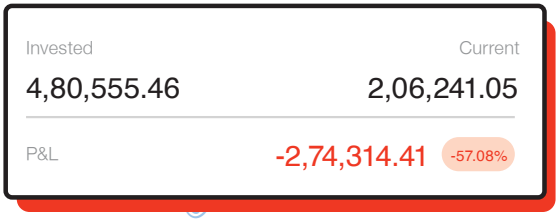
Join @Coursesdollar

2. Understanding Risk: It's Not Rocket Science!

a. What is Risk?

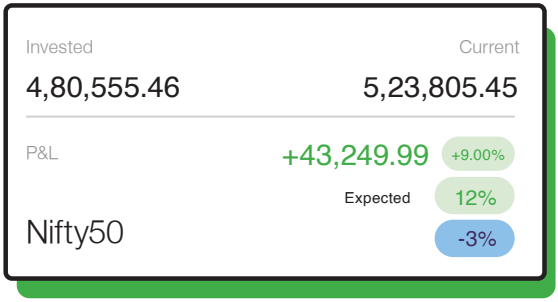
There are a lot of technical definitions of Risk. However, I like to see it simply. What are the chances that:

1. My investment will result in a negative return and I will be in loss



Or

2. My investment will not give me the expected return; hence, I won't be able to achieve my Financial Goal.



The higher the chance for the above two scenarios to happen, the higher the Risk of the product.

Join @Coursesdollar

Let's take an example to understand:

Investment Type	Description
Fixed Deposit (FD)	When you invest in an FD, you are almost assured that you will get the return according to the rate which you invested, and there is a very low chance that commercial banks will default, making your Risk of losing the amount you invested also low.
Company Debt (Bonds)	Then comes investing in a company's debt. In this scenario, you will get a fixed return since it is debt. Still, since it is an individual company, there is a higher chance of default than an FD and, hence, a higher chance of incurring a loss or not getting your expected returns on the investment. Hence this is riskier than an FD.
Stock Market (Stocks)	Lastly, let's take the example of investing in the stock market. Stocks don't offer any guaranteed or fixed return. Depending on the performance of the company and market conditions, the returns on your investment will vary. Hence, the Risk of losing your invested money is high, making it a high-risk instrument.

Join @Coursesdollar

b. But then, why take risks?

Let's simply invest in safe assets only.

Fixed Deposits - 6% p.a.

Bonds - 9% p.a.

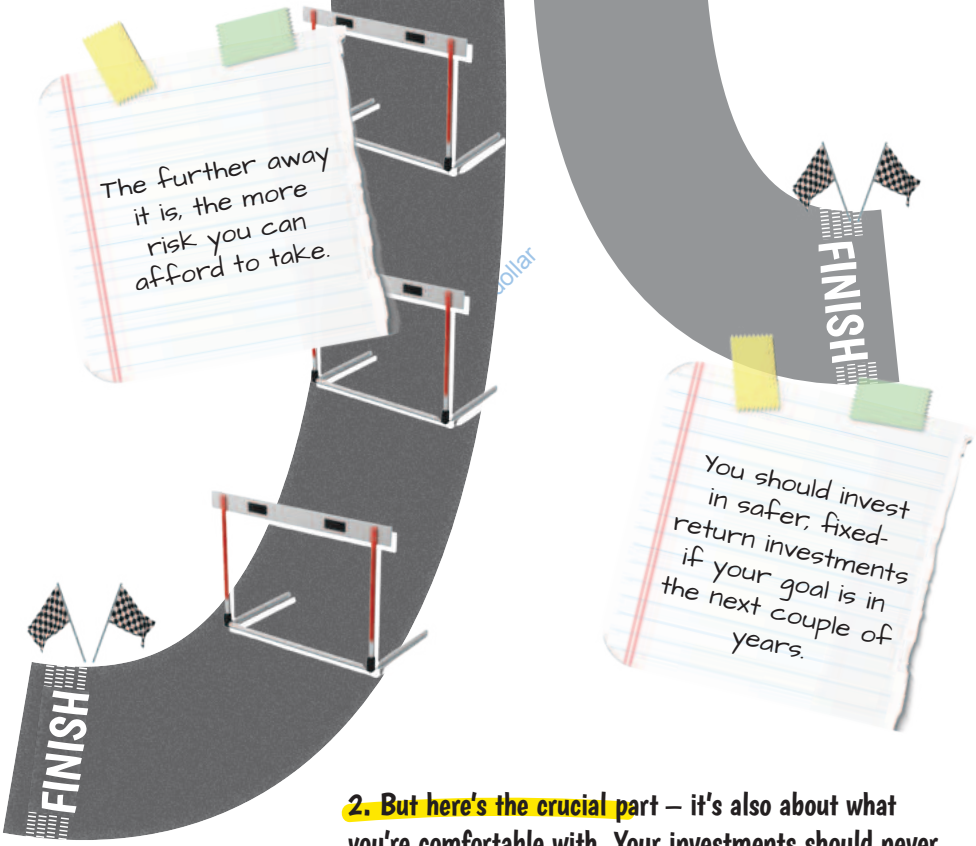
To compensate for higher risk, the investment products will have a higher rate of return. Investing in a riskier company's debt will give you a higher interest rate than an FD. In the case of variable return investments, the expected rate of return from the investment is higher to justify the higher Risk.

The fact that you may not meet your expected return from the investment also means there is a chance that you can get a higher return than what you expected. For example, in the stock market, there is a chance that the investment you made positively surprises you and over-performs your expectations. Hence, higher the Risk, higher the returns!

Join @Coursesdollar

c. How much Risk should you take?

1. It depends on how close you are to your financial goal.



2. But here's the crucial part – it's also about what you're comfortable with. Your investments should never keep you up at night. So, even if you have a long-term horizon, if you are not comfortable with investing in riskier products then you shouldn't.

Join @Coursesdollar

But why can you take more risks if your time horizon is longer? Let us understand this with an example.

Source: Kite, Zerodha. All graphs and data mentioned is for educational purposes only.

As we can see here, the stock market is very volatile in the short term and has given negative returns.

Join @Coursesdollar

Anushka Rathod

But here we can see that despite the negative returns in short term, stock market has given a positive return in a longer duration. This is because the volatility and the ups and downs get averaged out over a longer period and the probability of the investment working in our favour also increases.

Remember here to take calculated risks. Investments where the probability of losing your money is very high should be limited to a very small percentage of the portfolio, even for the longer run.

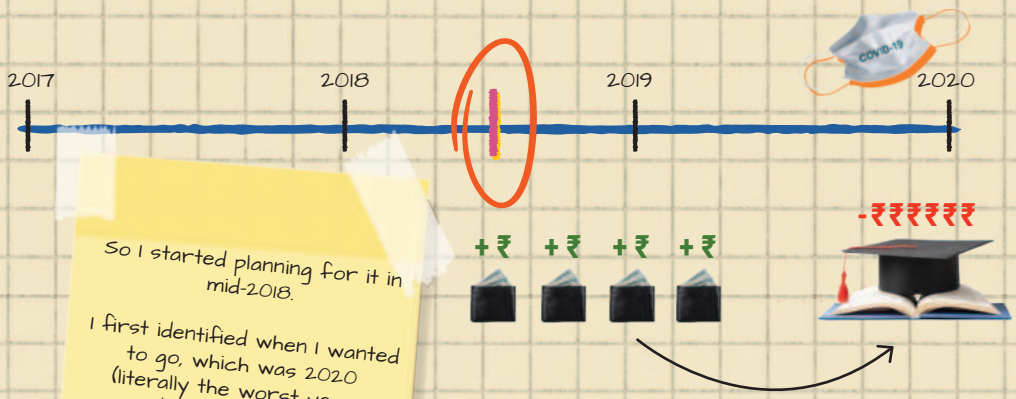
Join @Coursesdollar

Chapter 9

Achieving your Financial Goals

Join @Coursesdollar

Remember how I said I wanted to go abroad to study. Well, had COVID not happened, I would have gone.



So I started planning for it in mid-2018.

I first identified when I wanted to go, which was 2020 (literally the worst year I could have chosen, haha).

Then, I estimated how much money I would require and planned for it accordingly. I invested whatever little money I had back then but was terribly short of what was needed and planned the rest from scholarships and loans.

The structure I followed of mapping my goal, estimating the required amount, and planning for it is how we manage our finances to achieve our goals.

I only had one goal back then; what if you have multiple goals? You must prioritise and make a portfolio of different investments to achieve them.

In this chapter, we will discuss the same!

Join @Coursesdollar

Step 1: List Down your Goals

The first step is to identify what goals you want to achieve.

So, we start by listing significant life events that require substantial money. These goals could range from short-term ones like doing an MBA, getting married, or going on a trip to long-term goals like retirement.

I know it isn't easy to visualise your future goals but try roughly writing them. You can always change them in the future and keep adding to the list with time. Start with 2-5 goals you have an idea of so you can start your planning.

You can list them roughly using the following steps. Let's break it down step by step:

Step 1: List Down Your Goals
Write down all your financial goals in chronological order.

Step 2: Timeframe Matters
Next to each goal, jot down how long you think it will take to achieve them.

Step 3: Estimate the Costs
For each goal, estimate how much money you'll need to fulfill it as of today.

Goals	Timeframe	Costs
Building an Emergency fund	2 years	₹1,50,000
Paying off Student Debt	3 years	₹5,00,000
Getting Married	2 years	₹15,00,000
Buying a House	7 years	₹50,00,000
Planning for Retirement	25 years	₹2,00,00,000

*** Don't worry about inflation we will consider it later in our calculations.**

Join @Coursesdollar

Similarly fill up the table below according to your goals.

Goals	Timeframe	Costs
Buying a Car		
Buying a House		

Join @Coursesdollar

Step 2: Plan your Goals

We've figured out our financial goals and estimated how much we need to save and invest. It's time to plan how much we need to save and invest today, depending on whether the outflow will happen once or several times.

Join @Coursesdollar

Your financial goals can fall into two categories:

- Pursuing an MBA
- Hosting a wedding
- Retirement planning
- Taking a sabbatical

One-time Outflow Goals:

- Pursuing an MBA
- Hosting a wedding

These are single, significant expenses, such as pursuing an MBA or hosting a wedding.

@Coursesdollar

Multiple Outflow Goals:

- Retirement planning
- Taking a sabbatical

These goals involve ongoing or recurring expenses, like planning for retirement or taking a sabbatical.

Use these calculators to determine how much you'll need to achieve your goals.

Goal Based Investment Calculator

Retirement Calculator

Sabbatical Calculator

Join @Coursesdollar

Now let's continue our previous exercise, according to the output you get for monthly savings for each particular goal write it down in the below table:

Goals	Monthly Saving Target

@Coursesdollar

At this step you will realise that it is not practivally possible to achieve all your goals. Hence, you'll have to prioritise. So write down your goals in order of priority.

Most Important	

Join @Coursesdollar

2. Now, according to your priorities, you'll either have to

a. Eliminate unimportant goals

b. Re-evaluate the amount that you need to save.
For example, reducing the outflow required in marriage

Goals	Timeframe	Costs
Building an Emergency fund	2 years	₹1,50,000
Paying off Student Debt	3 years	₹5,00,000
Getting Married	2 years	₹8,00,000 ~~₹15,00,000~~
Buying a House	7 years	₹50,00,000
Planning for Retirement	25 years	₹2,00,00,000
Buying a Car	2 years	₹7,00,000
Taking a trip	1 year	₹1,50,000

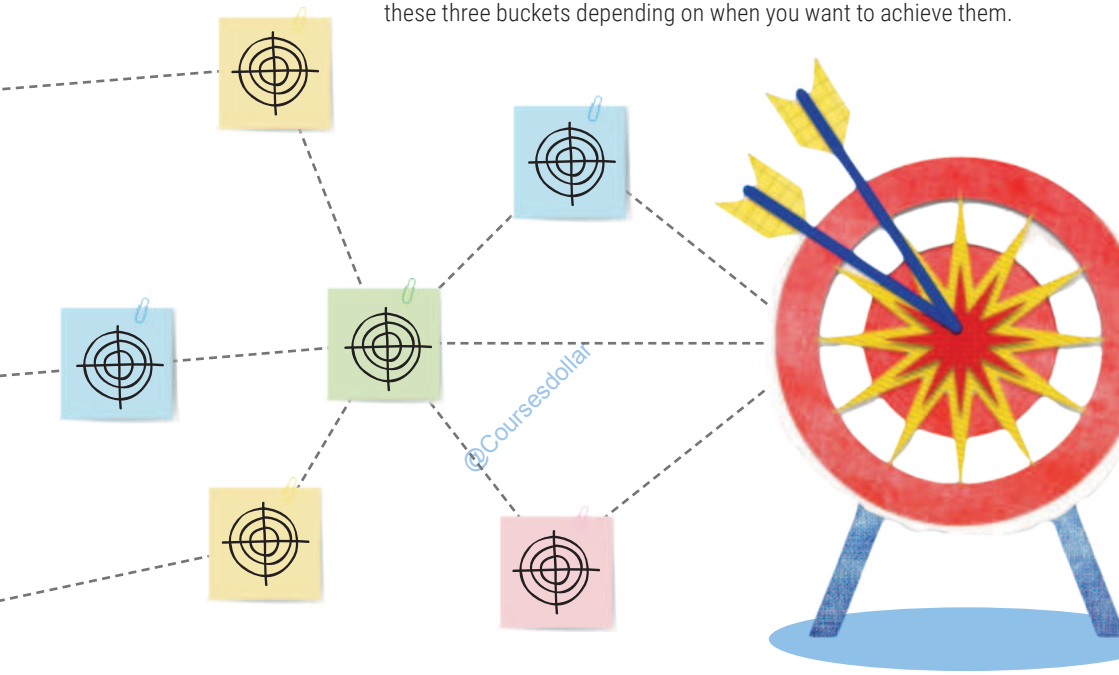
c. Reduce outflows of certain goals which are time-sensitive. Goals that are not time-sensitive can be started later when current priority goals are achieved. For example, once you have planned your finances for saving your home 5-7 years down the line, then you can start your retirement planning.

Note: For short and medium-term goals, it might not always be possible to entirely save up for them; hence, you might have to take loans for the same.

Join @Coursesdollar

Step 3: Categorising Goals to Invest

Once you prioritise and finalise what goals you want to start saving and investing for to understand where to invest, categorise them into these three buckets depending on when you want to achieve them.



1. Short Term
(Till 3 Years):

These are your near-future goals. Things like building an emergency fund, paying off debt, or saving for a car.

2. Medium Term
(3-7 Years):

This is the middle ground – not too far away, but not right before you. It's where you handle things like paying off student debt, saving for your wedding, getting ready to buy your first home, or giving your current one a makeover.

3. Long Term
(7+ Years):

These are the big goals that need some time and patience. We're discussing saving for retirement or building wealth.

So, there you go – a simple way to sort your goals and determine where to invest your money.

Join @Coursesdollar

Categorising Goals to Invest Worksheet

Goals	Description	Costs
Short Term (Till 3 years)		
Medium Term (3-7 Years)		
Long Term (7+ Years)		

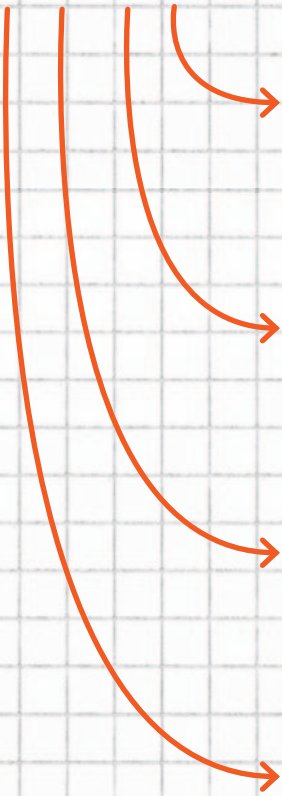
Join @Coursesdollar

Step 4: Investing According to your Goals

Now that you've categorised them according to time. This is where you can invest according to your goals. Don't worry if you don't understand the names of any financial instruments. We have explained them in the next segment.

1. Short-Term Goals (Till 3 years):

If you've got short-term goals like saving for building emergency fund or going on a international vacation, you'll want to play it safe. Here are some good choices:



a. Fixed Deposits (FD):
A secure option with guaranteed returns if you are certain about the tenure.

b. Sweep-in FDs:
Offers more interest than a regular savings account while keeping your money readily available.

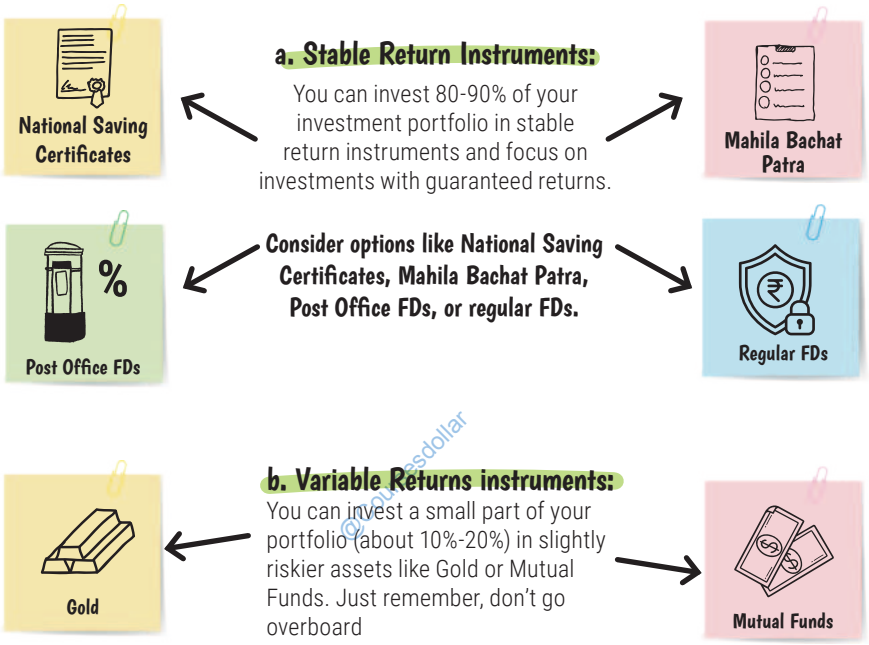
c. Recurring Deposits (RD):
A disciplined way to save periodically with fixed returns.

d. Liquid Mutual Funds:
These mutual funds provide easy access to your money with low risk, ideal for short-term needs.

Join @Coursesdollar

2. Medium-Term Goals (3-7 Years):

Now, let's talk about those goals that are neither too near nor too far, like saving for a wedding or saving for the downpayment of a house. Here's what you should do:



@Coursesdollar

3. Long-Term Goals (7+ Years)

When it comes to long-term goals like retirement planning or building substantial wealth, you can increase your exposure to riskier assets like:

By following these simple guidelines, you can make sure your investments align with your financial goals, helping you make those dreams a reality.

Join @Coursesdollar

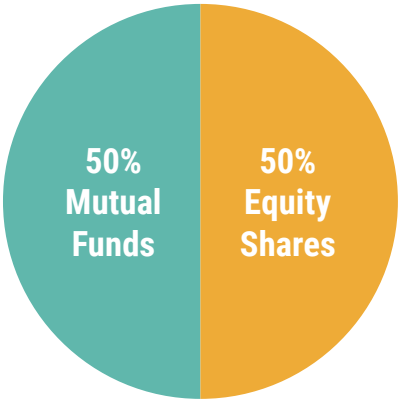
Step 5: Building a Portfolio

A portfolio is a combination of different assets you have invested in like gold, FDs, mutual funds, Real Estate, etc. You decide the combination of these assets based on your risk profile.

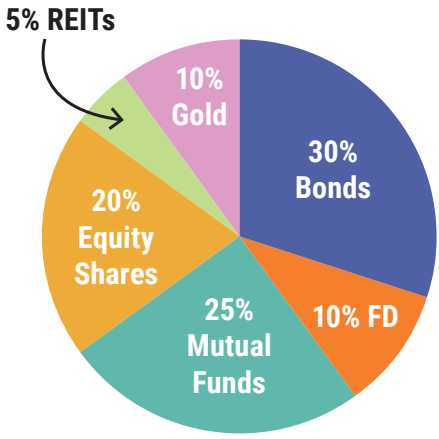
Now, most of us don't have enough savings on day 1 to build our ideal portfolio. Hence, we start building our portfolio with time by contributing our monthly savings towards different assets. Building a portfolio is also important for diversification.

Why is Diversification Needed?

Remember not to put all eggs in one basket. Diversification is the key, especially for long - term goals and riskier assets. This way, even if one of your investments don't do well or if there's a big economic change, your finances won't take a massive hit.



Risk

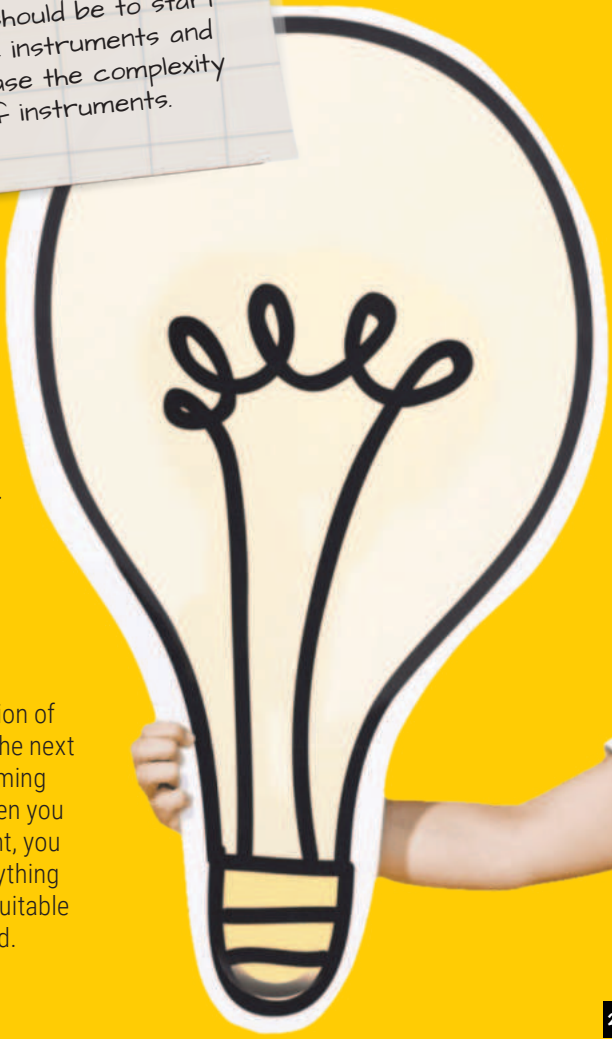


Risk

Join @Coursesdollar

Beginner's Tip:

Also, one more thing to keep in mind is that new investors often make the mistake of investing in things they don't understand and, hence, suffer from losses. Your strategy should be to start with lower-risk instruments and gradually increase the complexity and risk of instruments.



Disclaimer:

Please note a detailed explanation of these instruments are there in the next part. It can get rather overwhelming to read all of it in one go, so when you decide to invest in an instrument, you can read in detail about it. Everything from its characteristics to the suitable timeframe to invest is discussed.

Join @Coursesdollar

Here's a Step-by-Step Guide:

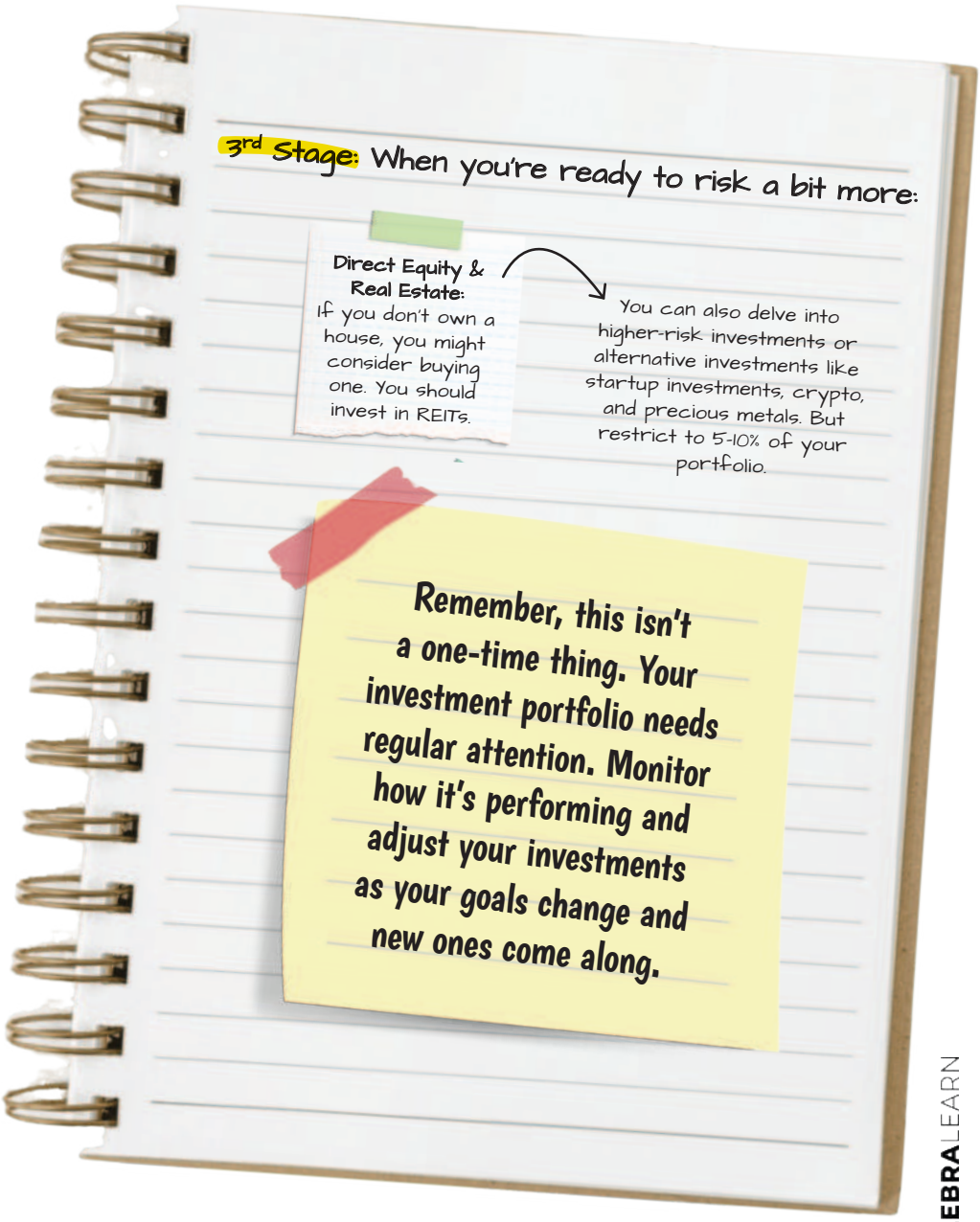
1st Stage: Start with these safer options, depending on your investment horizon:

- **Fixed Deposits (FDs):** A secure choice for short-term savings.
- **Fixed Government Savings Schemes:** Consider options like PPF and NSC.
- **Liquid Mutual Funds:** Easily accessible with low-risk.

2nd Stage: As you become more comfortable, venture into the world of mutual funds:

- **SIPs in Index Funds:** A great way to start.
- **Precious Metals:** Think about Sovereign Gold Bonds (SGB) or Gold Exchange-Traded Funds (ETFs).
- **SIP in Other Equity/Hybrid Mutual Funds:** Begin exploring more.

Join @Coursesdollar



3rd Stage: When you're ready to risk a bit more:

Direct Equity & Real Estate:
If you don't own a house, you might consider buying one. You should invest in REITs.

You can also delve into higher-risk investments or alternative investments like startup investments, crypto, and precious metals. But restrict to 5-10% of your portfolio.

Remember, this isn't a one-time thing. Your investment portfolio needs regular attention. Monitor how it's performing and adjust your investments as your goals change and new ones come along.

Join @Coursesdollar

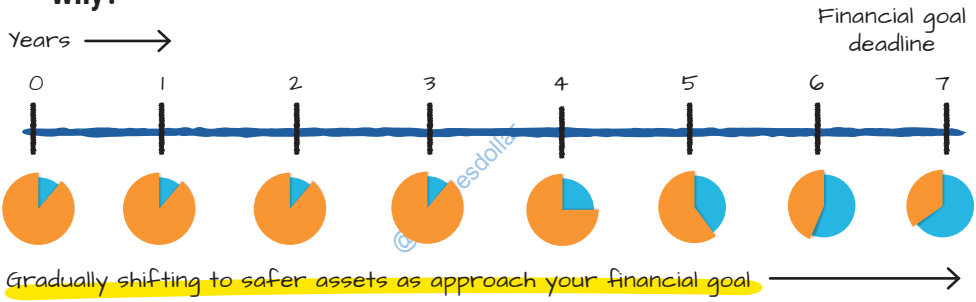
Step 6: When to sell?

Let's explore some key scenarios when selling makes sense:

1. Rebalancing

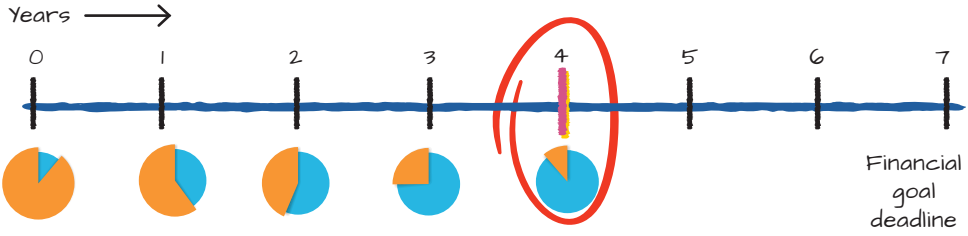
If you're investing for a medium or long-term goal and if your investment goal is nearing, then you need to start rebalancing. This means gradually shifting from riskier assets to safer ones.

Why?



To protect the returns you've earned, imagine you're close to your goal, and suddenly, there's a stock market crash! Your average returns drop from 15% per annum to 11% per annum. To avoid such last-minute shocks, gradually start withdrawing your riskier investments as you approach your goal. Parking them in assets like Liquid Funds or RDs is a smart move ensuring protection of your returns.

2. Financial Goal Achieved



If you have achieved your financial goal, it's time to consider selling riskier investments and moving those funds into stable assets. This is especially important if you're very close to your financial target. Doing this prevents any potential losses.

For example, if you aimed to save ₹5,00,000 in 7 years but achieved it in 5 years, you can shift the entire or the majority portion of those funds into safer assets at the end of the 5th year. This locks in your returns, protecting them from any market movements.

Join @Coursesdollar

3. Markets Overvalued

If you've invested in the stock market, gold, or REITs and have seen a significant increase in their value over the past year, it might be a good time to consider booking some of your profits. The thing is, markets tend to operate in cycles, with periods of euphoria followed by panic. Therefore, when the markets are doing well, it's a great opportunity to book some of the profits. If you're close to achieving your financial goal, feel free to book a higher percentage.

But if you still have a long way to go, it's best to let your investments grow and only book a small portion of your profits. Remember, it's impossible to time the highest point, and your investments could potentially go even higher.

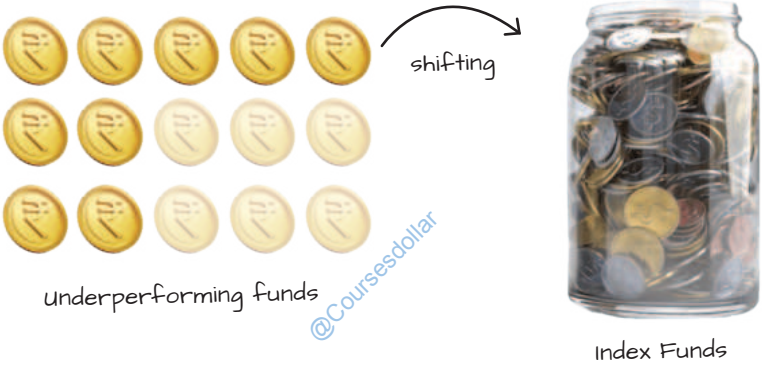
Also, just make sure to check the tax implications before booking your profits to ensure you are compliant with the laws.

Join @Coursesdollar

4. Massive Underperformance

This is only for mutual funds. If your mutual funds consistently underperform compared to their benchmarks (explained on page 363), it's time to reassess. The benchmark of mutual funds will be given in the mutual fund factsheet. For mutual funds, don't panic if there is underperformance for a year or two. These can be market-related movements. However, if it continues beyond that, it is time to re-evaluate. Here's what to do:

1. Check how other funds in the same category are performing. If more than 75% are underperforming, consider shifting to an index fund, especially in the case of large-cap funds.

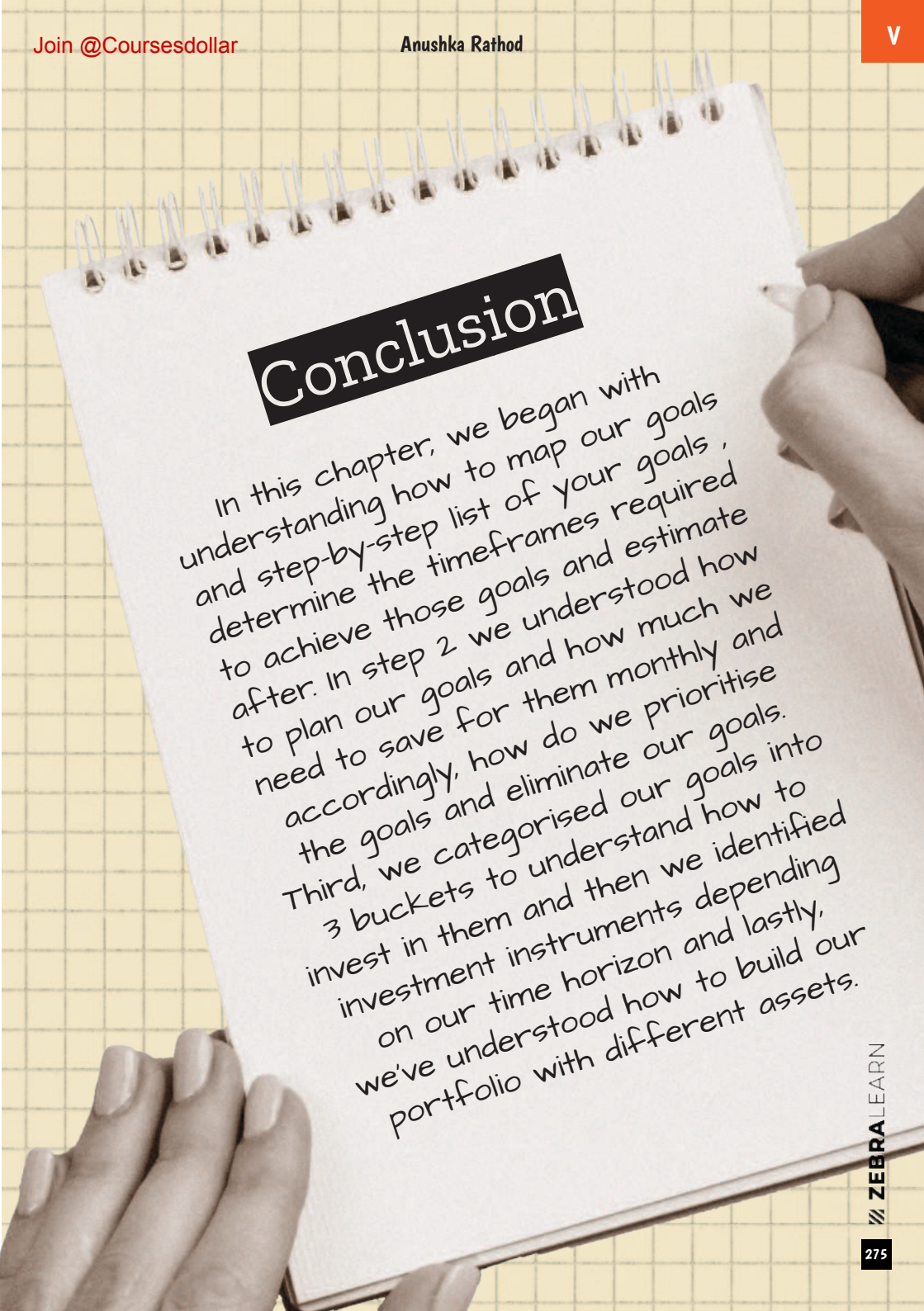


2. Look for explanations for the underperformance. Fund managers often provide insights in interviews or on the mutual fund factsheet. Be patient if the justifications are valid, as some strategies take time to play out.

3. If you find the justifications aren't convincing, consider switching your investments.

Remember, choosing a mutual fund involves a commitment. Invest time and effort upfront to make informed decisions. Your financial future will thank you for it!

Join @Coursesdollar



Conclusion

In this chapter, we began with understanding how to map our goals and step-by-step list of your goals , determine the timeframes required to achieve those goals and estimate after. In step 2 we understood how to plan our goals and how much we need to save for them monthly and accordingly, how do we prioritise the goals and eliminate our goals. Third, we categorised our goals into 3 buckets to understand how to invest in them and then we identified investment instruments depending on our time horizon and lastly, we've understood how to build our portfolio with different assets.

Join @Coursesdollar

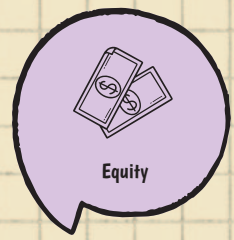
Join @Coursesdollar

6

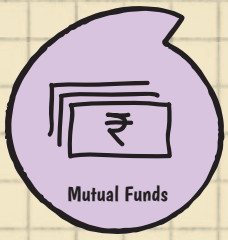
Understanding Investment Options

Chapter 10 - Fixed Deposits
Chapter 11 - Mutual Funds
Chapter 12 - Gold
Chapter 13 - Real Estate
Chapter 14 - Equity

Join @Coursesdollar



'What are Investment Options?'



In simple terms, investment options are financial products that individuals use to generate profits over time. Every financial instruments has different features, risk profiles & potential returns. Some of the most common instruments are FDs, Equity, Mutual Funds, Gold, etc. Let's start with understanding in detail about fixed deposits.

Join @Coursesdollar

Chapter 10

Fixed Deposits

Join @Coursesdollar

1. What is FD?

I have either seen people love FDs or hate FDs. FDs have an important role to play in your portfolio. But investing your entire portfolio into FDs is also not sensible. So let's discuss more about FDs and a few strategies through which you can make the most out of your investments in FDs.

A fixed deposit or FD is a popular investment instrument that banks and non-banking financial companies (NBFC) offer. Through an FD, people invest a certain sum of money for a fixed period at a predetermined rate of interest in an FD.

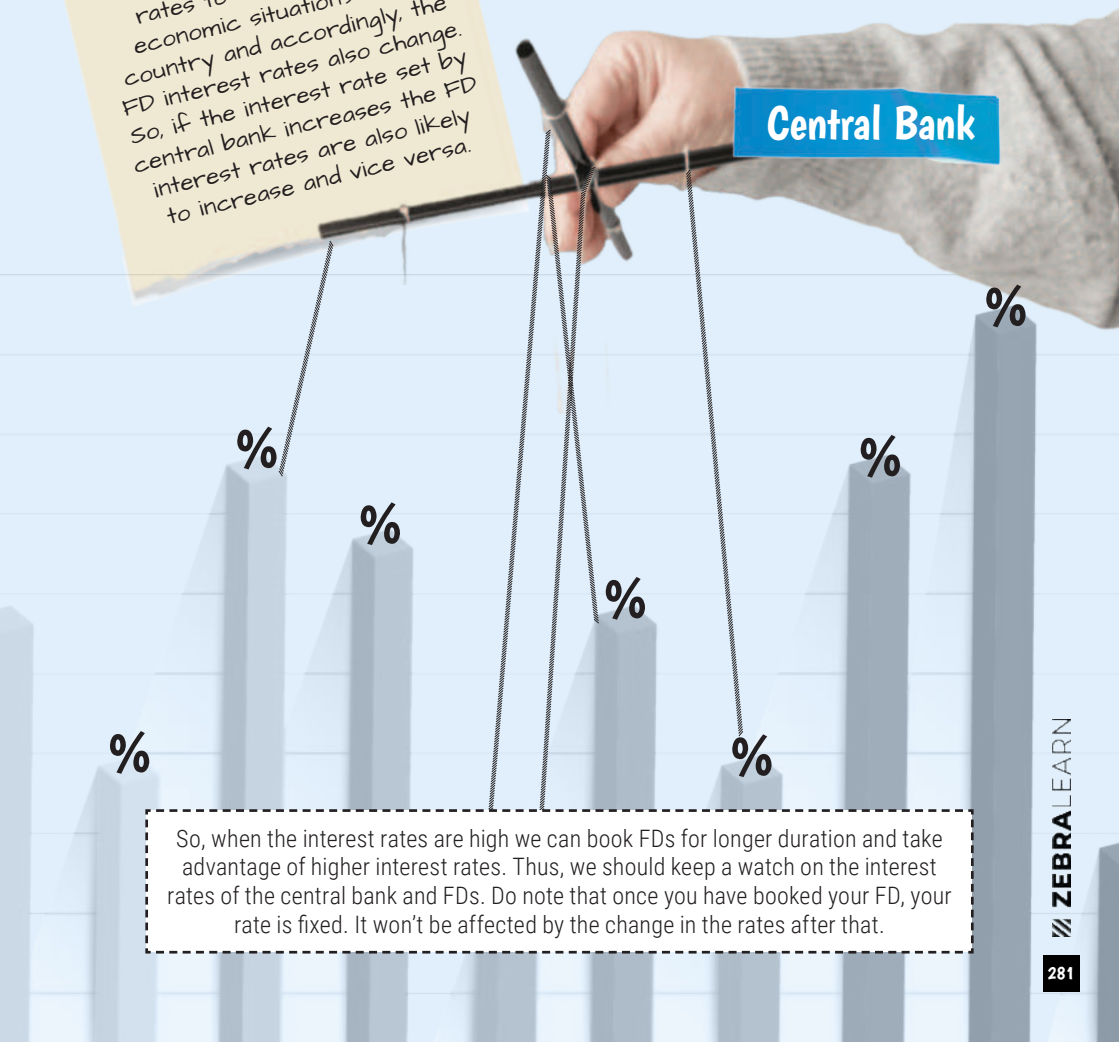
Fixed deposits are available for different periods, ranging from very short-term tenures of 7-14 days to long tenures of 10 years. This period is decided when you make an FD and premature withdrawal draws a penalty, so your money is blocked for the duration of the FD. So ensure you align your investment timeline with the FD tenure.

Join @Coursesdollar

2. When to Invest in a Fixed Deposit?

Interest rate for FDs keep changing from time to time, depending on a lot of factors but they largely follow the interest rates set by our central bank.

To put it simply our central bank changes the interest rates to manage certain economic situations in the country and accordingly, the FD interest rates also change. So, if the interest rate set by central bank increases the FD interest rates are also likely to increase and vice versa.



So, when the interest rates are high we can book FDs for longer duration and take advantage of higher interest rates. Thus, we should keep a watch on the interest rates of the central bank and FDs. Do note that once you have booked your FD, your rate is fixed. It won't be affected by the change in the rates after that.

Join @Coursesdollar

3. How to customise your FD?

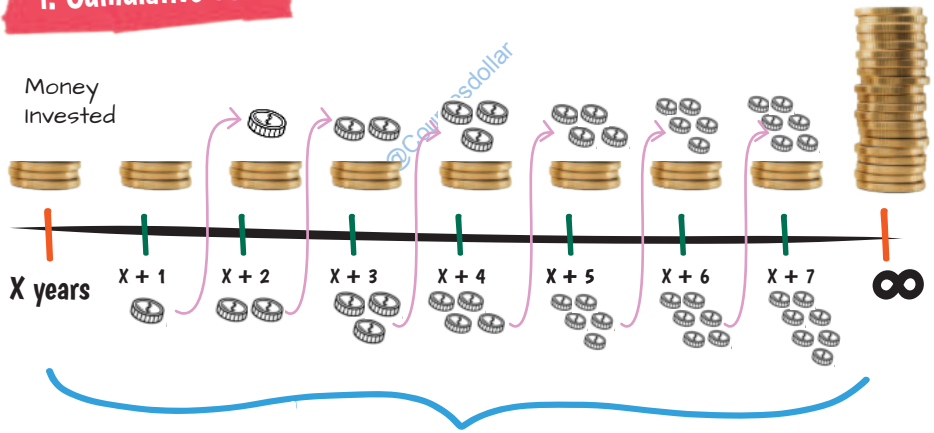
Now there are a few things you can do while booking your FD to customize it according to your needs.

One obvious way to customize your FD is to choose the tenure of your FD. Another way that you can customize is to choose whether you want to reinvest the interest or receive an interest amount periodically in your bank A/c.

Interest Payout Option:

You can decide how you want to receive the interest you earn on your FD:

i. Cumulative FDs:



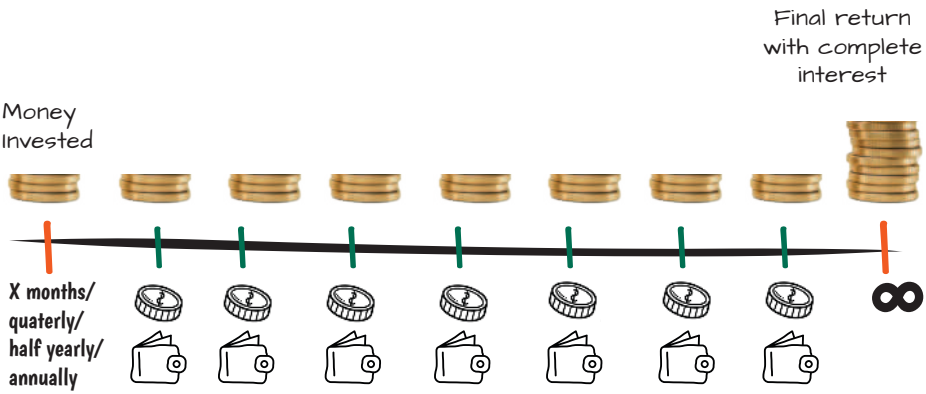
Interest earned throughout the duration

This choice means you'll get the interest and the principal (the initial amount you deposited) all in one lump sum at the end of your FD's term.

The cumulative FD option is suitable for those who do not need a regular stream of income and want to get higher returns. This is because in cumulative FDs your interest gets reinvested in the FD itself and you receive interest on that as well making the actual total return you earn higher than the rate you book your FD!

Join @Coursesdollar

ii. Non - Cumulative FDs:



rsesdollar

With this option, you receive your interest earnings at regular intervals, like monthly, quarterly, half-yearly, or annually. This is great if you need a steady stream of income. The catch here is that you won't enjoy the compounding effect of your interest getting reinvested.

So, it's all about what suits your financial goals. If you want your money to grow over time, choose cumulative. If you need regular income, go for non-cumulative. Each option has its pros and cons, so pick the one that's right for you.

Join @Coursesdollar

4. Hacks in FD Investment

i. Special Term FDs

Periodically, banks introduce Special Term FDs with higher rates for specific durations. These special FDs are often introduced for a limited period to attract customers. So, before you start an FD, enquire with the bank if there are any special rate FDs of similar time duration as your FD.

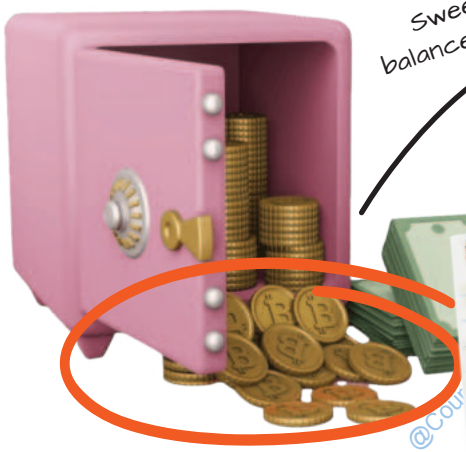
@Coursesd

ii. Strategic Term Selection of FDs:

While booking FDs, don't blindly choose round-figure years like 1 year, 2 years, or 3 years. Check if by adding a week or reducing a week to your tenure what happens to your interest rates! It might be possible that just by changing your tenure by a week you fall into a higher slab of interest rates!

This might seem obvious but while booking your FDs online or seeing brochures we often forget that this is also an option as the round-figure years are highlighted.

iii. Sweep- In and Sweep-Out Facility



Sweep in extra balance automatically

Fixed Deposit

If you have extra balance in your regular bank account, Sweep-In and Sweep-Out facility is a tool that lets you move this extra money into a fixed deposit automatically. This way, you can earn higher interest on that money than what you would typically get in your regular account.

Here's how it works:

You decide how much money you want to keep in your regular savings or current account, and whatever is left over automatically goes into the Sweep-In FD. It's pretty simple and smart because it helps you get the benefits of a higher interest rate of FDs on your extra funds and still keeps some cash easily accessible for emergencies.

Join @Coursesdollar

How Does the Sweep-In Facility Work?

To use it, you need to have both a bank account (like a savings or current account) and an FD in the same bank. Here's how it works in two simple steps:

Link Your Accounts:
You start by connecting your regular bank account to your FD account. This way, the bank knows where to move the money.

@Coursesdollar

Set a Limit:
You decide on a balance you want to keep in your regular account for everyday expenses.

When your regular account has more money than this limit, the bank automatically moves the extra amount into the Sweep-In FD. This extra money earns the same interest rate as the FD itself. So you make more money without lifting a finger.

Let's understand it with an example.

Bank Limit	Account Balance	Deposit
₹ 50,000	₹ 40,000	₹ 20,000

Suppose you set a limit to keep INR 50,000 in your regular account for your day-to-day expenses.

Your current balance is INR 40,000.

Now, let's say you receive or deposit INR 20,000,

Making the total balance INR 60,000.

The bank will sweep in the extra INR 10,000 into your FD, where it earns the same interest as your FD.

Join @Coursesdollar

If you ever need that extra cash, you can take it out of the FD without any extra charges or penalties.

Say, you do a transaction and there's a shortage in your regular account, the missing amount is automatically transferred from your FD to your regular account.

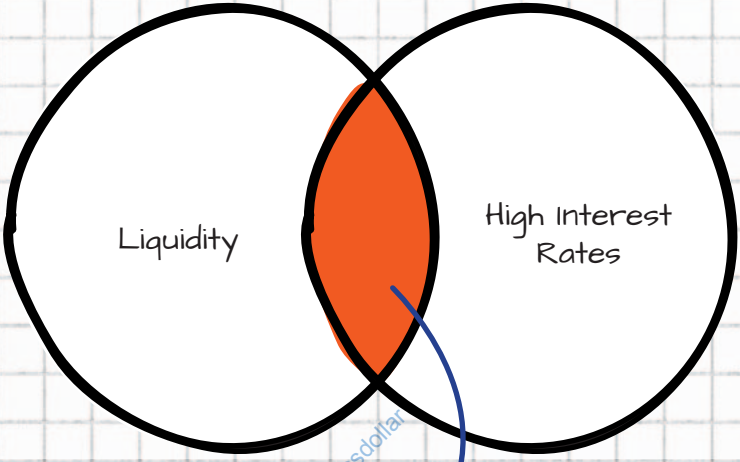
Your banks might have different terms for sweep in and sweep out. But if you explain the feature to the bank representative or your relationship manager, they will be able to guide you.

So, Sweep-In and Sweep-Out features help you make the most of your money without worrying about where it needs to be.

One major drawback of sweep in and sweep out facility is keeping a track of returns as there are multiple entries in your account and to solve this some banks offer facilities also known as Flexi FDs.

Join @Coursesdollar

iv. Flexi FD



Flexi FDs also offer both liquidity of a savings A/c and high interest rate of a FD.

Here if you have some extra funds you can make an FD with it. Then if you require a part of those funds, you can simply make the transaction from your account and the FD will get liquidated for the amount that is required to fulfill the transaction.

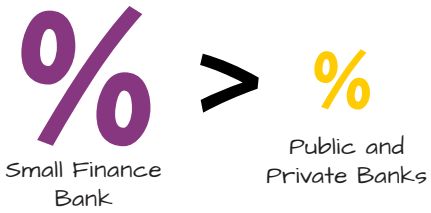
However, do note the interest you earned on the withdrawal amount will be reduced by 1%, as penalty.

Do note, that even Flexi FDs are called by different names. So it is best that you explain this feature to the bank representative and ask them if something like this is available. If yes, then ask them how can you go about it.

Join @Coursesdollar

v. Fixed Deposits (FDs) in Small Finance Banks

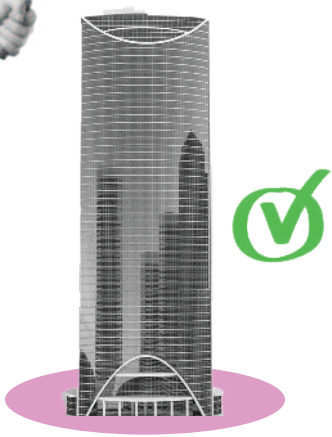
Small Finance Banks are known for offering higher interest rates compared to Private and Public Banks. If you're looking for a better FD returns, then Small Finance Banks' FDs are a better option. But now the question arises- Is it safe to invest in these banks?



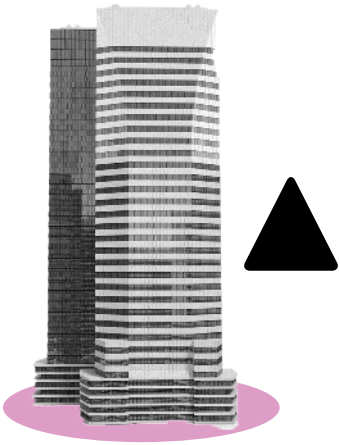
Small Finance Banks are covered under the Deposit Insurance and Credit Guarantee Corporation (DICGC) Scheme and your money is safe for up to ₹ 5 lakhs. So your principal and interest amount is insured up to 5L.

Also, there is a deposit insurance on each bank separately, so if you have a larger corpus, you can invest in different SFBs up to 5L to take advantage of the higher rates.

Coursesdollar



Commercial Banks and Small Finance Banks



Corporate and Co-operative Banks

Now, cooperative banks and a few corporates also offer FDs. Their FDs are not insured under (DICGC) Scheme. So, if they default, you might lose you money!

Join @Coursesdollar

vi. FD Laddering

FD Laddering is a strategic approach to managing your FD investments. In this, instead of investing a single lumpsum amount in a single FD, you divide your FDs into multiple smaller FDs with different maturity dates. This provides you with liquidity and a chance to reinvest at higher interest rates. **This strategy works well when the interest rates are rising.**

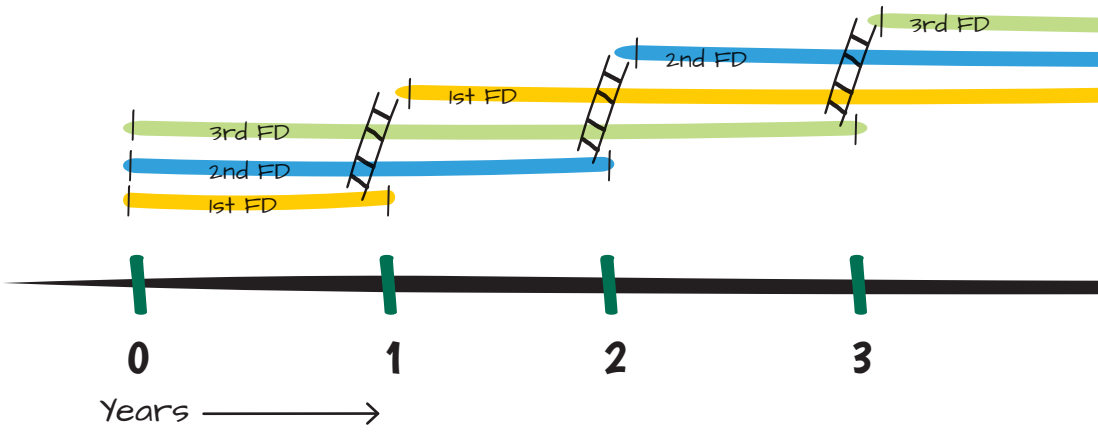
Let's understand with an example-

Suppose you have ₹ 3 lakhs to invest in an FD.

Instead of making a single lump sum FD, divide it into three FDs of ₹ 1 lakh each, say-

1st FD with a 1-year tenure | 2nd FD with a 2-year tenure | 3rd FD with a 3-year tenure

@Coursesdollar



When the 1st year FD matures after a year, then instead of withdrawing the funds, you choose to renew the maturing FD for a new tenure of 3 years, establishing the next rung or step.

When the 2nd year ends, your 2-year FD gets matured, and you reinvest it for another 3-year term, creating another rung.

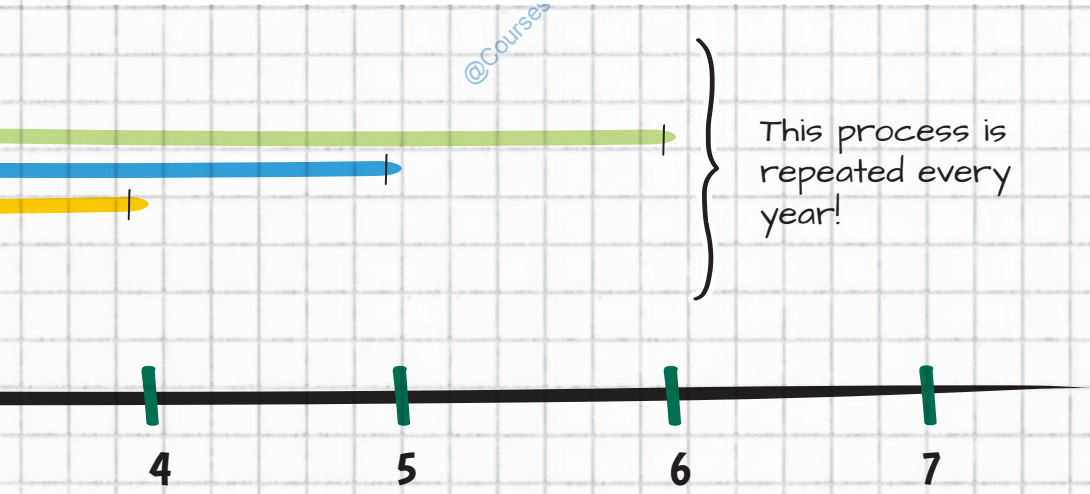
When the 3rd year ends, your 3-year FD gets matured, and you reinvest it for another 3-year term, contributing to the growth of the ladder.

Join @Coursesdollar

In this manner, FDs are arranged as a ladder, with each rung representing a matured and reinvested FD.

Benefits of FD Laddering:

- Higher liquidity as you have FD maturing every year.
- The 3-year FDs usually have the highest interest rates among the other tenures offered by banks. Hence, you get to reinvest your FDs in the highest interest-rate tenure FDs.
- When the interest rates are rising, you are reinvesting your FDs at a higher rate.



Join @Coursesdollar

vii. Tax Saving Fixed Deposits

A Tax-saving FD is similar to a regular FD but offers you a tax deduction under Section 80C of the Income Tax Act. By investing in a tax-saving FD, any investor can claim a maximum deduction of ₹.1.5 lakh per year but it has a lock-in period of 5 years.

Also, it comes under ETE (Exempt-Taxable-Exempt) status which means while the investment and maturity amounts of a tax-saving FD are exempt from tax, the interest or returns are fully taxable.

5. Recurring Deposits (RD)

A Recurring Deposit (RD) account is an investment tool that allows investors to make regular monthly investments and save money over a specified period.

Investors can choose the tenure of the deposit and the monthly payment amount based on their convenience.

If you want to save for a short-term goal like a vacation or buying an electronic gadget, RDs are a good option for you.

Join @Coursesdollar

Features of a Recurring Deposit Account:

RDs are available for tenures ranging from six months to 10 years.

Although it varies from bank to bank, you can start an RD from as little as ₹ 500.

The interest rates of RD are higher than the savings account rates.

Banks typically compound interest every quarter.

You can set up standing instructions so that your installments are automatically deducted from your savings account without your intervention.

With RD, you can also take out a loan, using the deposit as collateral to secure the loan.

Join @Coursesdollar

6. Government Schemes to invest in

To encourage people to save and invest the government has several small saving schemes! These schemes come with sovereign guarantees and even tax benefits which make them an attractive investment option. Now, there are a lot of schemes here but in the table below, I have summarised a few of them which are the most useful.

Particulars	Public Provident Fund	National Savings Certificate	Sukanya Samriddhi Yojana	Senior Citizen Savings Scheme	Mahila Samman Bachat Patra Yojana
Type of Investment	Long-Term - Interest Earning.	Medium Term - Interest Earning.	Long-Term - Interest-Earning for girl child.	Long Term - Interest-Earning retirement benefits program for elderly.	Short-term - Interest-Earning scheme for women.
Suitability	Long-Term Goals and Retirement.	Medium Term Goals of 5-7 years.	Saving for Girl Child.	Post Retirement Income.	Short Term Goals.
Interest Rates Interest rates are revised quarterly by the government	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 7.1 % p.a.	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 7.7% p.a.	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 8.2% p.a.	Interest Rate for Q1 (Apr-Jun 2024) FY 2024-25: 8.2% p.a.	7.5% p.a.
Interest Payouts	Reinvested & Compounded Annually.	Reinvested & Compounded Annually.	Reinvested & Compounded Annually. No interest is payable after the completion of tenure of the SSY	Receiving quarterly interest payments.	Reinvested & Compounded Annually.
Deposit Frequency	Minimum ₹500 atleast once a year for 15 years.	You can invest once with a lump sum amount or monthly.	Either Lump Sum or in smaller, regular instalments. Minimum - ₹250 at least once every year for 15 years.	Lumpsum	Lumpsum

Particulars	Public Provident Fund	National Savings Certificate	Sukanya Samriddhi Yojana	Senior Citizen Savings Scheme	Mahila Samman Bachat Patra Yojana
Investment Limit	The maximum investment limit is ₹ 1.5 lakh.	Minimum of ₹ 1,000/- and in multiples of ₹ 100/- No Maximum Limit.	Maximum limit is ₹1,50,000 in a financial year.	One deposit in the account in multiples of ₹ 1,000/- maximum not exceeding INR 30 lakh.	Maximum - ₹2 lakh
Lock-in Period	Partial withdrawals are allowed starting in the 6th year, with a limit of one withdrawal per year.	5 years	18 years, premature withdrawal allowed.	5 years, premature withdrawal allowed.	2 years
Tenure	15 years & can be extended in blocks of 5 years as per your wish.	5 years	Payment period - 15 years Maturity Period - 21 years	5 years, with extensions possible in blocks of 3 years for an unlimited duration.	2 years
Tax Benefits	EEE Status - Investment, Interest Earned, and maturity amount are Tax exempted.	ETE Status: Investment & maturity amount is Tax Exempt. The interest earned on a National Savings Certificate (NSC) should be reported under the "Income from Other Sources" section. The interest accrued in the first 4 years is considered reinvested and qualifies for a deduction under Section 80C. However, interest earned in the 5th year is taxable according to your tax slab.	EEE Status - Investment, Interest Earned, and maturity amount are Tax exempted.	ETE Status - Investment and maturity amounts are Tax exempted. Interest/Return earned is fully taxable.	No tax benefits - Interest earned is fully taxable.

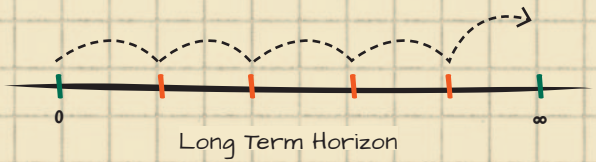
Join @Coursesdollar

Chapter 11

Mutual Funds

Note: Key terminologies are explained at the end of the chapter (page 363).

Join @Coursesdollar

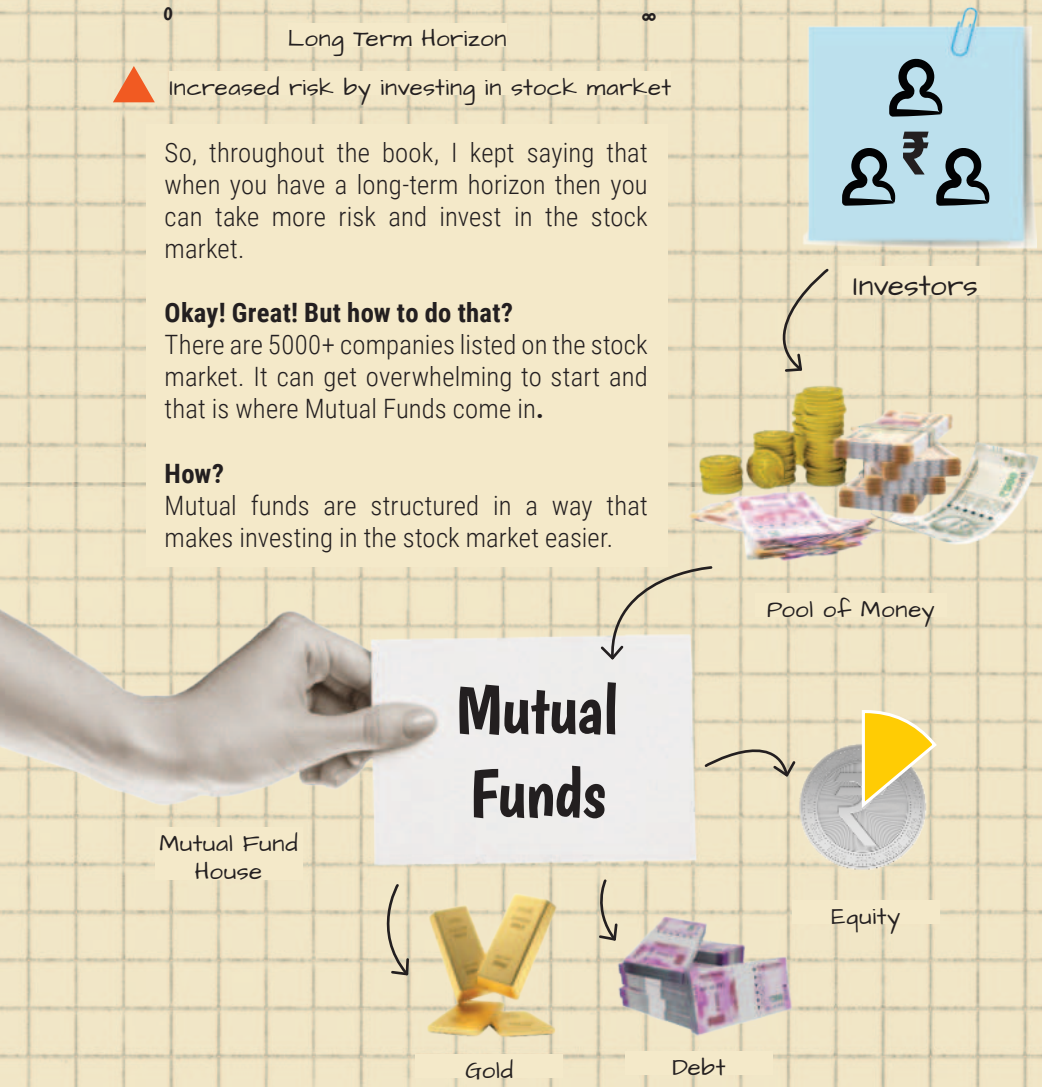


Increased risk by investing in stock market

So, throughout the book, I kept saying that when you have a long-term horizon then you can take more risk and invest in the stock market.

Okay! Great! But how to do that?
There are 5000+ companies listed on the stock market. It can get overwhelming to start and that is where Mutual Funds come in.

How?
Mutual funds are structured in a way that makes investing in the stock market easier.



Mutual funds pool money from investors like you and me to invest in companies listed on the stock market, in a way making us part owners. Some funds also invest in other assets like debt and gold.

However, the beauty is, that we don't have to decide where to invest, when to invest – that's the job of a fund manager. They invest our money on our behalf based on the fund's goal, and the gains are then distributed among us investors after deducting some management fees.

Join @Coursesdollar

But the benefits don't stop there. Mutual funds also offer:

1. Diversification Benefit

Mutual funds invest in a lot of companies (60-80 usually) and other assets as well. You can get exposure to all of that by buying just one unit of the fund.

2. Affordable & Cost-Effective Investing

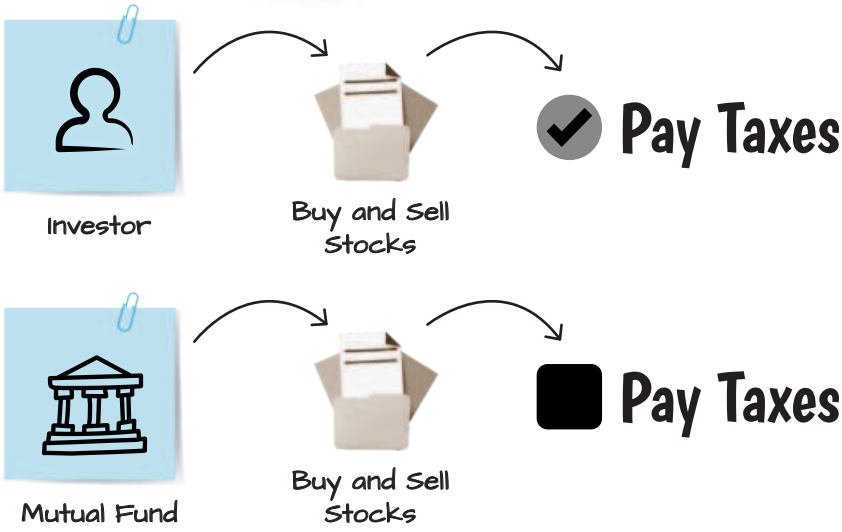
Forget about needing a huge pile of cash to start. With mutual funds, you can kick off your investment journey with as little as ₹500.

3. Professional Management

No need to spend hours researching the stock market. Experienced professionals handle mutual funds. They keep an eye on things and adjust the portfolio as needed, making sure your investments have the best chance to grow.

4. Tax Efficiency

@Coursesdollar



If you were to buy and sell the same stocks that were there in a mutual fund, you would have to pay taxes on the gains. However, when a mutual fund buys and sells stocks, they are exempted from paying taxes on it.

Join @Coursesdollar

This makes a difference because Short Term Capital Gains Tax is 15% (profits booked in less than a year) and Long Term Capital Gains Tax is 10%, that too only for gains above 1 lakh.

So say you purchase a stock and sell it within 10 months, then you will be charged 15% Short Term Capital Gain tax on it. However, a mutual fund would be exempt from paying tax on it. Now say you sell the mutual fund unit after 2 years. Then all the short and long-term gains on the mutual fund will be added up and the cumulative losses over the 2 years subtracted. Then on the amount, you will only pay 10% Long Term Capital Tax, that too only for gains above 1 lakh.

This makes Mutual Funds more tax effective!

Need your money? Most mutual funds can be bought and sold during market hours. You can have the funds in your bank account within 1-3 working days.

@Coursesdollar

Mutual funds operate under the watchful eyes of regulatory bodies like SEBI and AMFI. Strict rules are in place to protect investors and keep things transparent. While it adds a layer of safety, remember that market risks are part of the game.

Join @Coursesdollar

So, in short, investing in mutual funds provides a cost-effective, secure, and flexible way to grow your money, especially if you're a small investor looking for simplicity and diversity.

And that, my friends, is the basics of Mutual Funds!

Now, let's take a quick look at what's coming next in this chapter:

We'll start by diving into a bit of detail of

How mutual funds are managed?

Then explore the various types of Mutual Funds we can invest in

Next, we'll look at some more details about mutual funds that you should know about!

After that, the part you do not want to miss: How to select a Mutual Fund?

And at last, we will get into ways to invest in mutual funds and things that you should avoid! But before going ahead, just a small note: This might seem like a lot, so, take it slow, maybe even give this chapter a couple of reads, and I promise the world of mutual funds will click!

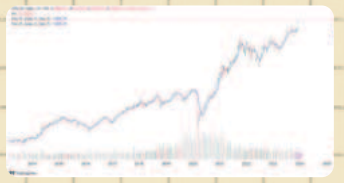
Cheers to financial adventures!

Join @Coursesdollar

1. So, how are mutual funds managed?

When we hear mutual funds, we picture a team of experts selecting stocks that are doing well and constantly changing the portfolio to give better returns.

Team of Investors



Stock Market

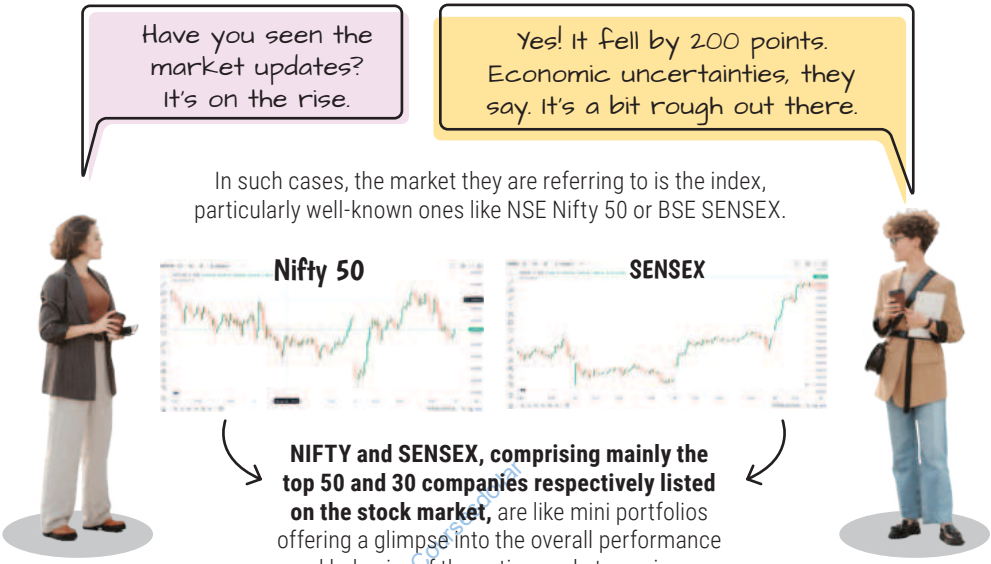
These funds fall into the category of actively managed funds, where fund managers actively make investment decisions based on thorough research into a company's fundamentals and economic trends.

There's another approach too—some funds prefer a more straightforward strategy. Instead of fund managers individually deciding where to invest, how much to invest, and when to buy or sell, these funds opt to replicate an index to mimic its performance.

And these funds are aptly named passively managed funds. But what exactly is this index they are replicating?

Join @Coursesdollar

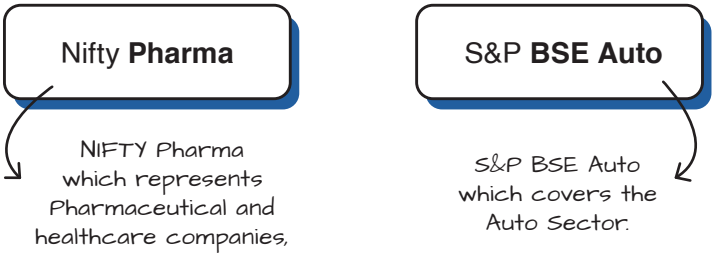
So, whenever markets are being discussed, people say things like,



In such cases, the market they are referring to is the index, particularly well-known ones like NSE Nifty 50 or BSE SENSEX.

NIFTY and SENSEX, comprising mainly the top 50 and 30 companies respectively listed on the stock market, are like mini portfolios offering a glimpse into the overall performance and behavior of the entire market, serving as representations of the stock market.

Then, there are some indices that reflect the performances of only specific sectors too!



The companies included in these indices are carefully picked based on specific criteria and their weightages are adjusted regularly to reflect their performance and maintain the accuracy of the mirror.

But there is a catch: you can't directly invest in indices themselves.

So, passive funds offer the next best thing! They simply buy the same stocks as the index, and replicate its performance.

© ZEBRA

Join @Coursesdollar

2. Now, which Management style should you select?

Well, isn't it obvious?

@Coursesdollar

Active Funds

If a fund manager is putting in all that brainpower, analyzing and researching to outperform the market, then active funds should be the way to go, right?

Well, that's a valid point! But before you jump to that conclusion, here is what, Warren Buffet, the most widely considered successful investor of the 20th Century recommends!

Passive Funds!!

But why?

Because data reveals a surprising truth: on average, actively managed funds often underperform their benchmarks.

Join @Coursesdollar

Let's look at the evidence from AMFI (Association of Mutual Funds in India):
Percentage of Mutual Fund Schemes Outperforming Their Benchmark:

Duration	Large-Cap	Flexi-Cap	Mid-Cap	Small-Cap
3 years	19%	20%	13%	52%
5 years	12%	33%	41%	92%
10 years	35%	67%	39%	100%

(Source: AMFI Website, the data is as of 31st March 2023)

As you see, in the 5-year data, only 12% of active large-cap schemes outperform their benchmarks over a period of 5 years, meaning only 1 out of 10 schemes deliver better returns. While flexi-cap and mid-cap funds are far better.

So in conclusion, the choice boils down to your priorities. If you prioritize simplicity passive funds offer a more straightforward approach. But if you're comfortable with taking on some additional risk and putting in extra effort, active funds might offer higher potential returns.

Join @Coursesdollar

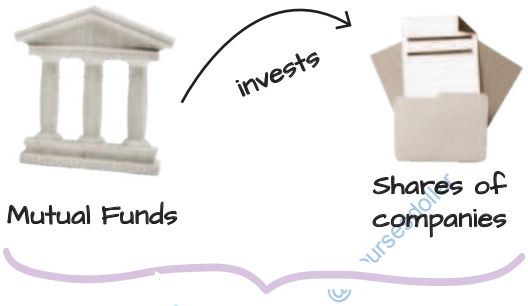
Ultimately, the best strategy is to find a balance.

Combining both active and passive funds can create a diversified portfolio that maximises your returns while catering to your individual risk tolerance and investment goals.

Join @Coursesdollar

3. Types of Mutual Funds

a. Equity Mutual Funds



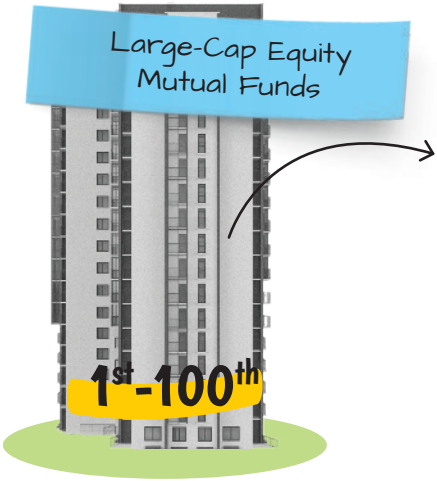
Equity mutual funds invest in company shares, making you an indirect owner of those companies. You then get exposure to the performance of the invested companies. Now, these mutual funds are also sub-categorised based on how they are managed:

i. Actively Managed Equity Funds:

Within this category, there are **three main types:**

- Large-Cap Equity Mutual Funds
- Mid-Cap Equity Mutual Funds
- Small-Cap Equity Mutual Funds

Join @Coursesdollar



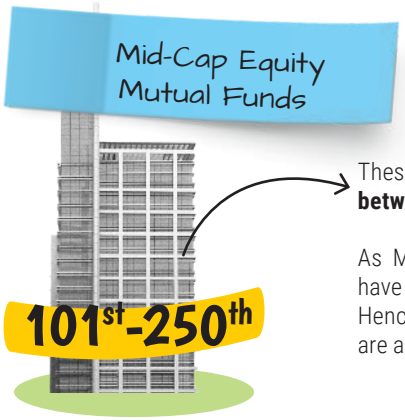
These funds **invest in companies ranked between 1 and 100** in terms of market capitalization (the total value of a company's shares on the market).

They're considered lower risk because they invest in well-established companies. However, recent data from S&P Indices versus Active (SPIVA) shows that many large-cap funds haven't been doing great.

Years	Percent of underperforming Large-cap active funds
1 year	87.5%
3 years	96.7%
5 years	93.8%

(Source: SPIVA India Mid-Year 2023 Report - https://www.spglobal.com/spdji/en/spiva/article/spiva-india)

So, instead of going for Large Cap Funds, consider NIFTY 50 or SENSEX Index Funds for potentially better returns.



These funds **invest in companies that are ranked between 101 and 250 in terms of market capitalization.**

As Mid-Cap Companies are smaller in size, they do have more room for growth as compared to large -cap. Hence, they might give better returns. However, they are also riskier than large-cap funds.

Join @Coursesdollar

Small-Cap Equity Mutual Funds

These funds **invest in companies that are ranked below 251 in market capitalization.**

As these companies are even smaller in size, they have an even higher potential to grow and deliver profitable returns to their investors. However, they are more volatile and come with high risk.

Beyond the main types, there are several other actively managed equity funds:

Fund Type	Investment Approach	Portfolio Composition	Flexibility	Tax Benefits
Large & Mid-Cap Funds	Invest in both large & mid-cap stocks. Combine stability of large-cap with growth potential of mid-cap stocks.	Large & Mid-Cap Stocks.	Limited to Large & Mid-Cap Stocks.	No
Multi-Cap Funds	Invest in a mix of large, mid, and small-cap companies. Allocate at least 25% to each category. Flexibility based on market conditions.	Large, Mid, Small Caps.	Mandatory atleast 25% in large, mid and small-cap stocks each.	No
Flexi-Cap Funds	Most flexible equity funds. Invest in any company size based on market conditions. No set limits.	Any Company Size.	Unrestricted allocation based on market conditions.	No

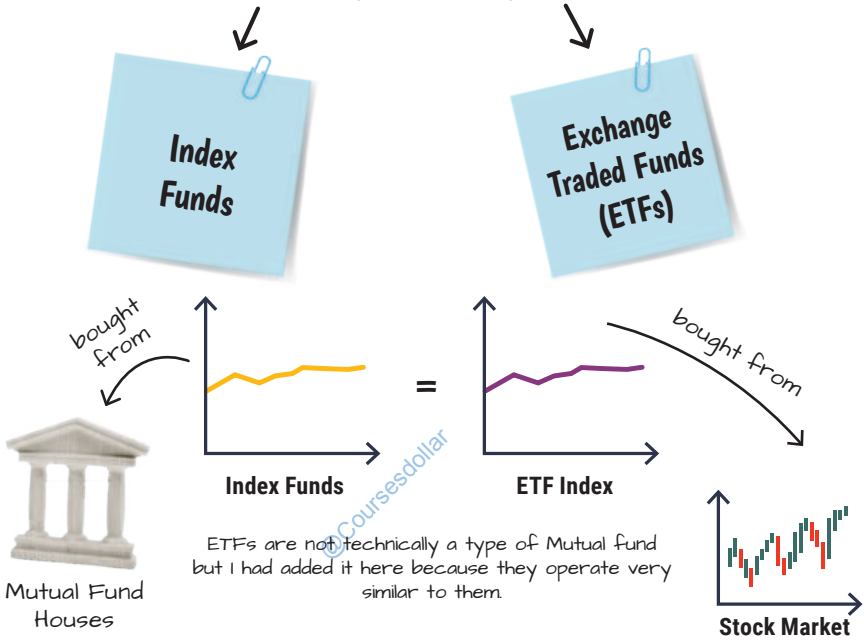
Join @Coursesdollar

Fund Type	Investment Approach	Portfolio Composition	Flexibility	Tax Benefits
Focused Funds	Invest in a limited number of stocks (30 max). Can invest in any market segment, potentially increasing returns.	Limited Stocks (30 max)	Concentrated on a few stocks, potentially higher risk	No
Equity Linked Savings Schemes	Offer tax benefits under Section 80C. Mandatory lock-in period of 3 years. Function similarly to Flexi-Cap funds otherwise.	Any Company Size.	Flexible allocation based on market conditions.	Yes (Under Section 80C) Maximum: 2.5 lakhs
Sectoral/Thematic Funds	Focus on specific sectors or themes (e.g., Pharma). Require sector expertise. Less suitable for most individual investors.	Specific Sectors/ Themes.	Limited to chosen sectors/themes.	No

Join @Coursesdollar

ii. Passively Managed Equity Funds

As we discussed, passively managed funds take a hands-off approach and mimic an index. There are two main types of passively managed funds



@Coursesdollar

Index Funds replicate a chosen benchmark index, investing in the same securities with the same proportions. You can buy and sell them from mutual fund houses.

On the other hand, ETFs also replicate a chosen benchmark index but are traded on stock exchanges. You can buy and sell units of ETFs on the stock market like you buy shares of a company.

These two main types also have subtypes:

Broad market index funds/ETFs: These track major indices like Nifty 50, Sensex, or Nifty Large Cap 100, giving you broad market exposure.

Sectoral index funds/ETFs: Focus on specific sectors like banking, offering targeted exposure. An example would be Nippon India Bank BeeS, an ETF tracking banking funds.

Join @Coursesdollar

So, what sets Index Funds and ETFs apart?

While Index Funds and ETFs share similar portfolio construction, minor differences exist:

Particulars	Index Funds	ETF
How to invest	Can be bought like any other equity mutual fund.	Has to be bought from stock exchanges.
Minimum investment	Rs 500	1 unit, price depends on per unit price of ETF chosen.
Requisites	Just need to get KYC verification done.	KYC verification + have a demat account.
Liquidity	Can buy and sell easily, anytime as liquidity is not an issue.	Need to consider Liquidity.

@Coursesdollar

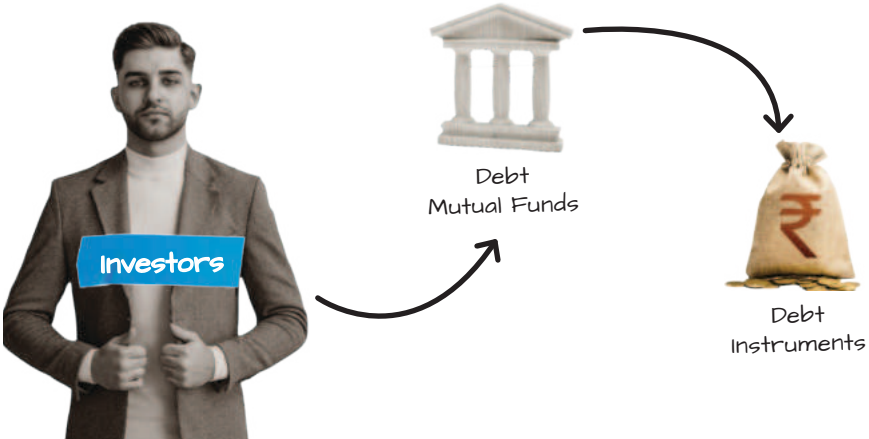
But, why is liquidity such a big thing to consider for ETFs?

So, the reason is that ETFs are not very popular in India yet!

This lack of popularity leads to lower liquidity, making it difficult to buy or sell ETF units at the market price, since there might not be a lot of buyers or sellers for it.

b. Debt Mutual Funds

Debt Mutual funds invest your money in instruments that earn a fixed income.
These instruments are in essence loans, where a company or government borrows money from the investors at a fixed interest for a specified period.



Join @Coursesdollar

A few types of debt instruments are Corporate Bonds government Bonds, Company Debentures, and Treasury Bills in which the debt mutual fund will invest for you. Here also there are a lot of sub-categories, so to keep things simple I am discussing only a few of them that are suitable to most retail investors.

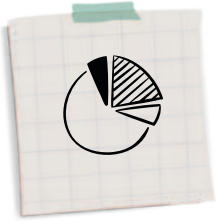
Type of Fund	Investment Instruments	Liquidity	Time Horizon	Risk of Default	Suitability
Liquid Funds	Debt Instruments with a maturity of up to 30 days.	Very liquid; 1-2 working days.	Short-term (< 1 year)	Least affected by interest rate risk.	Emergency funds, short-term goals.
Banking and PSU Debt Fund	Debt Instruments of government companies and big banks.	High liquidity	2-3 years	Low chance of default; highest credit rating.	Medium-term investment (2-5 years)
Corporate Bond Fund	80% investment in companies with the highest credit rating.	Moderate liquidity.	2-3 years	Little chance of default; examine credit rating.	Medium-term investment (2-5 years)
Target Maturity Funds	Passive debt mutual fund schemes tracking an underlying index.	Hold till maturity for desired result.	Long-term (5+ years)	Defined maturity dates; return may vary if sold early.	Long-term investment for specific goals.

Join @Coursesdollar

c. Hybrid Funds

The third category of funds is Hybrid funds. **As their name implies, these funds invest in multiple asset classes like equity, gold, debt, etc.** This diverse mix provides several advantages such as:

Advantages of Hybrid Funds



Diversification: Hybrid funds spread your investment across different asset classes, reducing the overall risk compared to focusing solely on one class.

Smart rebalancing: Fund managers actively manage the allocation between assets, adjusting based on the market conditions to maintain the desired risk profile.

Tax benefits: Hybrid funds with 65% or more equity investment enjoy lower capital gain tax rates as they are considered Equity Mutual Funds.

With all these advantages there are certain negatives as well.

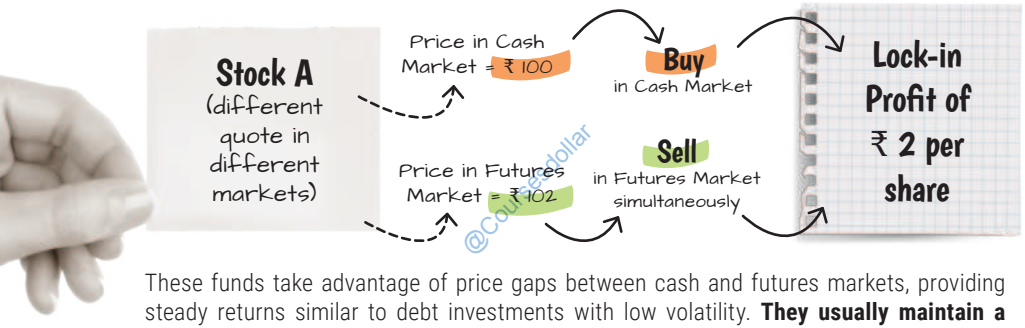
Disadvantages of Hybrid Funds

- Higher Expense Ratio
- Higher Chances of Underperformance

Hybrid Funds

Hybrid funds usually have a **higher expense ratio** which might eat into the returns. Also, deciding which asset to invest in is a subjective decision and a wrong bet can also lead to underperformance. Let's move on to discussing different Hybrid Funds.

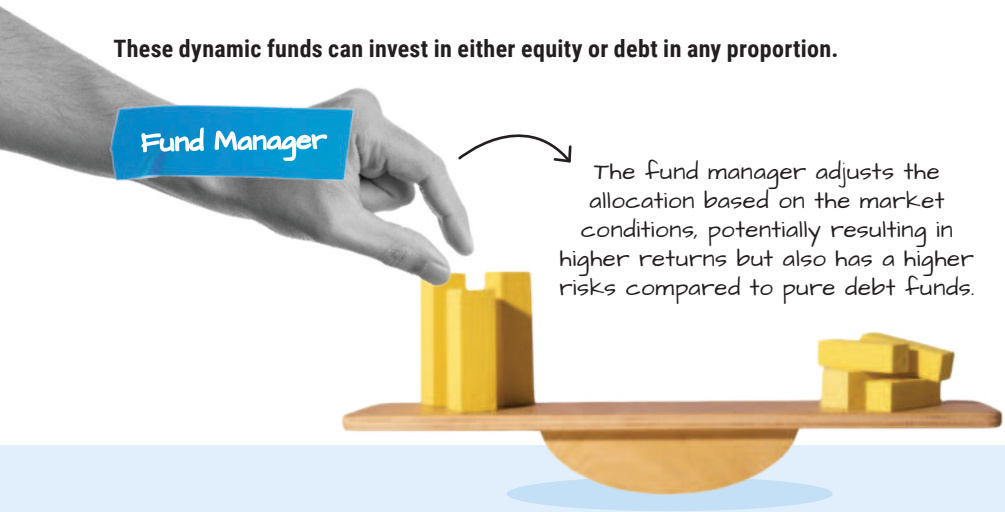
i. Arbitrage Funds:



These funds take advantage of price gaps between cash and futures markets, providing steady returns similar to debt investments with low volatility. **They usually maintain a portfolio with 65% to 100% in stocks and up to 35% in debt to qualify for tax benefits.**

ii. Balanced Advantage Funds:

These dynamic funds can invest in either equity or debt in any proportion.

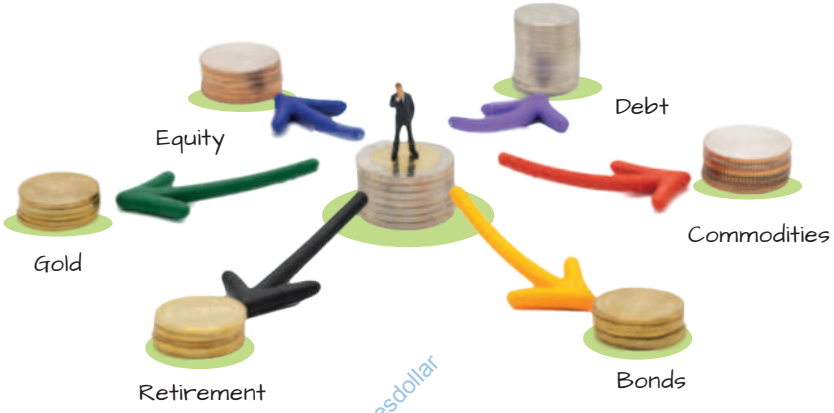


The fund manager adjusts the allocation based on the market conditions, potentially resulting in higher returns but also has a higher risks compared to pure debt funds.

Join @Coursesdollar

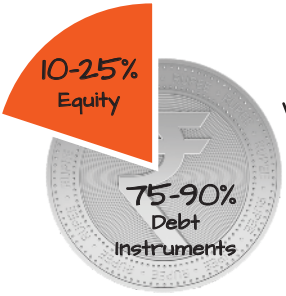
iii. Multi-Asset Allocation Funds:

These offer the widest diversification in India, investing in gold, equity, debt, commodities, and more. They must invest **at least 10% in three different asset classes,** with higher allocation flexibility at the manager's discretion. However, do note that they are taxed at the income tax slab rate.



@Coursesdollar

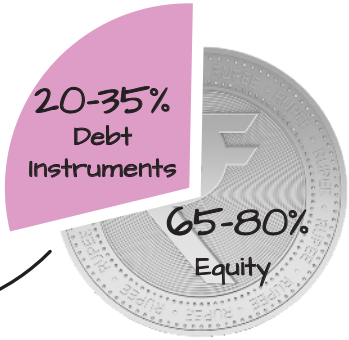
iv. Conservative Hybrid Funds:



These prioritize income generation, allocating 10-25% to equity and 75-90% to debt instruments. They offer slightly higher returns than pure debt funds due to the small equity portion and **suit goals with a 3-year horizon.**

v. Aggressive Hybrid Funds:

These aim for high returns with controlled risk, investing 65-80% in equity and 20-35% in debt. They benefit from equity-oriented taxation while offering returns lower than pure equity funds but higher than pure debt funds.



Join @Coursesdollar

Whoa, that was a lot of types!!

Here is a summarized version in the table below with a quick overview of each type and what's good about them.

Metric	Debt/Liquid	Equity	Hybrid
Objective	Preserving time value of money.	Generating Long-term wealth.	Generating Long-term wealth with lower risk.
Risk	Depends on credit rating	High	Moderate
Tax benefit	No	Yes - Long term capital gains exempt till 1 lakh - Taxed at capital gain rate which might be lower than income tax slab.	Depends on type of hybrid fund. If equity is more than 65% then taxed as equity fund and otherwise as Debt fund.
Low cost/passive availability	Available but options are very few.	Easily available.	Non-existent.
Short term suitability	Yes (only for liquid funds)	No	No
Diversification within asset classes	No	No	Yes

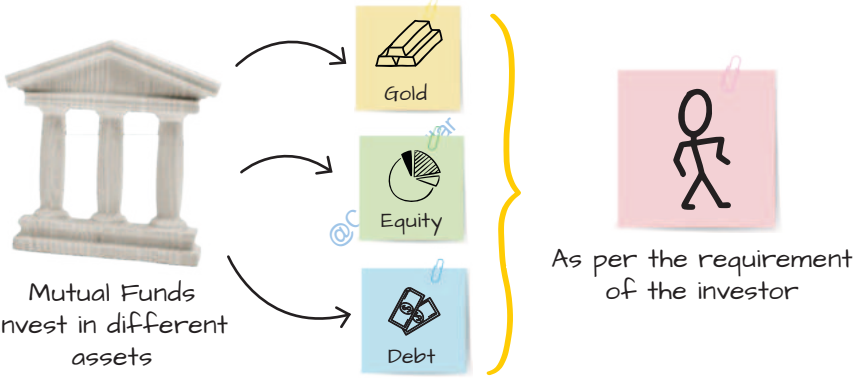
Now let's learn a little bit more about mutual funds by going through the common terminologies! This will help you understand the next segment.

Join @Coursesdollar

4. So, how to select the type of the Mutual Fund?

Now, let's get into the main part, how do we actually select a Mutual fund to invest in? To select a mutual fund, first you need to select the type of Fund you want to invest in!

As we saw in the types, each mutual fund type invests in different kinds of assets and is suitable for different kinds of investors.



That's why before you start investing you need to filter the funds based on your investment duration and the risk you can tolerate. By doing this, you ensure that the fund you are investing in matches your financial goals and comfort level.

So, the steps to select the funds are as follows:

Step 1:

Decide for how long you want to invest!

Step 2:

Assess how much risk you can take!

Join @Coursesdollar

Step 1 Decide for how long you want to invest!

Choosing the right fund starts by understanding & deciding for how long you plan to invest your money before you need it. Different funds are suitable for different time periods depending upon their risk and volatility.

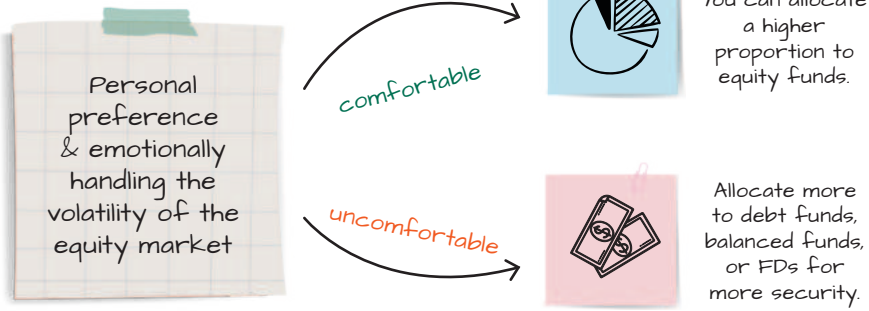
Now, let's break down suitable funds according to your investment duration:
Please note these are the minimum time frames you need to invest in the following assets, of course you can invest in them for time durations longer than the ones stated below.

Goals and Time Period	Funds Suitable
1-3 years	Liquid Fund, Arbitrage Fund, Ultra Short Term Debt Fund
3-5 years	Banking PSU Debt Funds Balanced advantage Fund
5-7 years	Nifty 50 ETF, Multicap Funds, Flexi cap Fund, Multiasset Funds
7 years+	Mid cap fund/ Small cap fund

Step 2 Risk Appetite + Risk Tolerance

So, we have decided how long you want to invest & looked into which funds can be suitable according to it. But can you handle the risk it comes with?

a. Risk Appetite



If you are comfortable financially & emotionally handling the ups and downs of the equity market, then you can allocate a higher proportion to equity funds. But if you are not comfortable, then allocate more to debt funds, balanced funds, or FDs for more security.

Join @Coursesdollar

b. Risk Tolerance

Even if you are comfortable with taking higher risks, sometimes due to your existing financial commitments like high EMIs or your personal circumstances like unstable income, you might have to take lower risks.

Sole Breadwinner

For example, the sole breadwinner in a family with unstable income will have a lower risk tolerance than someone who doesn't have financial dependents.

@Coursesdollar

Sole Breadwinner

People who have a longer investment time horizon have a higher risk tolerance.

Join @Coursesdollar

5. Last but not least, how to select a Mutual Fund Scheme?

Now let's get into the final step i.e. selecting a mutual fund scheme. To guide you through this process, we'll be using the Association of Mutual Fund of India – AMFI's Official Website:

https://www.amfiindia.com/research-information/other-data/mf-scheme-performance-details

This website is the most trusted source for any information about mutual funds! It offers detailed information on every scheme listed on the exchange, making it the perfect tool to compare different options and find ones that align with your investment goals.

So, let's get started!!

Join @Coursesdollar

a. How to select an Actively Managed Equity Fund?

There are numerous funds in each category. So first we'll shortlist the Top 3 Funds using a few metrics and then analyse those funds in detail to shortlist a single fund. You can get all the data from AMFI's website, a detailed demonstration of all the steps is there after the explanation.

Step 1: Filters to shortlist the funds

i. Assets under Management (AUM)

When evaluating potential funds, consider the Assets under Management (AUM) for each scheme.

AUM > 1,000 Crores

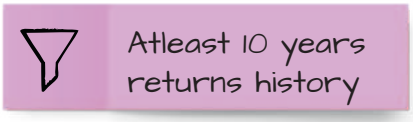
As a general guideline, aim for funds with an AUM exceeding ₹1,000 Crores.

Fund Managers

This larger pool of assets suggests the fund manager has a proven track record Of handling large sums and potentially delivering good returns.

Huge Sums of Money

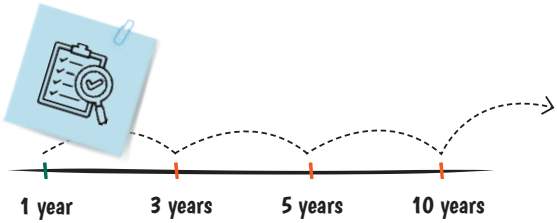
ii. Filter by Return History



- Historical Data
- Funds performed well over time
- Likelihood of good performance in future

We further filter the funds by choosing those with at least a 10-year return history. This step provides you with sufficient historical data to analyze the fund's performance. Funds that have performed well over a long period of time indicates a higher likelihood of good performance in the future as well.

iii. Evaluate the performance



Examine the fund's performance over the last 1, 3, 5, and 10 years. Look for consistency in returns over these periods.

Step 2: Selection of a Fund

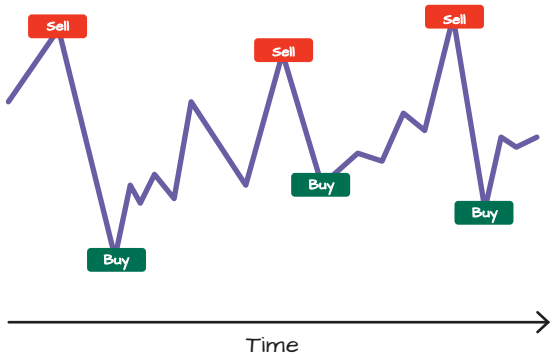
Choose the top 3 schemes that meet the criteria mentioned in Step 1. Now, apply additional filters to narrow it down to a single fund. The date for this part will be available in the Mutual Fund's Factsheet or their website.

Note: Learn to read Factsheets on page 344.

i. Fund Manager Changes

When considering a mutual fund, keeping track of changes in fund managers over the past five years is crucial. A high frequency of manager turnover makes it difficult to distinguish whether the fund's returns are due to skill or simply luck.

ii. Portfolio Turnover Ratio

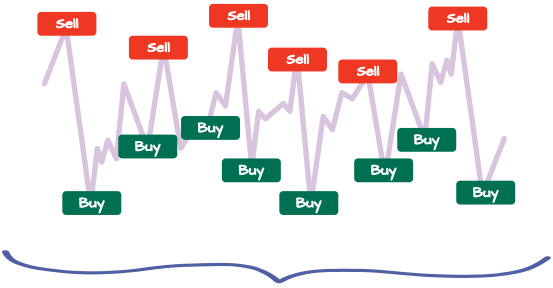


Portfolio Turnover Ratio is a measure that indicates how frequently a mutual fund buys and sells assets over a period of time.

Here, TER should be less than 50% for actively managed large cap and flexi cap fund. And less than 100% for mid and small cap funds

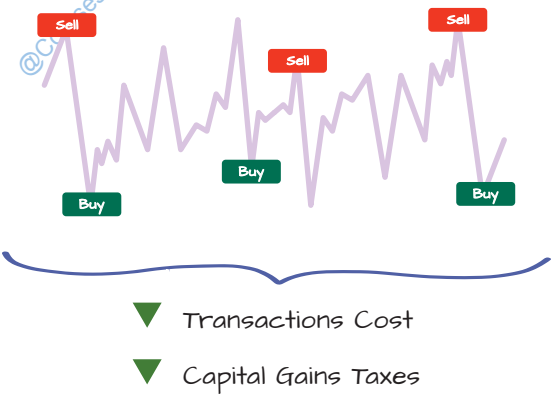
Join @Coursesdollar

High Turnover Ratio



A higher turnover ratio indicates more active trading within the fund, potentially leading to higher transaction costs.

Low Turnover Ratio



On the other hand, a lower turnover ratio suggests a more passive or buy-and-hold approach.

- Stable and Consistent Returns
- More money in the pocket

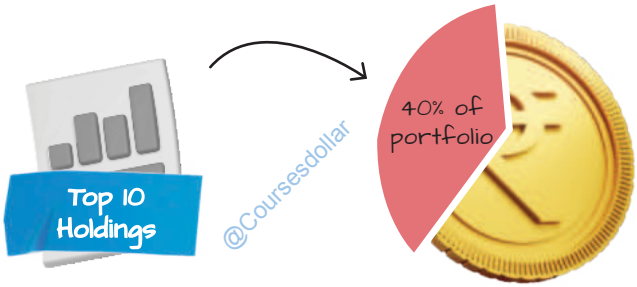
Prefer funds with a lower portfolio turnover ratio. A lower ratio indicates that **the fund manager prioritizes stocks with strong long-term potential and is not just reacting to short-term market fluctuations.**

This often leads to more stable and consistent returns for you in the long term. Plus, lower turnover also means fewer transaction costs, leaving more money in your pocket.

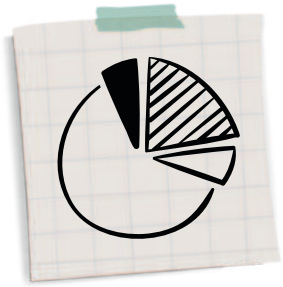
Join @Coursesdollar

However, keep in mind that some actively managed funds, like those focused on specific sectors or themes, may have a higher turnover ratio due to their unique investment style. This doesn't necessarily indicate a lack of strategy, so evaluate each fund based on its approach.

iii. Top 10 Holdings Contribution



Ensure that the top 10 holdings contribute not more than 40% of the total portfolio value to ensure true diversification.



This will ensure that the fund is well diversified.

Note: This may not apply to small-cap funds because individual stocks in small-cap companies often have lower liquidity, meaning it can be difficult to buy and sell them quickly without impacting the price. Therefore, small-cap funds might naturally have a higher concentration in their top holdings due to the limitations of the market.

Join @Coursesdollar

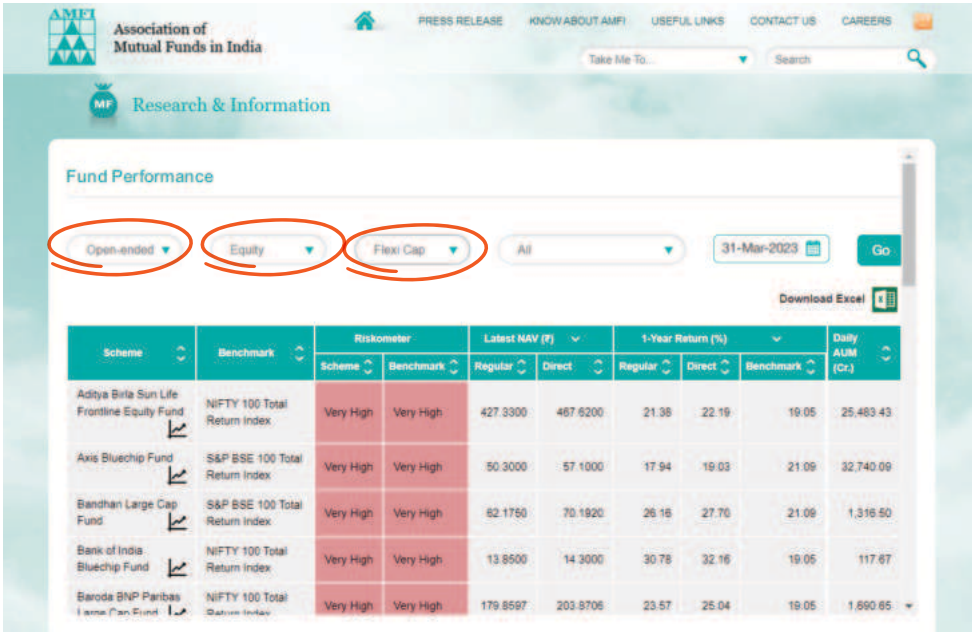
iv. Number of Stocks in Portfolio

Ideally, the number of stocks in the portfolio should be between 60-70. Too many stocks could imply low conviction in the fund manager's selections. Again, this may not apply to small-cap funds.

Now, let's put theory into practice:

Let's say you're looking to invest in a Flexi Cap Fund. There are a total 30 Flexi Cap Fund Schemes in the market. So by following the steps we just discussed we'll choose the top fund. Please note that this is just a demonstration and not an investment advice.

So, first, we will visit the AMFI Website and go to the Mutual Fund Performance Tab, and do our first filter of the schemes: Put in Open-ended, Equity & Flexi-Cap in the filters and download the Excel sheet to analyze the data.



Scheme	Benchmark	Riskometer		Latest NAV (₹)		1-Year Return (%)			Daily AUM (Cr.)
		Scheme	Benchmark	Regular	Direct	Regular	Direct	Benchmark	
Aditya Birla Sun Life Frontline Equity Fund	NIFTY 100 Total Return Index	Very High	Very High	427.3300	467.6200	21.38	22.19	19.05	25,483.43
Axis Bluechip Fund	S&P BSE 100 Total Return Index	Very High	Very High	50.3000	57.1000	17.94	19.03	21.09	32,740.09
Bandhan Large Cap Fund	S&P BSE 100 Total Return Index	Very High	Very High	62.1750	70.1920	26.16	27.76	21.09	1,316.50
Bank of India Bluechip Fund	NIFTY 100 Total Return Index	Very High	Very High	13.8500	14.3000	30.78	32.16	19.05	117.67
Baroda BNP Paribas	NIFTY 100 Total	Very High	Very High	179.8597	203.8706	23.57	25.04	19.05	1,690.65

Once we have the data, we will filter the schemes with an AUM of more than ₹1,000 Crores.

The download Excel sheet and the result after adding the filter is as follows.

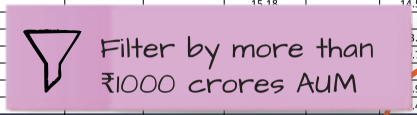
*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

Anushka Rathod

*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes

Scheme Name	Return 1 Year (%) Regular	Return 1 Year (%) Direct	Return 1 Year (%) Benchmark	Return 3 Year (%) Regular	Return 3 Year (%) Direct	Return 3 Year (%) Benchmark	Return 5 Year (%) Regular	Return 5 Year (%) Direct	Return 5 Year (%) Benchmark	Return 10 Year (%) Regular	Return 10 Year (%) Direct	Return 10 Year (%) Benchmark	Return Since Launch Regular	Return Since Launch Direct	Return Since Launch Benchmark	Daily AUM (Cr.)
Quant Flexi Cap Fund	109.26	110.8	47.78	14.55	15.63	9.21	18.84	19.92	13.13	10.37		14.42	11.71	16.61	15.47	7.31
PGIM India Flexi Cap Fund	95.49	99.37	77.58	16.73	19	12.61	16.59	18.57	15.15				12.42	14.08	10.31	774.12
Franklin India Flexi Cap Fund	84.9	86.29	77.58	10.86	11.79	12.61	12.19	13.26	15.15	13.1		11.56	17.79	15.42		9,459.36
UTI Flexi Cap Fund	82.94	84.22	77.58	18.17	18.87	12.61	17.06	17.69	15.15	14.34		11.56	12.97	16.33		16,717.24
Parag Parikh Flexi Cap Fund	80.92	82.67	77.58	19.28	20.24	12.61	17.68	18.52	15.15				18.55	19.3	14.15	8,181.79
HDFC Flexi Cap Fund	74.22	75.22	77.58	10.43	11.16	12.61	13.85	14.7	15.15	10.9		11.56	18.14	13.56		23,128.13
Aditya Birla Sun Life Flexi Cap Fund	73.97	75.52	79.75	10.8	11.83	12.42	15.07	16.21	15.19	13.66		11.62	22.24	16.8	16.02	13,025.82
Union Flexi Cap Fund	72.97	74.39	78.63	13.77	14.54	12.89	13.69	14.51	15.4				10.57	12.27	12.35	481.93
Edelweiss Flexi Cap Fund	69.56	72.58	77.58	10.56	12.43	12.61	14.93	16.38	15.15				10.8	12.16	10.54	679.38
SBI Flexicap Fund	69.53	71.17	78.63	10.92	12.01	12.89	14.01	15.19	15.4	13.51		11.7	12.57	16.66	13.1	11,829.40
DSP Flexi Cap Fund	69.5	71.22	77.58	14.48	15.49	12.61	16.44	17.4	15.15	12.73		11.56	19.46	15.19	14.4	4,982.77
HSBC Flexi Cap Fund	67.9	69.14	77.58	7.84	8.65	12.61	11.62	12.39	15.15	10.68		11.56	14.9	13.24	14.76	362.33
Kotak Flexicap Fund	66.46	68.07	74.61	12.21	13.32	12.99	15.19	16.41	15.01	14.37		11.42	13.89	16.87	11.57	34,799.37
JM Flexicap Fund	63.64	64.92	78.63	13.08	13.96	12.89	16.65	17.83	15.4	11.65		11.7	12.24	15.69	12.69	165.06
Canara Robeco Flexi Cap Fund	63.29	65.49	78.63	15.42	16.62	12.89	16.34	17.37	15.4	12.81		11.7	18.04	14.4	16.29	3,716.15
Motilal Oswal Flexi Cap Fund	61.69	63.2	77.58	6.18	7.15	12.61	13.67	14.71	15.15				18.01	19.14	14.19	11,872.55
Navi Flexi Cap Fund	60.96	64.36	77.58										9.71	12.05	12.17	186.59
IDBI Flexi Cap Fund	58.66		77.58	9.3		12.61	10.85		15.15				15.18		14.59	315.35
Taurus Flexi Cap Fund	56.44	56.63	78.63	4.41	4.53	12.89	8.55	8.84	15.4							235.46
Bandhan Flexi Cap Fund	56.32	57.41	78.63	7.56	8.32	12.89	10.51	11.31	15.4						3.1	5,288.99
Tata Flexi Cap Fund	56.01	58.69	78.63												.71	1,828.77
LIC MF Flexi Cap Fund	52.9	53.61	77.58	9.31	10.68	12.61	10.44	10.81	15.15							358.98
Shriram Flexi Cap Fund	51.56	54.3	77.58												.93	63.08
Axis Flexi Cap Fund	49.37	51.58	77.58	15.53	17.29	12.61									.42	7,632.36



Scheme Name	NAV Date	Return 1 Year (%) Regular	Return 1 Year (%) Benchmark	Return 3 Year (%) Regular	Return 3 Year (%) Benchmark	Return 5 Year (%) Regular	Return 5 Year (%) Benchmark	Return 10 Year (%) Regular	Return 10 Year (%) Benchmark	Return Since Launch Regular	Daily AUM (Cr.)
Quant Flexi Cap Fund	2023-03-31	1.43	-1.22	46.03	28.97	17.47	11.52	19.6	13.89	13.08	1,139.47
Kotak Flexicap Fund	2023-03-31	2.01	-1.22	25.21	28.97	10.75	11.52	15.82	13.89	13.09	36,060.21
Aditya Birla Sun Life Flexi Cap Fund	2023-03-31	-4.15	-1.22	26.46	28.97	9.6	11.52	15.7	13.89	21	15,434.24
SBI Flexicap Fund	2023-03-31	-3.18	-0.91	25.81	29.35	9.9	11.76	15.36	14.05	12.09	15,692.52
HDFC Flexi Cap Fund	2023-03-31	10.9	-1.22	34.81	28.97	13.62	11.52	15.23	13.89	18.18	31,892.77
Franklin India Flexi Cap Fund	2023-03-31	1.74	-1.22	32.47	28.97	11.36	11.52	15.03	13.89	17.38	10,028.10
DSP Flexi Cap Fund	2023-03-31	-1.62	-1.22	24.24	28.97	11.17	11.52	14.6	13.89	18.39	7,571.98
UTI Flexi Cap Fund	2023-03-31	-10.08	-1.22	23.79	28.97	11.36	11.52	14.06	13.89	12.22	23,550.85
Canara Robeco Flexi Cap Fund	2023-03-31	-2.26	-0.91	24.47	29.35	12.68	11.76	13.82	14.05	17.04	8,712.83
Bandhan Flexi Cap Fund	2023-03-31	-3.14	-0.91	21.97	29.35	7.63	11.76	13.56	14.05	15.79	5,456.92
HSBC Flexi Cap Fund	2023-03-31	1.98	-1.22	26.59	28.97	8.66	11.52	13.16	13.89	15.44	3,116.05
Union Flexi Cap Fund	2023-03-31	-1.8	-0.91	27.62	29.35	12.1	11.76	11.88	14.05	10.41	1,339.95

Join @Coursesdollar

*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

Now we go to the next step & analyze returns over 1, 3, 5, and 10 years, keeping those outperforming the benchmark.

		Return CAGR			
Particular	AUM	1 year	3 years	5 years	10 years
Benchmark (nifty 500 TRI)		-1.22	28.97	11.52	13.89
HDFC Flexi Cap Fund	31,892.77	10.9	34.81	13.62	15.23
Quant Flexi Cap Fund	1,139.47	1.43	46.03	17.47	19.6

From the 12 schemes, only 2 schemes remain i.e. HDFC Flexi Cap Fund & Quant Flexi Cap Fund.
Now we Compare the shortlisted schemes based on the additional filters using the Fact Sheet. (You might get more in different category but try to keep it below 5)

Join @Coursesdollar

Now, for further comparison we'll download the Fact sheet for both the mutual funds.

HDFC Flexi Cap Fund

(An open ended dynamic equity scheme investing across large cap, mid cap & small cap stocks.)

CATEGORY OF SCHEME
FLEXI CAP FUND

INVESTMENT OBJECTIVE : To generate capital appreciation / income from a portfolio, predominantly invested in equity & equity related instruments. There is no assurance that the investment objective of the Scheme will be realized.

FUND MANAGER § ¥

Roshi Jain
(since July 29, 2022)
Total Experience: Over 17 years

DATE OF ALLOTMENT / INCEPTION DATE
January 1, 1995

NAV (AS ON MARCH 31, 2023)

	NAV PER UNIT (₹)
Regular Plan - Growth Option	1121.512
Regular Plan - IDCW Option	53.899
Direct Plan - Growth Option	1207.796
Direct Plan - IDCW Option	62.057

ASSETS UNDER MANAGEMENT ¾
As on March 31, 2023
₹ 31,892.77 Cr.
Average for Month of March 2023
₹ 31,869.75 Cr.

QUANTITATIVE DATA

Portfolio Turnover Ratio (Last 1 year)	42.05%
Risk Ratio	
• Standard Deviation	5.311%
• Beta	1.001
• Sharpe Ratio*	0.377

Computed for the 3-yr period ended March 31, 2023. Based on month-end NAV.
** Risk free rate: 7.79% (Source: FIMMDA MIBOR)*

For schemes which have not completed 3 years, data is computed since inception.

TOTAL EXPENSE RATIO (As on March 31, 2023)
Including Additional Expenses and Goods and Service Tax on Management Fees
Regular: 1.62% Direct: 1.00%

#BENCHMARK INDEX:
NIFTY 500 (Total Returns Index)
##ADDL. BENCHMARK INDEX:
NIFTY 50 (Total Returns Index)

PORTFOLIO

Company	Industry*	% to NAV
EQUITY & EQUITY RELATED		
• ICICI Bank Ltd.	Banks	9.71
• HDFC Bank Ltd.	Banks	6.06
• Infosys Limited	IT - Software	5.51
• State Bank of India	Banks	5.50
• NTPC Limited	Power	4.68
• HCL Technologies Ltd.	IT - Software	4.59
• Bharti Airtel Ltd.	Telecom - Services	4.57
• Hindustan Aeronautics Limited	Aerospace & Defense	4.02
• Mahindra & Mahindra Ltd.	Automobiles	4.00
• Housing Development Fin. Corp. Ltd.£	Finance	3.70
SBI Life Insurance Company Ltd.	Insurance	3.63
Cipla Ltd.	Pharmaceuticals & Biotechnology	3.16
Apollo Hospitals Enterprise Ltd.	Healthcare Services	2.97
Axis Bank Ltd.	Banks	2.69
Oil & Natural Gas Corporation Ltd.	Oil	2.56
Larsen and Toubro Ltd.	Construction	2.38
SBI CARDS AND PAYMENT SERVICES LIMITED	Finance	2.32
Bank of Baroda	Banks	2.06
Bharat Dynamics Limited	Aerospace & Defense	1.95
Tech Mahindra Ltd.	IT - Software	1.73
Reliance Industries Ltd.	Petroleum Products	1.46
Dr Reddys Laboratories Ltd.	Pharmaceuticals & Biotechnology	1.41
GAIL (India) Ltd.	Gas	1.32
Bharat Petroleum Corporation Ltd.	Petroleum Products	1.23
Lupin Ltd.	Pharmaceuticals & Biotechnology	1.02
Kalpataru Power Transmission Ltd.	Construction	1.00
Tata Motors Ltd.	Automobiles	0.92
UltraTech Cement Limited	Cement & Cement Products	0.78
Indian Railways Finance Corp. Ltd.	Finance	0.73
BEML Limited	Agricultural, Commercial & Construction Vehicles	0.71
Prestige Estates Projects Ltd.	Realty	0.71
Tata Communications Limited	Telecom - Services	0.66
CESC Ltd.	Power	0.63
Hindustan Petroleum Corp. Ltd.	Petroleum Products	0.63
ITC Ltd.	Diversified Fmcg	0.63
Bosch Limited	Auto Components	0.52
Delhivery Limited	Transport Services	0.48
Varroc Engineering Limited	Auto Components	0.40
Crompton Greaves Consumer Elec. Ltd.	Consumer Durables	0.35
Coal India Ltd.	Consumable Fuels	0.33
Zee Entertainment Enterprises Ltd.	Entertainment	0.28
Life Insurance Corporation of India	Insurance	0.25
InterGlobe Aviation Ltd.	Transport Services	0.18
Time Technoplast Limited	Industrial Products	0.18
Hindustan Construction Company Ltd.	Construction	0.16
BEML Land Assets Limited	Agricultural, Commercial & Construction Vehicles	0.13
Ramco Systems Ltd.	IT - Software	0.10
Bajaj Auto Limited	Automobiles	0.09
Bharat Electronics Ltd.	Aerospace & Defense	0.06
ESCORTS LTD.	Agricultural, Commercial & Construction Vehicles	0.06
Simplex Infrastructures Limited	Construction	0.05
Sub Total		**95.25**
Cash,Cash Equivalents and Net Current Assets		4.75
Grand Total		**100.00**

• Top Ten Holdings, £ Sponsor

Face Value per Unit: ₹ 10, + Industry Classification as recommended by AMFI, Data is as of March 31, 2023 unless otherwise specified.

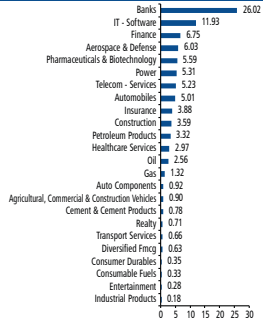
§ Date of migration from Zurich India Mutual Fund (Close of business hours - June 19, 03).

¥ Dedicated Fund Manager for Overseas Investments: Mr. Priya Ranjan (since May 01, 2022) (Total Experience: Over 15 years).

¾ Includes investments made by the schemes of HDFC Mutual Fund aggregating to ₹ 398.21 Crores.

Please refer Minimum Application Amount, Plans & Options and Exit Load, on Page no. 104 to 112.

Industry Allocation of Equity Holding (% of Net Assets)



SIP PERFORMANCE ^ - Regular Plan - Growth Option

	Since Inception SIP	15 year SIP	10 year SIP	5 year SIP	3 year SIP	1 year SIP
Total Amount Invested (₹ in Lacs)	33.90	18.00	12.00	6.00	3.60	1.20
Mkt Value As on March 31, 2023 (₹ in Lacs)	1,227.99	58.27	25.33	9.24	5.01	1.25
Returns (%)	**20.39**	**14.35**	**14.30**	**17.32**	**22.78**	**8.12**
Benchmark Returns (%) #	**14.31**	**12.52**	**12.61**	**12.85**	**13.17**	**-2.92**
Additional Benchmark Returns (%) ##	**13.39**	**12.23**	**12.43**	**12.91**	**13.42**	**0.55**

Assuming ₹ 10,000 invested systematically on the first Business Day of every month over a period of time. CAGR returns are computed after accounting for the cash flow by using XIRR method (investment internal rate of return) for Regular Plan - Growth Option. The above investment simulation is for illustrative purposes only and should not be construed as a promise on minimum returns and safeguard of capital.

PERFORMANCE ^ - Regular Plan - Growth Option

Date	Period	Scheme Returns (%)	Benchmark Returns (%)#	Additional Benchmark Returns (%) ##	Value of ₹ 10,000 invested: Scheme (₹)	Benchmark (₹)#	Additional Benchmark (₹)##
Mar 31, 22	Last 1 Year	10.90	-1.22	0.59	11,090	9,878	10,059
Mar 31, 20	Last 3 Years	34.81	28.97	27.80	24,501	21,450	20,871
Mar 28, 18	Last 5 Years	13.62	11.52	12.72	18,958	17,271	18,222
Mar 28, 13	Last 10 Years	15.23	13.89	13.18	41,368	36,774	34,538
Jan 01, 95	Since Inception	18.18	11.67	11.22	11,21,512	2,26,095	2,02,024

Returns greater than 1 year period are compounded annualized (CAGR). N.A. Not Available. For performance of other schemes managed by Roshi Jain, please refer page 112. Different plans viz. Regular Plan and Direct Plan have a different expense structure. The expenses of the Direct Plan under the Scheme will be lower to the extent of the distribution expenses / commission charged in the Regular Plan. As NIFTY 50 TRI data is not available since inception of the scheme, additional benchmark performance is calculated using composite CAGR of NIFTY 50 PRI values from January 1, 1995 to June 29, 1999 and TRI values since June 30, 1999. For Performance of Direct Plan, refer page 114 to 119.

^Past performance may or may not be sustained in the future. Since Inception Date = Date of First allotment in the Scheme / Plan. Load is not taken into consideration for computation of performance.

For Product label of the Scheme and riskometer of the Benchmark, refer page 122 to 132.

Similarly download for other mutual funds as well.

**Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.*

Join @Coursesdollar

Parameter	Fund A (HDFC - Flexi-Cap fund)	Fund B (quant flexi cap fund)
AUM in Rs crores	31893	1139
Portfolio turnover	0.42	1.61
Top 10 holdings contribution	52%	56%
Number of stocks	52	35
Number of Changes in fund manager	1	5

Parameter	Fund A (HDFC - Flexi-Cap fund)	Fund B (quant flexi cap fund)
AUM	✔	
Portfolio turnover	✔	
Top 10 holdings contribution	✔ (almost same)	✔ (almost same)
Number of stocks		✔
Number of Changes in fund manager	✔	✔

(note - Data is of 31st March 2023)

According to the additional data collected from Factsheet, Fund A outperforms with higher returns, greater AUM, lower turnover, and fewer changes in fund managers. Thus, Fund A seems to be the more favorable choice.

So, by following these steps and applying these filters, you can select an actively managed equity fund that aligns with your investment goals and preferences.

*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

b. How to select an ETF/ Index Fund?

As we know passive funds replicate the indices and sound very simple but there are so many funds tracking the same index.

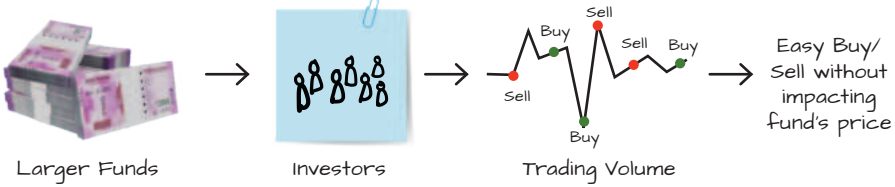
So, how do we choose the best scheme then?

You can follow this 4-step Checklist!

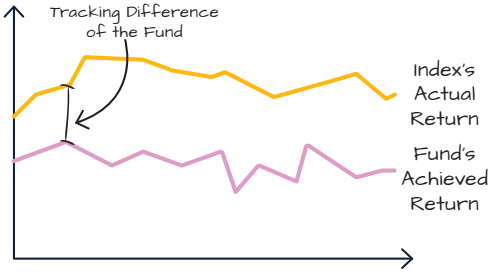
Step 1: Filter by AUM

Begin by **selecting the top three funds with higher AUM.**
Why? Because:

- **Higher Average Daily Volume:** Larger funds typically have more investors, leading to higher daily trading volume. This can make it easier for you to buy or sell shares without significantly impacting the fund's price.



- **Lower tracking differences:** Large funds have more resources and buying power, allowing them to closely track their benchmark, resulting in lower tracking differences.

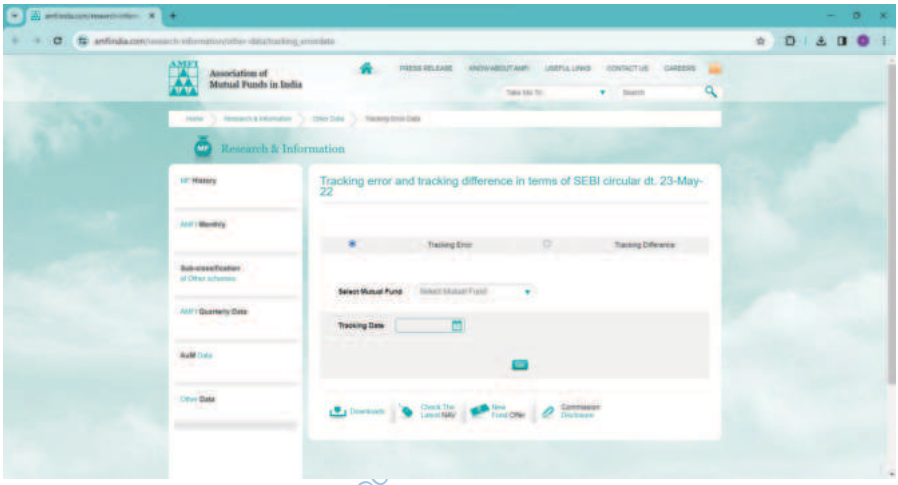


- **Better resilience to market volatility:** Due to their size and diversification, large funds can weather market downturns more effectively than smaller funds. They have more buffer to absorb losses and are less likely to be forced to sell assets at lower prices due to redemptions.

Join @Coursesdollar

Step 2: Compare Tracking Difference

Over a 5-year period, compare the tracking difference of the selected funds. This data can be sourced from the AMFI website on their Tracking Differences Page. Write the data down for the top 3 funds.
Link: (https://www.amfiindia.com/research-information/other-data/tracking_errordata)

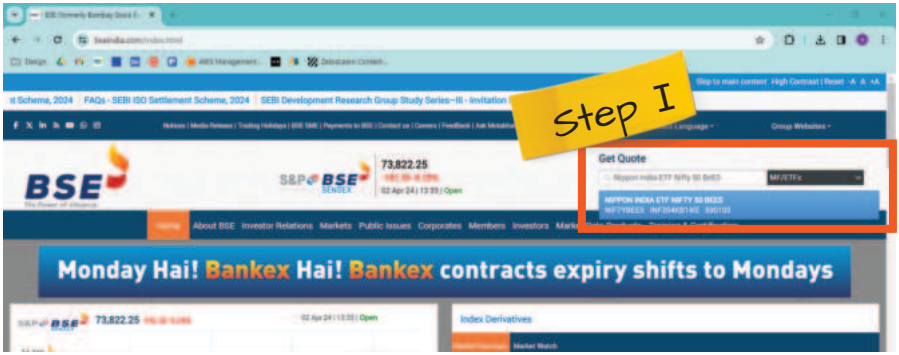


Step 3: Check Trading Volume (only for ETFs)

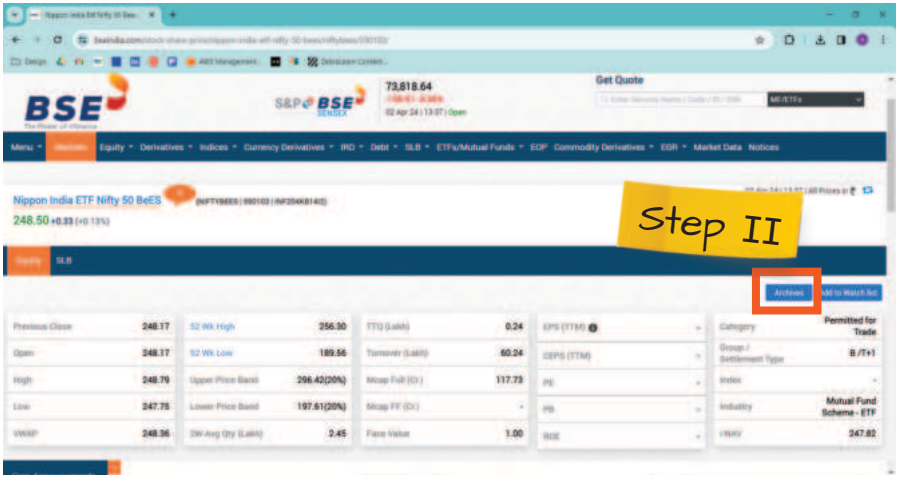
Evaluate the trading volume of the three selected funds using data from stock exchanges (NSE and BSE). **Higher volumes indicate active trading, ensuring that when you decide to sell, there are buyers available. To compare, write it down for top 3 funds.**

To find the average volume data, use BSE and NSE websites and take 1 month of volume data

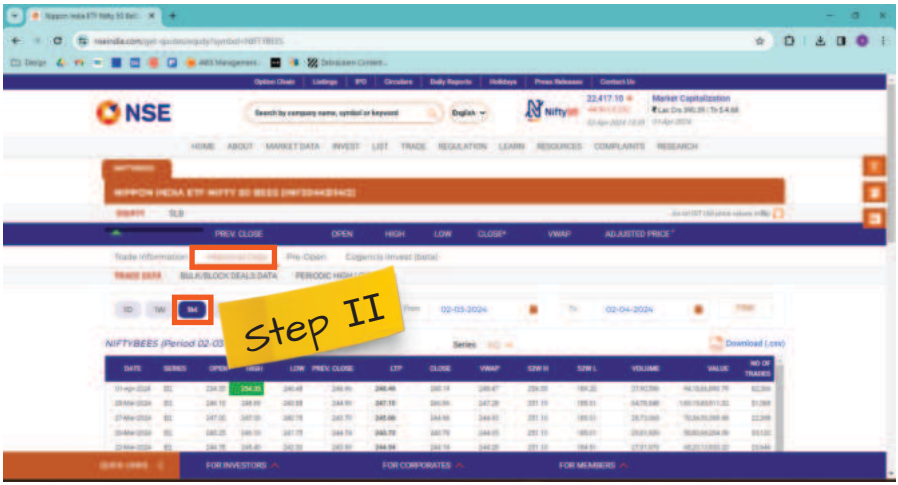
- On the BSE website, click on the archives icon to get historic volume data and then filter it for 1-month data.



Source: AMFI, and BSE. The fund here is an example, not a recommendation. It is only for educational purposes.



- On the NSE website, click on historic data to get volume data and then filter it to 1- month data.



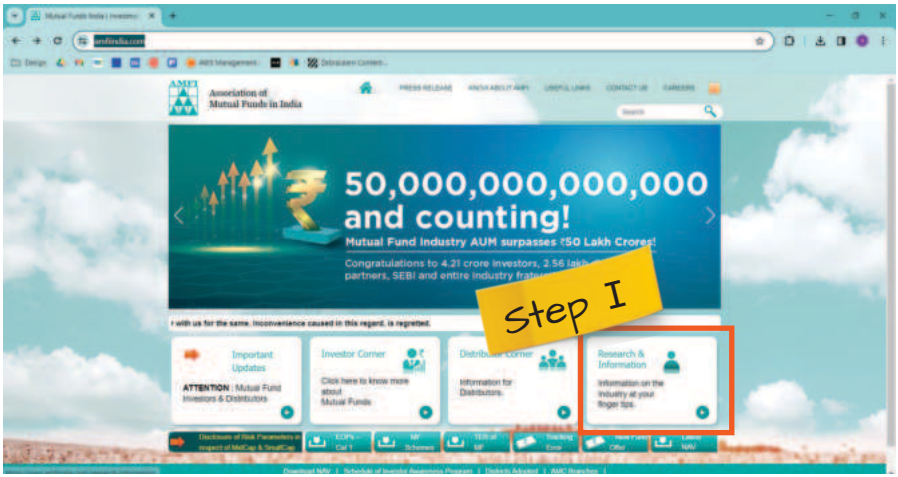
Source: BSE and NSE. The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

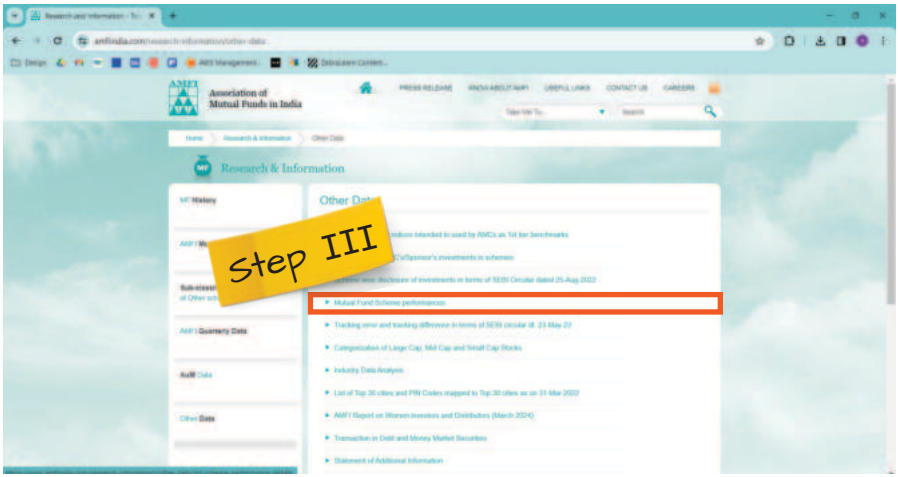
Step 4: Final Selection

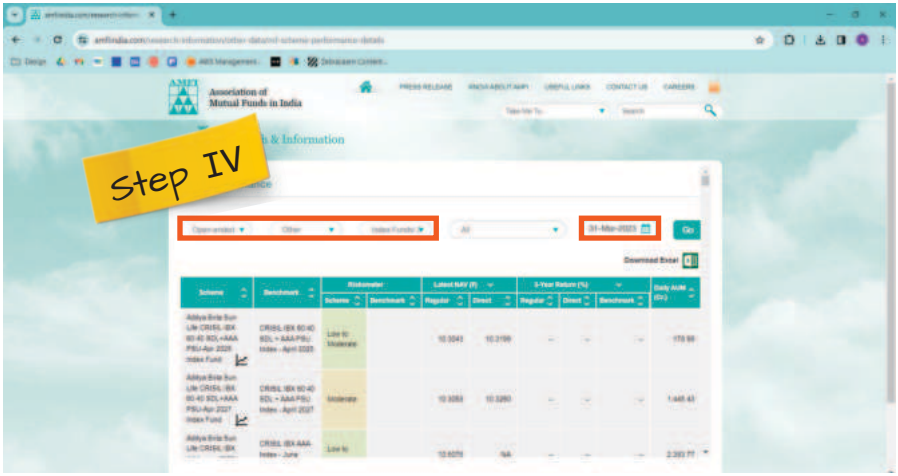
Opt for the fund with the lowest tracking difference and the highest average daily volume. This ensures a more accurate replication of benchmark performance and increased liquidity.

Now, Let's see the checklist in action:
Imagine we're picking Nifty 50 ETFs. We again go to AMFI's website and filter the schemes by putting "Open-ended", " Other" & "Index Funds/ETFs" .



Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.





Once filtered we download the Excel sheet and analyse the AUM. From the Excel Sheet we select the Top 3 Schemes with the Highest AUM.

Now we compare these funds based on tracking difference and average trade volume.

	Scheme Name	AUM
2		
3	SBI Nifty 50 ETF	142,149
4	UTI Nifty 50 ETF	36,746
5	Nippon India ETF Nifty 50 BeES	12,096

*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

Duration	Fund A(SBI)	Fund B(UTI)	Fund C(Nippon)
AUM	142149	36746	12096
Tracking Difference	-0.14%	-0.14%	-0.1%
Average daily volume for March 2023 (NSE+BSE)	4.28 lakh	0.05 lakh	41.91 lakh

By analyzing these funds further, Fund C is the preferred choice, exhibiting the lowest tracking difference and the highest average daily volume.

But, why are we not only looking at Expense Ratio?

So, when choosing passive funds, many investors only look at the Expense Ratio because it measures the cost of managing the fund. But choosing the right passive fund isn't just about finding the cheapest one. Sure, a low expense ratio is important, but it's only part of the story.

The real key is tracking difference, which tells you how closely the fund mirrors its benchmark index.

@Coursesdollar

Even if a fund has a slightly higher expense ratio, a low tracking difference means it's doing a great job of mimicking the index, and delivering similar returns.

On the other hand, a fund with a really low expense ratio might not be tracking the index as well, leading to bigger gaps in performance.

Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

So, the next time you're comparing passive funds, don't just focus on the expense ratio. Look at the tracking difference. It gives you a much clearer picture of how well the fund is actually doing its job.

Remember, you want a fund that's both cost-effective and efficient in following the index. That's the golden ticket to passive investing success!

c. How to Select a Debt Fund?

Moving on to the last type of scheme, i.e. a Debt Fund Scheme.

For Debt Funds, I have assumed that the purpose of investment is **to minimize risk and protect capital.** But that doesn't mean that there aren't riskier options available in debt funds. However, analyzing them is a different ball game altogether and can get rather complicated, hence they have not been covered in the book.

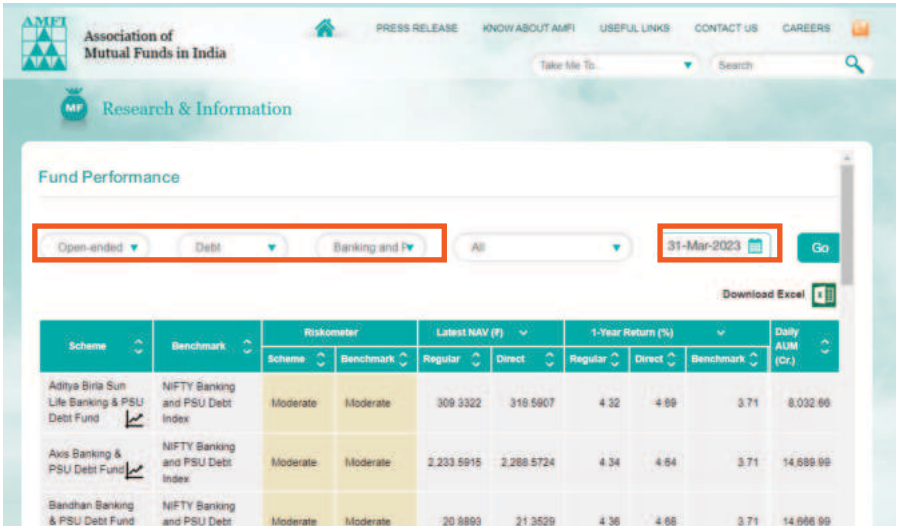
So, keeping that in mind, these are the following steps for selection.

@Coursesdollar

Step 1: Filter by AUM and Operating History

Choose funds with an AUM (Assets Under Management) of more than 1,000 crores, verified through AMFI. Ensure a minimum operating history of 10 years.

Say we're looking at **banking and PSU debt funds.** We use the AMFI scheme performance data to collect the data.



*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

Step 2: Shortlist Based on Returns

Select the top 5 funds based on their performance over the last 10 years. There are 22 schemes in the market which we then filter it out on our criteria 1,000+ crores AUM.

Scheme Name	Return 1 Year (%) Benchmark	Return 3 Year (%) Direct	Return 3 Year (%) Benchmark	Return 5 Year (%) Direct	Return 5 Year (%) Benchmark	Return 10 Year (%) Regular	Return 10 Year (%) Direct	Return 10 Year (%) Benchmark	Return Since Launch Regular	Return Since Launch Direct	Return Since Launch Benchmark	Daily AUM (Cr.)
Axis Banking & PSU Debt Fund	3.71	5.64	5.45	7.15	6.45	7.62	7.88	7.44	7.71	7.87	7.65	14,689.99
Bandhan Banking & PSU Debt Fund	3.71	5.93	5.45	7.53	6.45	7.56	7.79	7.44	7.59	7.82	7.47	14,666.99
Aditya Birla Sun Life Banking & PSU Debt Fund	3.71	6.07	5.45	7.25	6.45	8.22	8.54	7.44	8.09	8.55	7.89	8,032.66
ICICI Prudential Banking & PSU Debt Fund	3.48	6.42	5.26	7.10	6.77	7.83	8.20	7.87	7.95	8.21	8.01	7,554.00
Kotak Banking and PSU Debt Fund	3.48	6.08	5.26	7.40	6.77	7.85	8.20	7.87	7.28	8.21		6,036.18
HDFC Banking and PSU Debt Fund	3.71	5.97	5.45	7.11	6.45				7.62	8.00	7.47	5,590.34
Nippon India Banking & PSU Debt Fund	3.71	6.06	5.45	7.37	6.45				7.36	7.74	7.00	5,079.59
SBI Banking and PSU Fund	3.71	5.47	5.45	6.99	6.45	7.41	7.94	7.44	7.46	7.95	7.56	4,844.64
HSBC Banking and PSU Debt Fund	3.71	5.06	5.45	6.44	6.45	7.02	7.48	7.44	7.10	7.51	7.81	4,703.63
DSP Banking & PSU Debt Fund	3.71	5.54	5.45	6.92	6.45				7.66	7.98	7.64	2,562.68
LIC MF Banking & PSU Debt Fund	3.71	5.15	5.45	6.85	6.45	6.65	7.33	7.44	7.05	7.35	7.95	1,134.24
Franklin India Banking & PSU Debt Fund	3.71	5.17	5.45	7.13	6.45				7.43	7.87	7.47	716.09
UTI Banking & PSU Fund	3.48	7.24	5.26	5.59	6.77				6.98	7.10	8.03	657.32
Sundaram Banking & PSU Debt Fund	3.71	4.57	5.45	6.02	6.45	6.92	7.04	7.44	7.31	7.08	7.47	454.56
Edelweiss Banking and PSU Debt Fund	3.71	5.97	5.45	7.93	6.45				7.04	8.27	7.64	353.28
TRUSTMF Banking & PSU Fund	3.48											326.45
Tata Banking & PSU Debt Fund	3.48	6.02	5.26									258.70
Invesco India Banking & PSU Debt Fund	3.71	4.75	5.45	6.41	6.45	6.48	7.10					123.95
Mirae Asset Banking and PSU Fund	3.48											87.49
PGIM India Banking & PSU Debt Fund	3.48		5.26		6.77	7.42						49.15
Baroda BNP Paribas Banking & PSU Bond Fund	3.48								5.02	5.45	5.08	37.08
ITI Banking and PSU Fund	3.48								4.38	4.95	4.06	31.27

Filter by more than ₹1000 crores AUM

Scheme Name	Return 1 Year (%) Benchmark	Return 3 Year (%) Direct	Return 3 Year (%) Benchmark	Return 5 Year (%) Direct	Return 5 Year (%) Benchmark	Return 10 Year (%) Regular	Return 10 Year (%) Direct	Return 10 Year (%) Benchmark	Return Since Launch Regular	Return Since Launch Direct	Return Since Launch Benchmark	Daily AUM (Cr.)
Axis Banking & PSU Debt Fund	3.71	5.64	5.45	7.15	6.45	7.62	7.88	7.44	7.71	7.87	7.65	14,689.99
Bandhan Banking & PSU Debt Fund	3.71	5.93	5.45	7.53	6.45	7.56	7.79	7.44	7.59	7.82	7.47	14,666.99
Aditya Birla Sun Life Banking & PSU Debt Fund	3.71	6.07	5.45	7.25	6.45	8.22	8.54	7.44	8.09	8.55	7.89	8,032.66
ICICI Prudential Banking & PSU Debt Fund	3.48	6.42	5.26	7.10	6.77	7.83	8.20	7.87	7.95	8.21	8.01	7,554.00
Kotak Banking and PSU Debt Fund	3.48	6.08	5.26	7.40	6.77	7.85	8.20	7.87	7.28	8.21		6,036.18
HDFC Banking and PSU Debt Fund	3.71	5.97	5.45	7.11	6.45				7.62	8.00	7.47	5,590.34
Nippon India Banking & PSU Debt Fund	3.71	6.06	5.45	7.37	6.45				7.36	7.74	7.00	5,079.59
SBI Banking and PSU Fund	3.71	5.47	5.45	6.99	6.45	7.41	7.94	7.44	7.46	7.95	7.56	4,844.64
HSBC Banking and PSU Debt Fund	3.71	5.06	5.45	6.44	6.45	7.02	7.48	7.44	7.10	7.51	7.81	4,703.63
DSP Banking & PSU Debt Fund	3.71	5.54	5.45	6.92	6.45				7.66	7.98	7.64	2,562.68
LIC MF Banking & PSU Debt Fund	3.71	5.15	5.45	6.85	6.45	6.65	7.33	7.44	7.05	7.35	7.95	1,134.24

So, out of the 22 schemes, only 11 schemes pass through the AUM filer.
This gives us a shortlist, from which we can pick the top 5 based on 10-year returns.

Join @Coursesdollar

*Source: AMFI. The fund here is an example, not a recommendation. It is only for educational purposes.

Scheme Name	Return 5 Year (%) Direct	Return 5 Year (%) Benchmark	Return 10 Year (%) Direct	Return 10 Year (%) Benchmark	Return Since Launch Regular	Return Since Launch Benchmark	Daily AUM (Cr.)
Axis Banking & PSU Debt Fund	7.15	6.45	7.88	7.44	7.71	7.65	14,689.99
Bandhan Banking & PSU Debt Fund	7.53	6.45	7.79	7.44	7.59	7.47	14,666.99
Aditya Birla Sun Life Banking & PSU Debt Fund	7.25	6.45	8.54	7.44	8.09	7.89	8,032.66
ICICI Prudential Banking & PSU Debt Fund	7.10	6.77	8.20	7.87	7.95	8.01	7,554.00
Kotak Banking and PSU Debt Fund	7.40	6.77	8.20	7.87	7.28		6,036.18

Then, we grab the factsheets for each of those top 5 and do some number crunching.

@Coursesdollar

Step 3: Compare Using Key Metrics

- Examine the proportion of AAA-rated and sovereign instruments in the portfolio.
- Consider the average modified duration (lower is better) as it indicates how the fund responds to changes in interest rates.
  - ◊ Now, a quick lesson on modified duration. It tells you how much the value of the fund will change when interest rates change by 1%. So if the interest rate chages by 2% and the modified duration of the funds is 2.4 years then the expected change in the price of the fund is 4.8%. This change happens in the opposite direction. That means if interest rates rise, then the value of the fund drops and vice versa.
- Look at the Total Expense Ratio (TER) – a lower TER is preferable.
- Assess the AUM; higher AUM often signifies stability.

Anushka Rathod

Join @Coursesdollar

We compare their AAA ratings, modified duration, TER, and AUM.

An open ended debt scheme predominantly investing in debt instruments of banks, Public Sector Undertakings, Public Financial Institutions and Municipal Bonds. A relatively high interest rate risk and moderate credit risk.

Savings Solutions

Fund Category	Banking and PSU Fund
Investment Objective	To generate reasonable returns by primarily investing in debt and money market securities that are issued by Banks, Public Sector Undertakings (PSUs) and Public Financial Institutions (PFIs) in India.

INVEST NOW

Fund Details

Fund Manager
Mr. Kaustubh Gupta & Mr. Harshil Suvarnkar

Managing Fund Since
September 29, 2009 & March 22, 2021

Experience in Managing the Fund
13.5 years & 2.0 years

Load Structure (as % of NAV)

Entry Load	Nil
Exit Load	Nil

Total Expense Ratio (TER)

Regular	0.72%
Direct	0.37%

Including additional expenses and goods and service tax on management fees.

AUM

Monthly Average AUM	₹ 7991.14 Crores
AUM as on last day	₹ 8032.66 Crores

Date of Allotment
April 19, 2002

Benchmark
NIFTY Banking & PSU Debt Index

Other Parameters

Modified Duration	2.26 years
Average Maturity	3.19 years
Yield to Maturity	7.60%
Macaulay Duration	2.41 years

Application Amount for fresh subscription
₹ 1,000 (plus in multiplies of ₹ 1)

Min. Addl. Investment
₹ 1,000 (plus in multiplies of ₹ 1)

SIP
Monthly: Minimum ₹ 1,000/-

Income Distribution cum capital withdrawal

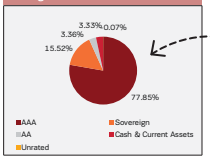
Declared on date	**29-Mar-23**	**24-Feb-23**	**27-Jan-23**
IDCW Yield **(Regular Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5483	0.4654	0.4655
Cum IDCW NAV	111.0565	110.7216	110.7668
Declared on date	**29-Mar-23**	**24-Feb-23**	**27-Jan-23**
IDCW Yield **(Direct Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5640	0.4786	0.4786
Cum IDCW NAV	114.2839	113.9031	113.9188

Note: The NAV of the scheme, pursuant to pay out of IDCW would fall to the extent of the payout and statutory levy (if applicable). Past performance may or may not be sustained in future. The Face Value - 100.00 Per Unit The Financial Solution(s) stated above is ONLY for highlighting the many advantages perceived from investments in Mutual Funds but does not in any manner, indicate or imply, either the quality of any particular Scheme or guarantee any specific performance/returns.

Top 10 Issuer

Issuer	% to net Assets	Rating
National Bank For Agriculture and Rural Development	11.65%	CRISIL AAA/ICRA A1+/ ICRA AAA
Small Industries Development Bank of India	10.34%	CARE A1+/CRISIL A1+/CRISIL AAA/ ICRA AAA
Government of India	6.47%	SOV
Power Finance Corporation Limited	5.89%	ICRA AAA
Government Bond	5.71%	SOV
HDFC Bank Limited - Tier II - Basel III	5.33%	CARE A1+/CRISIL AAA
REC Limited	4.82%	CRISIL AAA/ICRA AAA
State Bank of India - Tier I - Basel III/ Tier II - Basel III	4.51%	CARE A1+/CRISIL AA+/ICRA AAA
Axis Bank Limited	4.10%	CRISIL A1+/ICRA A1+/ IND A1+
Union Bank of India	3.97%	ICRA A1+/IND A1+

Rating Profile of Portfolio



AAA Rating

NAV of Plans / Options (₹)

	Regular Plan	Retail Plan*	Direct Plan
Growth	309.3322	464.3473	318.5907
Monthly IDCW[$]:	110.6432	110.5029	113.8611
Quarterly IDCW[$]:	108.2744	111.0282	111.3111
IDCW[$]:	156.2795	-	110.3887

[$]Income Distribution cum capital withdrawal

Note*-Retail Plan has been discontinued and does not accept fresh subscriptions/Switch in.

Investment Performance — NAV as on March 31, 2023: ₹ 309.3322

Inception - April 19, 2002	1 Year	3 Years	5 Years	Since Inception
Aditya Birla Sun Life Banking & PSU Debt Fund	4.32%	5.71%	6.90%	7.86%
Value of Std Investment of ₹ 10,000	10432	11812	13968	30933
Benchmark - NIFTY Banking & PSU Debt Index	3.71%	5.45%	6.45%	7.87%
Value of Std Investment of ₹ 10,000	10371	11725	13681	30971
Additional Benchmark - CRISIL 10 Year Gilt Index	3.43%	2.70%	5.81%	6.21%
Value of Std Investment of ₹ 10,000	10343	10831	13270	24572

Past performance may or may not be sustained in future. The above performance is of Regular Plan - Growth Option. Kindly note that different plans have different expense structure. Load and Taxes are not considered for computation of returns. When scheme/ additional benchmark returns are not available, they have not been shown. Total Schemes Co-Managed by Fund Managers is 1. Total Schemes managed by Mr. Kaustubh Gupta is 10. Total Schemes managed Mr. Harshil Suvarnkar is 13. Refer annexure on page no. 129-130 to know more on performance of schemes managed by Fund Managers.
Note: The exit load (if any) rate levied at the time of redemption/switch-out of units will be the rate prevailing at the time of allotment of the corresponding units. Customers may request for a separate Exit Load Applicability Report by calling our toll free numbers 1800-270-7000 or from any of our Investor Service Centers.

Company Name	ISIN	YTM	YTC
State Bank of India - Tier II - Basel III	INE062A08256	6.96%	8.13%
State Bank of India - Tier I - Basel III **	INE062A08215	8.64%	7.81%
State Bank of India - Tier II - Basel III **	INE062A08264	6.72%	8.12%
ICICI Bank Limited - Tier II - Basel III **	INE090A08UD0	7.49%	8.33%
Bank of Baroda - Tier II - Basel III **	INE028A08141	8.52%	8.06%
Punjab National Bank - Tier II - Basel III **	INE160A08159	7.70%	8.45%
Bank of Baroda - Tier I - Basel III **	INE028A08182	8.91%	8.50%

** Represents thinly traded/ non traded securities and illiquid securities.

Data as on 31st March 2023 unless otherwise specified

**The Fact Sheet here is an example, not a recommendation. It is only for educational purposes.*

Join @Coursesdollar

Ideally, we want a fund with a high percentage of AAA and sovereign assets, a low modified duration, a low TER, and a hefty AUM.

Duration	Fund A	Fund B	Fund C	Fund D	Fund E
AUM	8033	6036	7554	14690	14667
TER(direct)	0.37%	0.37%	0.39%	0.33%	0.32%
Average modified duration	2.41years	2.81 years	2.12 years	2.35 years	2.35 years
% of AAA + sovereign assets	96%	90%	93%	100%	100%

Based on that and the data above, both Fund D and Fund E have met the criteria! They both have higher AUM, lower TER, and 100% investment in high-quality assets, and their modified duration is not significantly different from the lowest (Fund C). So now, you can invest in either of them or 50-50 in both.

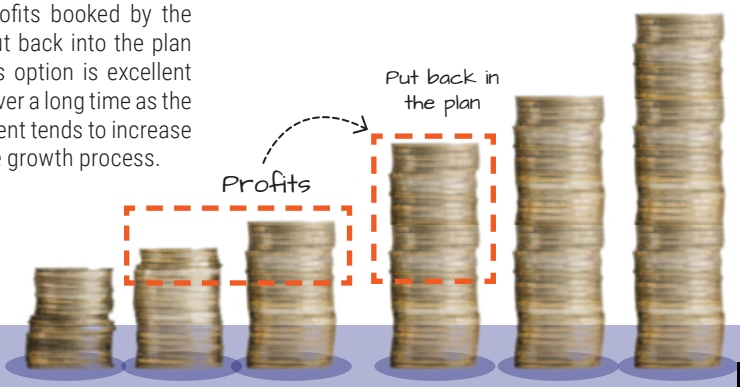
@Coursesdollar

6. Growth Option vs. IDCW

Once you've decided on your plan, you'll need to choose between the Growth option and IDCW (Income cum Capital withdrawal). Both of these options cover how your money grows in a mutual fund.

Growth Option

With this option, profits booked by the mutual funds are put back into the plan to help it grow. This option is excellent for building wealth over a long time as the value of the investment tends to increase more because of the growth process.

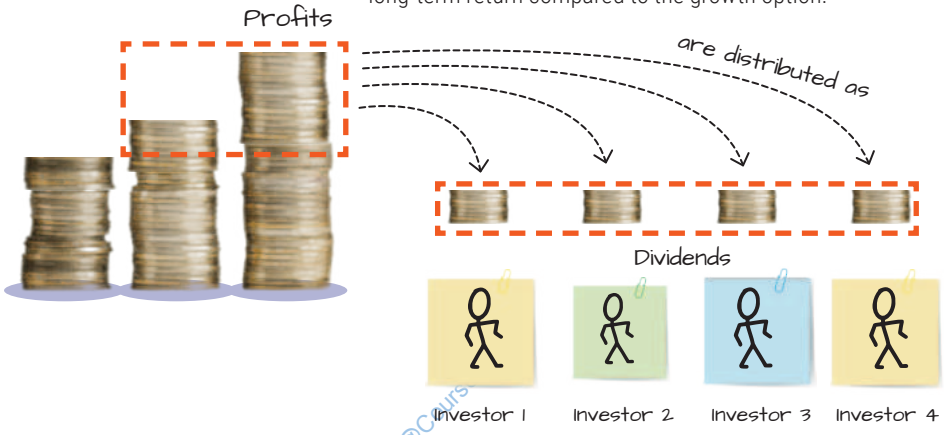


*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

IDCW (Income cum Capital withdrawal)

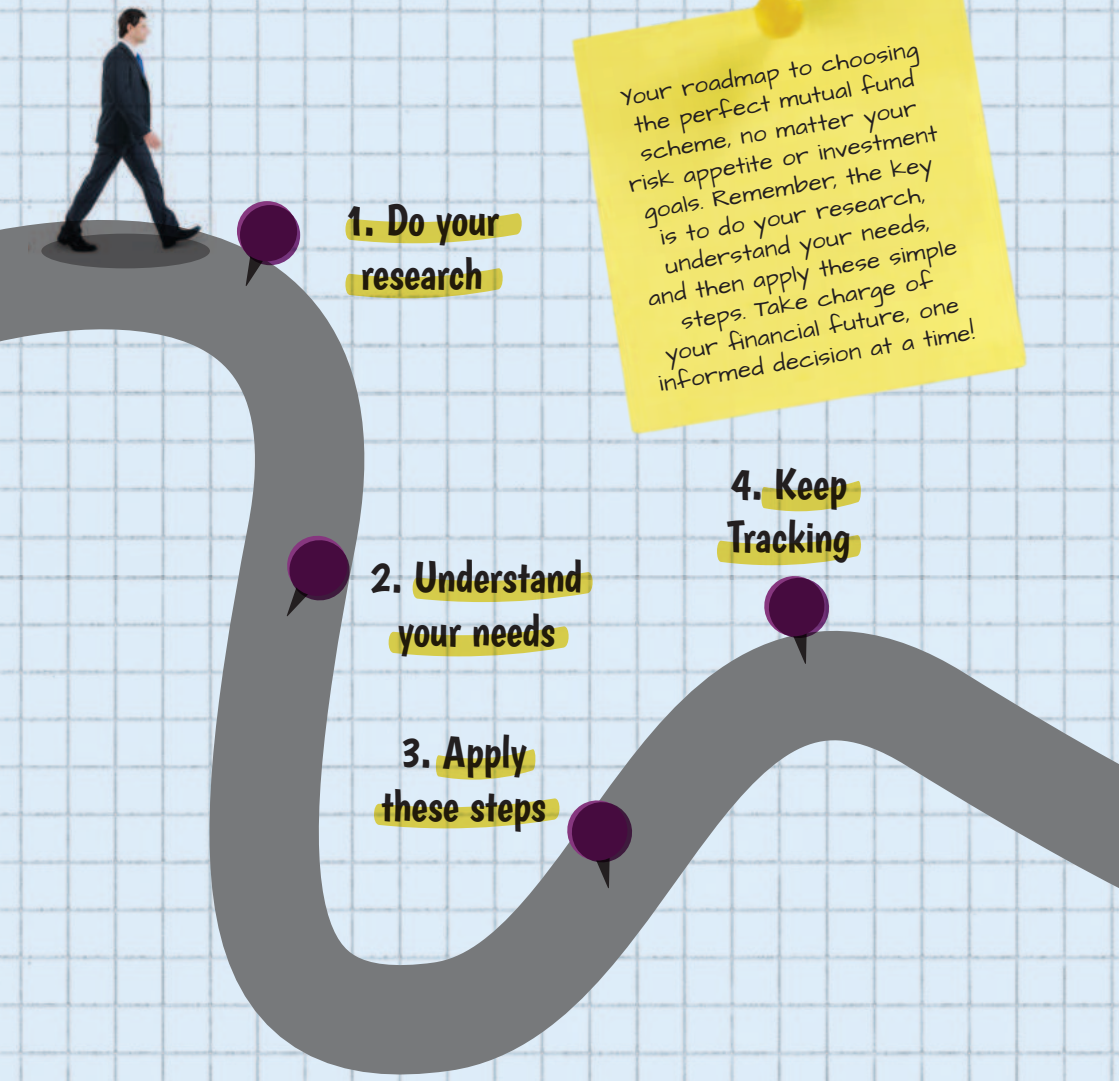
Here, some profits are distributed to investors as dividends. It suits those needing regular income but they give a lower long-term return compared to the growth option.



So, to summarise the differences, I have made this comparison table:

Particular	Growth Option	IDCW (Income cum Capital Withdrawal)
Fund profit	Reinvested in same scheme.	Some portion is distributed to investors as a dividend.
Long term return	Higher than IDCW due to reinvestment of profit.	Lower than growth as dividend is paid back to investors.
Taxation	Favourable as compared to IDCW.	Dividend is taxed at income tax slab and capital gains at 10% or 15%.
Suitability	Suitable for long term wealth generation.	Suitable for people who require regular income.

Join @Coursesdollar



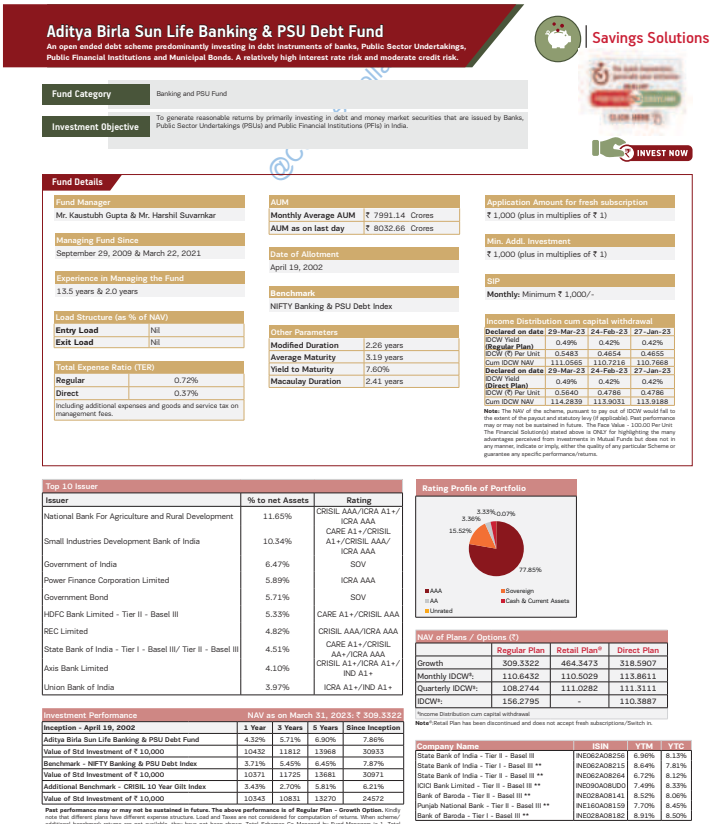
So, now let's see what this factsheet we were discussing about!

Join @Coursesdollar

7. What is a Fact Sheet & how to read it?

Before buying a phone, you'd likely dig into the specs, features, and maybe even some reviews. Now, imagine doing the same for your investments. That's where a Mutual Fund Fact Sheet steps in.

A Mutual Fund Fact Sheet is just like a phone's Specs & features list for your investments. It's a document packed with key information about the fund, so you can make informed decisions before putting your money in. You should review the factsheet of the funds you invest annually and quarterly if the fund manager has changed recently, to keep a check on your funds!



Aditya Birla Sun Life Banking & PSU Debt Fund

An open ended debt scheme predominantly investing in debt instruments of banks, Public Sector Undertakings, Public Financial Institutions and Municipal Bonds. A relatively high interest rate risk and moderate credit risk.

Savings Solutions

INVEST NOW

Fund Category	Banking and PSU Fund
Investment Objective	To generate reasonable returns by primarily investing in debt and money market securities that are issued by Banks, Public Sector Undertakings (PSUs) and Public Financial Institutions (PFIs) in India.

Fund Details

Fund Manager	Mr. Kaustubh Gupta & Mr. Harshil Suvarnkar
Managing Fund Since	September 29, 2009 & March 22, 2021
Experience in Managing the Fund	13.5 years & 2.0 years

Load Structure (as % of NAV)	
Entry Load	Nil
Exit Load	Nil

Total Expense Ratio (TER)	
Regular	0.72%
Direct	0.37%

Including additional expenses and goods and service tax on management fees.

AUM	
Monthly Average AUM	₹ 7991.14 Crores
AUM as on last day	₹ 8032.66 Crores

Date of Allotment
April 19, 2002

Benchmark
NIFTY Banking & PSU Debt Index

Other Parameters	
Modified Duration	2.26 years
Average Maturity	3.19 years
Yield to Maturity	7.60%
Macaulay Duration	2.41 years

Application Amount for fresh subscription
₹ 1,000 (plus in multiples of ₹ 1)

Min. Addl. Investment
₹ 1,000 (plus in multiples of ₹ 1)

SIP
Monthly: Minimum ₹ 1,000/-

Income Distribution cum capital withdrawal			
Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield (Regular Plan)	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5483	0.4654	0.4655
Cum IDCW NAV	111.0565	110.7216	110.7668
Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield (Direct Plan)	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5640	0.4786	0.4786
Cum IDCW NAV	114.2839	113.9031	113.9188

Note: The NAV of the scheme, pursuant to pay out of IDCW would fall to the extent of the payout and statutory levy (if applicable). Past performance may or may not be sustained in future. The Face Value - 100.00 Per Unit. The Financial Solution(s) stated above is ONLY for highlighting the many advantages perceived from investments in Mutual Funds but does not in any manner, indicate or imply, either the quality of any particular Scheme or guarantee any specific performance/returns.

Top 10 Issuer

Issuer	% to net Assets	Rating
National Bank For Agriculture and Rural Development	11.65%	CRISIL AAA/ICRA A1+/ ICRA AAA
Small Industries Development Bank of India	10.34%	CARE A1+/CRISIL A1+/CRISIL AAA/ ICRA AAA
Government of India	6.47%	SOV
Power Finance Corporation Limited	5.89%	ICRA AAA
Government Bond	5.71%	SOV
HDFC Bank Limited - Tier II - Basel III	5.33%	CARE A1+/CRISIL AAA
REC Limited	4.82%	CRISIL AAA/ICRA AAA
State Bank of India - Tier I - Basel III/ Tier II - Basel III	4.51%	CARE A1+/CRISIL AA+/ICRA AAA
Axis Bank Limited	4.10%	CRISIL A1+/ICRA A1+/ IND A1+
Union Bank of India	3.97%	ICRA A1+/IND A1+

Rating Profile of Portfolio

NAV of Plans / Options (₹)

	Regular Plan	Retail Plan*	Direct Plan
Growth	309.3322	464.3473	318.5907
Monthly IDCW¹:	110.6432	110.5029	113.8611
Quarterly IDCW¹:	108.2744	111.0282	111.3111
IDCW¹:	156.2795	-	110.3887

¹Income Distribution cum capital withdrawal
Note: Retail Plan has been discontinued and does not accept fresh subscriptions/Switch in.

Investment Performance — NAV as on March 31, 2023: ₹ 309.3322

Inception - April 19, 2002	1 Year	3 Years	5 Years	Since Inception
Aditya Birla Sun Life Banking & PSU Debt Fund	4.32%	5.71%	6.90%	7.86%
Value of Std Investment of ₹ 10,000	10432	11812	13968	30933
Benchmark - NIFTY Banking & PSU Debt Index	3.71%	5.45%	6.43%	7.87%
Value of Std Investment of ₹ 10,000	10371	11725	13681	30971
Additional Benchmark - CRISIL 10 Year Gilt Index	3.43%	2.70%	5.81%	6.21%
Value of Std Investment of ₹ 10,000	10343	10831	13270	24572

Past performance may or may not be sustained in future. The above performance is of Regular Plan - Growth Option. Kindly note that different plans have different expense structure. Load and Taxes are not considered for computation of returns. When scheme/ additional benchmark returns are not available, they have not been shown. Total Schemes Co-Managed by Fund Managers is 1. Total Schemes managed by Mr. Kaustubh Gupta is 10. Total Schemes managed Mr. Harshil Suvarnkar is 13. Refer annexure on page no. 129-130 to know more on performance of schemes managed by Fund Managers.
Note: The exit load (if any) rate levied at the time of redemption/switch-out of units will be the rate prevailing at the time of allotment of the corresponding units. Customers may request for a separate Exit Load Applicability Report by calling our toll free numbers 1800-270-7000 or from any of our Investor Service Centers.

Company Name	ISIN	YTM	YTC
State Bank of India - Tier II - Basel III	INE062A08256	6.96%	8.13%
State Bank of India - Tier I - Basel III **	INE062A08215	8.64%	7.81%
State Bank of India - Tier II - Basel III **	INE062A08264	6.72%	8.12%
ICICI Bank Limited - Tier II - Basel III **	INE090A08UD0	7.49%	8.33%
Bank of Baroda - Tier II - Basel III **	INE028A08141	8.52%	8.06%
Punjab National Bank - Tier II - Basel III **	INE160A08159	7.70%	8.45%
Bank of Baroda - Tier I - Basel III **	INE028A08182	8.91%	8.50%

** Represents thinly traded/ non traded securities and illiquid securities.

The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

So, here's what a mutual fund fact sheet typically covers:

Aditya Birla Sun Life Banking & PSU Debt Fund

An open ended debt scheme predominantly investing in debt instruments of banks, Public Sector Undertakings, Public Financial Institutions and Municipal Bonds. A relatively high interest rate risk and moderate credit risk.

Savings Solutions

Fund Category	Banking and PSU Fund
Investment Objective	To generate reasonable ... investing in debt and money market securities that are issued by Banks, ... Financial Institutions (PFIs) in India.

I. The Fund's Identity:
Name: This tells you the fund's official title, like "ABC Large-Cap Equity Fund."
Investment Objective: This explains what the fund aims to achieve, like "Generate long-term capital appreciation by investing in large-cap companies."
Category: This categorizes the fund based on its investment style, like "Large-Cap," "Small-Cap," or "Balanced."

...ge AUM	₹ 7991.14 Crores
...t day	₹ 8032.66 Crores

...SU Debt Index

	2.26 years
	3.19 years
	7.60%
	2.41 years

Application Amount for fresh subscription
₹ 1,000 (plus in multiplies of ₹ 1)

Min. Addl. Investment
₹ 1,000 (plus in multiplies of ₹ 1)

SIP
Monthly: Minimum ₹ 1,000/-

Income Distribution cum capital withdrawal

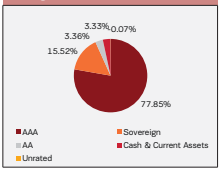
Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield (Regular Plan)	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5483	0.4654	0.4655
Cum IDCW NAV	111.0565	110.7216	110.7668
Declared on date	**29-Mar-23**	**24-Feb-23**	**27-Jan-23**
IDCW Yield (Direct Plan)	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5640	0.4786	0.4786
Cum IDCW NAV	114.2839	113.9031	113.9188

Note: The NAV of the scheme, pursuant to pay out of IDCW would fall to the extent of the payout and statutory levy (if applicable). Past performance may or may not be sustained in future. The Face Value - 100.00 Per Unit The Financial Solution(s) stated above is ONLY for highlighting the many advantages perceived from investments in Mutual Funds but does not in any manner, indicate or imply, either the quality of any particular Scheme or guarantee any specific performance/returns.

Top 10 Issuer

Issuer	% to net Assets	Rating
National Bank For Agriculture and Rural Development	11.65%	CRISIL AAA/ICRA A1+/ ICRA AAA
Small Industries Development Bank of India	10.34%	CARE A1+/CRISIL A1+/CRISIL AAA/ ICRA AAA
Government of India	6.47%	SOV
Power Finance Corporation Limited	5.89%	ICRA AAA
Government Bond	5.71%	SOV
HDFC Bank Limited - Tier II - Basel III	5.33%	CARE A1+/CRISIL AAA
REC Limited	4.82%	CRISIL AAA/ICRA AAA
State Bank of India - Tier I - Basel III/ Tier II - Basel III	4.51%	CARE A1+/CRISIL AA+/ICRA AAA
Axis Bank Limited	4.10%	CRISIL A1+/ICRA A1+/ IND A1+
Union Bank of India	3.97%	ICRA A1+/IND A1+

Rating Profile of Portfolio



NAV of Plans / Options (₹)

	Regular Plan	Retail Plan*	Direct Plan
Growth	309.3322	464.3473	318.5907
Monthly IDCW$:	110.6432	110.5029	113.8611
Quarterly IDCW$:	108.2744	111.0282	111.3111
IDCW$:	156.2795	-	110.3887

$Income Distribution cum capital withdrawal
Note*-Retail Plan has been discontinued and does not accept fresh subscriptions/Switch in.

Investment Performance — NAV as on March 31, 2023: ₹ 309.3322

Inception - April 19, 2002	1 Year	3 Years	5 Years	Since Inception
Aditya Birla Sun Life Banking & PSU Debt Fund	4.32%	5.71%	6.90%	7.86%
Value of Std Investment of ₹ 10,000	10432	11812	13968	30933
Benchmark - NIFTY Banking & PSU Debt Index	3.71%	5.45%	6.45%	7.87%
Value of Std Investment of ₹ 10,000	10371	11725	13681	30971
Additional Benchmark - CRISIL 10 Year Gilt Index	3.43%	2.70%	5.81%	6.21%
Value of Std Investment of ₹ 10,000	10343	10831	13270	24572

Past performance may or may not be sustained in future. The above performance is of Regular Plan - Growth Option. Kindly note that different plans have different expense structure. Load and Taxes are not considered for computation of returns. When scheme/ additional benchmark returns are not available, they have not been shown. Total Schemes Co-Managed by Fund Managers is 1. Total Schemes managed by Mr. Kaustubh Gupta is 10. Total Schemes managed Mr. Harshil Suvarnkar is 13. Refer annexure on page no. 129-130 to know more on performance of schemes managed by Fund Managers.
Note: The exit load (if any) rate levied at the time of redemption/switch-out of units will be the rate prevailing at the time of allotment of the corresponding units. Customers may request for a separate Exit Load Applicability Report by calling our toll free numbers 1800-270-7000 or from any of our Investor Service Centers.

Company Name	ISIN	YTM	YTC
State Bank of India - Tier II - Basel III	INE062A08256	6.96%	8.13%
State Bank of India - Tier I - Basel III **	INE062A08215	8.64%	7.81%
State Bank of India - Tier II - Basel III **	INE062A08264	6.72%	8.12%
ICICI Bank Limited - Tier II - Basel III **	INE090A08UD0	7.49%	8.33%
Bank of Baroda - Tier II - Basel III **	INE028A08141	8.52%	8.06%
Punjab National Bank - Tier II - Basel III **	INE160A08159	7.70%	8.45%
Bank of Baroda - Tier I - Basel III **	INE028A08182	8.91%	8.50%

** Represents thinly traded/ non traded securities and illiquid securities.

*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

Aditya Birla Sun Life Banking & PSU Debt Fund

An open ended debt scheme predominantly investing in debt instruments of banks, Public Sector Undertakings, Public Financial Institutions and Municipal Bonds. A relatively high interest rate risk and moderate credit risk.

Savings Solutions

Fund Category	Banking and PSU Fund
Investment Objective	To generate reasonable returns by primarily investing in debt and money market securities that are issued by Banks, Public Sector Undertakings (PSUs) and Public Financial Institutions (PFIs) in India.

INVEST NOW

Fund Details

Fund Manager
Mr. Kaustubh Gupta & Mr. Harshil Suvarnkar

AUM

Monthly Average AUM	₹ 7991.14 Crores
AUM as on last day	₹ 8032.66

Application Amount for fresh subscription
₹ 1,000 (plus in multiples of ₹ 1)

Managing Fund Since
September 29, 2009 & March 22, 2021

Min. Addl. Investment
₹ 1,000 (plus in multiples of ₹ 1)

Experience in Managing th
13.5 years & 2.0 years

SIP
Monthly: Minimum ₹ 1,000/-

Load Structure (as % of NA

Entry Load	Nil
Exit Load	Nil

Total Expense Ratio (TER)

Regular	
Direct	

Including additional expenses and goo management fees.

ncome Distribution cum capital withdrawal

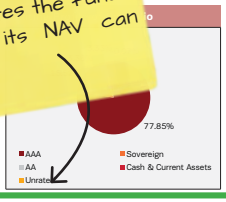
clared on date	29-Mar-23	24-Feb-23	27-Jan-23
W Yield	0.49%	0.42%	0.42%
gular Plan)			
W (₹) Per Unit	0.5483	0.4654	0.4655
IDCW NAV	111.0565	110.7216	110.7668
ared on date	29-Mar-23	24-Feb-23	27-Jan-23
Yield	0.49%	0.42%	0.42%
ct Plan)			
(₹) Per Unit	0.5640	0.4786	0.4786
DCW NAV	114.2839	113.9031	113.9188

e NAV of the scheme, pursuant to pay out of IDCW would fall to of the payout and statutory levy (if applicable). Past performance y not be sustained in future. The Face Value - 100.00 Per Unit cial Solution(s) stated above is ONLY for highlighting the many perceived from investments in Mutual Funds but does not in , indicate or imply, either the quality of any particular Scheme or ny specific performance/returns.

2. Key Performance Indicators:
Net Asset Value (NAV): This is the price per unit of the fund, similar to a stock price. It tells you how much your investment is worth it.
Returns: This shows how much the fund has gained or lost over different periods, like 1 year, 3 years, or 5 years as well as how the scheme performed against the benchmark.
Risk Measures: This indicates the fund's volatility, or how much its NAV can fluctuate.

Top 10 Issuer

Issuer		
National Bank For Agriculture and Rural D		ICRA AAA
Small Industries Development Bank of Indi		ICRA AAA
Government of India		SOV
Power Finance Corporation Limited		ICRA AAA
Government Bond	5.71%	SOV
HDFC Bank Limited - Tier II - Basel II	5.33%	CARE A1+/CRISIL AAA
REC Limited	4.82%	CRISIL AAA/ICRA AAA
State Bank of India - Tier I - Basel III/ Tier II - Basel III	4.51%	CARE A1+/CRISIL AA+/ICRA AAA
Axis Bank Limited	4.10%	CRISIL A1+/ICRA A1+/ IND A1+
Union Bank of India	3.97%	ICRA A1+/IND A1+



NAV of Plans / Options (₹)

	Regular Plan	Retail Plan*	Direct Plan
Growth	309.3322	464.3473	318.5907
Monthly IDCW#:	110.6432	110.5029	113.8611
Quarterly IDCW#:	108.2744	111.0282	111.3111
IDCW#:	156.2795	-	110.3887

#Income Distribution cum capital withdrawal
Note*-Retail Plan has been discontinued and does not accept fresh subscriptions/Switch in.

Investment Performance — NAV as on March 31, 2023: ₹ 309.3322

Inception - April 19, 2002	1 Year	3 Years	5 Years	Since Inception
Aditya Birla Sun Life Banking & PSU Debt Fund	4.32%	5.71%	6.90%	7.86%
Value of Std Investment of ₹ 10,000	10432	11812	13968	30933
Benchmark - NIFTY Banking & PSU Debt Index	3.71%	5.45%	6.45%	7.87%
Value of Std Investment of ₹ 10,000	10371	11725	13681	30971
Additional Benchmark - CRISIL 10 Year Gilt Index	3.43%	2.70%	5.81%	6.21%
Value of Std Investment of ₹ 10,000	10343	10831	13270	24572

Past performance may or may not be sustained in future. The above performance is of Regular Plan - Growth Option. Kindly note that different plans have different expense structure. Load and Taxes are not considered for computation of returns. When scheme/ additional benchmark returns are not available, they have not been shown. Total Schemes Co-Managed by Fund Managers is 1. Total Schemes managed by Mr. Kaustubh Gupta is 10. Total Schemes managed Mr. Harshil Suvarnkar is 13. Refer annexure on page no. 129-130 to know more on performance of schemes managed by Fund Managers.
Note: The exit load (if any) rate levied at the time of redemption/switch-out of units will be the rate prevailing at the time of allotment of the corresponding units. Customers may request for a separate Exit Load Applicability Report by calling our toll free numbers 1800-270-7000 or from any of our Investor Service Centers.

Company Name	ISIN	YTM	YTC
State Bank of India - Tier II - Basel III	INE062A08256	6.96%	8.13%
State Bank of India - Tier I - Basel III **	INE062A08215	8.64%	7.81%
State Bank of India - Tier II - Basel III **	INE062A08264	6.72%	8.12%
ICICI Bank Limited - Tier II - Basel III **	INE090A08UD0	7.49%	8.33%
Bank of Baroda - Tier II - Basel III **	INE028A08141	8.52%	8.06%
Punjab National Bank - Tier II - Basel III **	INE160A08159	7.70%	8.45%
Bank of Baroda - Tier I - Basel III **	INE028A08182	8.91%	8.50%

** Represents thinly traded/ non traded securities and illiquid securities.

*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

3. Investment Portfolio:

Asset Allocation: This shows how the fund's money is distributed across different asset classes, like stocks, bonds, and cash.

Top 10 Holdings (in %): This reveals the fund's biggest investments, giving you an idea of the companies, it focuses on.

Cash Holding (in %): This shows how much cash the fund is currently holding. It is useful to judge a fund manager's current view of the market. If the cash proportion is higher means he/she expects the market to be overvalued and hence he is not fully investing the funds.

Portfolio turnover: This tells you how often the fund buys and sells its investments. Ideally, it should be consistent over time. Allocation to AAA and government securities (only for debt mutual funds).

takings, t risk.

s that are issued by Banks,

Savings Solutions

Application Amount for fresh subscription
₹ 1,000 (plus in multiples of ₹ 1)

Min. Addl. Investment
₹ 1,000 (plus in multiples of ₹ 1)

SIP
Monthly: Minimum ₹ 1,000/-

Income Distribution cum capital withdrawal

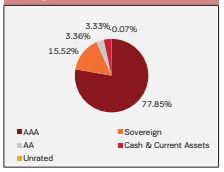
Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield **(Regular Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5483	0.4654	0.4655
Cum IDCW NAV	111.0565	110.7216	110.7668
Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield **(Direct Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5640	0.4786	0.4786
Cum IDCW NAV	114.2839	113.9031	113.9188

Note: The NAV of the scheme, pursuant to pay out of IDCW would fall to the extent of the payout and statutory levy (if applicable). Past performance may or may not be sustained in future. The Face Value - 100.00 Per Unit The Financial Solution(s) stated above is ONLY for highlighting the many advantages perceived from investments in Mutual Funds but does not in any manner, indicate or imply, either the quality of any particular Scheme or guarantee any specific performance/returns.

Top 10 Issuer

Issuer	% to net Assets	Rating
National Bank For Agriculture and Rural Development	11.65%	CRISIL AAA/ICRA A1+/ ICRA AAA
Small Industries Development Bank of India	10.34%	CARE A1+/CRISIL A1+/CRISIL AAA/ ICRA AAA
Government of India	6.47%	SOV
Power Finance Corporation Limited	5.89%	ICRA AAA
Government Bond	5.71%	SOV
HDFC Bank Limited - Tier II - Basel III	5.33%	CARE A1+/CRISIL AAA
REC Limited	4.82%	CRISIL AAA/ICRA AAA
State Bank of India - Tier I - Basel III/ Tier II - Basel III	4.51%	CARE A1+/CRISIL AA+/ICRA AAA
Axis Bank Limited	4.10%	CRISIL A1+/ICRA A1+/ IND A1+
Union Bank of India	3.97%	ICRA A1+/IND A1+

Rating Profile of Portfolio



NAV of Plans / Options (₹)

	Regular Plan	Retail Plan*	Direct Plan
Growth	309.3322	464.3473	318.5907
Monthly IDCW#:	110.6432	110.5029	113.8611
Quarterly IDCW#:	108.2744	111.0282	111.3111
IDCW#:	156.2795	-	110.3887

#Income Distribution cum capital withdrawal

Note*-Retail Plan has been discontinued and does not accept fresh subscriptions/Switch in.

Investment Performance — NAV as on March 31, 2023: ₹ 309.3322

Inception - April 19, 2002	1 Year	3 Years	5 Years	Since Inception
Aditya Birla Sun Life Banking & PSU Debt Fund	4.32%	5.71%	6.90%	7.86%
Value of Std Investment of ₹ 10,000	10432	11812	13968	30933
Benchmark - NIFTY Banking & PSU Debt Index	3.71%	5.45%	6.45%	7.87%
Value of Std Investment of ₹ 10,000	10371	11725	13681	30971
Additional Benchmark - CRISIL 10 Year Gilt Index	3.43%	2.70%	5.81%	6.21%
Value of Std Investment of ₹ 10,000	10343	10831	13270	24572

Past performance may or may not be sustained in future. The above performance is of Regular Plan - Growth Option. Kindly note that different plans have different expense structure. Load and Taxes are not considered for computation of returns. When scheme/ additional benchmark returns are not available, they have not been shown. Total Schemes Co-Managed by Fund Managers is 1. Total Schemes managed by Mr. Kaustubh Gupta is 10. Total Schemes managed Mr. Harshil Suvarnkar is 13. Refer annexure on page no. 129-130 to know more on performance of schemes managed by Fund Managers.
Note: The exit load (if any) rate levied at the time of redemption/switch-out of units will be the rate prevailing at the time of allotment of the corresponding units. Customers may request for a separate Exit Load Applicability Report by calling our toll free numbers 1800-270-7000 or from any of our Investor Service Centers.

Company Name	ISIN	YTM	YTC
State Bank of India - Tier II - Basel III	INE062A08256	6.96%	8.13%
State Bank of India - Tier I - Basel III **	INE062A08215	8.64%	7.81%
State Bank of India - Tier II - Basel III **	INE062A08264	6.72%	8.12%
ICICI Bank Limited - Tier II - Basel III **	INE090A08UD0	7.49%	8.33%
Bank of Baroda - Tier II - Basel III **	INE028A08141	8.52%	8.06%
Punjab National Bank - Tier II - Basel III **	INE160A08159	7.70%	8.45%
Bank of Baroda - Tier I - Basel III **	INE028A08182	8.91%	8.50%

** Represents thinly traded/ non traded securities and illiquid securities.

*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

Aditya Birla Sun Life Banking & PSU Debt Fund

An open ended debt scheme predominantly investing in debt instruments of banks, Public Sector Undertakings, Public Financial Institutions and Municipal Bonds. A relatively high interest rate risk and moderate credit risk.

Savings Solutions

CLICK HERE

INVEST NOW

Fund Category	Banking and PSU Fund
Investment Objective	To generate reasonable returns by primarily investing in debt and money market securities that are issued by Banks, Public Sector Undertakings (PSUs) and Public Financial Institutions (PFIs) in India.

Fund Details

Fund Manager
Mr. Kaustubh Gupta & Mr. Harshil Suvarnkar

Managing Fund Since
September 29, 2009 & March 22, 2021

Experience in Managing the Fund
13.5 years & 2.0 years

Load Structure (as % of NAV)

Entry Load	Nil
Exit Load	Nil

Total Expense Ratio (TER)

Regular	0.72%
Direct	0.37%

Including additional expenses and goods and service tax on management fees.

AUM

Monthly Average AUM	₹ 7991.14 Crores
AUM as on last day	₹ 8032.66 Crores

Date of Allotment
April 19, 2002

Benchmark
NIFTY Banking & PSU Debt Index

Other Parameters

Modified Duration	2.26 years
Average Maturity	3.19 years
Yield to Maturity	7.60%
Macaulay Duration	2.41 years

Application Amount for fresh subscription
₹ 1,000 (plus in multiples of ₹ 1)

Min. Addl. Investment
₹ 1,000 (plus in multiples of ₹ 1)

SIP
Monthly: Minimum ₹ 1,000/-

Income Distribution cum capital withdrawal

Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield **(Regular Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5483	0.4654	0.4655
Cum IDCW NAV	111.0565	110.7216	110.7668
Declared on date	**29-Mar-23**	**24-Feb-23**	**27-Jan-23**
IDCW Yield **(Direct Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5640	0.4786	0.4786
	114.2839	113.9031	113.9188

...cheme, pursuant to pay out of IDCW would fall to ...and statutory levy (if applicable). Past performance ...ined in future. The Face Value - 100.00 Per Unit ...stated above is ONLY for highlighting the many ...n investments in Mutual Funds but does not in ...ly, either the quality of any particular Scheme or ...ormance/returns.

4. Fees and Expenses:
Expense Ratio: This is the annual fee charged by the fund for managing your investment.
Exit Load: This is a penalty fee you might pay if you sell your units before a certain period, usually 1 year. However, not all funds charge this, so do check it!

Top 10 Issuer

Issuer	% to net As
National Bank For Agriculture and Rural Development	11.65%
Small Industries Development Bank of India	10.34%
Government of India	6.47%
Power Finance Corporation Limited	5.89%
Government Bond	5.71%
HDFC Bank Limited - Tier II - Basel III	5.33%
REC Limited	4.82%
State Bank of India - Tier I - Basel III/ Tier II - Basel III	4.51%
Axis Bank Limited	4.10%
Union Bank of India	3.97%

		lan*	Direct Plan
		484.3473	318.5907
	110.6432	110.5029	113.8611
Quarterly IDCW[$]:	108.2744	111.0282	111.3111
IDCW[$]:	156.2795	-	110.3887

*Income Distribution cum capital withdrawal

Note*: Retail Plan has been discontinued and does not accept fresh subscriptions/Switch in.

Investment Performance — NAV as on March 31, 2023: ₹ 309.3322

Inception - April 19, 2002	1 Year	3 Years	5 Years	Since Inception
Aditya Birla Sun Life Banking & PSU Debt Fund	4.32%	5.71%	6.90%	7.86%
Value of Std Investment of ₹ 10,000	10432	11812	13968	30933
Benchmark - NIFTY Banking & PSU Debt Index	3.71%	5.45%	6.45%	7.87%
Value of Std Investment of ₹ 10,000	10371	11725	13681	30971
Additional Benchmark - CRISIL 10 Year Gilt Index	3.43%	2.70%	5.81%	6.21%
Value of Std Investment of ₹ 10,000	10343	10831	13270	24572

Past performance may or may not be sustained in future. The above performance is of Regular Plan - Growth Option. Kindly note that different plans have different expense structure. Load and Taxes are not considered for computation of returns. When scheme/ additional benchmark returns are not available, they have not been shown. Total Schemes Co-Managed by Fund Managers is 1. Total Schemes managed by Mr. Kaustubh Gupta is 10. Total Schemes managed Mr. Harshil Suvarnkar is 13. Refer annexure on page no. 129-130 to know more on performance of schemes managed by Fund Managers.
Note: The exit load (if any) rate levied at the time of redemption/switch-out of units will be the rate prevailing at the time of allotment of the corresponding units. Customers may request for a separate Exit Load Applicability Report by calling our toll free numbers 1800-270-7000 or from any of our Investor Service Centers.

Company Name	ISIN	YTM	YTC
State Bank of India - Tier II - Basel III	INE062A08256	6.96%	8.13%
State Bank of India - Tier I - Basel III **	INE062A08215	8.64%	7.81%
State Bank of India - Tier II - Basel III **	INE062A08264	6.72%	8.12%
ICICI Bank Limited - Tier II - Basel III **	INE090A08UD0	7.49%	8.33%
Bank of Baroda - Tier II - Basel III **	INE028A08141	8.52%	8.06%
Punjab National Bank - Tier II - Basel III **	INE160A08159	7.70%	8.45%
Bank of Baroda - Tier I - Basel III **	INE028A08182	8.91%	8.50%

** Represents thinly traded/ non traded securities and illiquid securities.

*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

Aditya Birla Sun Life Banking & PSU Debt Fund

An open ended debt scheme predominantly investing in debt instruments of banks, Public Sector Undertakings, Public Financial Institutions and Municipal Bonds. A relatively high interest rate risk and moderate credit risk.

Savings Solutions

Fund Category	Banking and PSU Fund
Investment Objective	To generate reasonable returns by primarily investing in debt and money market securities that are issued by Banks, Public Sector Undertakings (PSUs) and Public Financial Institutions (PFIs) in India.

Fund Details

Fund Manager
Mr. Kaustubh Gupta & Mr. Harshil Suvarnkar

Managing Fund Since
September 29, 2009 & March 22, 2021

Experience in Managing the Fund
13.5 years & 2.0 years

AUM

Monthly Average AUM	₹ 7991.14 Crores
AUM as on last day	₹ 8032.66 Crores

Date of Allotment
April 19, 2002

Benchmark
NIFTY Banking & PSU Debt Index

Application Amount for fresh subscription
₹ 1,000 (plus in multiples of ₹ 1)

Min. Addl. Investment
₹ 1,000 (plus in multiples of ₹ 1)

SIP
Monthly: Minimum ₹ 1,000/-

Load Structure (as % of NAV)

Entry Load	Nil
Exit Load	Nil

Total Expen

Regular	
Direct	

Including additio… management fee

	2.26 years
	.19 years
	.60%
	41 years

Income Distribution cum capital withdrawal

Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield **(Regular Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5483	0.4654	0.4655
Cum IDCW NAV	111.0565	110.7216	110.7668
Declared on date	29-Mar-23	24-Feb-23	27-Jan-23
IDCW Yield **(Direct Plan)**	0.49%	0.42%	0.42%
IDCW (₹) Per Unit	0.5640	0.4786	0.4786
Cum IDCW NAV	114.2839	113.9031	113.9188

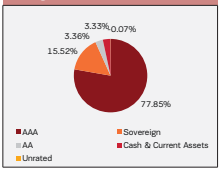
Note: The NAV of the scheme, pursuant to pay out of IDCW would fall to the extent of the payout and statutory levy (if applicable). Past performance may or may not be sustained in future. The Face Value - 100.00 Per Unit The Financial Solution(s) stated above is ONLY for highlighting the many advantages perceived from investments in Mutual Funds but does not in any manner, indicate or imply, either the quality of any particular Scheme or guarantee any specific performance/returns.

5. Fund Management: Fund Manager: This is the person or team responsible for making investment decisions for the fund. Track Record: This shows the manager's past performance in managing similar funds.

Top 10 Issuer

Issuer		
National Bank For Agri…		
Small Industries Develo…		
Government of India		
Power Finance Corporati…		
Government Bond		SOV
HDFC Bank Limited - Tier I	5.33%	CARE A1+/CRISIL AAA
REC Limited	4.82%	CRISIL AAA/ICRA AAA
State Bank of India - Tier I - Basel III/ Tier II - Basel III	4.51%	CARE A1+/CRISIL AA+/ICRA AAA
Axis Bank Limited	4.10%	CRISIL A1+/ICRA A1+/ IND A1+
Union Bank of India	3.97%	ICRA A1+/IND A1+

Rating Profile of Portfolio



NAV of Plans / Options (₹)

	Regular Plan	Retail Plan@	Direct Plan
Growth	309.3322	464.3473	318.5907
Monthly IDCW*:	110.6432	110.5029	113.8611
Quarterly IDCW*:	108.2744	111.0282	111.3111
IDCW*:	156.2795	-	110.3887

*Income Distribution cum capital withdrawal

Note@-Retail Plan has been discontinued and does not accept fresh subscriptions/Switch in.

Investment Performance — NAV as on March 31, 2023: ₹ 309.3322

Inception - April 19, 2002	**1 Year**	**3 Years**	**5 Years**	**Since Inception**
Aditya Birla Sun Life Banking & PSU Debt Fund	4.32%	5.71%	6.90%	7.86%
Value of Std Investment of ₹ 10,000	10432	11812	13968	30933
Benchmark - NIFTY Banking & PSU Debt Index	3.71%	5.45%	6.45%	7.87%
Value of Std Investment of ₹ 10,000	10371	11725	13681	30971
Additional Benchmark - CRISIL 10 Year Gilt Index	3.43%	2.70%	5.81%	6.21%
Value of Std Investment of ₹ 10,000	10343	10831	13270	24572

Past performance may or may not be sustained in future. The above performance is of Regular Plan - Growth Option. Kindly note that different plans have different expense structure. Load and Taxes are not considered for computation of returns. When scheme/ additional benchmark returns are not available, they have not been shown. Total Schemes Co-Managed by Fund Managers is 1. Total Schemes managed by Mr. Kaustubh Gupta is 10. Total Schemes managed Mr. Harshil Suvarnkar is 13. Refer annexure on page no. 129-130 to know more on performance of schemes managed by Fund Managers.
Note: The exit load (if any) rate levied at the time of redemption/switch-out of units will be the rate prevailing at the time of allotment of the corresponding units. Customers may request for a separate Exit Load Applicability Report by calling our toll free numbers 1800-270-7000 or from any of our Investor Service Centers.

Company Name	**ISIN**	**YTM**	**YTC**
State Bank of India - Tier II - Basel III	INE062A08256	6.96%	8.13%
State Bank of India - Tier I - Basel III **	INE062A08215	8.64%	7.81%
State Bank of India - Tier II - Basel III **	INE062A08264	6.72%	8.12%
ICICI Bank Limited - Tier II - Basel III **	INE090A08UD0	7.49%	8.33%
Bank of Baroda - Tier II - Basel III **	INE028A08141	8.52%	8.06%
Punjab National Bank - Tier II - Basel III **	INE160A08159	7.70%	8.45%
Bank of Baroda - Tier I - Basel III **	INE028A08182	8.91%	8.50%

** Represents thinly traded/ non traded securities and illiquid securities.

*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

While a fact sheet provides a snapshot of a mutual fund, for a comprehensive understanding, it's essential to read the Scheme Information Document (SID). Quantitative metrics like Beta and Sharpe Ratio on the fact sheet may not be useful without a deep understanding, as they depend on the manager's style. But don't worry, you will be able to make decisions with the aspects we discussed in this chapter.

Also, to keep a check on your Mutual funds, I have made a checklist from the data in the Fact Sheet which you can use:

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5
AUM					
NAV					
Returns					
Scheme					
Benchmark					
Fund manager name					
Date appointed					
Changes in fund manager					
New manager name					
New manager date appointed					
Top10 holdings %					
Cash %					
Portfolio Turnover					

Join @Coursesdollar

8. Routes of Investing in a Mutual Fund

So, you've figured out how to pick a mutual fund. Great! Now, how do you actually invest in one? Well, there are two ways to go about it:

Option A: Investing through a Direct Plan

Investing through a direct plan means you're going solo without the help of a middleman or distributor. You can do this digitally in a few ways:

@Coursesdollar

Through the website of the mutual fund company (AMC).

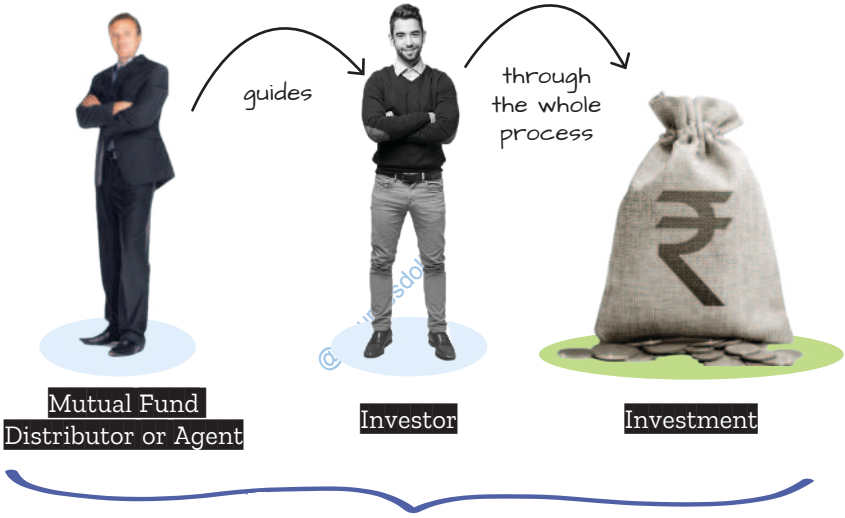
Using industry platforms like MFcentral, mycams, etc.

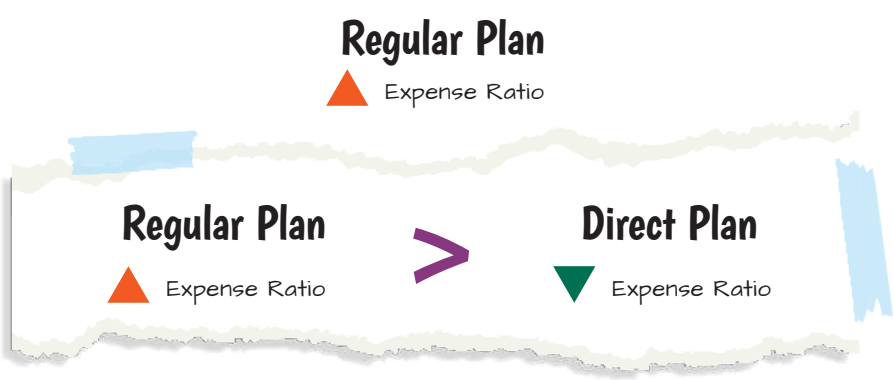
Opting for 3rd party platforms like Groww or ET Money.

Join @Coursesdollar

Option B: Investing through a Regular Plan

If going solo isn't your thing and you'd rather have some guidance, then the regular plan is your go-to. Regular Plan involves a Mutual Fund Distributor or Agent who will guide you through the whole process. **The expense ratio charged in Regular Plans is higher than a Direct Plan.**





Also, avoid relying solely on banks for regular plans as they might push plans with higher commissions or from AMC owned by the banks and frequent changes in relationship managers could lead to a not-so-great experience.

But how can I choose the right advisor for long-term success?

To make that easy, I have made a checklist that you can follow:

Experience: Look for someone with 8-10 years under their belt to ensure they've seen market cycles.

Fund Selection Process: Ask how they choose funds and compare them to the methods in this book.

Request performance data: Verify their performance data. If active funds are recommended, their returns should surpass those of the Nifty 50. In the case of small/mid-cap funds, ensure they outperform their benchmarks. Additionally, examine the 3, 5, 10-year, and lifetime returns in comparison to the benchmarks.

Expense ratio: Check the expense ratio of the recommended fund. Verify this information on the fund's website or platforms like Groww/Zerodha. Exercise caution if the ratio exceeds 1%.

New Fund Offerings (NFOs): Be wary if the distributor recommends investing in a newly launched mutual fund (NFO). These funds lack a performance history, and distributors often receive higher commissions for promoting them. Avoid investing in NFOs to minimize uncertainties in fund performance.

By following these tips, you'll find a knowledgeable advisor who will help you achieve your investment goals!

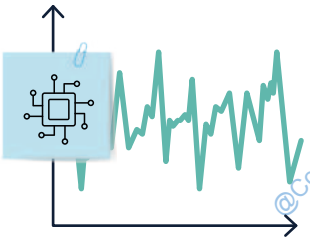
Join @Coursesdollar

9. Things to avoid!

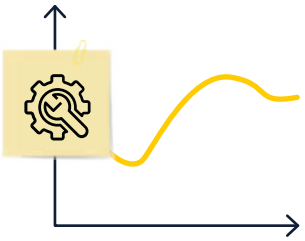
Now like every other investment, even in mutual funds, there are things you need to avoid:

a. Avoid Sectoral Funds

Just like seasons come and go, each sector in the market (think tech, energy, healthcare) has its own boom and bust periods.



Some sectors, like technology can be more volatile with shorter-term fluctuations.



While others, like utilities, tend to be less volatile but exhibit clearer cyclical patterns over longer periods.

@Coursesdollar

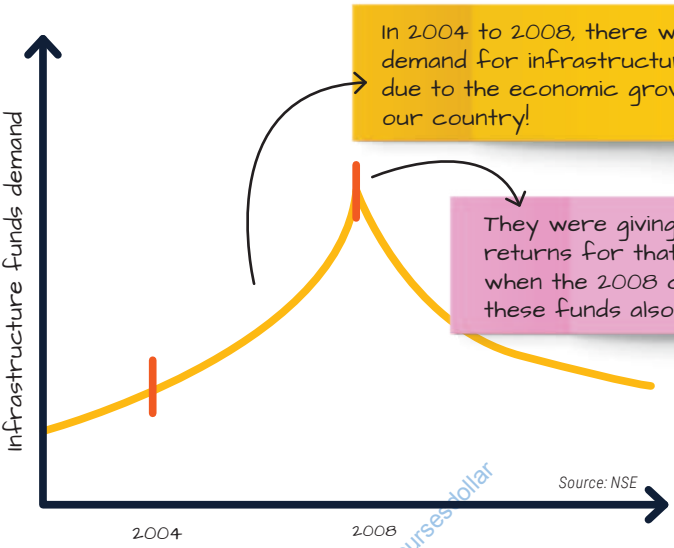
But what adds an interesting layer is that each bull market is often led by a different sector. So, the sector that drives this bull market might be a sleepy tortoise in the next one.

- Dynamic Nature
- Risk

This dynamic nature of sectors makes investing in sectoral funds, which focus exclusively on one sector, a risky endeavor.

Such funds necessitate a deep understanding of the specific sector to navigate its unique challenges and opportunities effectively. Without this knowledge, investors face the potential for prolonged delays in returns, or underperformance compared to broader market indices like Nifty and Sensex.

So, avoiding sectoral funds is the best option if one does not have any knowledge of the particular sector. To understand this better, let's consider the UTI Infrastructure Fund, which concentrates solely on the Infrastructure Sector.



And as of March 31, 2022, the fund's performance, compared to Nifty 50 TRI, still shows a significant difference:

Particulars	1 Year	3 Years	5 Years	10 Years
UTI infrastructure fund	14.27%	11.78%	8.62%	10.47%
Nifty 50 TRI	20.26%	15.82%	15.14%	14.07%
Difference	-5.99%	-4.04%	-6.52%	-3.6%

Initial Investment:
₹ 1,00,000

Returns:
UTI Infrastructure Fund: Rs 2,45,000
Nifty 50: Rs 3,26,000
Difference: Rs 81,000

Investing in Nifty 50 yielded a substantial Rs 81,000 more compared to UTI Infrastructure Fund.

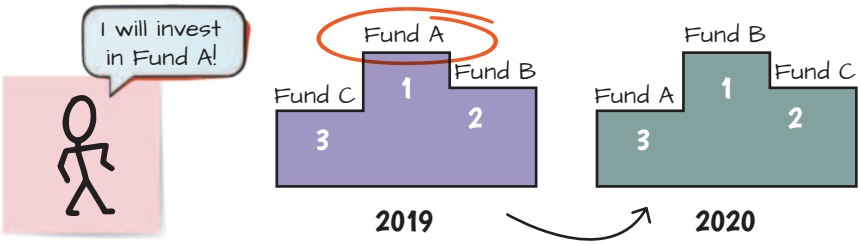
So, the bottom line is, unless you have a solid understanding of a specific sector, avoiding sectoral funds might be the safer bet.

*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

b. Avoid chasing Top Performing Fund of every year

When it comes to investing in mutual funds, the key to long-term success is avoiding the temptation to chase the top-performing fund of every year.



It's a common misconception that sticking with the current year's winner is the best strategy. However, funds go through cycles of outperformance and underperformance, making it unlikely for any single fund to consistently remain in the top 5 every year.

If you doubt this, then consider the performance data of 30 Flexi Cap Funds from 2019 to 2023:

As you can see, different funds take the lead each year, emphasizing the inconsistency of fund performance. The key takeaway here is that no fund consistently holds a top 5 position across all years.

Particulars	2019	2020	2021	2022	2023
Rank 1	Company9 (HDFC)	Company 2 (Axis)	Company 23 (Quant)	Company 23 (Quant)	Company9 (HDFC)
Rank 2	Company 5 (Canara Robeco)	Company 21 (PPFAS)	Company 22 (PGIM)	Company 4 (Bank of India)	Company 14 (JM)
Rank 3	Company 2 (Axis)	Company 14(JM)	Company 8 (Franklin)	Company 21 (PPFAS)	Company 11 (ICICI)
Rank 4	Company 30 (UTI)	Company 5 (Canara Robeco)	Company 30 (UTI)	Company 12 (IDBI)	Company 15 (Kotak)
Rank 5	Company 15 (Kotak)	Company 6 (DSP)	Company 21 (PPFAS)	Company 9 (HDFC)	Company 10 (HSBC)

*The fund here is an example, not a recommendation. It is only for educational purposes.

Join @Coursesdollar

So, instead of constantly changing funds every year, the goal should be to select a fund that demonstrates consistency and outperforms its chosen benchmark!

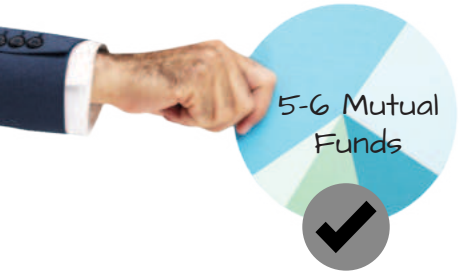
c. Avoid Overdiversification

When it comes to mutual funds, they are already pretty diversified on their own, giving us the benefit of diversification. But if you choose two funds from the same category, there is a high probability that the underlying holdings are likely to be the similar, because of the same eligibility criteria. So, you are not actually diversifying more.

@Coursesdollar

Having a higher number of funds doesn't guarantee higher returns. In fact, it just adds to the time and effort needed to keep tabs on all those investments.

▲ No. of Funds
≠
▲ Returns



So, to maintain a balanced and manageable portfolio, it's advisable to limit the overall number of funds to around 4-5. This not only streamlines your investment strategy but also ensures a more focused approach to monitoring and managing your investments.

Join @Coursesdollar

d. Avoid NFOs

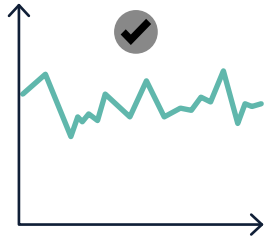
I know Investing in New Fund Offers (NFOs) can feel exciting, but it's crucial to understand the inherent risks before diving in.

Firstly, the lack of an existing portfolio makes the fund manager's allocation strategy a complete mystery, leaving you uncertain about your investment's future.

Secondly, and unsurprisingly for a new fund, there's no operating history. Because of this absence of a track record we can't do analysis on how effective is the funds investment strategy.

So, investing in an NFO is essentially like taking a blind leap of faith with your hard-earned money.

And let's not forget the role of distributors in this equation. They often push NFOs because they stand to earn a higher commission from them. It's business for them, but for you, it might not align with your investment goals.



Proven Track Record

So, in a nutshell, to avoid potential pitfalls and ensure a more informed investment, it's often wiser to stick with mutual funds that have a proven track record of at least 5-10 years, steering clear of the temptation of NFOs and their associated risks.

However, if you encounter an NFO with a unique theme or strategy that perfectly aligns with your investment vision and fills a gap in your portfolio, then consider taking a calculated leap of faith.

Just be sure your belief in its potential outweighs the inherent risk of its novelty.

@Coursesdollar

Unique NFO

e. Don't time the Market

You know how it goes – the stock market hits all-time highs or someone brags about a 40% return, and suddenly, the fear of missing out creeps in.

You wait for a dip, but when it finally happens, the fear kicks in again – what if it goes down even more? So, you wait. And when it corrects significantly, you hesitate, thinking it might go even lower or stay down for a while. Before you realize it, the market starts climbing again, and there you are, left behind.

Join @Coursesdollar

Legendary investor Peter Lynch captured this scenario perfectly, noting that **"Far more money has been lost by investors in preparing for corrections, or anticipating corrections, than has been lost in the corrections themselves."**

The stock market is a cycle - highs followed by lows and vice versa.

Coursesdollar

Negative sentiments lead to prices dropping more than they should, and positive sentiments drive prices higher than they should be. Yet, in the long run, the price tends to reflect the true value of the company. However, predicting these market movements is a challenge even for experts.

Join @Coursesdollar

So, how can you navigate this uncertainty?

To do so, you can take a more practical approach i.e. investing regularly through Systematic Investment Plans (SIPs), instead of attempting the nearly impossible task of timing the market.

But, you might wonder, wouldn't perfectly timed investments beat consistent ones? Sure, but studies by Capital Mind show a surprisingly narrow gap.

Here's a snapshot of the difference in returns between a lucky market timer and a regular investor from the Studies:

Time Period	Market Timing	Regular Investor	Difference
1990-March 2022	13.3%	12.6%	0.7%
2000-March 2022	14.9%	12.9%	2%
2005-March 2022	13.9%	11.8%	2.1%
2010-March 2022	14.2%	12%	2.2%

Source: https://www.capitalmind.in/2022/03/market-timing-what-if-you-were-the-luckiest-investor-in-india/

So for the Lucky Market Timer, we have assumed that he times the market perfectly, and for the Regular Investor, it is assumed that they blindly take one day and keep investing there annually and the results are surprising! The difference is not crazy high, it is in the range of 0.7%-2.2%.

Also, the lucky investor got his timing right 100% of the time which is not possible. In fact, there is a chance that you make an error in timing the market and get lower returns. Hence, keeping all this in mind it is better that you continue with a SIP especially if you don't have the time to put into research to time the market.

In the end, it's not about chasing perfect timing; it's about adopting a strategy that aligns with your financial goals.

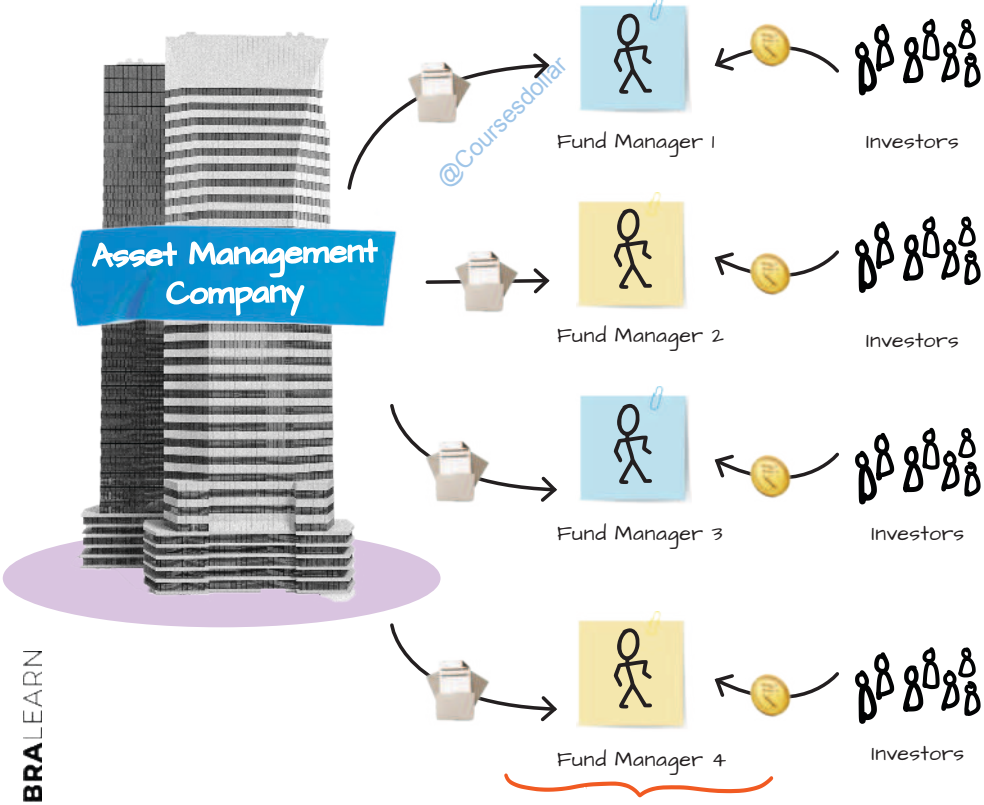
Join @Coursesdollar

10. More about Mutual Funds

Let's understand the common terminologies that are used with Mutual Funds:

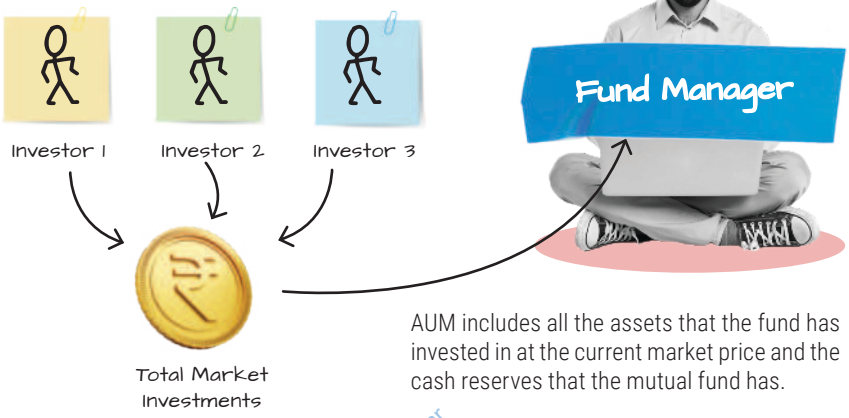
a. Asset Management Company(AMC)

Asset Management Companies are firms that manage and operate different mutual fund schemes. And for that, the AMC appoints fund managers to manage each scheme to ensure that the investment objectives are met.



b. Asset Under Management(AUM)

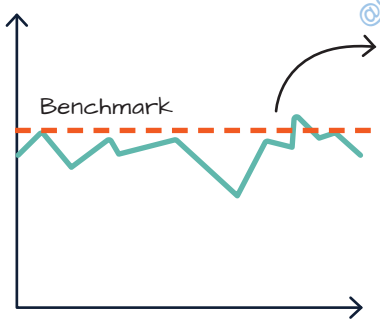
Assets under Management is the total value of all the assets that the mutual fund scheme manages.



AUM includes all the assets that the fund has invested in at the current market price and the cash reserves that the mutual fund has.

@Coursesdollar

c. Benchmark



A benchmark is a standard or reference point against which the mutual fund's performance is measured. It represents a specific market index or a group of securities that closely resemble the overall characteristics of the fund's investment strategy.

So, for example, Flexi Cap Funds use NIFTY 500 or S&P BSE 500 TRI as their benchmark to compare their performances.

d. Lump sum Investment

Lumpsum investment means a one-time, single amount of money that you invest in a mutual fund.

Join @Coursesdollar

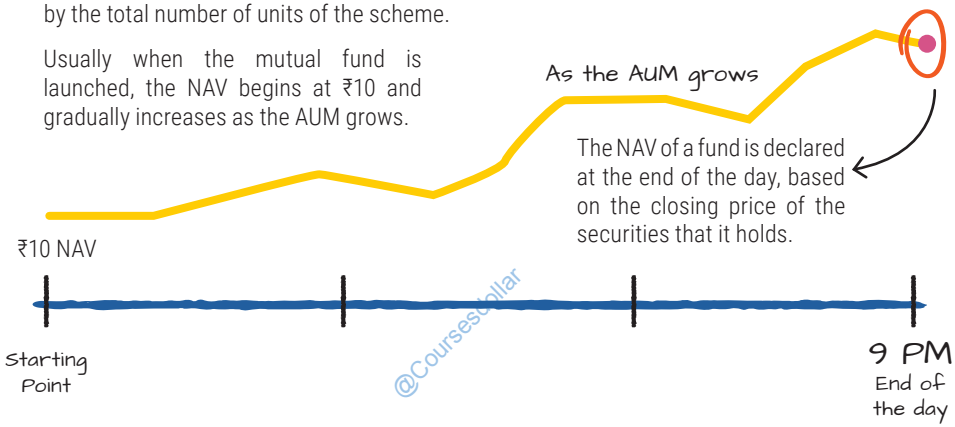
e. Net Asset Value(NAV)

Net Asset Value is the market value per unit of the mutual fund. **In simpler words it is the price of a unit of a mutual fund.**

$$NAV = \frac{\text{Net Assets}}{\text{Units}}$$

It is calculated by dividing the Asset under Management by the total number of units of the scheme.

Usually when the mutual fund is launched, the NAV begins at ₹10 and gradually increases as the AUM grows.

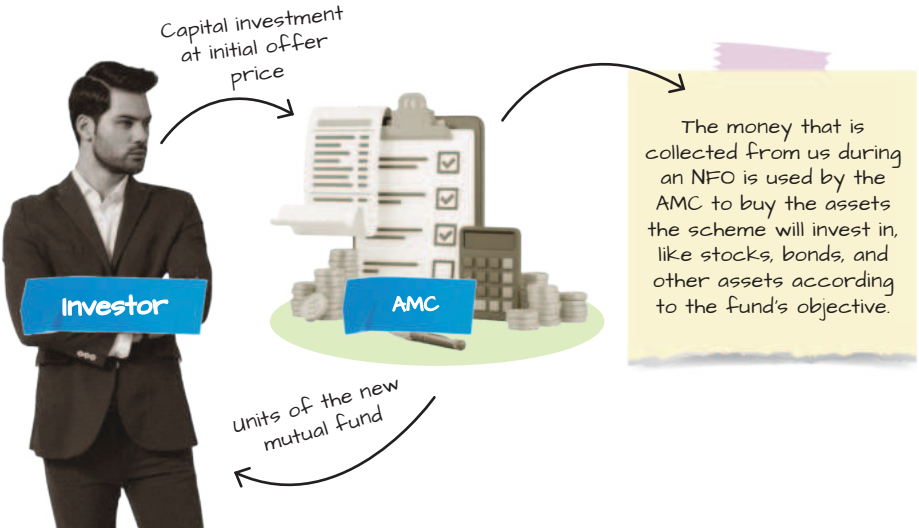


@Coursesdollar

You can find them on the respective mutual funds' website as well as AMFI's website. You buy and sell Mutual Fund units based on their NAV.

f. New Fund Offer (NFO)

An NFO is the launch of a mutual fund scheme to the public. During an NFO, you can buy the units of the new mutual fund for the first time at its initial offer price.



Join @Coursesdollar

It's a bit like an IPO (Initial Public Offering) for a company, but instead of buying shares in a company, you're buying units in a new investment scheme.

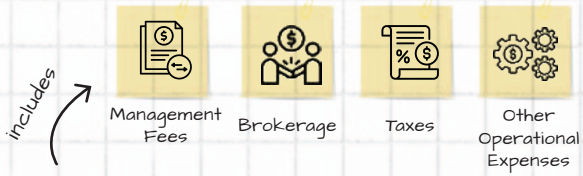
g. Systematic Investment Plan (SIP)

SIP is an investment route where **you invest a fixed amount in a mutual fund scheme at fixed intervals.** The fixed amount can be as low as ₹500 and the intervals can be weekly, monthly, or quarterly.

@Courses

h. Total Expense Ratio

Total Expense Ratio is the fee which is charged by the AMC for managing the funds. It includes the management fees, Brokerage, taxes, and other operational expenses that the AMC incurred while managing the fund.

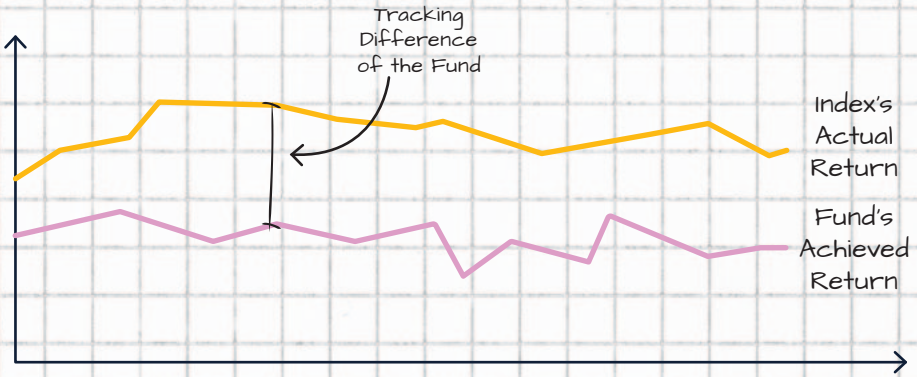


$$TER = \frac{\text{Total Expenses}}{\text{Assets under Management}} \times 100\%$$

Before distributing returns to investors, the TER is deducted from the total return earned by the fund. The TER varies from scheme to scheme and even AMC to AMC and is around 0.8% - 2.5%.

Join @Coursesdollar

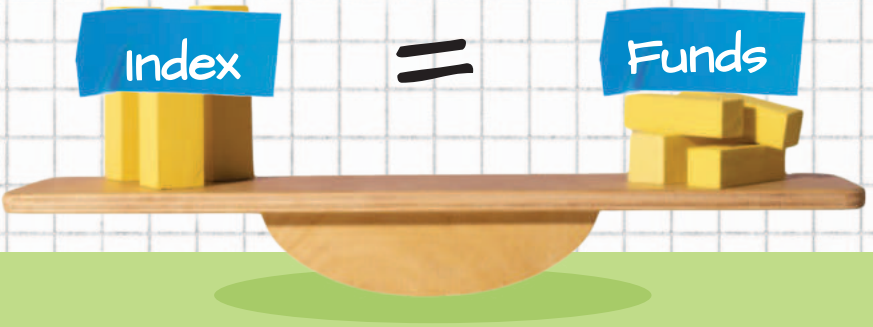
i. Tracking Difference:



@Coursesdollar

Tracking difference tells you how well a passive mutual fund mimics its chosen index. It's basically the difference between the fund's achieved return and the index's actual return.

Ideally, the fund would perfectly track the index by owning all of its stocks in the same proportions.



Join @Coursesdollar

But there are some reason due to which there are differences in returns:

Funds incur various costs for daily management, transaction fees, and other operational expenses, which are deducted from the fund's assets.

Sometimes, the fund may not be able to purchase all the exact stocks in the index due to factors like minimum investment requirements or limited availability.

@Coursesdollar

Other Factors like High Cash Inflows in the fund- outflows, corporate actions (like mergers), and even cash held for liquidity can subtly influence performance.

Lower the tracking difference the better, as it means your returns are closer to what the index delivers.

Join @Coursesdollar

Conclusion

So, there you have it-our dive into the world of mutual funds.

I know, it can feel like unravelling a financial puzzle at times, with all the different types of investments, investment strategies, and jargon.

But don't worry, by understanding these foundational concepts, you're now equipped with a powerful tool to make smart choices that fit your unique financial goals.

Join @Coursesdollar

@Coursesdollar

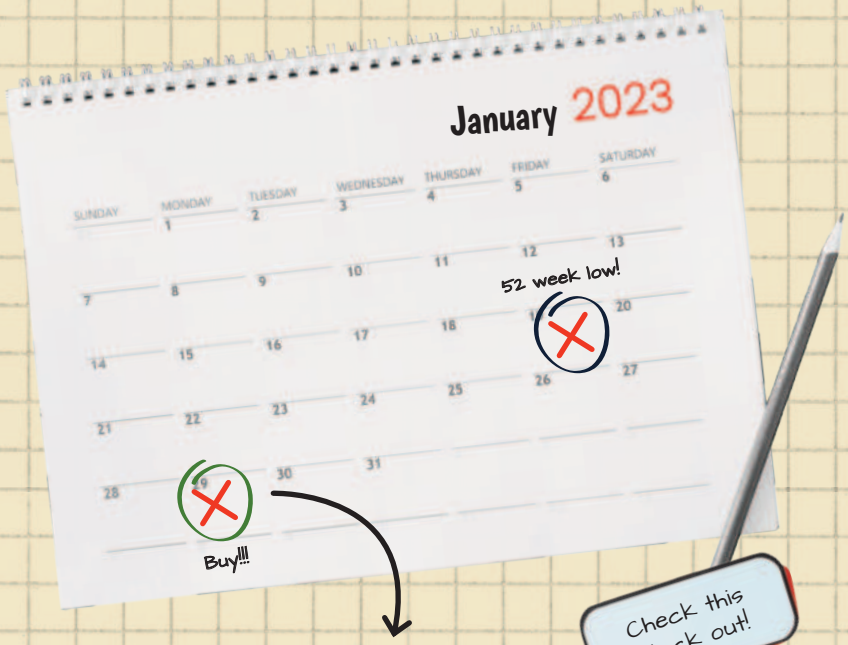
Join @Coursesdollar

Chapter 12

Equity

Join @Coursesdollar

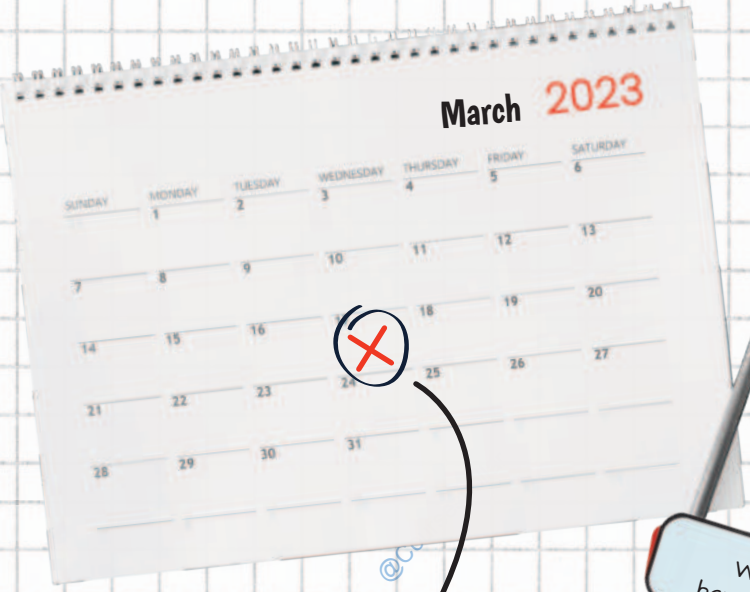
Anushka Rathod



It was a Sunday afternoon, and I visited my sister. She was on her phone and said she just bought a stock after researching. I was really intrigued because I had never heard anything about the stock market from her before.

I asked which stock and what the rationale was. She said a random stock's name and told me that because the price was below the last 52 weeks average and she saw in the news that the price would go up, she bought it.

Join @Coursesdollar



We met again after a couple of months, and she told me that she sold her holdings for a 12% loss, and right after she sold, the price went up again.

"I was really unlucky; the stock market is anyway a gamble."

Is it, though? Well, not exactly:

Join @Coursesdollar

Difference between Trading and Investing

We must understand the difference between trading and investing. Trading is carried out based on the movement of the stock price, stock tips, and news. While you can make money from trading, majority of individual traders don't! In the financial year 2022, nine out of ten individual traders in the equities Futures and Options (F&O) segment saw net losses, according to a report released by the Security and Exchange Board of India (SEBI) on Wednesday.

Whereas investing is done for a longer duration, it is a combination of analysing the company's fundamentals and the valuation of the company.

Trading

In the short run, many factors can affect a stock's price, and traders often try to take advantage of that.

Investing

However, in the long run, a company's stock price reflects its fundamentals. Therefore, it's important to invest wisely for the long term.

Join @Coursesdollar

Over the past 6 years, I have interacted with thousands of individuals. I have noticed a few patterns in the mistakes that people make when they start investing!

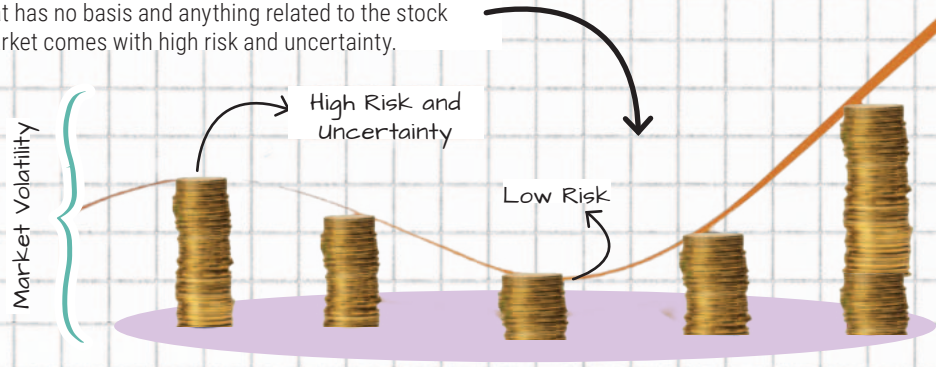
The oversimplified advice

Well in itself it is not bad advise but it is rather incomplete. The current valuations of the stock, your risk appetite, for how long the stock needs to be held - all these important questions are left out. Researching a stock, valuing it and knowing when to buy and sell has no exact science behind it. It requires knowledge, experience and the right temperament to execute which is not easy to come by.

Also, people ignore the changing Market Conditions! What worked for successful investors back in their day or what worked for investors in a different market may not work for you. So you can't go about simply applying strategies that have worked before.

The False Promise of Sure Profits

RETURNS FROM THE STOCK MARKET ARE VOLATILE. There are a lot of traders or salesmen who will tell you how you can earn guaranteed returns from stocks or MFs because they have a new strategy or because the stock or MF has given good returns in past. Although, that has no basis and anything related to the stock market comes with high risk and uncertainty.



Join @Coursesdollar

Not Managing Emotions

After buying a stock, you will need to have a conviction for years and constantly monitor if the company's progress is what you thought it would be? Most people start questioning their research when the stock is consistently red for months and then book losses. Only to find that after just a couple of months the stock price shot up.

The stock market is very volatile, and a lot of news and information is constantly bombarding you via social media, WhatsApp, friends, and family. It is very important to keep your patience and not be too greedy.

I don't want to discourage you from investing in equity markets.

Although know here that there is a lot of analysis, time and patience required to generate positive returns from the stock market.

Join @Coursesdollar

Even professionals who do this as their day job often make the wrong bets. Hence, as an individual, if we are not willing or don't have the time to learn about the fundamentals, it is always better to go to professionals to get specific recommendations on which stocks you should invest in and how you should make a stock portfolio.

So, if you're considering investing, take your time to learn and seek advice from knowledgeable individuals. Investing can be compared to solving a puzzle, and by strategically placing the right pieces, you can gradually increase your wealth over time.

@Coursesdollar

Since investing in direct equity is a vast topic, it can be a book itself. Hence, this topic falls outside the scope of this Book. However, if you are interested, you can explore the following Books:

- One up on Wallstreet
- Common stocks and uncommon profits
- 100 Baggers
- Value Investing and Behavioural Finance

Join @Coursesdollar

@Coursesdollar

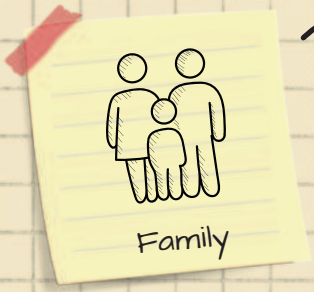
Join @Coursesdollar

Chapter 13

Gold

Join @Coursesdollar

For the longest time,

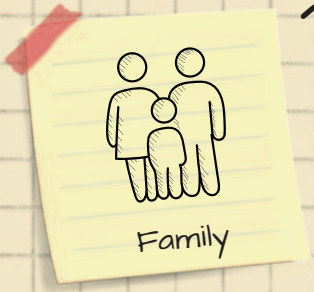


Gold was the only investment option to save and accumulate wealth, and hence, it is linked to traditions and festivals to encourage people to save.

Gold as investment

However today,

We also have more options to invest in PPF, MF, FD, etc., and gold (SGB, Gold ETF). Hence, gold jewellery should be considered a luxury purchase rather than an investment.



☑ Investment Options

■ Gold as investment

Join @Coursesdollar

This is because the making charges associated with jewellery can be as high as 25%. So, say you are buying ₹100 worth of gold in jewellery form.

The gold component is only ₹75, and the remaining ₹ 25 are the making charges. So you'll only generate real return on that jewellery after it has appreciated its value by 25%. In addition to that, jewellery also has storage costs.

From an investment perspective, if your goal is to invest in gold as part of your strategy, you might want to consider other forms of investing in gold, such as:

@Coursesdollar

- Gold Coins/Bars
- Gold ETFs
- Digital Gold
- Sovereign Gold Bonds (SGBs)

Join @Coursesdollar

1. Gold Coins/Bars

If you want to invest in physical gold, then consider investing in gold coins and bars, as they have:

- Lower making charges as compared to jewellery
- It's way easier to store them

Remember to get it from a trusted jeweller.

2. Gold ETFs

We have discussed ETFs in the previous section. They're like mutual funds that are listed on the stock market. You can buy units of ETFs from the stock market just like you buy stocks.

@Coursesdollar

Gold ETFs represent physical gold and aim to track the price of gold. Gold ETFs back their assets by buying actual physical gold of 99.5% purity. These are stored and valued periodically according to regulatory guidelines.

The best part is that you can get exposure to gold without having to deal with physical gold or the making charges that come with it. Plus, you can easily buy or sell Gold ETFs anytime on the stock market. Unlike gold jewellery, Gold ETFs can be bought and sold at the same price across India.

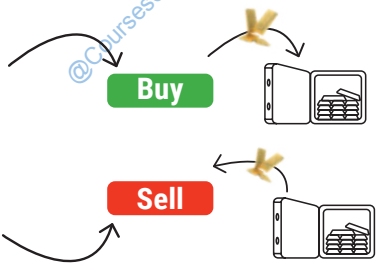
Join @Coursesdollar

3. Digital Gold

Today, many platforms like e-wallets, brokers, and even a few jewellers offer digital gold. However, these are just platforms that connect us to the 3 companies that are authorised to sell digital gold in India. They are:

1. Augmount Goldtech Ltd
2. MMTC-PAMP India Pvt Ltd
3. Digital Gold India Pvt Ltd

@Coursesdollar



Once you place an order online on any platform, their partnered custodian puts gold of that exact amount into the secured vault, and you can see the same quantity/value of the gold in your account. When you sell it, the exact quantity is removed from that vault and similarly also deducted from your account.

Every unit of digital gold an investor purchases is backed by 99.9% 24K pure gold. Investments in digital gold start with an amount as low as INR 100. One can invest in digital gold from anywhere and any time of the day through online mode. Selling and buying the units of digital gold happens online at the market price of the gold. You can redeem the gold in either cash or gold. However, there is a minimum quantity you need to withdraw if you want the redemption in physical gold, and there might be associated charges.

However, you do have to pay GST on Digital Gold, making it less attractive than Gold ETFs or SGB.

Join @Coursesdollar

4. Sovereign Gold Bonds (SGBs)

Sovereign Gold Bonds (SGB) are basically bonds issued by the government through the RBI. They are a different way to invest in gold. Here's how they work:

Measured in Grams

SGBs are measured in grams, 1 unit of SGB is 1 gram of gold.

Interest & Capital Appreciation

The returns you get from SGBs are a mix of interest and capital appreciation. You get a fixed interest rate of 2.5% on the initial investment every year, on top of any change in the gold's value.

Semi-Annual Interest Payment

Interest payments are paid out every six months.

Tax Benefit

If held till maturity, the capital gains on it are tax free only the interest portion is taxable as per your tax slab.

Eight Year Term

The bonds have an eight-year term, and that's when you get your money back. They however come with lockin period of 5 years after which you can prematurely redeem them, the maturity of these bonds is 8 years. You can sell them on stock market even before 5 years but the liquidity is low.

How can you invest in these? SGBs are issued by the RBI in chunks throughout the year. You can invest in them through banks, brokers, post offices, and online platforms. If you buy them online, you can get a discount of INR 50 per gram.

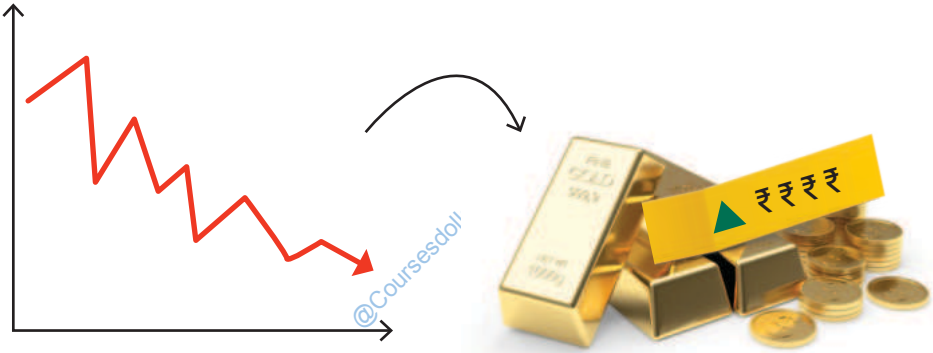
Join @Coursesdollar

Particulars	Gold Jewellery	Gold Coins	Digital Gold	Gold ETF	Sovereign Gold Bonds
Costs	Need to pay additional making charges (12%-30%) and 3% GST. Bank Locker charges if stored there.	Making charges range from 5-10% and 3% GST is charged.	3% GST Charged	Expense ratio of around 1%.	Demat account opening and transaction costs like Brokerage Charges on transactions if any.
Storage	Need to store safely or a bank locker.	Need to store safely or a bank locker.	No storage required.	No storage required.	No storage required.
Taxation	If held for less than 3 years: taxable as per income tax slab rates. If held for more than 3 years: gains taxed at 20% w/indexation.	If held for less than 3 years: taxable as per income tax slab rates. If held more than 3 years: gains taxed at 20% w/ indexation.	If held for less than 3 years: taxable as per income tax slab rates. If held more than 3 years: gains taxed at 20% w/ indexation.	If bought on or after 1 April, 2023 it will be taxed according to your tax slab. And for physical gold and digital gold (need to add +4% cess) 20% +4% cess w/indexation	Interest is taxable as per your tax slab. Capital gains are exempted from tax if held till maturity.
Liquidity	Can buy/sell at jewellers or use it as a collateral.	Can be bought at jewellers or banks. Although banks won't buy the gold coins back from you.	Buy online, redeem as coins/bullion, or cash out.	Exchange-traded, bought/sold only during market hours.	Exchange-traded, bought/sold only during market hours.
Pros	Higher aesthetic value.	Higher resale value due to purity.	Ease of buying.	Ease of buying and no GST is charged along with high liquidity.	No GST charged, Tax benefits with added 2.5% interest.
Cons	Up to 25% lost as making charges and storage costs.	Making charges and storage costs.	GST charged, not in other electronic gold buying methods.	No added interest.	Withdrawal before 5 years is difficult as it is not very liquid.

Join @Coursesdollar

5. The Case for Gold!

Historically gold has shown resilience during economic uncertainties and geo-political tensions. It also has a negative co-relation with the stock market, meaning when the stock market goes down, the value of gold increases and vice-versa.



Stock Market Goes Down

Value of Gold increases

It is because of these factors, gold is considered as an important asset to diversify one's portfolio.

Join @Coursesdollar

Chapter 14

Real Estate

Join @Coursesdollar

The value of real estate depends upon the demand and supply of property in that area.

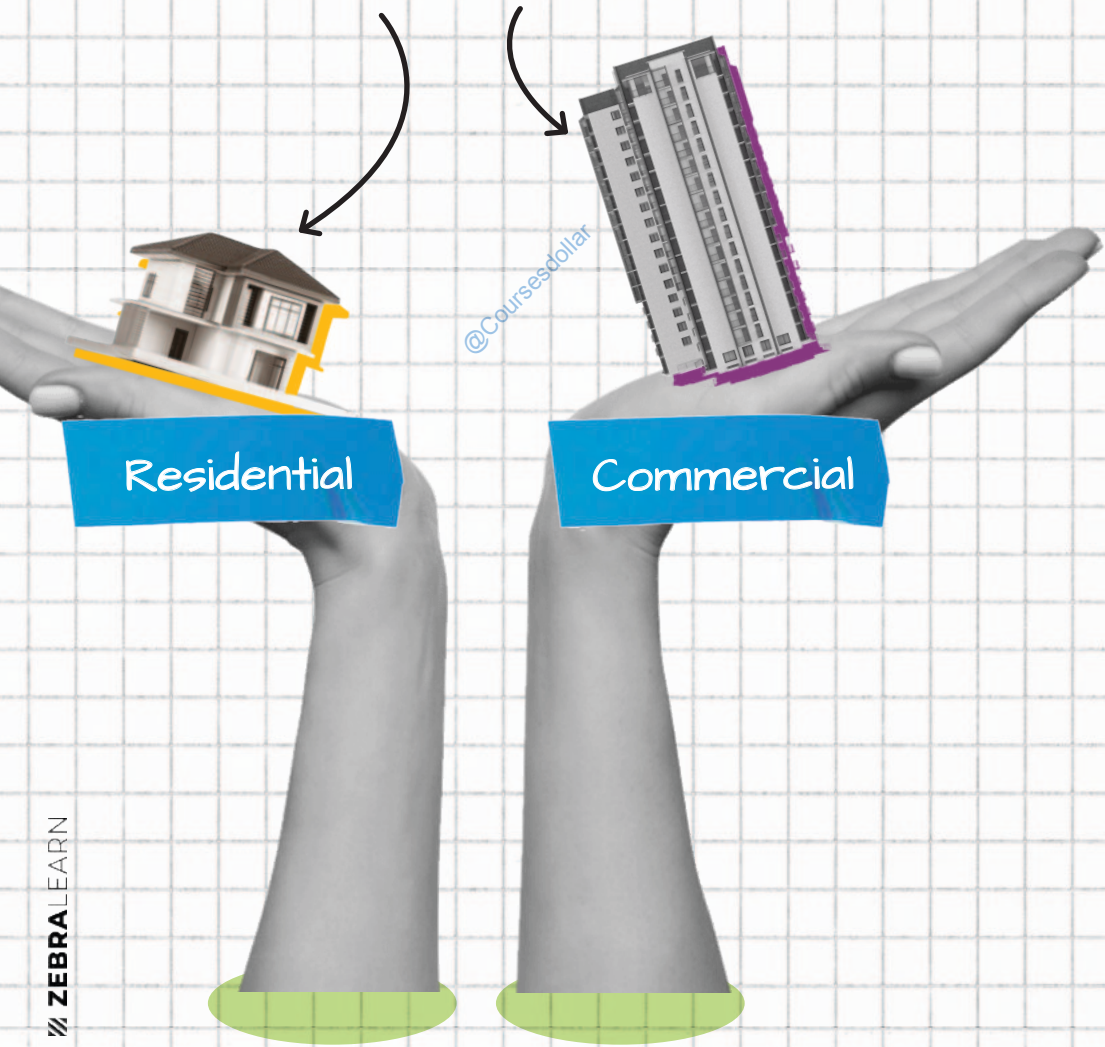
The demand for a particular property depends on many factors like the type of property, location, the amenities in the vicinity, the general state of the economy, the builders' reputation if it is a building still under development and many other factors. Hence, no blanket statement can be made about whether a real estate investment will be profitable or not. I remember how my relatives in south Mumbai were getting 24Cr for their flat a few years ago, which they bought for less than 1Cr 40 years ago (more than 8.27% CAGR).

Join @Coursesdollar

But then BKC and LowerParel became preferred locations to Nariman Point for corporations, and real estate prices dropped around that area. There were also some newer constructions in south Bombay, and because of all this, today, my relatives' flat would fetch them not more than 10-12Cr.

But it was still a good decision as it provided a roof over their head for those 40 years. The home that you live in serves a purpose larger than just returns.

However, if you are buying real estate just for investment, then there are two kinds that you can buy:



In real estate, you get the return from:

Rental Yield + Capital Appreciation.

Capital Gains are long-term, and you don't have certainty, but you can get an idea about rental yields.

Rent = ₹ 60,000
Maintenance Cost = ₹ 10,000
Property Value = ₹ 5,00,000

Rental Yield = (60,000 - 10,000)/5,00,000 = 10%

Before you invest in a property, check for these two things:

- How easily can you rent the place?
- What is the rental yield?

@Coursesdollar

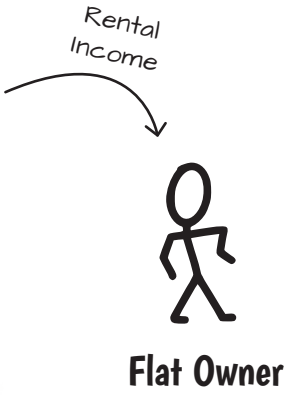
You can check this by enquiring about the rents of similar establishments in the area and by checking how much demand exists or will come up in the near future.

PLOT vs BUILDING

If you are investing in residential real estate, most people invest in two options:

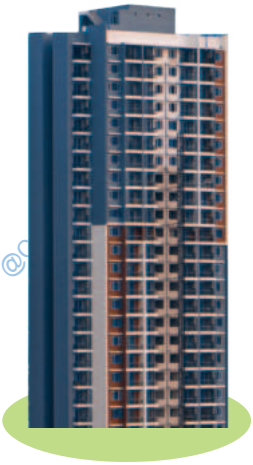
Join @Coursesdollar

Flat owner's apartment on rent



If you buy a flat you might get rental income from it. However, most buildings, will require you to pay maintenance which is an added cost. On top of that, no matter how well maintained, the building will get old with time and your property value and rental yield will be affected.

In comparison, land value rarely goes down and has a lower maintenance cost. You won't get rental income from land but even otherwise, rental yield in India is very low so you won't miss out on a lot.



Apartment Building

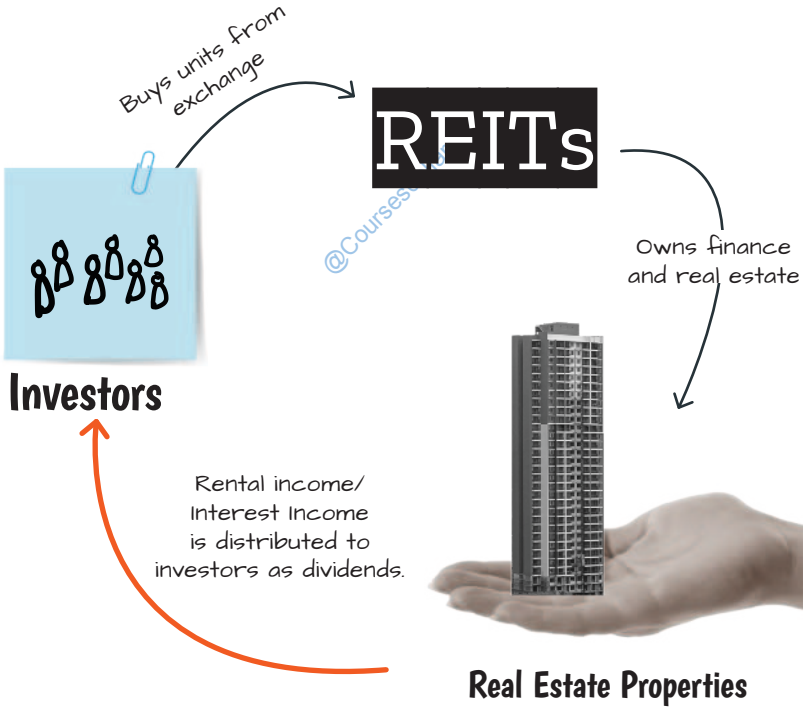
However, no matter if you invest in a plot, flat or commercial real estate they have a high ticket size and are not a very liquid investment. Hence you can consider one new alternative to invest in real estate REITs.

Join @Coursesdollar

1. What are REITs?

REITs are entities that own and operate real estate like office buildings, malls, warehouses, etc. These REITs are then broken down into units, listed on the stock market from where we can buy them. So, for real estate units worth crores, we can buy them for ₹400-₹500 and invest in them!

What sets REITs apart is their structure.



They are divided into smaller units, similar to company shares which are listed and traded on stock exchanges. Similarly, one can easily buy and sell these REIT units through their brokerage accounts, allowing them to invest in real estate without purchasing entire properties.

Join @Coursesdollar

2. Generating returns from REITs

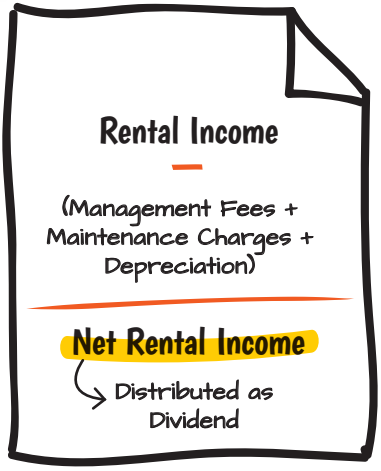
There are two ways investors can earn returns from investing in REITs.

1. Capital Appreciation

Just like stocks, the price of REIT units can fluctuate based on the performance of the underlying real estate assets and market demand. When a REIT performs well, and its properties appreciate in value, the price of its units tends to rise. Investors can then sell their units at a higher price, thereby realising capital gains.

@Coursesdollar

2. Dividend and Interest Payouts



REITs are mandated by regulatory bodies, to distribute at least 90% of their net rental income as dividends and interest to investors. These distributions are primarily funded by the net rental income generated from the properties owned by the REIT.

Net Rental Income refers to income that a REIT receives by renting out and leasing Real Estate after the deduction of some key expenses related to the management and maintenance of the facilities like management fees, depreciation, maintenance charges, etc.

Join @Coursesdollar

3. How to invest in REITs?

You can buy individual units of REITs from the stock markets. There are 4 listed REITs in India at the time of writing this book. Analysing Individual REITs can be rather complex. If you are willing to understand that, you can invest in an individual REIT or take a basket approach and invest in all 4 REITs.

Also, a REIT and InvIT index was launched by NSE in April 2023, and it is expected that an ETF tracking the same will be launched soon. That will give us a diversified approach to investing in REITs and InvITs (like REITs, but instead of real estate projects, they invest in infrastructure projects like roads, bridges, etc.)

*Source: Kite, Zerodha. All graphs and data mentioned are for educational purposes only.

Join @Coursesdollar

Conclusion

Congratulations!! You have successfully completed reading this book on various aspects of money management!

We have learned so many things throughout this book -

- **What money is and isn't?**
- **Management of Day-to-Day Finances**
- **How to Deal and Protect Your Family from Financial Uncertainties?**
- **How to Grow Your Wealth?**
- **How to Plan for Your Financial Goals?**
- **Overview of various Asset Classes**

Join @Coursesdollar

Managing your money and growing your wealth through investments doesn't have to be rocket science. It's all about making smart choices and staying informed. Now that you have set your sights on your goals, the next step involves rolling u p your sleeves and getting down to business.

Remember, there's no secret formula for growing wealth that tells you how to go about picking the juiciest apple among many others.

Your investments require long-term commitments and patience. Avoid the temptation of get-rich-quick schemes because slow patience does pay off.

Don't treat this book as a one-time read, keep revisiting it as and when scenarios arise in your life. A well-built garden is a beautiful sight to behold, and so should your finances. Therefore, do not forget to regularly attend to your garden.

Lastly, I want you always to have deep pockets for endless dreams. To a future full of financial freedom and its countless blessings! Cheers!

Join @Coursesdollar

Disclaimer

The content, information, figures, logos, statistics and financial data in this book are offered solely for educational and illustrative purposes; it is not meant to serve as a source of credit analysis or as a source of advice regarding the material covered. This Book's material and/or papers should never be utilized without first seeking guidance from a financial expert to evaluate what may be best for your particular circumstances. Neither the content of this Book nor the Publisher and the Author represent any legal or financial advice. The accuracy and reliability of the figures, statistics, and financials included in this book have been diligently researched and referenced from reputable sources. However, due to the dynamic nature of business environments and financial markets, there might be instances where the data has changed since the time of writing. The Publisher and the Author do not guarantee or promise any specific outcomes from applying the information in this Book. Any use of the techniques described in this book is the author's personal opinion and they are not meant to be a final set of instructions. You could find that the same outcome can be achieved with different techniques and materials. Furthermore, it's important to note that the companies discussed in this book are real entities operating in competitive markets. Their performance and financials are subject to a multitude of factors, both internal and external, which can lead to variations in their financial health and business outcomes. The Publisher and the Author disclaim all liability to the fullest extent permitted by law in the event that any information, commentary, analysis, opinions, advice, or recommendations contained in this Book turn out to be false, incomplete, or unreliable or result in any losses on investments or in other ways. The utilization of this information for investment, business, or decision-making purposes is entirely at the reader's discretion and risk. In conclusion, this Book aims to foster learning and understanding of business concepts through the analysis of figures, statistics, and financials of existing companies. However, readers are strongly encouraged to exercise caution, critical thinking, and due diligence in applying any insights gained from this Book to real-world situations.

Join @Coursesdollar

Credits

Designed by

Ashwini Ramesh Kumar

Edited by

Fairy Panchal

Dhwanit Khandelwal

Additional Illustrations
Freepik

Join @Coursesdollar

@Coursesdollar

Join @Coursesdollar

@Coursesdollar

Join @Coursesdollar

@Coursesdollar